

OPTIMIZING FOR GROWTH



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OPTIMIZING FOR GROWTH

With our mission of enabling growth and enriching lives, we continue to strive in our cause of promoting non-interest based participatory financial solutions, centered on Islamic banking principles, which derives its values from Sharia. As a result of our pioneering initiative, we are happy to witness Sri Lanka being endowed with global recognition and honour for the growth and the industry status it has attained.

The Bank has evolved in stature through its unrelenting passion and hard work by investing on reach, model awareness, product solutions, services, digital outlook and resources. This in turn resulted in the Bank being able to reciprocate its shareholders for their long standing confidence and trust.

Going forward, we will focus on optimizing on opportunities, ensuring that our growth will be rewarding to all stakeholders.

VISION

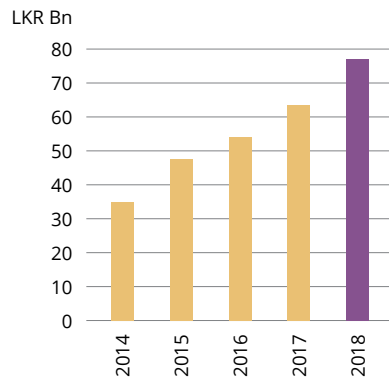
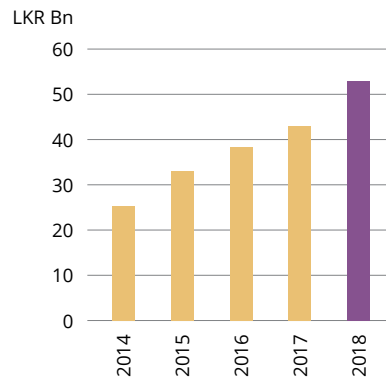
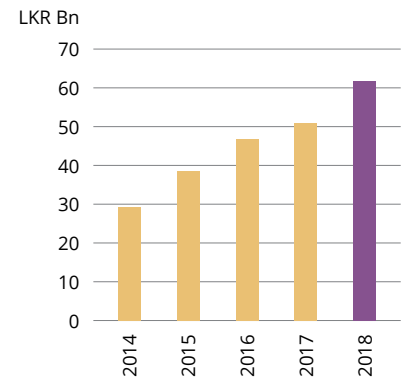
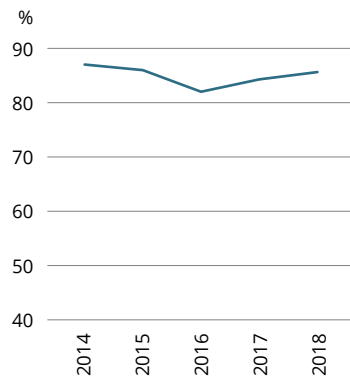
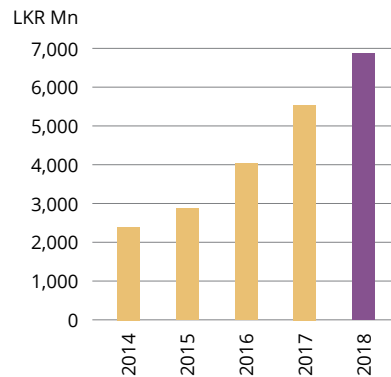
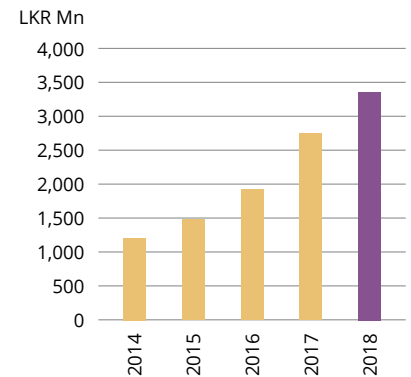
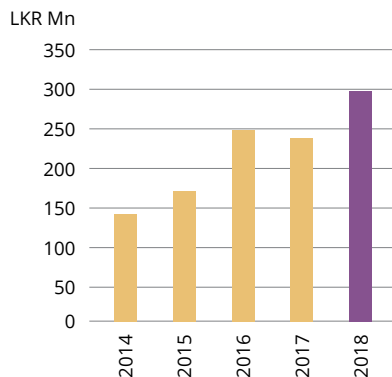
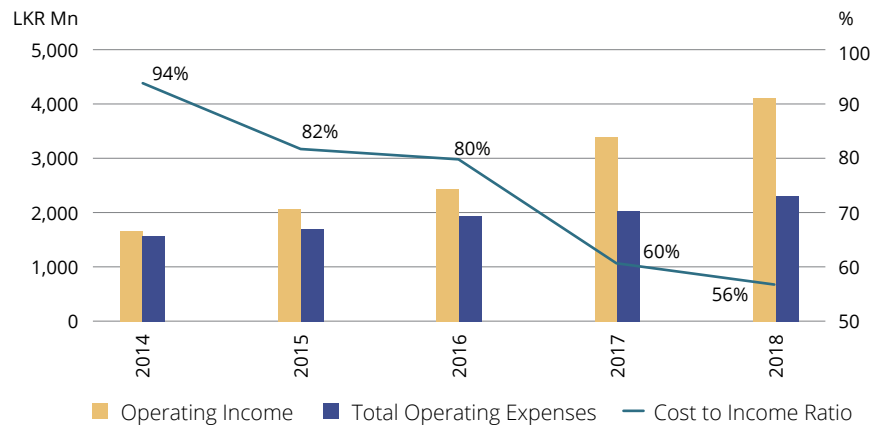
To be an admired leader in providing equitable financial solutions, not limited to numerics, but also in earning the trust of our customers, employees, shareholders and country.

MISSION

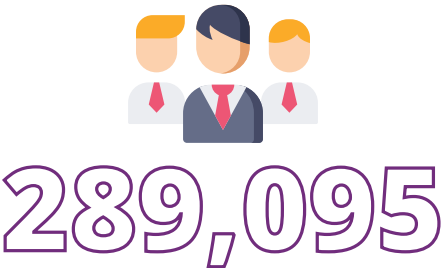
To adopt a unique and people friendly approach with a passion for continuous improvement, enabling growth and enriching lives of our customers.

FINANCIAL HIGHLIGHTS

	2018	2017	Change	Change %
Operating Results for the Year - LKR '000				
Financing Income	6,883,222	5,544,237	1,338,985	24
Net Financing Income	3,360,333	2,753,619	606,713	22
Total Operating Expenses	2,305,652	2,039,573	266,079	13
Operating Profit Before VAT on Financial Services, NBT and DRL	1,322,237	1,058,565	263,673	25
Profit Before Tax	902,199	739,319	162,880	22
Tax Expenses	345,753	236,491	109,262	46
Profit for the Year	556,446	502,828	53,618	11
Assets and Liabilities - LKR '000				
Financing and Receivables to Other Customers (Advances)	52,853,663	42,914,144	9,939,520	23
Total Assets	77,269,767	63,540,083	13,729,685	22
Due to Depositors	61,722,683	50,922,561	10,800,122	21
Total Liabilities	65,635,667	52,226,280	13,409,387	26
Shareholders' Funds	11,634,100	11,313,802	320,298	3
Key Ratios - %				
Net Financing Margin	4.4	4.2		
Return on Assets (after Tax)	0.7	0.8		
Return on Equity	4.6	5.8		
Dividend Yield	2.3	-		
Cost to Income Ratio	56.2	60.2		
Gross Non Performing Advances Ratio	2.8	1.9		
Net Non Performing Advances Ratio	0.9	0.7		
Investor Information - LKR				
Net Asset Value Per Share	4.65	4.52		
Market Value Per Share - as at 31 December	3.10	3.70		
Earnings Per Share - Basic/Diluted	0.22	0.29		
Dividend Per Share	0.07	-		
Regulatory Ratios - %				
Capital Adequacy Ratios				
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 6.375%)	17.6	20.0		
Tier I Capital Ratio (Minimum Requirement - 7.875%)	17.6	20.0		
Total Capital Ratio (Minimum Requirement - 11.875%)	19.0	21.5		
Statutory Liquid Assets Ratio				
DBU (Minimum Requirement - 20%).	23.0	22.2		
OBU (Minimum Requirement - 20%)	35.1	41.5		
Liquidity Coverage Ratio				
Rupee (Minimum Requirement - 90%)	141.8	200.7		
All Currency (Minimum Requirement - 90%)	117.5	174.7		

Total Assets

Advances

Deposits

Advances to Deposits Ratio

Financing Income

Net Financing Income

Net Fees and Commission Income

Cost to Income Ratio


OTHER HIGHLIGHTS



NO. OF CUSTOMERS
2017 - 250,369



NO. OF BRANCHES
2017 - 28



NO. OF SELF BANKING CENTRES
2017 - 01



NO. OF ATMs
2017 - 33



NO. OF CDMs
2017 - 05



NO. OF GOLD SAFEKEEPING UNITS
2017 - 23



2017 - RANKED 111th
LMD Second Board Ranking



NO. OF AWARDS WON
2017 - 07



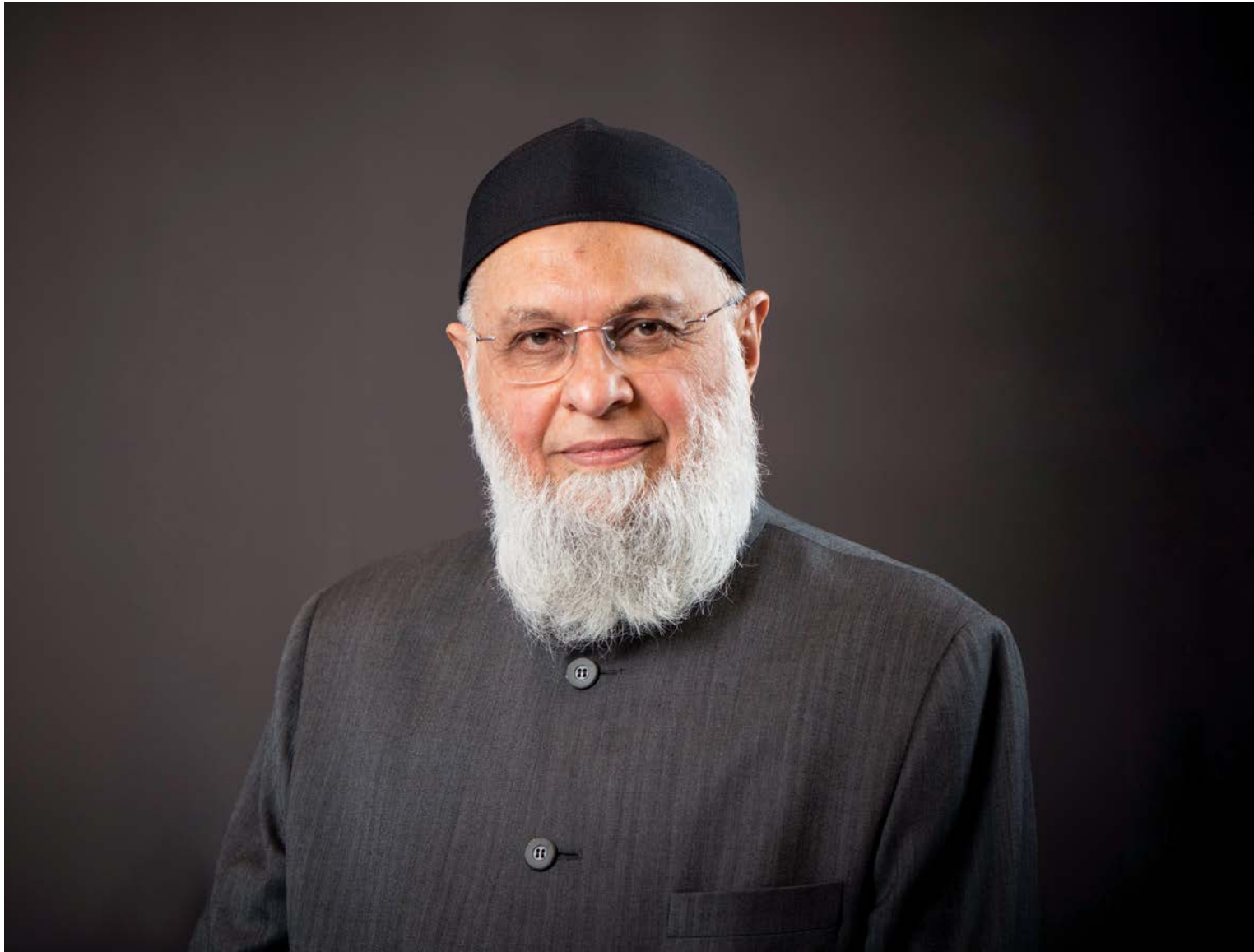
2017 - BB (Ika) Stable Outlook



With a mix of fully fledged branches, self-banking centres and a variety of digital banking conveniences, we are reaching out to our customers to enrich their banking experience.

**OPTIMIZING
OUR REACH**

CHAIRMAN'S MESSAGE



THE FINANCIAL YEAR 2018 IS A LANDMARK YEAR FOR AMĀNA BANK, AS IT MARKS THE YEAR OF OUR INAUGURAL DIVIDEND DISTRIBUTION.

OSMAN KASSIM
Chairman

In the Name of Allah, the Most Gracious the Most Merciful

I would like to begin by thanking our esteemed shareholders for their steadfast support towards Amāna Bank over the past several years. Since the commencement of Amāna Bank in August 2011, we have now become one of the fastest growing financial services providers in Sri Lanka, not only in the specialised area of Islamic banking, but in the general context of financial services. Throughout this process our shareholders have remained patient and committed to our values and business model. We are indeed fortunate to have such a strong and understanding relationship, and as the Chairman of Amāna Bank, I reiterate our commitment on behalf of the Board, management and staff, to continue enhancing value for our shareholders through optimisation as we move forward in our journey.

The financial year 2018 is a landmark year for Amāna Bank, as it marks the year of our inaugural dividend distribution. Consequently, it is with a sense of achievement that I present the annual report and financial statements of Amāna Bank for the year 2018.

Economic Background

Global growth recorded approximately 3% in 2018, easing from 3.1% in 2017 and is expected to further slow down to 2.9% on the backdrop of elevated US-China trade tensions and political and economic uncertainty arising from Brexit.

As all our stakeholders are fully aware, the financial year 2018 was exceptionally challenging for all Sri Lankans and businesses. The country was continually

battered by vagaries of weather, causing extensive hardship to businesses and general public. The political landscape of 2018 was no better. Due to successive rate hikes by the US Federal Reserve and resultant exodus of funds out of the nation's capital market coupled with importer demand, the Rupee faced an unprecedented level of depreciation against the US dollar. These disruptions had a knock-on effect on overall economic performance of the country and Sri Lanka's GDP is expected to have grown by 4.1%, falling short of its target of 4.5% set at the beginning of the year. The country's financial services sector was also burdened by increased tax commitments resulting in lower profits. The banking sector meanwhile, accommodated changes in Accounting Standards for Financial Instruments resulting in higher impairment charges and had to adjust to new risk management requirements all of which necessitated additional management time and costs.

Performance of Amāna Bank

In this economic backdrop, the Board and I feel Your Bank has performed significantly well during the year under review, I am pleased to report that Amāna Bank has maintained growth trajectories across all major financial indicators even surpassing industry growth rates in the areas of total assets, deposits, advances and profitability. It has also met many of its strategic and operational level targets set for the financial year 2018 in accordance with our 5-Year Strategic Plan. Our operational level performance is discussed in detail by the CEO in his review and in the Business and Operations Review of this annual report. I urge our shareholders to read these reports, together with our financial statements.

I AM PLEASED TO REPORT THAT AMĀNA BANK HAS MAINTAINED GROWTH TRAJECTORIES ACROSS ALL MAJOR FINANCIAL INDICATORS EVEN SURPASSING INDUSTRY GROWTH RATES IN THE AREAS OF TOTAL ASSETS, DEPOSITS, ADVANCES AND PROFITABILITY.

Chairman's Message

EVEN AFTER THE DIVIDEND PAID IN JULY 2018, NET ASSET VALUE PER SHARE HAS INCREASED TO LKR 4.65. THIS STANDS EVIDENCE TO THE SOUND GROWTH MOMENTUM OF THE BANK IN ITS FUNDAMENTALS WHICH REFLECTS THE TRUE PERFORMANCE OF THE BANK.

Even after the dividend paid in July 2018, Net Asset Value per share has increased to LKR 4.65. This stands evidence to the sound growth momentum of the Bank in its fundamentals which reflects the true performance of the Bank despite the dip in share price to LKR 3.10 which is mainly attributable to the overall downturn experienced in the stock market.

Ensuring Good Governance

I believe our sound governance and risk management systems are the foundation of our financial performance within the current volatile operating environment. This is validated by the upward revision of our credit rating outlook in 2018. Our 2017 outlook which was 'Stable', was revised to 'Positive', whilst affirming the Bank's

National Long-Term rating of BB(lka) by Fitch Ratings, reflecting our improving financial profile.

Further, I take this opportunity to assure our shareholders that Your Bank is fully compliant with all applicable regulations, including the latest BASEL III requirements and ICAAP Framework, and have also adopted the principles of the new accounting standard, SLFRS 9, in our financial statements.

All Board sub committees met regularly during the year and supported the Board in its decision making by providing recommendations on their respective areas of supervision.

Board members continued to be engaged on the latest developments in the regulatory environment, specifically in relation to Governance, industry best practices and Capital Market requirements. I am pleased to have the honour of chairing a Board consisting of qualified and experienced individuals of repute in their respective areas of specialisation. Their contribution in providing strategic oversight and direction has been a strong source of strength for the Bank.

Looking Forward

As we conclude a well-planned year, it is prudent to reflect on our learnings, and plan for the future. The year ahead will definitely prove to be eventful, given the challenges expected in the economic and political



environment. Our focus in this context will be to achieve our strategic and operational targets, to ensure continued growth of the Bank's performance, assets and brand equity, God willing.

Following the latest capital infusion in 2017, Amāna Bank's capital funds currently stands at approximately LKR 11 billion. A key objective for the Board within the short term, is to ensure compliance with the Central Bank's capital enhancement directive for a LKR 20 billion minimum capital by end 2020.

I would also like to take this opportunity to broach another topic close to my heart, which is the Orphan Care Trust of Amāna Bank that was so generously supported by our shareholders last year. Thanks to your generosity we have infused the seed capital in this Trust, which is aimed at integrating orphans into mainstream society by aiding in the aspect of financial security as they reach the age of maturity. I wish to emphasise that reflecting our inclusive growth philosophy, the Orphan Care Trust will cater to all orphans in Sri Lanka regardless of caste, creed, race or ethnicity. I am pleased to report that we have made progress relating to the legal framework of setting up the Trust and that this unique charitable effort is set to be operationalised in 2019.

Appreciation

I take this opportunity to welcome our new Directors Mr. Asim Raza and Mr. Khairul

Muzamel and I thank the retired Directors Dr. A. A. M. Haroon, Mr. Faheemul Haq, Mr. Wahid Ali Mohd. Khalil and Mr. Haseeb Ullah Siddiqui for their invaluable services to the Bank. The Sharia Supervisory Council is integral to our operations and I thank the members for their valuable guidance. Our Management and staff are the driving force of the Bank and are instrumental in our success and I thank all of them for their hard work and dedication. The regulatory bodies such as the Central Bank and the Colombo Stock Exchange have continued to support Amāna Bank by providing timely instructions and directions and I would like to acknowledge their contribution towards our success.



Osman Kassim

Chairman

14 February 2019

සහාපතිවරයාගේ පණිවුඩය

මහා කාරුණික පරම දයාබර අල්ලාග් දෙවියන්ගේ නාමයෙන් ආරම්භකරමි

පසුගිය වසර කිහිපයක කාලය තුළ අමානා බැංකුව වෙත දක්වන ලද අනුපමය සහයෝගය වෙනුවෙන් අපගේ ගෞරවනීය කොටස්කරුවන් වෙත ප්‍රණාමය පුදකරමින් මාගේ විග්‍රහය අරඹනු කැමැත්තෙමි. වසර 2011 දී අමානා බැංකුව ඇරඹූ දින පටන්, මේ වන විට අපි, ශ්‍රී ලංකාවේ වඩාත් ශීඝ්‍රයෙන් වර්ධනය වන්නා වූ මූල්‍ය සේවා සම්පාදකයකු බවට පත්ව ඇත්තෙමු. එහිදී ඉස්ලාමීය බැංකුකරණය යන විශේෂිත ක්ෂේත්‍රය පමණක් නොව, සමස්තයක් වශයෙන් ගත් කල මූල්‍ය සේවා අංශයෙහි කැපී පෙනෙන වර්ධනයන් අත්පත් කරගැනීමටද අප හට හැකි වී ඇත. මෙම ක්‍රියාවලිය අතරතුර අපගේ කොටස්කරුවන්ද අපගේ වටිනාකම් සහ ව්‍යාපාරික ක්‍රියාවලිය කෙරෙහි අතීතය ඉවසිලිවත්තව හා කැපවීමෙන් යුතුව දක්වන ලද දායකත්වය ප්‍රශංසනීය වේ. මෙවැනි වූ ශක්තිමත් හා මනා අවබෝධයෙන් යුතුව සබඳතාවයක් පවත්වා ගැනීමට හැකිවීම අප ලද භාගයක් කොට සලකන අතර, අමානා බැංකුවේ සහාපතිවරයා වශයෙන්, අපගේ අනාගත ව්‍යාපාරික ගමන් මග තුළ උපරිම ඵලදායීතාවයෙන් යුතුව කටයුතු කරමින්, අපගේ කොටස්කරුවන් සඳහා වූ වටිනාකම උපරිම අයුරින් වර්ධනය කිරීමට ඇපකැප වී කටයුතු කරන බවට, අධ්‍යක්ෂ මණ්ඩලය, කළමණාකාරීත්වය සහ කාර්ය මණ්ඩලය වෙනුවෙන් නැවතත් ප්‍රකාශ කර සිටිමි.

අපගේ ප්‍රථම ලාභාංශ ප්‍රදානය සිදුකරන ලද 2018 වසර, අමානා බැංකුවට සුවිශේෂී මූල්‍යමය වර්ෂයකි. ඒ නිසා, මා විසින් වසර 2018 සඳහා වන අමානා බැංකුවේ වාර්ෂික වාර්තාව සහ මූල්‍යමය ප්‍රකාශනයන් ඉදිරිපත් කරනුයේ ඉමහත් අභිමානයෙනි.

ආර්ථික පසුබිම

වසර 2017 දී 3.1% ලෙස වාර්තා වූ ශෝලීය වර්ධනය 2018 දී දළ වශයෙන් 3% දක්වා පහත වැටිණි. එය එක්සත් ජනපද - චීන වෙළඳ අර්බුදය සහ 'BREXIT' සිදුවීම් හේතුවෙන් උද්ගත වූනු ආර්ථික අස්ථාවරත්වයෙහි ප්‍රතිඵලයක් වශයෙන් 2.9% දක්වා තවදුරටත් පහත වැටෙමින් ඇති බවට අපේක්ෂිතය.

අපගේ සියලු පාර්ශ්වකරුවන් දැනටමත් දන්නා පරිදි, 2018 මූල්‍ය වර්ෂය සෑම ශ්‍රී ලාංකිකයකු හටම සහ ව්‍යාපාරයන් කෙරෙහි අතීතය අභියෝගාත්මක වසරක් විය. ඒ සඳහා ව්‍යාපාරයන් සහ සාමාන්‍ය ජනතාව

පීඩාවට පත් කරමින් මෙරට ඇති වූ අයහපත් කාලගුණික විපර්යාසයන් ප්‍රධාන හේතුවක් වශයෙන් දැක්විය හැක. වසර 2018 දී මෙරට දේශපාලනික වාතාවරණයද එතරම් යහපත් තත්ත්වයක නොපැවතිනි. එක්සත් ජනපද ගෞරවය සංවිනය මගින් සිදුකරන ලද, අනුපාතයන් ඉහළ දැමීම් සහ එහි ප්‍රතිඵලයක් වශයෙන් මෙරට ප්‍රාග්ධන වෙළඳපොළෙහි සිදුවූ අර්බුදයට පිටතට ප්‍රවාහවීම් සහ ආනයන ඉල්ලුමද හේතුවෙන්, එක්සත් ජනපද ඩොලරයට සාපේක්ෂව ශ්‍රී ලංකා රුපියල පෙර කිසිදා නොවූ විරූ අන්දමින් අවප්‍රමාණ විය. මෙකී සියලු අර්බුදයන් මගින් මෙරට සමස්ත ආර්ථික කාර්යයසාධනය කැපීපෙනෙන අයුරින් පහත වැටුණු අතර, වසර ආරම්භයේදී 4.5% වශයෙන් ඉලක්ක ගත දළ දේශීය නිෂ්පාදනය වසර අවසානයේදී 4.1% ක් වශයෙන් වාර්තා විය. ශ්‍රී ලංකාවේ මූල්‍ය සේවා ක්ෂේත්‍රය ද, ඉහළ නංවන ලද බදු පැනවීම් සහ ඒමගින් ලාභයන්ට ඇතිවූ බලපෑම නිසා, අසීරුතාවයට පත් විය. මේ අතරතුර මූල්‍යමය උපකරණ සඳහා වූ ගිණුම්කරණ ප්‍රමිතීන්හි සිදුකළ වෙනස්කම් හේතුවෙන් බැංකු ක්ෂේත්‍රයේ, භානිකරණය සඳහා ඉහළ වෙන් කිරීමක් සිදුකළ යුතු විය. තවද නව අවදානම් කළමණාකරණ අවශ්‍යතාවන්ට අනුගතවීමට සිදුවීම නිසාවෙන් අමතර කළමණාකරණ කාලයක් සහ පිරිවැයක් දැරීමට සිදු විය.

අමානා බැංකුවේ කාර්යයසාධනය

මෙම ආර්ථික පසුබිම තුළ, මා සහ අධ්‍යක්ෂ මණ්ඩලයට හැගෙනුයේ, ඔබේ බැංකුව, සමාලෝචනයට ලක් වන වසර තුළ, කැපී පෙනෙන කාර්යසාධනයක් අත්පත් කොට ගෙන ඇති බවයි.

අපගේ 5 වසරක ක්‍රමෝපායික සැලසුමට අනුව, 2018 මූල්‍ය වර්ෂයේදී අමානා බැංකුව සියලු ප්‍රමුඛ මූල්‍යමය දර්ශකයන් ආශ්‍රිතව වර්ධන පරාසයන් අත්පත් කරගනිමින්, එහි ක්‍රමෝපායික සහ මෙහෙයුම් මට්ටමේ ඉලක්ක බොහොමයක් සපුරාගැනීමට සමත්ව ඇත. අපගේ මෙහෙයුම් මට්ටමේ කාර්යසාධනය මෙම වාර්ෂික වාර්තාව තුළ ප්‍රධාන විධායක නිලධාරීවරයා විසින් සිය විමර්ශනයේදී ද, ව්‍යාපාර හා මෙහෙයුම් විමර්ශනයේදී ද විස්තරාත්මකව සාකච්ඡාවට භාජනය කෙරේ. මෙම වාර්තාවන් අපගේ මූල්‍යමය ප්‍රකාශනයන් සමඟ සමගාමීව කියවා බලන මෙන් මම අපගේ කොටස් හිමිකරුවන්ගෙන් අවධාරණයෙන් යුතුව ඉල්ලා සිටිමි.

එමෙන්ම, අමානා බැංකුව සමස්ත වත්කම්, තැන්පතු, අත්තිකාරම් හා ලාභ අනුපාත වැනි ප්‍රමුඛ

පෙළේ අංශයන්හි ක්ෂේත්‍ර වර්ධන අනුපාතයන් අභිබවා යමින්, ප්‍රධාන මූල්‍ය දර්ශකයන්හි වර්ධන ගම්‍යතාවයක් පවත්වාගෙන ඇතිබව ඉතා සතුටින් ප්‍රකාශකොට සිටිමි.

වර්ෂ 2018 ජූලි මස සිදුකළ ලාභාංශ ගෙවීමෙන් පසුව වුවද, කොටසක ශුද්ධ වත්කම් වටිනාකම රු.4.65 දක්වා ඉහළ නැංවිණි. මෙමගින් කොටස් වෙළඳපොළ අත්විඳි සමස්ත අපගමනය හමුවේ කොටසක මිල රු.3.10 ක් බවට පත් වූ වාතාවරණයක් තුළ බැංකුවේ සහ එහි මූලිකාංග යන්හි ප්‍රබල වර්ධනය මැනවින් විදහා දැක්වේ.

යහපාලනය තහවුරු කිරීම

මා විශ්වාස කරන පරිදි වර්තමාන අභියෝගාත්මක ආර්ථික පසුබිම තුළ අපගේ විශිෂ්ට මූල්‍යමය කාර්යසාධනයෙහි පදනම වනුයේ අප විසින් ක්‍රියාත්මක කරන ලද මනා පාලනය සහ අවදානම් කළමනාකරණ ක්‍රමවේදයන්ය. 2018 දී සිදුකරන ලද අපගේ ණය ශ්‍රේණිගත කිරීමේ ස්වරූපයෙහි ඉදිරිගාමී සංශෝධනය මගින් මේ බව තහවුරු කෙරේ. 2017 දී අපගේ ස්වරූපය 'ස්ථාවර' වශයෙන් ශ්‍රේණිගත කෙරුනු අතර එය 2018 දී 'ධනාත්මක' වශයෙන් සංශෝධනය වීම සහ එමගින් බැංකුවේ දිගුකාලීන ජාතික ශ්‍රේණිගත කිරීම වන Fitch Ratings හි BB(ika) ශ්‍රේණිය තවදුරටත් තහවුරුවීම තුළින් අපගේ වැඩිදියුණු වූ මූල්‍යමය ස්ථාවරත්වය මැනවින් පිළිබිඹු කෙරේ.

තවද, ඔබගේ බැංකුව BASEL III අවශ්‍යතා සහ ICAAP ආකෘතික රාමුව ඇතුළුව, සියලුම අදාළ රෙගුලාසි වලට සම්පූර්ණයෙන් අනුගත වන බවටද, අපගේ මූල්‍යමය ප්‍රකාශනයන් සඳහා නව SLFRS-9 ගිණුම්කරණ ප්‍රමිතියෙහි මූලධර්මයන් අනුගමනය කරන ලද බවටද අපගේ කොටස් හිමිකරුවන් වෙත තහවුරු කිරීම සඳහා මම මෙය අවස්ථාවක් කොට ගනිමි.

මෙම වසර තුළ සියලුම අධ්‍යක්ෂ මණ්ඩල උප කමිටු නිරන්තරයෙන් රැස්වෙමින් ඔවුනට අදාළ අධීක්ෂණ ක්ෂේත්‍රයන් සම්බන්ධයෙන් නිර්දේශ ඉදිරිපත් කරමින් අවශ්‍ය තීරණ ගැනීම සඳහා අධ්‍යක්ෂ මණ්ඩලයට සහාය විය.

අධ්‍යක්ෂ මණ්ඩල සාමාජිකයින් විසින් නව නියාමන ප්‍රවණතාවයන් සම්බන්ධව, විශේෂයෙන් පාලනය සම්බන්ධව, තමන්ගේ නිරන්තර සහභාගීත්වය දක්වමින්, ක්ෂේත්‍රයේ යහ පිළිවෙත් සහ ප්‍රාග්ධන වෙළඳපොළ අවශ්‍යතා උදෙසා සිය දායකත්වය

දක්වන ලදී. සිය විශේෂිත ක්ෂේත්‍රයන්හි කීර්තියක් උසුලන්නා වූ, පළපුරුදු හා මනා සුදුසුකම් වලින් පරිපූර්ණ වූ, වෘත්තිකයින්ගෙන් සැදුම්ලත් අධ්‍යක්ෂ මණ්ඩලයක සභාපතිත්වය දැරීමට හැකිවීම මා ලද භාග්‍යයක් කොට සලකමි. ක්‍රමෝපායික දැක්ම සහ දිශානතිය සපයමින් ඔවුන් විසින් දක්වන ලද දායකත්වය බැංකුවේ සවිමත් බව කෙරෙහි මූලික විය.

ඉදිරි දැක්ම

අප විසින් මනාව සැලසුම් කරන ලද වසරක් අවසන් වීමත් සමඟම, අප උගත් දෑ පිළිබඳ පසු විපරමක් සිදුකරමින්, අනාගතය සැලසුම් කිරීම ඥාණාන්විත වේ. ආර්ථික හා දේශපාලනික වටපිටාව තුළ උද්ගත විය හැකි අභියෝගයන් හමුවේ, එළඹෙන වසර වඩාත් කාර්යබහුල වනු ඇත. මේ තත්ත්වය තුළ අපගේ අවධානය යොමුවනුයේ අදාළ ක්‍රමෝපායික සහ මෙහෙයුම් ඉලක්කයන් සපුරාගනිමින්, බැංකුවේ කාර්යසාධනය, වත්කම් සහ වෙළෙඳනාමයෙහි අඛණ්ඩ වර්ධනය තහවුරු කිරීම කෙරෙහිය.

වර්ෂ 2017 දී සිදුකරන ලද අවසන් ප්‍රාග්ධන ප්‍රේෂණය සමගින්, වර්තමානය වන විට බැංකුවේ ප්‍රාග්ධන අරමුදල් දළ වශයෙන් රුපියල් බිලියන 11 ක් වශයෙන් සටහන් වේ. මෙහිදී අධ්‍යක්ෂ මණ්ඩලය සතු කෙටිකාලීනව ඉටු කර ගත යුතු ප්‍රධාන අරමුණක් වනුයේ, වර්ෂ 2020 අවසානය වන විට රුපියල් බිලියන 20 ක අවම ප්‍රාග්ධනයක් සහිත ආයතනයක් බවට පත්වීමේ ශ්‍රී ලංකා මහ බැංකුවේ ප්‍රාග්ධන වර්ධන නියෝගයට අනුගත වීමයි.

මේ අවස්ථාවේ මා හදවතට සමීප තවත් මාතෘකාවක් වන අපගේ කොටස් හිමියන්ගේ නොමඳ සහයෝගයෙන් යුතුව ක්‍රියාත්මක වන අමාත්‍ය බැංකුවේ 'අනන්දරු සත්කාරක භාරය' පිළිබඳව ද සඳහන් කරනු කැමැත්තෙමි. ඔබගේ පරිත්‍යාගශීලීත්වය නිසා මෙම භාරයෙහි මූලික ප්‍රාග්ධනය අප විසින් සපයන ලද අතර, මෙකී අනන්දරුවන් වැඩිවියට එළඹීමේදී ඔවුන් වෙත අවැසි මූල්‍යමය සුරක්ෂිතතාවය සලසමින් ඔවුන් නිසි පරිදි ප්‍රධාන සමාජ ප්‍රවාහයට මුදා හැරීම මෙහි අරමුණයි. අප සියලු දෙනා වෙත ප්‍රතිලාභ සලසන්නා වූ වර්ධනීය දර්ශනය විඳහා දක්වමින්, මෙම අනන්දරු භාරය මගින් කිසිදු ජාති, ආගම් හා කුල භේදයකින් තොරව ශ්‍රී ලංකාවේ සියලු අනන්දරුවන් වෙත සෙත සලසනු ලබන බව මෙහිදී සඳහන් කරනු කැමැත්තෙමි. මෙම භාරය ස්ථාපනය කිරීමේ නෛතික රාමුව සකස් කිරීම සම්බන්ධයෙන් අප මෙතෙක් සාර්ථකව කටයුතු කොට ඇති බවත්

මෙම විශේෂිත පරිත්‍යාගශීලී ප්‍රයත්නය වසර 2019 දී ක්‍රියාවට නැංවෙනු ඇති බව පවසන්නේ ඉමහත් සතුටිනි.

ප්‍රණාමය

අපගේ නව අධ්‍යක්ෂවරුන් වන අසීම් රාසා සහ කයිරුල් මුසා(Z)මෙල් යන මහත්වරුන් සාදරයෙන් පිළිගැනීමටත්, බැංකුව වෙත සිදුකරන ලද අනුපමේය සේවාව සම්බන්ධයෙන් විශ්‍රාම ලබන අධ්‍යක්ෂවරුන් වන ඒ.ඒ.එම්. භාරුන්, ෆහීමුල් හක්, වාහිඩ් අලි මොහොමඩ් කලීල් සහ හසීබ් උල්ලා සිද්දිකී යන මහත්වරුන් වෙත මාගේ ප්‍රණාමය පුද කිරීමටත් මෙය අවස්ථාවක් කොට ගනිමි. ශරීයා අධීක්ෂණ කමිටුව අපගේ මෙහෙයුම් කටයුතු සම්බන්ධ අතීතය වැදගත් කොටසක් වන අතර ඔවුන්ගේ නිවැරදි මගපෙන්වීම පිළිබඳව එහි සාමජිකයන් වෙත ස්තූතිය පිරිනමමි. බැංකුවේ සාර්ථකත්වයෙහි ගාමක බලවේගය වන අපගේ කළමණාකාරීත්වය සහ කාර්ය මණ්ඩලය වෙත මෙසේ මාගේ ප්‍රණාමය පිළිගන්වමි. කාලීන උපදෙස් සහ මාර්ගෝපදේශයන් ලබාදෙමින් අපගේ සාර්ථකත්වය කෙරෙහි ප්‍රශංසනීය දායකත්වයක් දක්වන ලද ශ්‍රී ලංකා මහ බැංකුව සහ කොළඹ කොටස් වෙළෙඳපොළ ඇතුළු නියාමන ආයතනයන් වෙත මාගේ ගෞරව පූර්වක ප්‍රණාමය පුදකර සිටිමි.



ඔස්මාන් කාසිම්
සභාපති

2019 පෙබරවාරි 14 වැනි දින

தலைவரின் செய்தி

அளவற்ற அருளாளனும், நிகரற்ற

அன்புடையோனுமாகிய அல்லாஹ்வின் திருநாமத்தால் ஆரம்பம் செய்கிறேன்.

ஆரம்பமாக, கடந்த பல வருடங்களாக அமானா வங்கிக்கு தொடர்ந்து உறுதியான ஆதரவைப் பெற்றுத் தரும் எமது மதிப்புமிக்க பங்குரிமையாளர்களுக்கு நன்றிகளைத் தெரிவித்துக் கொள்கிறேன். பிரத்தியேகமான துறையான இஸ்லாமிய வங்கித் துறையில் மாத்திரமன்றி, பொதுவான நிதித்துறைச் சூழலில், 2011 ஆம் ஆண்டு ஆகஸ்ட் மாதம் ஆரம்பிக்கப்பட்டது முதல் அமானா வங்கி, இலங்கையின் மிகத் துரிதமாக வளர்ந்து வரும் நிதிச் சேவை வழங்குநர்களிலொருவராகியுள்ளது இக்காலகட்டத்தில் எமது பங்குரிமையாளர்கள் பொறுமையாகவும், எமது விழுமியங்கள் மீதும், வணிக வடிவமைப்பு மீதும் உறுதிப்பாட்டுடனும் இருந்துள்ளனர். இத்தகைய புரிந்துணர்வும், சக்தியுமிக்க உறவு, நிச்சயமாக எமது பாக்கியமெனக் கருதும் அதேநேரம், வங்கியின் தலைவராக, பணிப்பாளர் சபை சார்பிலும், முகாமைத்துவம், ஊழியர்கள் சார்பிலும் பங்குரிமையாளர்களின் பெறுமதியை உச்சப்படுத்தலூடாக விருத்தியடையச் செய்ய நான் எமது உறுதிப்பாட்டை வலியுறுத்த விரும்புகின்றேன்.

எமது முதலாவது பங்குலாப விநியோகம் இவ்வாண்டில் இடம்பெற்றதால், 2018 ஆம் நிதியாண்டு அமானா வங்கிக்கு ஒரு வரலாற்று முக்கியத்துவம் வாய்ந்த ஆண்டாகும். இதன் விளைவாக, அமானா வங்கியின் 2018 ஆம் ஆண்டுக்கான வருடாந்த அறிக்கையை சாதனையடைந்த உணர்வோடு சமர்ப்பிக்கின்றேன்.

பொருளாதாரப் பின்னணி

2017 ஆம் ஆண்டு 3.1% ஆக இருந்த உலகப் பொருளாதார வளர்ச்சி, 2018 இல் நலிவடைந்து, அண்ணளவாக 3% ஆகப் பதிவு செய்ததுடன், 2019 இல் அமெரிக்கா - சீனா வியாபார பதற்றம், பிரெக்ஸிட் தொடர்பான அரசியல், பொருளாதார நிச்சயமற்ற தன்மை என்பவற்றின் பின்னணியில் 2.9% ஆக தளர்வடைய எதிர்பார்க்கப்படுகின்றது.

2018 ஆம் நிதியாண்டு, சகல இலங்கையர்களுக்கும் மற்றும் வர்த்தகங்களுக்கும் மாபெரும் சவாலாக அமைந்த ஒரு வருடமாகும்

என்பதை எமது சகல பங்குதாரர்களும் நன்கு அறிந்துள்ளனர். நாடு பலதரப்பட்ட காலநிலை மாற்றங்களின் காரணமாக, கடுமையான நெருக்கடி நிலைகளையும், அதன் மூலம் வர்த்தகங்கள் மற்றும் சாதாரண குடும்பங்கள் கஷ்டமான சூழ்நிலைகளையும் எதிர்நோக்கியிருந்தன. இதற்கிடையில், 2018 ஆம் ஆண்டின் அரசியல் நிலத்தோற்றமும் மேம்பட்டதாக அமையவில்லை. ஐக்கிய அமெரிக்காவின் Federal Reserve தொடர்ந்து முன்னெடுத்து வந்த வீத உயர்வு மற்றும் நாட்டின் மூலதனச் சந்தைகளில் ஏற்பட்ட நிதி வெளியேற்றம் என்பன காரணமாகவும், இறக்குமதியாளர்களின் கேள்வி காரணமாகவும் ஐக்கிய அமெரிக்க டொலொருக்கு எதிராக ரூபாவின் பெறுமதி முன்னிகழ்ந்திராத அளவு தேப்பமானம் பெற்றிருந்தது. இவ்வாறான நெருக்கடிகளின் காரணமாக, நாட்டின் மொத்த பொருளாதார செயலாற்றுகையில் பெருமளவு பாதிப்பு ஏற்பட்டு, 4.5% மொத்த தேசிய உற்பத்தி இலக்கிற்குப் பதிலாக 4.1% வளர்ச்சி மாத்திரம் அடையப்பெறுமென எதிர்பார்க்கப்படுகின்றது. நாட்டின் நிதித்துறையும், அதிகரித்த வரி அறவீடுகள் காரணமாக நெருக்கடி நிலைக்குத் தள்ளப்பட்டு இலாபங்களில் குறைவு ஏற்பட்டுள்ளது. வங்கித்துறை நிதியியல் கருவிகளுக்கான கணக்கீட்டு நியமங்களின் மாற்றத்தின் விளைவால், அதிகளவான பெறுமதி குறைப்புச் செலவினங்களையும், புதிய இடர் முகாமைத்துவத் தேவைப்பாடுகளுக்கு இணங்க, தேவையான மேலதிக முகாமைத்துவ நேரத்தையும், செலவினங்களையும் உள்வாங்கியது.

அமானா வங்கியின் செயலாற்றுகை

இவ்வாறான பொருளாதாரப் பின்னரங்கில், உங்களுடைய வங்கி குறிப்பிடத்தக்க வகையில் செயற்பட்டுள்ளது என்பதை பணிப்பாளர் சபையும் நானும் உணர்வதோடு, அமானா வங்கி வளர்ச்சிப் பயணப் பாதையில் அனைத்து பிரதான நிதியியல் காட்டிகளைப் பேணியும், மொத்த சொத்துக்கள் வாடிக்கையாளர் வைப்புக்கள், முற்பணங்கள், இலாபத்தன்மை ஆகிய பகுதிகளில் துறைசார் வளர்ச்சியை விஞ்சியும் உள்ளது என அறிவிப்பதில் மகிழ்ச்சியடைகின்றேன்.

இவ்வங்கி ஐந்து வருட விபூகத் திட்டத்தில் 2018 ஆம் நிதியாண்டுக்கான விபூக மற்றும் தொழிற்பாட்டு இலக்குகளை அடைந்துள்ளது. எமது தொழிற்பாட்டு அளவிலான செயலாற்றுகை விரிவாக

பிரதம நிறைவேற்று அதிகாரியின் மீளாய்வினும், வர்த்தக மற்றும் தொழிற்பாட்டு மீளாய்வினும் விரிவாகக் கலந்துரையாடப்பட்டுள்ளன. எமது நிதிக் கூற்றுக்களுடன் இந்த அறிக்கைகளையும் வாசிக்கிகுமாறு நான் எமது பங்குதாரர்களை வேண்டிக் கொள்கின்றேன்.

2018 ஜூலை மாதத்தில் செலுத்தப்பட்ட பங்குலாபத்திற்குப் பிறகும், பங்கு ஒன்றின் நிகர சொத்துப் பெறுமதி ரூபா 4.65 வரை அதிகரித்துள்ளது. இது வங்கியின் பாத்திரமான வளர்ச்சி உத்வேகத்தின் அடிப்படைகளுக்குச் சான்றாக அமைவதோடு, பொதுவான பங்குச் சந்தையின் பின்னடைவு காரணமாக வங்கியின் பங்குவிலை ரூபா 3.10 ஆகக் குறைவடைந்திருப்பினும், உண்மையான வங்கியின் செயலாற்றுகையை இவ்வளர்ச்சி பிரதிபலிக்கின்றது.

நல்லாளுகையை உறுதிப்படுத்தல்

தற்போதைய நிலையற்ற சூழலில், பாத்திரமான ஆளுகையும், இடர் முகாமைத்துவ முறைமைகளும் எமது நிதியியல் செயற்பாடுகளின் அடிப்படையென நான் நம்புகின்றேன். 2018 ஆம் ஆண்டில் கடன் தரப்படுத்தலில் ஏற்பட்ட மேல் நோக்கிய மாற்றம் இதனை உறுதிப்படுத்துகின்றது. 2017 ஆம் ஆண்டு தரப்படுத்தல் நோக்கு “உறுதி” என்பதாக இருந்து “நேர்” என்பதாக உயர்த்தப்பட்டது, வங்கியின் தேசிய நீண்டகால தரப்படுத்தல் BB(lka) ஆக பிற்ச (Fitch) ரேட்டிங்ஸ் உறுதிப்படுத்தியமை எமது முன்னேறும் நிதித் தோற்றத்தின் பிரதிபலிப்பாகும்.

உங்களது வங்கி சகல விதமான சட்டத் தேவைப்பாடுகளையும், வீசேமமாக புதிய BASEL III தேவைப்பாடுகள் மற்றும் ICAAP கட்டமைப்புக்கும் முற்றாக இணங்கியும், எமது நிதிக் கூற்றுக்களில் புதிய கணக்கியல் நியமங்களான SLFRS 9 பின்பற்றப்பட்டுள்ளது என்பதையும் எமது பங்குதாரர்களுக்கு இந்த வேளையில் உறுதியளிக்க விரும்புகின்றேன்.

சகல சபை உப குழுக்களும், வழமையாக கூட்டங்களில் சந்தித்து, உரிய கண்காணிக்கும் பகுதிகள் சார்பாக பணிப்புரை வழங்குவதன் மூலம் சபைக்குத் துணை புரிந்தனர்.

சபை உறுப்பினர்கள் தொடர்ந்து ஒழுங்குமுறைச் சூழல் பற்றிய புதிய முன்னேற்றங்கள், குறிப்பாக ஆளுகை, துறைசார் உன்னத நடைமுறைகள்,

மூலதனச் சந்தை ஒழுங்கு விதிகள் என்பனவற்றில் ஈடுபாடு காட்டினர்.

முன்னோக்கிய பார்வை

நன்கு திட்டமிடப்பட்ட ஒரு வருடத்தின் பூர்த்தியை அடைந்துள்ள நாம், அவ்வருடத்தில் கற்றுக்கொண்ட பாடங்களைக் கருத்திற் கொண்டு, எதிர்காலத்திற்காக திட்டமிடுவது புத்திசாலியியமாகும். தரப்பட்ட பொருளாதார, அரசியல் சூழலில் எதிர்பார்க்கப்படும் சவால்களின் அடிப்படையில் எதிர்வரும் வருடம் நிச்சயமாக நிகழ்வுகள் நிறைந்ததாக நிரூபனமாகும். இறைவன் நாட்டப்படி, இச்சூழமைப்பில், செயலாற்றுகை, சொத்துக்கள், வணிகக் குறியுரிமை என்பவற்றின் தொடர்ச்சியான வளர்ச்சியை உறுதிப்படுத்துவதும், விபூக, தொழிற்பாட்டு இலக்குகளை அடைவதும் எமது நோக்கமாகும்.

இறுதியாக, 2017 ஆம் ஆண்டில் இடம்பெற்ற மூலதன உட்செலுத்தலினால் எமது தற்போதைய மூலதனப் பெறுமதி ரூபா 11 பில்லியனாக அண்ணளவாகிக் காணப்படுகின்றது. குறுகிய காலத்தில், சபையின் ஒரு முக்கிய குறிக்கோள், இலங்கை மத்திய வங்கியின் மூலதன அதிகரிப்பு பணிப்பான ரூபா 20 பில்லியன் ஆகக் குறைந்த மூலதனத்தை 2020ன் இறுதியில் அடைவதை உறுதி செய்வதாகும்.

எனது இதயத்தைத் தொட்ட, எமது பங்குரிமையாளர்களால் பெருந்தன்மையுடன் உதவி வழங்கப்பட்ட அமானா வங்கியின் அனாதைகள் காப்பு அறக்கட்டளை என்ற தலைப்பில் நான் இச்சந்தர்ப்பத்தில் நுழைய விரும்புகின்றேன். அனாதைகள் பருவ வயதை அடையும் போது, அவர்களின் நிதியில் பாதுகாப்பு தொடர்பான உதவிகளை வழங்கி, அவர்களை பாரிய சமூகத்துடன் ஒன்றிணைக்கும் நோக்கம் கொண்ட இவ்வறக்கட்டளைக்கு உங்கள் பெருந்தன்மையின் தயவால் நாம் ஆரம்ப மூலதனம் வழங்கியுள்ளோம். எமது உள்வாங்கும் வளர்ச்சித் தத்துவத்தின் பிரதிபலிப்பாக அனாதைகள் காப்பு அறக்கட்டளை இன, மத, குல, கோத்திர வேறுபாடின்றி இலங்கையின் சகல அனாதைகளுக்கும் சேவை செய்யும் என்பதை நான் வலியுறுத்த விரும்புகின்றேன். அறக்கட்டளையை ஆரம்பிப்பது தொடர்பான சட்ட ரீதியான கட்டமைப்பு சார்பாக முன்னேற்றம் அடைந்துள்ளதோடு, தனித்துவமான

இம்முயற்சி 2019 இல் நடைமுறைக்கு வரும் என அறிவிப்பதில் நான் மகிழ்ச்சியடைகிறேன்.

நன்றி கூறுதல்

எமது புதிய பணிப்பாளர்களான திரு. அஸ்மீ ராஸா மற்றும் திரு. ஹைருல் முஸாமில் ஆகியோரை வரவேற்க இதை ஒரு சிறந்த சந்தர்ப்பமாக நான் பயன்படுத்திக் கொள்கின்றேன். ஓய்வு பெற்ற பணிப்பாளர்களான டொக்டர் ஏ.ஏ.எம்.ஹாரூன், திரு. பஹீமுல் ஹல், திரு. வாஹிட் அலி மொஹமட் கஹீல் மற்றும் திரு. ஹஸீப் உல்லா சித்திக்கி ஆகியோரின் சேவைகள் வங்கிக்கு மிகவும் உறுதுணையாக இருந்ததை இங்கு நினைவு கூருகின்றேன். ஷரீஆ மேற்பார்வைக் குழு எமது நடவடிக்கைகளில் முக்கிய பங்கை வகித்து வருகின்றது. அவர்களின் சிறந்த வழிகாட்டலுக்கு நன்றி கூற விரும்புகின்றேன். எமது முகாமைத்துவமும், ஊழியர்களும் வங்கியின் முன்னோடிகளாவர். எமது வெற்றிக்கு அவர்களே காரணகர்த்தாக்களாவார்கள். அவர்களின் கடின உழைப்பிற்கும், ஈடுபாட்டிற்கும் எனது நன்றிகளைத் தெரிவித்துக் கொள்கின்றேன். மத்திய வங்கி மற்றும் கொழும்பு பங்குச் சந்தை ஆகிய கட்டுப்பாட்டு நிறுவனங்கள் எமக்குப் பெற்றுக்கொடுத்த காலத்திற்கேற்ற ஆலோசனைகள் மற்றும் வழிகாட்டல்கள் எமக்கு பெரும் உறுதுணையாக இருந்துள்ளன. எமது வெற்றிக்கு அவர்கள் வழங்கிய பங்களிப்புக்கும் நன்றி கூறிக்கொள்ள விரும்புகின்றேன்.



ஒஸ்மான் காசிம்

தலைவர்

2019 பெப்ரவரி 14

CHIEF EXECUTIVE OFFICER'S REVIEW



AMĀNA BANK BRAND TOGETHER WITH ITS PEOPLE FRIENDLY BANKING PROPOSITION HAVE GAINED GREATER ACCEPTANCE AMONG ALL COMMUNITIES IN THE COUNTRY.

MOHAMED AZMEER
Chief Executive Officer

2018 marked an important milestone in Amāna Bank's growth story. Among many other significant achievements the highlight is the inaugural dividend pay-out, rewarding shareholders for their long-standing confidence placed in the Bank.

While leveraging the benefits of the capital infusion in 2017, the Bank recorded a successful year in terms of both financial and non-financial results, despite an unexpectedly turbulent macro environment.

Standing by our philosophy of inclusive financial services, offering non-interest based participatory financial solutions centred on Islamic banking principles, which derives its values from Sharia, I am pleased to report noteworthy progress during 2018. Such progress has been in accordance with the Bank's 5 year strategic plan, where the Amāna Bank brand together with its people friendly banking proposition have gained greater acceptance among all communities in the country.

Operating Environment

The external environment of 2018 presented a greater challenge for the entire financial services sector due to policy level developments and heightened political uncertainty. Changes to government fiscal policy through increased taxes, such as the introduction of the Debt Repayment Levy (DRL), which came into effect in 2018 on top of the Capital Gains Tax imposed from 2017, had an adverse impact on profitability across the financial sector. On the regulatory front, the banking sector was subject to a new compliance requirement, i.e. the adoption of SLFRS 9; the Accounting Standard dealing with Financial Instruments, which had a significantly high impact on the provisioning for advances coming into effect in 2018, together with

additional regulation on BASEL III that necessitated higher capital and liquidity requirements.

The country also struggled with repeated extreme weather conditions during the year. Although the direct negative impact, in the form of higher non performing advances (NPA) in the agriculture portfolios of lending institutions, was limited, these climatic conditions had a larger pass-through effect due to disruption of commercial activities and lower productivity in affected parts of the country.

The developments in the political landscape in the last quarter of the year, contributed to the adversity, resulting in a lower than expected fourth quarter performance from many sectors. The government securities market lost LKR 160 billion, while the Colombo Stock Exchange saw net foreign outflows totalling to LKR 22.8 billion in 2018.

Against this backdrop, the rupee depreciated sharply compared to major currencies, which increased costs of international transactions and pushed the cost of living up. The rupee depreciated by 19% during the year, whilst foreign reserves fell below USD 7 billion from USD 8 billion in 2017.

Financial Performance

In spite of the above, I am happy to report that in terms of financial performance Amāna Bank has done considerably well in comparison to the industry where the Bank achieved its targets for the year in line with the 5-year strategic plan. The sustained growth has been achieved by investing in people as an equal opportunity employer, right products and processes to drive assets and revenues, while containing costs. During the past few years, the Bank invested significantly in training, modern

IN TERMS OF FINANCIAL PERFORMANCE AMĀNA BANK HAS DONE CONSIDERABLY WELL IN COMPARISON TO THE INDUSTRY WHERE THE BANK ACHIEVED ITS TARGETS FOR THE YEAR IN LINE WITH THE 5-YEAR STRATEGIC PLAN.

Chief Executive Officer's Review

ICT solutions and upgrades to the core banking system with enhanced security. Hence, Amāna Bank is now optimising its opportunities to accelerate its growth momentum into the future.

Despite the challenging liquidity condition in the market, Amāna Bank's Customer Deposits grew significantly by 21% crossing the LKR 60 billion mark to close at LKR 61.7 billion while a similar 23% growth was recorded in Customer Advances to end the year at LKR 52.8 billion, reflecting a healthy utilisation of funds. As a result the Bank's Total Assets closed at LKR 77.3 billion showcasing an increase of 22% for the year. It is significant that such growth was achieved through minimal increase in Brick & Mortar Branches, whilst increasing reach through investments in highly effective automated channels such as self-banking centres.

Due to the challenging economic environment, non performing advances increased across the industry during 2018. Despite this backdrop, Amāna Bank's Gross Non Performing Advances and Net Non Performing Advances ratios continued to remain well below industry to stand at 2.82% and 0.87% respectively, as a result of the Bank's asset backed financing model, prudent credit risk management and proactive resource allocation towards effective collections.

Despite additional taxes introduced during the year, the Bank achieved a healthy PBT of LKR 902 million, from LKR 739 million last year, which is a growth of 22%. The PAT for the same period was up by 11% recording LKR 556 million, after having provided LKR 346 million as Income tax. During the current financial year the Bank's overall tax expense, comprising Income tax as well as

other direct taxes, increased by LKR 210 million from LKR 556 million last year to LKR 766 million with the total tax rate adding up to approximately 58%, a reflection of the higher taxes borne by the industry.

Owing to the increase in acceptance and demand for the Bank's people friendly banking model, the Bank's Financing Income recorded a 24% YoY growth to reach LKR 6.88 billion from LKR 5.54 billion, while Net Financing Income grew to LKR 3.36 billion from LKR 2.75 billion, reflecting a 22% YoY growth. Through the increase in top line income along with effective pricing strategies, the Bank continued to maintain a healthy Financing Margin, well above industry, recording 4.4% compared to 4.2% in 2017. Complementing the strong momentum of growth in core banking, the Bank's Net Fee and Commission Income reported an impressive YoY growth of 26% to achieve LKR 297 million.

The introduction of new accounting standard SLFRS 9, saw impairment charges on advances increase drastically across the banking industry as the computation moved away from Incurred Loss method to Expected Credit Loss method. Despite this increase the Bank was successful in achieving an impressive 25% YoY growth in Operating Profit before all Taxes to close the year with a cumulative value of LKR 1.32 billion.

As a result of the consistent trend in profitability achieved over the years, the Bank made its inaugural dividend payment through an interim dividend of 7 cents per share, working out to a dividend yield of 2.3%, which is on par with the overall market dividend yield. Despite the Banks share price closing at LKR 3.10 in the back drop of depressed share market conditions, the

Bank's Net Asset Value per share increased to LKR 4.65 even after the dividend paid in July 2018. The Bank continued to be well above the statutory capital requirements where Tier 1 Capital Ratio stood at 17.6% while Total Capital Ratio stood at 19.0%.

Non-financial Performance

A high point of the year was the international recognition bestowed on the Bank for the effectiveness of our business model and our unique but well-grounded business philosophy. I am pleased to report that Amāna Bank was awarded the Gold Award for Best Islamic Bank in South Asia for 2018 at the Islamic Finance Forum of South Asia (IFFSA) Awards, overcoming competition from well-established, industry leading practitioners from Pakistan, Bangladesh, Maldives and India. The Bank was also recognised amongst Sri Lanka's top 100 listed companies by LMD in 2018 while being the youngest listed entity to be on this ranking. During the year the Bank also participated in, and delivered a presentation at, the World Islamic Economic Forum held in India, which is a leading global event that saw the attendance of over 600 delegates from 18 countries. Representation at this international event has enhanced the image of the Bank and Sri Lanka in the platform of Global Islamic Finance. It is noteworthy that the Islamic Finance Development Index (IFDI) published by Thomson Reuters and ICD, which scores countries on their Islamic Finance outlook, has ranked Sri Lanka at No. 13 amongst 131 countries, positioning the country as an attractive FDI destination for investors keen on this booming industry.

Our holistic business model encompasses non-financial criteria as an essential component of our growth. Therefore, we have been conscious of our non-financial objectives, while pursuing profits. A primary

WE BELIEVE DIGITAL TRANSFORMATION TO BE OF STRATEGIC IMPORTANCE AND HAVE ESTABLISHED A FULLY DEDICATED DIGITAL BANKING TEAM TO ENSURE THE BANK IS AHEAD OF THE CURVE. WE ARE BUILDING CAPACITY ON AGENCY BANKING WHICH WILL BE A GAME CHANGER IN MAKING OUR UNIQUE BANKING MODEL AVAILABLE IN EVERY CORNER OF THE COUNTRY DRIVING FINANCIAL INCLUSIVENESS IN RURAL SRI LANKA. WE CONTINUE TO EMBARK ON PRODUCT INNOVATION TO IMPROVE THE MARKET RELEVANCE AND APPEAL OF OUR PRODUCTS AND SERVICES.

objective in this regard has been the achievement of inclusive growth. We have made extensive progress in this objective by expanding our reach on the back of a multi-platform service delivery model, while simultaneously educating communities about our unique banking model and its value proposition.

Amāna Bank's service delivery model uses a range of channels, including ATMs, self banking centres and other digital platforms, in addition to traditional physical bank branches, to reach remote populations, including unbanked and under banked communities.

The Bank's network expansion continued in 2018, mainly through the automated self banking centres, while a fully-fledged branch was opened in Katugastota, taking the Bank's total reach to 43. An additional area of focus was on upgrading services and facilities at existing branches. Hence, many branches in strategically important locations were refurbished while being upgraded to provide additional services and up-to-date digital technology solutions. The Main Branch in Colombo was relocated in close proximity to a new and spacious premise along with the dedicated ladies banking unit, providing customers with a friendly and convenient atmosphere for their banking needs. This new premise also houses a dedicated floor for our Prestige Banking customers.

It is noteworthy that the 14 self banking centres that facilitate 24x7 cash deposits and cash withdrawals, enjoyed a higher footfall and saw increased transactions, paving the way for increased customer reach and convenience.

We believe Digital Transformation to be of strategic importance and have established

a fully dedicated Digital Banking team to ensure the Bank is ahead of the curve. We are building capacity on Agency Banking which will be a game changer in making our unique Banking model available in every corner of the country driving financial inclusiveness in rural Sri Lanka. We continue to embark on product innovation to improve the market relevance and appeal of our products and services.

The Bank has invested heavily on Knowledge Marketing, which we believe is a vital element in promoting this people friendly banking model throughout the Island nation. Knowledge Marketing is a separate division which serves to create awareness and clear understanding on how this unique concept works, how it is different to conventional banking and how the model is more people friendly. A series of knowledge sharing videos developed in-house, which has been internationally acclaimed, has made significant headway in winning over customers by highlighting the true essence of Islamic Banking. I invite all our shareholders to view and experience this model by scanning the QR codes given under the Business and Operations Review in page 46.

Whilst driving the performance based culture, the second edition of Amāna Bank Awards ceremony was held in 2018 at BMICH, where the Bank recognised and rewarded its high achievers for their utmost dedication and passionate service to the Bank. During the ceremony, the Bank also recognised those employees who have been in service for more than 10 years, including the formative years of the Bank.

Outlook for 2019

The financial year 2019 is accompanied by a number of significant challenges for the

Chief Executive Officer's Review

2019 WILL ALSO SEE THE MUCH AWAITED LAUNCH OF AMĀNA BANK ORPHAN CARE, A BREAKTHROUGH CSR INITIATIVE TO EMPOWER AND SUPPORT ORPHAN CHILDREN ONCE THEY LEAVE INSTITUTIONAL CARE AND ENTER YOUNG ADULthood. WE INVITE YOU TO JOIN HANDS WITH US IN MAKING A DIFFERENCE IN THEIR LIVES.

country and the banking sector is required to be more resilient to overcome such challenges. However, I am confident Amāna Bank's investments in people, processes and technology will enable the Bank to maintain its growth trajectory and continue to enhance shareholder returns.

Going forward, the focus will be on Optimization. Putting all the resources and investments to its best use, the Bank envisages increasing its market share in retail and SME sectors, and leveraging our service delivery network to enhance customer convenience and accessibility.

The Bank will continue to create an impact in strong alignment with Sri Lanka's growth strategy focussing on SME's, under the "Vision 2025, Enterprise Sri Lanka" programme. The Bank will also strengthen its congruence with the United Nations Sustainable Development Goals which is aided by the inherent social-friendly values of our unique banking model. These goals promote comprehensive and sustainable human development encompassing social, economic and environmental dimensions. Our attention towards such congruence is also driven by the common interest towards the furtherance of UN Sustainable Development Goals shared by IsDB Group, Amāna Bank's principal shareholder.

The Bank has already received regulatory approval to expand its branch network, which will enable heightened presence within the Western Province. The Bank will also focus on containing the NPA portfolio as we expand our operations. Considering these as well as other initiatives outlined

for the coming year, I believe, God willing, Amāna Bank will have a successful 2019, in line with our 5 year strategic plan.

2019 will also see the much awaited launch of Amāna Bank Orphan Care, a breakthrough CSR initiative to empower and support orphan children once they leave institutional care and enter young adulthood. We invite you to join hands with us in making a difference in their lives.

As we look towards an exciting year ahead, I would like to thank all those who contributed to our growth in the financial year 2018. My gratitude goes out to the Board of Directors and the Sharia Council for their confidence in the management. I am also thankful to the regulators, for being supportive of the Bank's endeavours. The management committee and staff of the Bank are indispensable to our success as they are the ones executing our strategies and I fully acknowledge the contributions of each and every employee of the Bank. I look forward to strong teamwork from the Amāna Bank team, to make our collective vision a reality in 2019 as well.



Mohamed Azmeer
Chief Executive Officer

14 February 2019

PROFILE OF CHIEF EXECUTIVE OFFICER

Mohamed Azmeer took over the leadership of the Bank in June 2014. Prior to that, as the Bank's Chief Operating Officer, he was overseeing the business functions of the Bank's Consumer, SME, Corporate and Treasury divisions. Before joining Amāna Bank, Azmeer had gained significant exposure to conventional and Islamic banking through his illustrious career, both locally and internationally, which spans over 30 years.

Having commenced a career in banking at Commercial Bank of Ceylon, Azmeer's leadership progression and banking intuitiveness was a result of his overseas experience, primarily at Citibank, UAE, where he had gained the unique experience of both business and risk aspects of banking, having overseen such operations at senior levels. During such tenure, he also carried out many short overseas assignments to countries such as UK, India and Kenya, where he acquainted himself to the different dynamics and challenges specific to each business and region. At the culmination of his career at Citibank he held the position of Vice President – Risk, for UAE and Oman. Azmeer's experience also includes 'start-ups' where he was a founder member of the erstwhile Dubai Bank which was established at the direction of the Dubai Government.

Azmeer's journey towards Islamic banking was a result of him wanting to have this nascent but people friendly concept accepted and embraced by a wider audience. In the field of Islamic banking, Azmeer's track record involved holding senior positions at Al-Rajhi Bank Saudi Arabia, the largest and leading Islamic Bank in the world and Sharjah Islamic Bank, a pioneering bank in UAE and the first Islamic bank in the world to fully convert its operations from being a conventional entity, in which he was an Executive Vice President.

Azmeer has served on the Boards of Sri Lanka Banks' Association (Guarantee) Ltd. and LankaClear, the national payment and clearing association of Sri Lanka, and is currently the Chairman of the Financial Ombudsman Sri Lanka (Guarantee) Ltd.

Azmeer holds a Master's Degree in Business Administration from the University of Leicester, UK. Utilising his sound knowledge and wide experience, Azmeer has played a key role in guiding Amāna Bank towards the success it has reached thus far.

BOARD OF DIRECTORS



Standing from Left to Right

Tyeab Akbarally - Deputy Chairman and Non-Executive, Non-Independent Director

Mohamed Jazri Magdon Ismail - Senior Director and Non-Executive, Independent Director

Osman Kassim - Chairman and Non-Executive, Non-Independent Director

Harsha Amarasekara, PC - Non-Executive, Non-Independent Director

Rajiv Nandlal Dvivedi - Non-Executive, Independent Director

Dilshan Hettiaratchi - Non-Executive, Independent Director



Standing from Left to Right

Aaron Russell-Davison - Non-Executive, Independent Director

Mohammed Ataur Rahman Chowdhury - Non-Executive, Non-Independent Director

Syed Muhammed Asim Raza - Non-Executive, Non-Independent Director

Adeeb Ahmad - Non-Executive, Non-Independent Director

Khairul Muzamel Perera Bin Abdullah - Non Executive, Non-Independent Director

Samitha Dayani de Silva - Company Secretary

Board of Directors

OSMAN KASSIM

Chairman and Non-Executive, Non-Independent Director

Osman Kassim, a well versed personality in Islamic banking and finance, was instrumental in introducing the concept of Islamic finance to Sri Lanka with the setting up of Amāna Investments in 1997, whose assets and liabilities were later on transferred to Amāna Bank PLC in 2011. He also sits on the Board of Amāna Takaful PLC, the first Islamic insurance company in Sri Lanka, as a founder Director, as well as on the board of its subsidiary Amāna Takaful Life PLC. He has expanded his directorships in Islamic Finance companies overseas as well, where he is a director at Amāna Takaful Maldives & the Maldives Islamic Bank.

With over 40 years of senior management experience, Mr. Kassim was also the founder Chairman of the well-established Expolanka Group of Companies which is engaged in diverse business activities. He is the Chairman of Asia Pacific Institute of Information Technology (APIIT) Sri Lanka, set up in collaboration with APIIT Malaysia and he is also the Chairman of Vidullanka PLC, a leading provider of renewable energy to the National Grid. He also sits on the boards of Aberdeen Holdings (Private) Limited, Ex-Pack Corrugated Cartons (Private) Limited, and Crescentrating (Private) Limited – Singapore.

He holds an Honorary Doctorate from the Staffordshire University in recognition of his achievements as both a global entrepreneur and visionary educationalist.

TYEAB AKBARALLY

Deputy Chairman and Non-Executive, Non-Independent Director

Tyeab Akbarally is a senior Director of Akbar Brothers (Pvt) Limited and its subsidiary companies for the past 35 years. Akbar Brothers (Pvt) Limited is a diversified group

of companies and is the leading Tea export company which have won many prestigious awards for their export performances. He is also the Chairman of Amāna Takaful PLC. Mr. Akbarally has served as a member of the Executive Committee and as a Committee Member at the National Chamber of Commerce Sri Lanka and the Ceylon Chamber of Commerce. He is a past Chairman of the Spice and Allied Products Traders' Association and the Colombo Tea Traders' Association. He has considerable experience in the import and export trade and has strong business relationships with the Middle Eastern Countries.

MOHAMED JAZRI MAGDON ISMAIL

Senior Director and Non-Executive, Independent Director

Mohamed Jazri Magdon Ismail is a Financial Consultant and the current President of AAT Sri Lanka. He has served on the Directorate of Alhambra Hotels Limited, the Owners and Operators of Holiday Inn Colombo. He is a Fellow of The Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and is a Member of the Institute of Certified Management Accountants, Australia. He is a Nominee of the CA Sri Lanka on the Governing Council of the Association of Accounting Technicians of Sri Lanka, of which he is also a Fellow Member.

HARSHA AMARASEKERA, PC

Non-Executive, Non-Independent Director

Harsha Amarasekera, President Counsel is a leading Lawyer in Sri Lanka having a wide practice in the Original Courts as well as in the Appellate Courts, specialising in Commercial Law, Business Law, Securities Law, Banking Law and Intellectual Property Law.

He also serves as an Independent Director in several leading listed companies in the

Colombo Stock Exchange including CIC Holdings PLC (Chairman), Vallibel One PLC, Royal Ceramics Lanka PLC, Expolanka Holdings PLC, Chevron Lubricants Lanka PLC, Ambeon Capital PLC, Amaya Leisure PLC, and Vallibel Power Erathna PLC. He is also the Chairman of CIC Agri Business (Private) Limited, Swisstek (Ceylon) PLC & Swisstek Aluminium Limited.

RAJIV NANDLAL DVIVEDI

Non-Executive, Independent Director

Rajiv Nandlal Dvivedi is currently the CEO of Eagle Investments Limited, a privately owned Investments and Advisory firm based in the DIFC, Dubai, UAE. He has over 40 years of Commercial and Investment banking, Corporate finance, and Investments experience. He spent 35 years at Citibank in various senior executive positions: 28 years in Commercial and Investment Banking, Corporate Finance and Risk Management in the Middle East and seven years in Consumer Banking with Citibank in New York, USA. In addition to Amāna Bank, Mr. Dvivedi currently sits on the Board of Candor Group of Companies (Sri Lanka), Eagle Investments Limited (UAE) and Eagle India Investments Sharia Fund I Limited (Mauritius). He holds an MBA in Finance from Long Island University, New York, USA.

PRADEEP DILSHAN RAJEEVA HETTIARATCHI

Non-Executive, Independent Director

Dilshan Hettiaratchi is a Partner/ Managing Director of Faber Capital Limited which is an investment banking firm headquartered in Dubai. The firm specialises in Capital Markets, Renewable Energy and Advisory opportunities. He has over 25 years of banking and financial markets experience. Prior to joining Faber Capital, he was the Managing Director and Head of Debt Capital

Markets - MENA and Pakistan for Standard Chartered Bank. In this role he advised many high profile issuers from the Middle East such as The Government of Dubai, The Government of Ras Al Khaimah and other Corporates and Financial Institutions from the ME region to tap the International Bond and Sukuk markets. Prior to joining SCB, he worked with Citi National Investment Bank, which was the investment banking arm of Citibank and NDB based in Colombo, as well as at Waldock Mackenzie Limited which was the investment banking arm of John Keells Holdings. He is a Director of Asset Trust Management Limited, which is a SEC regulated Asset Management Company. He was also a Steering Committee member of the Gulf Bond and Sukuk Association (GBSA), and the Chair of the Government Bond issuance committee in 2011. He has been a speaker/panellist at a number of industry conferences in Debt Markets over the last few years.

He holds an MBA from the University of Colombo, is a CFA Charter Holder and is an ACMA (UK).

AARON RUSSELL-DAVISON

Non-Executive, Independent Director

Aaron Russell-Davison is a veteran banker with 20 years' experience across banking and financial institutions, including capital markets, bond and loan syndication, sales, trading, portfolio management and brokerage. Most recently, his tenure at Standard Chartered Bank, Singapore spanned over 6 years, at the most senior levels of Capital Markets, as the Global Head of Debt Capital Markets. He also has served as Director, Capital Markets in prominent global institutions such as Credit Suisse, Hong Kong; Standard Bank of South Africa, Hong Kong; and Hypo-Vereins Bank, London. He has also held Board positions as an Independent Non-Executive Director of leading financial institutions, whilst

serving in the capacity of Chairman - Group Risk Committee and as a member in the Group Audit, Remuneration and Related Party Committees. He has worked across multiple geographies and cultures with a strong Asian aspect, and holds a Bachelor of Arts (Asian History and Politics) from the University of Western Australia.

MOHAMMED ATAUR RAHMAN CHOWDHURY

Non-Executive, Non-Independent Director

Mohammed Ataur Rahman Chowdhury is a seasoned financial sector specialist, having spent more than 18 years across in the Financial Institutions domain covering multiple geographic regions across Middle-East, North Africa, West Africa, Central Asia and Southeast Asia. His diversified experience was spent mostly in senior roles in direct financing, investment banking, commercial banking, FI equities, board representations and turning around financial institutions. Joined in 2007, at present, Mr. Chowdhury holds the position of Head of Banking Equities at the Islamic Corporation for the Development of the Private Sector (ICD); the private sector arm of the Islamic Development Bank (IsDB) Group leading establishments and formulating strategies of more than 15 Islamic banks with aggregate portfolio of nearly USD 260 million. He is a Board member in Maldives Islamic Bank. Briefly, Mr. Chowdhury also worked as Adviser, Financial Institutions for The European Bank for Reconstruction and Development (EBRD) in London, UK on secondment from ICD.

Mr. Chowdhury's professional career, preceding his ICD tenor, included 7 years in Bangladesh's financial sector, holding the roles of: Corporate Relationship Manager in Commercial Bank of Ceylon Limited (Bangladesh operation), Investment Manager in IPDC (the first Development Financial Institution in the country) and

Senior Investment Analyst in BRAC-EPL (a premier investment bank in the country).

ADEEB AHMAD

Non-Executive, Non-Independent Director

Adeeb Ahmad counts 30 years of experience across the financial sector, and specialises in Direct Investments, Asset Management, M&A and Islamic Finance across emerging markets. His latest engagement was as the Senior Advisor to the CEO of the Islamic Corporation for the Development of the Private Sector (ICD), which is the private sector arm of the IsDB Group. His early experience covered Islamic Finance and Investment Banking with reputed international financial institutions in the GCC and Pakistan such as ANZ Grindlays Bank and ABN AMRO Bank in Bahrain, Citibank and MCB in Pakistan. Later, during last two decades, he led large Private Equity Funds and advised on M&As and Equity Raising for several leading investment institutions and corporates. He holds a Master's of Science in Accounting and Finance from the London School of Economics, UK and an MBA from the Institute of Business Administration, Karachi, Pakistan.

SYED MUHAMMED ASIM RAZA

*Non-Executive, Non-Independent Director
(Appointed w.e.f. 20 October 2018)*

Syed Muhammed Asim Raza has over thirty years of diverse experience in banking and engineering industries at senior management level. He is well versed in all aspects of public and private sectors projects and equity financing including identification, preparation, due diligence, implementation and post implementation activities. He has a vast experience in remedial asset management which involved recovery of classified portfolio through restructuring, liquidation and litigation activities. Currently attached to Islamic

Board of Directors

Development Bank Group (IsDB), Mr. Raza is involved in developing the enabling environment for trusts and endowments sector in OIC member and non-member countries; providing technical assistance for capacity building, regulatory and institutional development. He is deeply involved in the development of new endowments as well as establishment of commercial real estate projects on idle endowment land for transforming them into revenue generating asset. Currently, he is supervising the global projects portfolio of more than US\$ 300 million. Prior to joining IsDB, Mr. Raza worked in Pakistan and served on various senior positions at different financial institutions. He served as Vice President at Muslim Commercial Bank and Atlas Investment Bank Limited. He worked twelve years with the National Development Finance Corporation, which was mandated for the development of infrastructure projects in Pakistan. Mr. Raza holds a bachelor degree in Mechanical Engineering and Masters in Business Administration. He is a member of various Engineering Council and Institutes and has represented IsDB as a speaker at various prestigious forums and conferences.

KHAIRUL MUZAMEL PERERA BIN ABDULLAH

*Non-Executive, Non-Independent Director
(Appointed w.e.f. 17 November 2018)*

Khairul Muzamel Perera has over 30 years of banking related experience including stints at a credit rating agency and a national asset management institution. He is currently the Chief Credit Officer overseeing the Credit Management Division at Bank Islam Malaysia Berhad, which covers Credit Analysis, Credit Analytics, Valuation and the Central Financing

Processing function. He also Chairs various Financing Committees and the Underwriting & Investment Committee in the Bank and the Investment Committee at BIMB Investment Management Berhad, a wholly owned subsidiary of the Bank. Khairul joined the Risk Management Division of the Bank in April 2009, heading the Credit Risk Management unit. A Chartered Company Secretary by profession, Khairul is an Associate Member of the Institute of Chartered Secretaries & Administrators, London.

MRS. SAMITHA DAYANI DE SILVA

Company Secretary

Mrs. Dayani de Silva joined Amāna Bank PLC in March 2016.

Dayani is a Fellow Member of ICSA – The Governance Institute UK. She was also awarded Founder Membership of the Institute of Chartered Corporate Secretaries Sri Lanka. Her professional experience as a Chartered Secretary counts over 30 years.

Prior to joining Amāna Bank, her experience included Corporate Secretaryship in a Finance Company and thereafter in a local Multinational Group (presently owned by a conglomerate based in UAE). Her experience in this Group of Companies specifically included incorporation of a Finance & Leasing Company, an Insurance Company and also obtaining relevant regulatory licenses for the above companies. Additionally, she also has exposure to People Management.

Last year Dayani was invited by an Accounting Body in Sri Lanka to participate as a Guest Speaker on Corporate Secretaryship and Corporate Governance.

INDEPENDENT SHARIA SUPERVISORY COUNCIL

ASH-SHEIKH DR. MUFTI MUHAMMAD IMRAN ASHRAF USMANI

Chairman, Sharia Supervisory Council

Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani, son of Justice (Retd.) Mufti Muhammad Taqi Usmani, graduated with specialisation in Islamic Fiqh (Islamic jurisprudence) from Jamia Darul-Uloom, Karachi, where he has been teaching Fiqh since 1990. In addition, he holds a LL.B and Ph.D. in Islamic Finance. He is also a member of the administration board of Jamia Darul-Uloom, Karachi and Director at Hira Institute of Emerging Sciences.

Presently Dr. Usmani is the Vice Chairman-Shariah Board at Meezan Bank and is responsible for Research and Islamic banking products, advisory for Sharia-compliant banking and supervision of Sharia Audit & Compliance, CEO Usmani & Co Pvt Ltd, CEO Usmani & Co Shariah Advisors Pvt Ltd.

Dr. Usmani has served as an advisor/member of Sharia Boards of several renowned institutions since 1997 including the State Bank of Pakistan, HSBC - Amanah Finance, UBS - Switzerland, Guidance Financial Group USA, Lloyds TSB Bank - UK, Japan Bank for International Cooperation (JABIC), Credit Suisse Switzerland, RBS Global, Old Mutual Albarakah Equity & Balanced Funds South Africa, AIG Takaful, ACR ReTakaful Malaysia, Capitas Group USA, Bank of London and Middle East Kuwait, BMI Bank Bahrain, Al Khaliji Bank Qatar, Sarasin Bank Switzerland, DCD Group Dubai, International Centre for Education in Islamic Finance (INCEIF) and other mutual and property funds, Takaful companies and international Sukuk etc.

He is also an Executive Committee Member of AAOIFI (Dubai), Sharia Supervisory Board of International Islamic Financial Market (IIFM), Bahrain and Chairman of

Academic Board at Institute of Business Administration (IBA)-Centre for Excellence in Islamic Finance (CEIF), Karachi and Director Centre for Islamic Economics (CIE), Karachi.

Dr. Usmani is the author of numerous publications related to Islamic finance and other Sharia related subjects. He has presented papers at numerous national and international seminars and has delivered lectures at academic institutions including Harvard, LSE, LUMS and IBA.

ASH-SHEIKH MOHD. NAZRI BIN CHIK

Vice Chairman, Sharia Supervisory Council

Ash-Sheikh Mohd. Nazri Chik, a Certified Sharia Adviser and Auditor (CSAA-AAOIFI) is the Group Chief Shariah Officer of BIMB Holdings PLC and Chief Shariah Officer of Bank Islam Malaysia. He holds a Master's Degree in Sharia from University of Malaya and Certificate in Internal Auditing for Financial Institutions (CIAFIN) from Asian Institute of Chartered Bankers (AICB). He started his career as a tutor in the University until he joined Bank Islam in June 2004. He left the Bank to join Noor Investment Group, Dubai in September 2009 as its Sharia Audit Manager. During this time, he had been appointed as a member of Bank Islam's Sharia Supervisory Council until he re-joined the Bank as its Head of Sharia in January 2011. He is also a Registered Sharia Adviser with the Securities Commission Malaysia, a Sharia Advisor of Malaysia Professional Accountancy Centre (MyPAC) and BIMB Securities Management LLC, Accredited Panel of Finance Accreditation Agency (FAA); Executive Committee Member of Association of Sharia Advisors Malaysia (ASAS), Distinguished Trainer for Islamic Banking and Finance Institute of Malaysia (IBFIM), a member of Board of Directors of Terengganu Incorporated, the investment arm of Terengganu state of Malaysia and an academic advisor to various Islamic

finance programs offered by universities in Malaysia. In May 2014, he was selected as the recipient of the 'Promising Young Banker Award 2014' by the Asian Banker Magazine.

ASH-SHEIKH M.M.A. MUBARAK

Member, Sharia Supervisory Council

Ash-Sheikh M.M.A. Mubarak is the former President and present General Secretary of the All Ceylon Jamiyyathul Ulama. He is a highly-learned and respected scholar who holds a Bachelor of Islamic Law (Sharia) Degree from the Islamic University of Madina Al Munawwara, Saudi Arabia. He is a retired Principal of Sri Lanka's leading Arabic College Al-Ghaffooriya Arabic College, Maharagama and is the Deputy Chairman of Abd Azeez Bin Baaz Ladies Arabic College, Malwana, Sri Lanka.

Ash-Sheikh Mubarak is a highly respected scholar and an author to several books and publications on the topic of Sharia and other Islamic Studies.

ASH-SHEIKH MUFTI M.I.M. RIZWE

Member, Sharia Supervisory Council

Ash-Sheikh Mufti M.I.M. Rizwe is a well renowned scholar locally and internationally. He currently holds the position of President of the All Ceylon Jamiyyathul Ulama (ACJU), the apex body of Muslim Theologians which was established in the year 1924. He is also Ex Officio President of various committees of the ACJU.

He gained his early education in Sri Lanka before moving to Jamia Uloomul Islaamiyya, Karachi, where he pursued for specialisation in Islamic Jurisprudence. He gained MA in Arabic & Islamic Studies, which is recognised by the Higher Education Commission of Pakistan.

Independent Sharia Supervisory Council

He is a member and Advisor of the Supreme Council of Madaaris Ul Arabiyya (Federation of the 250 Arabic Colleges in Sri Lanka which are registered at the Muslim Religious & Cultural Affairs Department). He also lectures in a number of colleges and serves in the capacity of President and an Advisor to a number of Arabic colleges locally and internationally.

He is also a member of the Inter Religious advisory Board for His Excellency the President of Sri Lanka since May 2016 and an Executive Member of the Supreme Council of Congress of Religions - Sri Lanka.

Mufti Rizwe is the Founder of Mahmoud Institute, which was established for the sole purpose of developing the skills of Ulama to face the current challenges prevailing in the community and Founder and Director of Islamic Careline Counselling (Guarantee) Limited, Colombo, which provides individuals and families with the support and service to overcome Marital & Psychological problems.

Mufti Rizwe has been a frequent traveller across the world, where he has conducted and attended several programmes in Asian, Middle Eastern, African, European and North American countries for the purpose of promoting peace and coexistence whilst encouraging spiritual growth & skills development.

He is the Chairman of the Sharia Supervisory Council of Amāna Takaful PLC and a member of Sharia Boards of several other Islamic Financial Institutions in Sri Lanka and Maldives and an Advisor of Izumi Enterprise, Japan.

Mufti M.I.M. Rizwe has also been selected among the 500 most influential Muslims worldwide. The evaluation is done annually by the Royal Islamic Strategy Study Centre based in Amman, Jordan (www.rissc.jo) (<http://themuslim500.com/profile/m-i-m-rizvi-mufti>).

ASH-SHEIKH MUFTI MUHAMMAD HASSAAN KALEEM

Member, Sharia Supervisory Council

Ash-Sheikh Mufti Muhammad Hassaan Kaleem is a renowned figure in the field of Islamic Finance. He studied traditional Islamic studies under the guidance of eminent Islamic Scholars from a well-known Islamic Seminary Jamia Darul Uloom, Karachi. He holds vast experience of teaching various Islamic Subjects at the same Institute for the past 19 years.

Mufti Hassaan is considered one of the most revered Sharia Scholar in the Islamic Finance Industry, who sits on the Sharia Advisory Boards of numerous financial institutions, Islamic Investment Funds and Takaful Companies, including Al-Ameen UBL Funds, Adamjee Takaful, State Life - Window Takaful Operations, Pak Qatar Family Takaful Ltd- Pakistan, Hanover Re Takaful-Bahrain, and Takaful Emirate- UAE.

In addition, Mufti Hassaan is a Sharia Consultant of Deloitte (Global Islamic Finance Team), Trainer of Sharia Standards and Member of Subcommittee of Sharia Standards at AAOIFI- Bahrain, Permanent faculty member of Centre for Islamic Economics Karachi, visiting faculty member of National Institute of Banking and Finance (State Bank of Pakistan) and Centre for Excellence in Islamic Finance (CEIF) - IBA. Furthermore, he was the former Sharia Advisor of Bank Al Baraka and Chairman Sharia Board of SECP.

Currently, he works as Country Head of Sharia of Dubai Islamic Bank Pakistan Ltd as well as a teacher in Jamia Darul Uloom Karachi. He is a frequent trainer and expert in simplifying complex issues related to Islamic Finance. He has participated in many Islamic Finance conferences and seminars around the world and has delivered lectures and presentations.

PROFILES OF STRATEGIC SHAREHOLDERS

ISLAMIC DEVELOPMENT BANK

The Islamic Development Bank (IsDB) is a multilateral development bank, working to improve the lives of those it serves by promoting social and economic development in Muslim countries and communities worldwide, delivering impact at scale. IsDB provides the infrastructure to enable people to lead better lives and achieve their full potential. It brings together 57-member countries across four continents - touching the lives of 1 in 5 of the world's population. IsDB is a global leader in Islamic Finance, with an AAA rating, and operating assets of more than USD 16 billion and subscribed capital of USD 70 billion. Headquartered in Jeddah, Saudi Arabia, IsDB has major hubs in Morocco, Malaysia, Kazakhstan and Senegal, and gateway offices in Egypt, Turkey, Indonesia, Bangladesh and Nigeria. IsDB's 5 pillars of activities include: (i) building partnerships between governments, the private sector and civil society through public private partnerships; (ii) adding value to the economies and societies of developing countries through increased skills and knowledge sharing; (iii) focusing on science, technology and innovation led solutions to the world's greatest development challenges, through boosted connectivity and funding, and a focus on the UN's Sustainable Development Goals; (iv) promoting global development that is underpinned by Sharia compliant long term sustainable and ethical financing structures, as global leaders in Islamic Finance; and, (v) fostering collaboration between IsDB's members nations in a uniquely non-political environment, focusing on the betterment of humanity

THE ISLAMIC CORPORATION FOR THE DEVELOPMENT OF THE PRIVATE SECTOR

PARENT COMPANY OF IB GROWTH FUND (LABUAN) LLP

The Islamic Corporation for the Development of the Private Sector (ICD) is a multilateral development financial

institution and is part of the Islamic Development Bank (IsDB) Group. Founded in November 1999, ICD was established to support the economic development of its member countries through the extension of finance for private sector projects, promoting entrepreneurship, encouraging cross-border investments, and providing advisory services to governments and private companies. ICD's authorised capital is US\$ 4 billion, and its current shareholders are: the IsDB, 54 Islamic countries and five public financial institutions. ICD's development mandate ensures that its interventions are underpinned by factors that promote for: job creation, Islamic finance development, contribution to exports etc. As for its advisory services, ICD looks to aid governments and private sector groups on issues ranging from policy design to the advancement of private enterprises; other areas include: development of capital markets, and adoption of best management and governance practices. ICD strives to add value in its member countries by complementing the activities of IsDB and respective national financial institutions.

BANK ISLAM MALAYSIA BERHAD

Since its inception in March 1983, Bank Islam has not only become the symbol of Islamic banking in Malaysia, it has also played an integral role in setting the stage for a robust growth of the country's Islamic financial services industry. True to its pioneering and innovative heritage, Bank Islam is committed to its role as a leading vehicle in transforming Malaysia into a global Islamic financial hub. To this end, Bank Islam continuously develops and introduces trendsetting financial solutions, some of which are the first-of-its-kind in the world or at least in the region in widening the breadth of its innovative end-to-end Sharia based financial products and services, comparable to that offered by its conventional counterparts. Today, Bank Islam offers a diversified range of Islamic financial products and services through its

network of 148 branches and more than 900 self-service terminals nationwide. Bank Islam's solutions are designed to realise the financial and banking needs of all people in line with its mission to deliver value for the good of the society and nation.

AKBAR BROTHERS (PVT) LIMITED

A 50 year old company, Export of Internationally renowned Sri Lankan Teas being their core business, Akbar Brothers has successfully diversified into a range of sectors through strategic reinvention and expansion, and today, the Group has a firm presence in the sectors of Tea Export, Power Generation, Healthcare & Pharmaceutical Manufacturing, Packaging, Property Development, agriculture and Environmental Services. Akbar Brothers rank proudly as the largest exporter of Ceylon Tea in the country, a position held for the past 40 consecutive years, and has been the recipient of many top national and international awards over the years including the prestigious Presidential Award for Sri Lanka Exporter of the Year, for outstanding exports to over 90 countries worldwide.

MANAGEMENT COMMITTEE



Standing from Left to Right

Mohamed Azmeer - Chief Executive Officer

M. M. S. Quvlyidh - Senior Vice President - Corporate & SME Banking

M. Pharis Jazeel - Senior Vice President - Treasury and Financial Institutions

Ajmal Naleer - Chief Risk Officer

M. Ali Wahid - Chief Financial Officer

Preeni Koralege - Chief Legal Officer



Standing from Left to Right

Siddeeqe Akbar - Vice President - Retail Banking & Marketing

Irshad Iqbal - Chief Compliance Officer

Rajitha Dissanayake - Chief Information Officer

Imtiaz Iqbal - Vice President - Operations

Fazly Marikar - Vice President - Strategy Management & Product Innovation

Numair Cassim - Chief Internal Auditor

ASSISTANT VICE PRESIDENTS AND HEADS OF DEPARTMENTS



Standing from Left to Right

Samitha Dayani de Silva - Company Secretary

Nista Badurdeen - Assistant Vice President - Central Operations and Trade Services

Farhan Refai - Head of Human Resources

Chaminda de Silva - Assistant Vice President - Commercial Leasing

Ash-Sheikh Nazhan Naurooz - In-House Sharia Advisor

SENIOR MANAGERS



Tariq Mahmud
*Head of Knowledge Marketing &
Financial Inclusion*



Azam Ameer
Head of Business - Kandy Branch



Rizah Ismail
Senior Manager - Remedial



Irshard Othman
*Senior Manager - Corporate
Secretarial and Investor Relations*



Arshad Jamaldeen
Head of Deposits



Harindra Obeyesekere
Senior Manager - Treasury



Sujeewa Weerasinghe
*Senior Manager - IT Business
Systems & Support*



Prince Kevitiyagala
Senior Manager - Projects



Inthikab Hanifone
*Head of SME Banking - Western
Region*



Anver Asver
Head of Branch Operations



Ramakrishnan Kirubakaran
Head of Retail Advances



Rajendra Jayasinghe
*Head of Corporate Banking / FCBU -
Western Region*

Senior Managers



Nilam Mohamed
Head of SME Banking - Central Region



Mohamed Kiyasudeen
Senior Manager - Information Security



Arshad Adhnan
Head of Credit Risk



Niyaz Aboobucker
Head of Equity Trading



M. Farshad Cader
Head of Financial Institutions



Shakeel Iqbal
Head of Trade and Cash Management



Sanjeewa Fonseka
Head of Digital Banking



We have taken the onus to help customers understand and discover the true essence of people friendly banking by creating awareness on both traditional and digital platforms.

**OPTIMIZING OUR
MODEL AWARENESS**

BUSINESS AND OPERATIONS REVIEW

THE BANK CONTINUED ITS GROWTH MOMENTUM IN KEY AREAS OF PERFORMANCE ESPECIALLY THROUGH INCOME EARNED FROM CORE BANKING ACTIVITIES. NET FINANCING INCOME POSTED A NOTEWORTHY INCREASE OF 22.0% AS IT RECORDED LKR 3.4 BILLION FROM LKR 2.8 BILLION A YEAR AGO. THIS WAS ACHIEVED MAINLY DUE TO THE INCREASE IN TOPLINE INCOME COUPLED WITH EFFECTIVE PRICING STRATEGIES AND THE BANK HAVING A SIGNIFICANT SHARE OF CURRENT ACCOUNTS AND SAVINGS ACCOUNTS (CASA) BALANCES IN ITS DEPOSITS PORTFOLIO, WHICH REMAINS ONE OF THE HIGHEST RATIOS AMONGST INDUSTRY PEERS. THIS ENSURED THE FINANCING MARGIN MOVED UP TO 4.4% FROM 4.2% IN 2017.

FINANCIAL REVIEW

Within a relatively short span and in line with its 5 year Strategic Plan, Amāna Bank reached yet another key milestone as it paid its inaugural dividend to the valued shareholders of the Bank. The Board and the Management are very much aware of the expectations of our shareholders and establishing the first step in terms of rewarding shareholders through sustained growth in performance is certainly a step in the right direction.

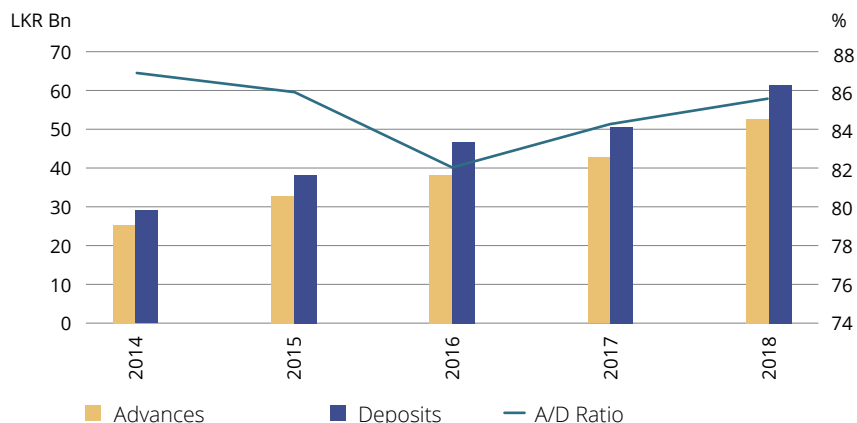
Your Bank continued to improve its financial profile as it posted strong growth in operating profit before taxes and surpassed industry rate of growth in many benchmark performance indicators. This was in the backdrop of a very challenging market environment where the rupee faced unprecedented pressure and depreciated by 19% against the US Dollar in 2018. Net outflows from the Capital market was the major reason for this deterioration in the exchange rate with the political instability that prevailed in the country worsening the situation. Market liquidity saw protracted shortages during the year, and whilst the Monetary Board of Central Bank reduced the Statutory Reserve Ratio (SRR) applicable on all rupee deposits by 1.5% to 6.0% to expand rupee liquidity it also simultaneously

raised policy rates, which brought about a moderation effect to private sector credit growth.

The Bank comfortably outperformed industry growth rates in terms of total assets, customer deposits and advances as it recorded growth in excess of 20% in each of these categories.

Total assets grew by 21.6% ending the year at LKR 77.2 billion from LKR 63.5 billion in 2017. The advances portfolio grew significantly despite the economic challenges which impacted almost all sectors of the economy. The Corporate, SME and retail segments combined well to propel the advances portfolio to LKR 52.9 billion from LKR 42.9 billion as at 2017, growing by 23.2% for the year. Tight market liquidity conditions remained a concern for all banks and effects of this was felt in deposit mobilisation across the industry. Despite this constraint, Your Bank recorded a commendable growth of 21.2% with deposits moving to LKR 61.7 billion from LKR 50.9 billion a year ago. Such growth in these key indicators was achieved through various strategic initiatives outlined in the Bank's Strategic Plan, a guide which steers the Bank towards its goals. Expansion of customer touch-points, with 14 offsite Self

Advances and Deposits



Banking Centres being added to the existing branch network, will certainly support the Bank's acquisition and growth strategies in the ensuing year. The Advance to Deposit ratio was maintained at a healthy level throughout the financial year as it closed at 85.6% compared to 84.3% last year.

The Bank continued its growth momentum in key areas of performance especially through income earned from core banking activities. Net financing income posted a noteworthy increase of 22.0% as it recorded LKR 3.4 billion from LKR 2.8 billion a year ago. This was achieved mainly due to the increase in topline income coupled with effective pricing strategies and the Bank having a significant share of Current Accounts and Savings Accounts (CASA) balances in its deposits portfolio, which remains one of the highest ratios amongst industry peers. This ensured the Financing Margin moved up to 4.4% from 4.2% in 2017.

The Bank implemented various strategies, which are discussed in the reviews to follow, with the intention of increasing the share of non-funds based business. As a result, net fee and commission income for the year increased by an impressive 25.8% to reach LKR 297.0 million. Foreign

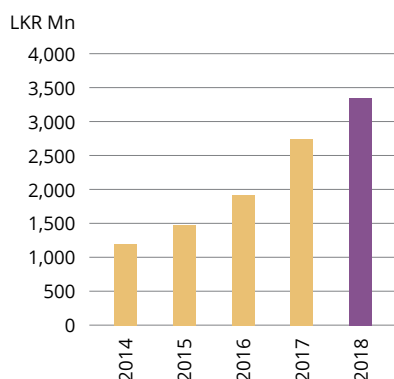
exchange gains and net other operating income aggregated to LKR 447.3 million resulting in the total operating income surpassing the LKR 4 billion mark for the first time in the Bank's history to record LKR 4.1 billion, achieving a commendable growth of 21.2% from LKR 3.4 billion in 2017. Due to adverse market conditions non-performing advances increased across the banking industry affecting the overall quality of portfolio assets. Despite this, the Bank's Gross Non Performing Advances and Net Non Performing Advances ratios continued to remain below industry to stand at 2.82% and 0.87% respectively, as a result of the Bank's asset backed financing model, prudent credit risk management and proactive resource allocation towards effective collections.

With the introduction of new accounting standard SLFRS 9 on Financial Instruments, all banks incurred a drastic increase in impairment charges on customer advances. This is due to the requirement of computing impairment based on the Expected Credit Loss method moving away from the previous basis of Incurred Loss method. Your Bank's impairment charge increased significantly by LKR 187.1 million. Despite this, the Bank ended the year under review with a net operating income of LKR 3.6

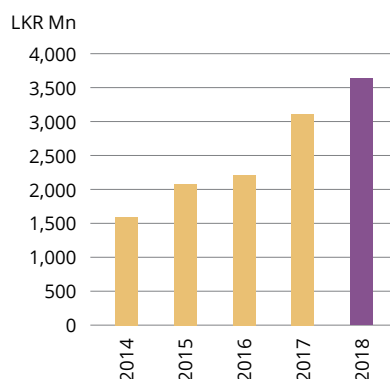
billion compared to LKR 3.0 billion a year ago, a noteworthy increase of 17.1%.

Total operating expenses amounted to LKR 2.3 billion for the year, up from LKR 2.0 billion last year which is a YoY increase of 13.0%. However, as a result of appropriate strategies in place, the Bank has improved its cost to income ratio, to 56% from 60% in 2017. After accounting for the above, the Bank's operating profit recorded a value of LKR 1.3 billion for 2018 whilst VAT on Financial Services and Nation Building Tax amounted to LKR 420.0 million resulting in a profit before tax of LKR 902.1 million. The Bank ended the financial year 2018 with a profit of LKR 556.4 million after providing LKR 345.7 million as tax expenses. The aggregate of all taxes charged for the year amounts to LKR 765.8 million which translates to an effective rate of 57.9% reflecting the higher taxes levied on the industry. The downturn experienced in the stock market had a negative impact on the Bank's equity portfolio leading to revaluation losses in the Available for Sale portfolio. Due to such losses, other comprehensive income recorded a negative LKR 21.4 million as the Bank ended year under review with a total comprehensive income of LKR 535.0 million.

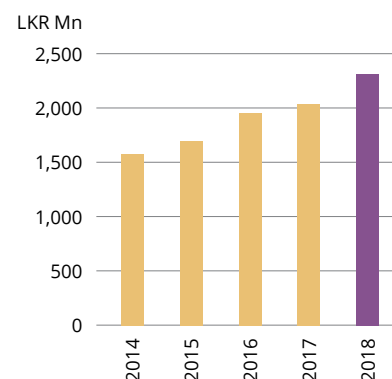
Net Financing Income



Net Operating Income



Total Operating Expenses

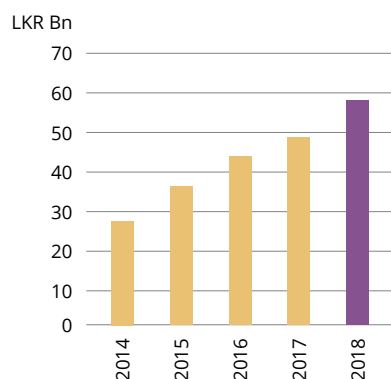


Business and Operations Review

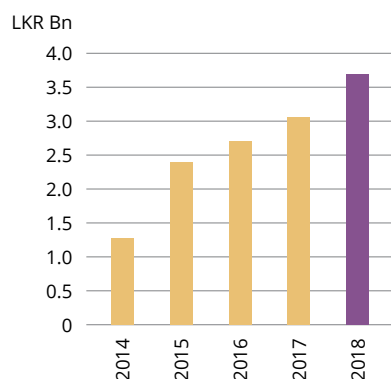
RETAIL BANKING

Retail Banking continued to be a mainstream contributor towards the Bank's growth in deposits and advances ensuring the Bank maintains a healthy portfolio. Enabling such growth in Retail Banking is a result of the strategic direction established in the beginning of the year, where Retail Banking defined its competitive advantage in terms of Portrayal of Model, Customer Experience and Our People while overcoming the barriers of reach.

Retail Banking Deposits



Retail Banking Advances



Portrayal of Model

With many knowing the existence of non-interest based banking, the rate of acceptance was less than expected, due to the misconceptions held and unfamiliarity of the banking methodology. Thus the Bank took the onus upon itself to portray the non-interest based banking model

in the context of people friendly banking. For this purpose the Bank established and strengthened a Knowledge Marketing Unit under Retail Banking with experienced and well versed personnel. Through this unit the Bank has been able to address many of the pertaining issues both existing and prospective customers had, which resulted in gaining wider acceptance. Some of the initiatives launched include a series of informative animated videos on vital topics such as How Islamic Banking is Different to Conventional Banking. These videos gained both local and international acceptance, with over 100,000 collective views, where reputed international Islamic banking establishments had requested permission to reproduce them in their language. As part of portraying the model, the Knowledge Marketing Unit took the responsibility of holding Public Awareness Programs during the year. In 2018, the Bank concluded over 25 such programs. The Knowledge Marketing Unit also conducted weekly quiz programs for staff with a similar quiz program scheduled to be rolled out on social media for customers in 2019. The Bank has also encouraged and driven frontline staff to continue learning the intricacies of the model so that they are better equipped to answer customer queries.

Customer Experience

Customer Experience through superior customer engagement and service continued to be a key focus area towards the success of Retail Banking. The Bank continued to invest and leverage on its exclusive banking propositions Amāna Bank Prestige, Amāna Bank Vantage and Amāna Bank Expat Gold. With the relocation of the Main Branch Amāna Bank Prestige was given a facelift in both appearance and benefits, which included a Prestige Debit Card and Priority Pass Worldwide Airport Lounge access. Towards facilitating the growing needs of SMEs and business enterprises, the Bank launched a specialised banking platform titled Amāna Bank Business Plus in line with the Bank's focus on growing the SME and Retail sector. Amāna Bank Business Plus is a banking platform offering superlative service

and benefits providing business owners peace of mind allowing them to invest more time to focus and grow their business. A key value addition offered through Amāna Bank Business Plus is the services of a dedicated relationship manager, who will assist businesses on all their day to day banking activities.

The Bank continued to grow its Ladies' Savings and Children's Savings propositions during the year by carrying out novel promotional programs while also offering added conveniences. Such growth was also assisted by the strengthening the retail banking structure with improved focus on Ladies' and Children's Savings accounts. The relocated Ladies Branch in Colombo 3 was facilitated with a Children's play area, so that mothers can keep their children occupied until they complete their banking transactions.

The Bank's home financing and vehicle financing solutions continued to gain wider acceptance with the inclusion of many benefits including faster and convenient processing time, best in market pricing as well as 7 year repayment for vehicle financing. The Bank also tied up with many real-estate and high-rise apartment developers to offer its Apartment Financing Solutions. The Bank's award winning Gold Certificate Financing Solution also grew during the year with such innovative solution being further expanded to the Bank's Kandy Branch and Main Branch.

The expansion of Self Banking Centres contributed immensely towards ensuring greater customer experience. Having started the year with just one centre in Slave Island, the concept of 24x7 Self Banking was extended to 13 other localities due to the wide acceptance and demand. The Self Banking Centres facilitates the Bank's customer with round the clock cash and cheque deposits facilities while cash withdrawal capabilities are also facilitated in selected centres. In 2018 such centres were opened in Batticaloa,

Dharga Town, Hemmathagama, Kaluthara, Kolonnawa, Malwana, Mattakkuliya, Muttur, Pulichchakulam, Rajagiriya, Ratmalana, Thihariya and Trincomalee, expanding the Bank's total network to 43 service points.

Introduced as another convenient service, the launch of Doorstep Banking was well received and continued to grow throughout 2018, with many individual and business customers benefiting from having the ability to make cash and cheque deposits from the comfort of their home or office.

The Bank partnered with mCash, one of Sri Lanka's leading payment platforms offered by Mobitel, thereby facilitating the Bank's customers with a convenient solution to pay a host of utility and service bills at the comfort of the Bank's branch. Through this partnership, both customers of the Bank as well as the public can walk in to any of the Bank's branches and settle their mobile bills, water bills, electricity bills (CEB and LECO), satellite TV bills as well as make institutional and municipality payments.

The Bank continued to also benefit from the Customer Get Customer referral program introduced during the latter part of 2017. This program testified that many existing customers, who benefited from our banking model, were willing to introduce their families and friends to bank with us.

Our People

To enable the above achievements, Retail Banking focused its efforts towards engaging, energising and aligning the staff under its department. The structural segregation of Retail Deposits and Advances was instrumental towards giving focused direction, while the Bank also improved its alignment between Retail Advance CRM and the Head Office units. The decision to decentralise Business Development Officers to branches turned to be fruitful with greater alignment. Along with the Operations Department enhanced staff training was conducted on both service and model knowledge.



Opening of Self Banking Centre at Batticaloa



Opening of Self Banking Centre at Dharga Town



Opening of Self Banking Centre at Hemmathagama



Self Banking Centre at Malwana



Opening of Self Banking Centre at Mattakuliya



Self Banking Centre at Pulichchakulam



Opening of Self Banking Centre at Rajagiriya



Self Banking Centre at Ratmalana



Introduction of Doorstep Banking



Amāna Bank partnered with mCash to facilitate a convenient solution for payments

Business and Operations Review

BUSINESS BANKING

Business Banking Assets

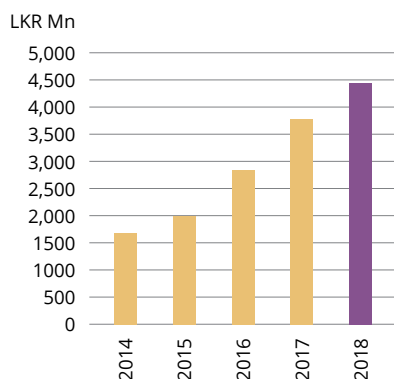
As a fast growing Bank, Amāna has continuously focused on financing Small and Medium Enterprises (SME) and emerging corporates. Standing by an important core belief of the Bank “that entrepreneurship should be encouraged and given a fair opportunity to succeed”, the Bank continued to focus on Business Banking facilities which made up 72% of gross advances (with the SME portfolio leading the way at 42% and Corporate portfolio accounting for the balance 30%) of the Bank. Due to the many challenges experienced during the year at both Macro and Micro economic levels, the Bank took a cautious approach towards progressing with new facilities for businesses. Despite this approach, the Business Banking portfolio recorded a consistent and impressive YoY growth of 24%.

Advances	2018 LKR '000	2017 LKR '000	Growth
Corporate Portfolio	16,486,377	11,139,206	48%
SME Portfolio	22,591,547	20,017,806	13%
Total	39,077,924	31,157,012	24%

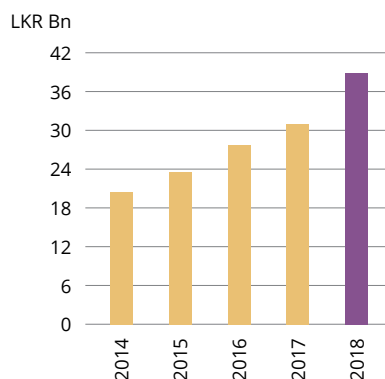
	2018 LKR '000	2017 LKR '000	Growth
Financing Income	4,329,232	3,669,698	18%
Net Fees and Commission Income	131,216	124,098	6%
Total Income	4,460,448	3,793,796	18%

Business Banking continued to be a key contributor to Bank's total income, contributing 58% of the overall amount, resulting in a YoY growth of 18%.

Business Banking Income



Business Banking Assets



Asset Quality

As a result of stringent credit evaluation and continuous monitoring by the Bank's dedicated staff, Business Banking has been able to maintain a healthy NPA ratio of 3.2% which is well below the overall industry average of 3.6% as at Q3 2018. During credit evaluation, considerable effort was made to understand the relevant business risks of the customer, identify the actual requirements and ascertain their repayment capacity. With the prevailing challenging economic conditions, close monitoring of credit facilities is extremely important, considering that the Bank, in line with its ethical business model, does not impose penalties, late payment fees, etc.

Corporate Deposits

Deposits from corporate customers saw an increase of 55% from the previous year's position with a healthy current and savings accounts mix, increasing its stake in the deposit portfolio of the Bank to more than 6% from 4.7% in the previous year.

Key Sectors

One of the Bank's strategies is to finance key economic sectors. This strategy includes financing the agriculture and fishing sector whilst the Bank also continued to make its presence in the services industry by funding sectors such as Education, Healthcare, IT, Tourism and Transport.

Corporate Banking

The Bank continued its focused and selective approach with corporate customers and played a leading role in financing several large projects related to Construction, Marine, Engineering, Sustainable Energy, Health and Agriculture. Corporate Banking being able to link up with several large institutions indicates the growing level of acceptance of the Bank's business model.

SME Banking

With the strategic focus of the Bank being SMEs, Business Banking channelled proper resource allocation to ensure that the SMEs are served promptly through its branch network. For this purpose SME financing operates through a regional structure. Business Banking also strived to serve SMEs beyond the branch command areas. The commitment of the Bank to SMEs was recognised when it was awarded the “Global Business Outlook Award – Best SME Bank in Sri Lanka” for 2018.

Commercial Leasing Unit

The Commercial Leasing Unit functions within Business Banking focusing towards expanding the SME portfolio. This unit caters to various SME sectors including Transport, Travel and Tourism, Distribution and Construction.

Despite fluctuations in economic conditions, the Commercial Leasing portfolio secured a growth of over 100% from the previous year, reaching a level of LKR 440 million, while maintaining a very low NPA ratio of less than 1%.

Trade Financing

The Trade Financing business grew during 2018, despite unfavourable market conditions. This growth in challenging times coupled with securing several Trade Financing business leads were made possible by Business Banking working closely with the Trade Services Department and Treasury and Financial Institutions, in providing business clients with convenient and speedy banking solutions. Further, the Bank has been able to provide both pre-shipment and post-shipment financing solutions to its business clients.

Project Financing

Several project financing facilities were considered during the year on a selective basis giving due consideration to economic conditions. A few expansive projects were

also approved during the year, out of which some are to be disbursed in 2019 due to pending preliminary work. The Bank was also involved for the first time in a transaction involving a subsidiary of a charitable organisation in providing bridging finance on the basis of project financing.

Cash Management

The Bank established a dedicated Cash Management Unit during the year that would deliver Cash Management products and develop strategies for Cash Management solutions, enabling customers to benefit from effective Cash Management in their business activities.

“Enterprise Sri Lanka” Programme

Yet another milestone was achieved by the Bank through participation in the programme launched by the Government of Sri Lanka (GOSL) themed “Enterprise Sri Lanka” that sought to inspire, assist and create a minimum of 100,000 new entrepreneurs by 2020 as well as to uplift existing entrepreneurs. This programme is intended to create a platform for entrepreneurial revolution that starts from the village and links Sri Lanka to global value chains through increased business for all.

In this regard the Bank entered into respective MOUs with the GOSL for the following schemes after obtaining all relevant clearances.



1. Jaya Isuru
2. Ran Aswenna
3. Green Loan
4. Rivi Bala
5. Govi Nawoda

By participating in this programme, Amāna Bank has been able to pass on the benefits provided by the GOSL to entrepreneurs engaged in selected key economic activities, in addition to becoming an active participant in the economic development of the nation. This aligns well with the Bank's strategic focus on those SMEs which are in the fields of manufacturing and factory modernisation.

Customer Engagements

Business Banking considers customer engagement as a pivotal aspect in understanding the customer's business requirement, expounding the Bank's business model, structuring suitable solutions and ensuring compliance with various requirements that would result in establishing a successful business relationship. In this regard several customer engagement sessions were conducted with the participation of in-house product specialists and scholars.

Product Offerings

The Bank is capable to provide business customers with Sharia compliant financial solutions through its comprehensive suite of products to meet various financial needs such as capital expenditure financing, working capital financing, project financing, import financing, export financing, trade services, etc.

During the year, the Bank with the guidance of the Independent Sharia Supervisory Council was able to develop an alternative solution for conventional Bill Discounting which would enable business customers with access to more liquidity.

Business Support

The Business Support Unit of Business Banking plays an important role in ensuring that an effective and efficient service is provided to customers. This unit concentrates on reducing turnaround time, increasing customer engagement, and as

Business and Operations Review

the first line of defence, ensures adherence to all aspects of the Bank's business model.

Future Outlook

★ Automated Credit Approval Process

The Bank is in the process of implementing an Automated Credit Approval Process during 2019, which would help streamline and improve turnaround time of facility approvals. This enhancement is also envisaged to result in less use of paper, thereby reducing our carbon footprint.

★ Business Deposit Mobilisations

During 2019, Business Banking will work towards increasing deposit mobilisation from business clients, through Cash Management solutions and other programmes.

★ Specific Focus on SMEs

In line with the Bank's strategic focus, Business Banking would strive to increase the SME segment's share of business during the coming years.

★ Increased Focus on Branch Network

During 2019, supported by improvements to the regional structure, there shall be more focus on the branch network to increase the Business Banking portfolio by extending its reach to the rural segment of the economy.

★ Catalyst in Upgrading Small Entrepreneurs to the Mid-Market Segment

The real success of a bank would be success of its customers. In this regard, the Bank would continue to strive at providing constructive support as a catalyst for upgrading SMEs to the Mid-Market segment.

★ Increase in Fee Based Income

Business Banking would pursue increasing fee based income, thereby further diversifying from funded income lines and also serving broader financial needs of customers.

TREASURY AND FINANCIAL INSTITUTIONS

Despite facing numerous challenges in the internal and external environment, Treasury continued its success in achieving strong financial results. The key challenges in 2018 were managing market volatility, liquidity and increased capital. Treasury was able to deploy the enhanced capital funds raised during 2017 effectively to maximise returns until such time these funds were to be utilised by business units.

Amāna Bank's Treasury followed a customer centric and integrated business model, in which all treasury products and services are offered by the Treasury sales team with support from the interbank desk and the relationship managers to deliver its services to all customers. Constantly working towards this goal, Treasury maintained a close rapport with the Retail Banking and Business Banking departments of the Bank, providing relevant market information, supporting client acquisition and proposing suitable instruments and solutions to meet client-specific needs.

Treasury supported the Bank's growth by actively managing liquidity and the balance sheet of the Bank, whilst ensuring the ideal pricing for its assets and liabilities. Treasury actively engaged in the activities of the assets and liabilities committee (ALCO) and regularly provided strategic direction for banking operations.

The implementation of IMAL R14 version upgrade; a fully integrated end-to-end processing system, has increased the competence of Treasury, while further enhancing the risk management process.

Treasury will continue to build on its strength to support and guide customers on exposure management in an increasingly challenging economic environment locally and globally, whilst continuing to enhance its product portfolio and invest the Bank's

proprietary funds to increase the yield on Treasury assets under management in 2019.

As at 31 December 2018, Treasury assets comprised of 22% of the Bank's total assets. Despite market volatility, Amāna Bank's Treasury continued to enjoy a strong outcome with total revenue of LKR 1.18 billion or 15% of the total revenue, through a combination of both funds based as well as non-funds based income.

The Financial Institutions (FI) Unit operates in cohesion with Trade Services, Treasury and Business Units of the Bank. The FI unit plays a pivotal role in establishing and maintaining Correspondent Banking Relationships whilst also serving as the principal point of contact for all Financial Institutions around the globe, thereby broadening the Bank's presence and enhancing its visibility globally. During the year under review, the FI department opened new Nostro accounts, in addition to strengthening its relationship with existing financial institutions by maintaining in excess of 50 Correspondent Banking Relationships. FI aims at instituting new relationships with foreign counterparties in an effort to further enhance and develop the Bank's Trade related business, Remittances and Treasury solutions.

STRATEGY MANAGEMENT AND PRODUCT INNOVATIONS DEPARTMENT

Strategic thinking and planning are the key elements used to ensure the design and implementation of the Bank's systems and processes, governance policies and sustainable business model are aligned to the market needs. The Bank's 5-year strategic plan implemented in 2015 resulted in significant enhancements to the business model resulting in transformational growth in the Bank's performance.

Annually, strategic priorities are derived at the strategic planning review session, where the Bank's direction is reflected upon. The discussions this year started with a kick-off

meeting in August 2018 with deliberations at branch and department levels on “optimization and opportunities with engagement of staff”. Subsequently, the Management Committee further deliberated the strategic directions and initiatives during the Management Committee retreat in September which was then presented to the Board in Q4 2018.

Focus on execution of strategies continued throughout 2018, through systematic tracking of performance in all key areas. The Board of Directors was updated of the progress on strategic goals and key strategic focus areas on a quarterly basis. The Management Committee discussed the progress of the Bank, at Monthly Performance Review meetings. In addition, based on the review of progress, appropriate measures were undertaken by the respective units to be aligned with the strategic plan.

Based on the business need, Product Innovations function, in collaboration with relevant business units, focused towards providing viable alternatives to financial solutions that exist in the market. Consequently, new innovative product offerings catering to the customers of the Bank as well as to un-banked and under banked segments of society were formulated, subject to Sharia and regulatory approvals.

BRANCH OPERATIONS

While developing a framework that explains the guidelines and mechanisms to monitor and control branch operations, the Bank made steady progress in ensuring that its strategic objectives were met. The Bank maintained its focus not only on preserving, but also expanding its reach in command areas.

Process Development/Improvements

In giving precedence towards forming a strong base that provides the gateway to a successful business transformation, the process development team has focused on

customer-service and cost-management as the key areas of concern. Notable developments that are central towards effecting transformation included:

- ★ Delivering SMS Alerts to Customers Notifying Account Transactions
- ★ Identifying and eliminating redundant processes at customer transaction level
- ★ Cost-savings on branch opening and combining Insurance (Takaful) covers for optimum benefit

In addition to the above progress, more initiatives have been lined up for implementation;

- ★ Relocating of the Card Operations Unit to Head Office to combine with Account Processing, which would reduce lead times
- ★ Simplifying documentation at account opening for customers
- ★ Setting up of a Tracking System with the assistance of an Administration Help Desk
- ★ Centralising despatch of Term Investment renewal advises.

Considering the challenging market conditions, branches were encouraged and supported to make progress and maintain the Bank's NPA below the industry level.

Branch Expansion/Relocation

Katugastota

In a bid to strengthen Amāna Bank's presence in the Central Province, the Bank embarked on the task of establishing its 5th branch in the region. The new branch was declared open in June 2018 in one of the busier towns of the region at Katugastota.

Main and Ladies Branches

The Main Branch along with the Ladies Branch was relocated in May 2018 to a new premise in close proximity to the previous location. The new premise will further enhance customer convenience,

both in terms of spacious accommodation as well as new products and services. In addition, customers can avail of the benefit of transacting with the Bank throughout the year as the main branch provides the convenience of 365-day banking.

Oddamavadi

All required preliminary work was completed during the year under review, and the Oddamavadi Branch moved to its new location in January 2019. The new premise has been designed and furnished to ensure that the quality of service to customers is enhanced. It consists of a spacious floor area and offers an array of banking services for an enhanced customer experience.



Amāna Bank's Katugastota Branch



Amāna Bank's relocated Main and Ladies Branch



Interior of Amāna Bank's relocated Main Branch

Business and Operations Review

Dehiwala Branch

With the objective of gaining advantage from the opportunities created by a rapidly growing market with high potential, the upper floor of the current Dehiwala Branch premises has been acquired by the Bank. Work is currently in progress, and the expansion, planned for 2019, is expected to widen the scope of services provided by the branch.

Quality Assurance and Service Quality Customer Complaints

To maintain a consistent level of service-quality and preserving the Bank's image is the responsibility of the Quality Assurance and Service Quality team.

This team has been formed at Head Office, and has initiated several training programmes for selected 'Service Leaders' who shall coordinate with the team at Head Office and report any customer complaints related to each branch.

In addition to the above approach, a Complaints Management System is envisaged to be implemented in 2019.

Telephone Protocols

To ensure uniformity across the branch network, a set of guidelines to be conformed to by all branches have been circulated.

An in-house dashboard monitoring system has been developed with the objective of communicating to all related business units about the significance of improving the standards of call answering.

Automated Channel Expansion

The Bank has embarked on a digitalisation strategy that would facilitate 24x7 banking beyond the traditional branch network. In upholding this strategy, the bank has so far established 14 Self Banking Centres and 6 offsite ATMs.

Staff Training and Performance Driven Culture

The Branch Operations has drawn deep attention towards providing effective staff training and conducting awareness programmes that will assist in meeting regulatory and compliance requirements, while concurrently keeping the Bank's staff up-to-date of the latest policies and procedures.

Amongst the initiatives successfully carried out during 2018 was the setting up of Regional training centres in the Central and Eastern regions. This will present the Bank with considerable savings in terms of time and costs.

Performance Incentive:

- i) Introduction of a dashboard that ranks Branches based on their monthly financial performance
- ii) Profitability drive by implementing an effective performance-based engagement model between head office operations department and branches
- iii) A proposal was recently implemented revising the Branch incentive scheme to motivate branch staff to further leverage business opportunities.

CENTRAL PROCESSING AND TRADE SERVICES

The Central Processing Unit (CPU) and the Trade Services Department have operated with a high degree of efficiency and effectiveness, supporting the front lines of the Bank. The Core Banking System of the Bank was upgraded in January 2018, from the EXE non- web version to a web based system. Many new features that support the 'Hub & Spoke Model' for better processing and operational support is now available. Process automation and optimization at the Central Processing Unit and the Trade Services Department (Back Office), continues unabated, under the new platform as well. Consequently, the need for additional staff

has been contained, despite an increase of 11% in the number of transactions, mainly due to the accelerated customer base acquisition, in line with the strategic plan of the Bank, along with one new branch that was opened in June 2018 and the increase in Imports at the Trade Services.

The branch network, with new products and services, were able to focus effectively on personalised customer service, due to the unstinted support given by the Back Office. It is pertinent to note that, the Central Processing Unit was awarded the 'Best Processing Support Unit' at the Annual Awards Ceremony of the Bank, in 2018.

The new Directions, Rules and Regulations, issued from time to time by the Central Bank of Sri Lanka, especially the new Foreign Exchange Act No: 12 of 2017, has been fully complied by the Bank. The high standards of discipline, good governance and professionalism sustained in the Back Office, reflects the best practices in the Banking Industry.

At the Trade Department, the payment of Import duty to the Sri Lanka Customs has been automated and the customers do not have to visit the Bank for Banker's Cheques, in this regard. The Bank has also automated the upload of information to the Central Bank Foreign Exchange Website, for the reporting of the Foreign Exchange sales and purchases, in batch files, which was previously done sequentially and manually, at the Trade Department and the Remittances Department.

The network of LankaClear (Pvt) Ltd. (LCPL), which facilitates the processing of the 'Inter Bank Cheque Clearing', was upgraded and the Bank's Core Banking System, jointly with the Maryland System which supports the interphase, has been developed to meet the requirements of LCPL. Hence, cheque clearing processing is now very efficient. The

increase in volumes of the cheques in clearing has been managed with the introduction of flexible hours of attendance for the staff.

The Lanka Financial Services Bureau (LFSB) for SWIFT Operations, upgraded their web based platform and the Bank catered to their requirements and enabled the system changes; thereby supporting the back office processing of SWIFT messages.

Inward Remittances have significantly increased by making new arrangements with the Overseas Exchange Houses and Banks; the latest being a tie up with Seylan Bank Colombo (Seycash); who have a network of agents in the Middle East region. The back office has enabled its processes and systems, to facilitate the above customer remittances.

At the request of the Wayamba University of Sri Lanka, a field visit for the B.Sc. Banking and Finance undergraduates was accommodated. The students were able to observe and understand the back office operations; in a Bank that adopts the Hub & Spoke Model.

The recruitment of outsourced staff for Data entry purposes at the Account Processing Unit resulted in the successful training of youngsters 'hands on' and in-house. Some of them have been identified for permanent employment in future; where necessary. The transfer of identified Staff to other Departments and the rotation of Staff Members within the CPU and Trade Services Department continue for personal development and enhancement of their careers.

In addition, all 'Operational Procedure Manuals' in the CPU and Trade Services Department have been revised, recommended and approved by the relevant Board Sub-committee/ Management Committee.

The percentage increase in transactions for the year 2018 is given below:

Central Processing Unit and Trade Services	Percentage Increase in Transactions
Clearing – Inward and Outward Cheques	7%
Account Processing and Ancillary Services	10%
Cash and Remittances	38%
Treasury Processing Unit	50%
Trade Services Department	13%
SWIFT Operations	24%

OFF SHORE BANKING UNIT

Leveraging on seven years of experience, Amāna Bank provides improved off shore banking services for overseas investors as well as for local companies registered under the BOI Act. The Bank provides complete banking solutions in order to carry out transactions in designated foreign currencies for the following entities;

- ★ Locally incorporated companies approved under Section 17 (2) of BOI Act
- ★ Exchange houses
- ★ Offshore companies
- ★ Non-resident individuals

This unit facilitates the full spectrum of financial services including:

- ★ Foreign currency accounts
- ★ Foreign currency financing
- ★ Trade related transactions

INFORMATION TECHNOLOGY

The year 2018 has been a significant year in terms of the development of the Bank's Information Technology (IT) strategies. The most notable achievement during the year was the upgrade to the core banking system which was completed successfully. With the upgrade, the Bank has taken significant strides towards the objective of delivering secure and cost-effective technological services to our customers. The highlights of the year's efforts revolved around efficiency, convenience, reach and security.

Efficiency

Improvements were implemented to the internal process to cater to customers' needs more efficiently. The channel of communicating the PIN and Password for Internet Banking had been shifted from traditional methods to an SMS, thus, reducing the lead time drastically. Furthermore, catering to the growing dynamic needs of the business, IT has upgraded its infrastructure to the latest virtual technology. In addition, the infrastructure for Internet Banking at the disaster recovery site was also enhanced enabling business continuity in the unlikely event of any disruption at the data centre.

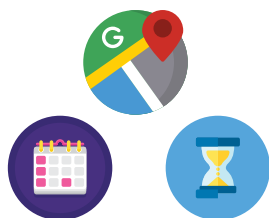
Convenience

The mobile and internet banking applications were revamped to enhance customer convenience and meet evolving banking needs. Customers now have the luxury of carrying out their transactions 'on the go'. Cash can be deposited at any time with the implementation of Cash Deposit Machines (CDMs) at the branches and

Business and Operations Review



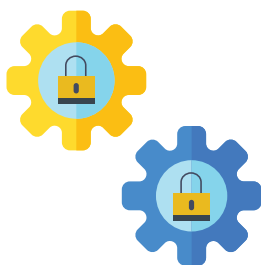
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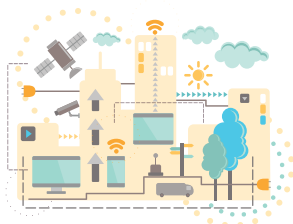
CONVENIENCE



REACH



SECURITY



FUTURE

Self Banking Centres, besides which, they could also settle their utility bills by visiting branches.

Reach

Through the implementation of the Remittance platform and partnering with exchange houses, the Bank is able to serve a larger segment of its customers resulting in an increased flow of remittances into the country.

Security

To enable a better and secure Society for Worldwide Interbank Financial Telecommunication (SWIFT) network, the Bank upgraded its systems and is now directly connected with SWIFT and has met compliance requirements of the Customer Security Program (CSP) framework initiated by SWIFT Inc.

Moreover, the introduction of Security Information and Event Management (SIEM) solutions has enabled the Bank to align itself with technology-standards that benefit the customers while meeting regulatory compliance and ensuring IT security risks and threats are being monitored.

In order to ensure consistency of secure IT services the Bank successfully obtained the certificate awarded for ISO/IEC 27001:2013 after the completion of an independent surveillance audit. This is indeed a noteworthy achievement, demonstrating the soundness of the Bank's Information Security Management System.

Future

Looking ahead, Amāna Bank aims to invest in advanced technology and relevant training programmes that would position it to seize opportunities in the future. Towards this, the Bank has formed a dedicated team with a high level of expertise which will drive the digitalisation journey in the future, resulting in innovative service offerings.

MARKETING AND CORPORATE COMMUNICATIONS

Amāna Bank continued its marketing and corporate communication activities along the lines of the Bank's strategic focus with a commitment to generate an above average Return on Marketing investment. As part of its image strategy, the Bank emphasised on ensuring consistency and uniformity in all communication activities, reinforcing the 'open to all' image, thereby being both relevant and appealing to all Sri Lankans. Embracing a very selective media strategy, the Bank continued to reap success in its marketing communications within a scattered and intense media space. Having established a culture of measuring effectiveness of its marketing investments, the Bank has been successful in instilling a learning culture on key success factors and areas for improvement. In addition to strengthening the core brand through various corporate campaigns, the Bank carried out promotional campaigns giving prominence to the variety of products and services offered with high visibility in selected media.

Several campaigns were also executed for the new products and services launched by the Bank, which included the launch of Business Plus, Doorstep Banking & Self Banking Centres, Year-round campaigns were carried out during 2018 to promote the Flexi Term Investment account, Savings Plan as well as the Bank's high paying term investment accounts.

Further product specific promotions were carried out to promote the Bank's Children's Savings & Ladies Savings Accounts. In order to encourage parents to start saving early for their children, the Bank initiated a promotion to celebrate the joyous occasion of a new born, where the Bank gifted Children's Savings Account with a pre-loaded balance of Rs 500/-.

The Bank also held its inaugural Kids Carnival at Sathutu Uyana in lieu of the World Children's Day on the 13 October 2018 with the participation of over 2500 kids and parents. Every child who attended the carnival along with their parent or guardian was able to enjoy all rides and attractions at the park free of charge.

Further a promotional campaign was launched by partnering up with a host of merchants to promote the Bank's Debit Card during the festive seasons.

The Bank also took steps to aggressively promote its financial offerings such as Leasing, Housing, Education, Solar & Small Asset Financing products to the market by investing heavily on both traditional and digital mediums. In order to create awareness on solar financing, the bank produced and published an animated video, which went viral in social media. Whereas, to support the Bank's Gold Certificate Financing business, the Bank continued to execute a targeted marketing campaign across the branch network with a stronger focus on below the line communications.



Inaugural Kids Carnival at Sathutu Uyana

The Bank continued to invest heavily in digital media to grow its communication reach to a wider and new age audience. The Bank grew its presence in social media through Facebook, Twitter, Instagram, YouTube, and LinkedIn while also maintaining a strong web presence. The Bank also carried out novel engagement programs on Social Media, including a campaign on Father's Day under the title 'Dear Dad', to remind society that father's day is not to be celebrated on one specific day, but rather everyday throughout the year. With viral videos being well accepted in a digital age, the Bank produced and published two informative animated videos to promote the Bank's Savings Plan Account and Solar Financing. In addition to such product videos, many similar videos were produced to create awareness of the unique banking model. The Bank also established a Whatsapp Customer Broadcasting Platform to communicate to its customers.

The Bank continued to partner with the Sri Lanka Islamic Banking and Finance Industry (SLIBFI) Conference, which brought together the local Islamic banking industry



Inaugural Kids Carnival at Sathutu Uyana

to one forum to share knowledge and expertise in driving the industry forward. With an objective of promoting the growing non-interest based banking model in the South Asian region which has firmly taken root in Sri Lanka, Pakistan, Bangladesh and Maldives, Amāna Bank also partnered the third edition of the Islamic Finance Forum of South Asia as its Lead Banking Partner.

The Bank once again joined hands for the 2nd consecutive year with the Sri Lanka Gem and Jewellery Association to be its Official Banking partner for FACETS 2018, Sri Lanka's largest and pinnacle International Gem and Jewellery Exhibition. Held for the 28th consecutive year, the 2018 edition of FACETS took place from 30 August 2018 to 02 September 2018 at the BMICH.

The Bank also partnered many other events as sponsors, including 11th Industrial Excellence Awards, CIMA Business Leader Summit, SLIM Marketers Summit, Ramazan Expo 2018, Zahira College - Super 16 Soccer 7s 2018, Pathfinders Family Funday and Kids Talent Show, Royal College 63rd Islamic Day, Sri Lanka Independence Day Celebrations in Saudi Arabia and the MyBiz Forum for SMEs.

KNOWLEDGE MARKETING

With a view to educate and create awareness amongst the public and generate interest on its unique banking model under the arm of its Knowledge Marketing Department, the Bank continued to conduct many public awareness programmes along with the Sharia Supervisory Department. In addition to creating awareness, the knowledge marketing function, also contributed towards showcasing that our banking model is open to all communities.

Many workshops and seminars were held in different parts of the country with the participation of scholars, customers and students under the subject 'Understanding the Practice of Non Interest Based Banking'. Further, to clarify many misconceptions and



Official Banking partner for FACETS 2018



Silver Sponsor for Zahira College - Super 16 Soccer 7s 2018

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to portray differences in the model compared to conventional banking including highlighting its people friendly features, the Bank launched a series of informative animated videos to educate the general public. These videos were promoted heavily through digital mediums, and were well received both locally and globally. Videos were released to cover topics such as how Islamic banking is different to conventional banking, how does trade based financing (Murabaha) work?; how does vehicle financing (Ijara) work?; how does savings and term investment accounts (Mudaraba) work?; and how does home financings (Diminishing Musharaka) work?

Further, the Bank was invited for many public forums to present its novel banking concept, thereby educating a larger audience on the benefits of non-interest based banking.



DO YOU KNOW HOW WE ARE DIFFERENT?

We have a different approach to banking which is unique and people friendly. Scan and watch this video to find out more, and share it with your family and friends.



ARE YOU LOOKING FOR A LOAN TO BUY A LAPTOP?

Sorry! We do not give loans. But we can help you with a more people friendly solution. Want to know how? Scan and watch this video to find out more, and share it with your family and friends.



LOOKING TO PURCHASE A VEHICLE?

Why don't you try our hassle free rental based model which is bundled with many people friendly benefits? Scan and watch this video to find out more, and share it with your family and friends.



DREAMING OF A PLACE TO CALL HOME?

We are ready to partner with you to help you achieve this dream. Scan and watch this video to find out more and share it with your family and friends.



ARE YOUR EARNINGS RESTRICTED BY OFFERING FIXED RATES?

As our investments are based on profit sharing your earnings are not restricted. Scan and watch this video to find out more and share it with your family and friends.

AWARDS AND ACCOLADES

Best Islamic Financial Institution in Sri Lanka - Global Finance World's Best Islamic Financial Institutions Awards 2018

For the fifth consecutive year, Global Finance Magazine adjudicated Amāna Bank as the Best Islamic Financial Institution in Sri Lanka at the World's Best Islamic Financial Institutions Awards 2018 held in USA. All Global Finance award winners are picked through a rigorous process of extensive consultations with bankers, corporate finance executives and analysts throughout the world.

Best Islamic Bank in Sri Lanka by The Banker

The Banker has been carrying out Islamic Banker of the Year Awards for the last nine years and included Sri Lanka as a new market in its 2016 awards, an indication of the continued global spread of the Islamic banking industry. Amāna Bank was adjudged the Best Islamic Bank in Sri Lanka award by The Banker for the third consecutive year in 2018.

Gold Award for Islamic Bank of the Year in South Asia at IFFSA Awards 2018

The Bank was awarded the Gold Award for 'Islamic Bank of the Year in South Asia' at the IFFSA Awards 2018. In winning the award, Amāna Bank overcame competition from leading Islamic banking practitioners in Pakistan, Bangladesh, Maldives and India.

Bronze Award for Islamic Finance Entity of the Year at IFFSA Awards 2018

The Bank was awarded the Bronze Award for 'Islamic Finance Entity of the Year' at the IFFSA Awards 2018.

Bronze Award for Islamic Finance Product of the Year (Apartment Financing) at IFFSA Awards 2018

The Bank was awarded the Bronze Award for 'Islamic Finance Product of the Year' at the SLIBFI Awards 2018. The Award was adjudicated for the Bank's innovative Apartment Financing Solutions.

Global Business Outlook Award – Best SME Bank in Sri Lanka

The Bank was awarded the 'Best SME Bank in Sri Lanka' at the Global Business Outlook Awards 2018.

Global Business Outlook Award – Best Islamic Retail Bank in Sri Lanka

The Bank was awarded the 'Best Islamic Retail Bank in Sri Lanka' at the Global Business Outlook Awards 2018.

Best Islamic Banking & Finance Brand in Sri Lanka by The Global Brands Magazine

The world renowned 'Global Brands Magazine' once again recognised Amāna Bank as the Best Islamic Finance Brand in Sri Lanka for the 2nd consecutive year. Amāna Bank was awarded this honour for their exceptional commitment to Innovation, Quality, Branding Activities, Customer Service and Performance in Sri Lanka.

Gold Award for Islamic Finance Campaign of the Year at SLIBFI Awards 2018

The Bank was awarded the Gold Award for 'Islamic Finance Campaign of the Year' at the SLIBFI Awards 2018 which was adjudicated by the Chartered Institute of Marketing. The Award was given in recognition for the Bank's marketing campaign done for its Children's Savings Grow Your Balance promotion.

Silver Award for Islamic Finance Entity of the Year at SLIBFI Awards 2018

The Bank was awarded the Silver Award for 'Islamic Finance Entity of the Year' at the SLIBFI Awards 2018.

Gold Award for Islamic Finance Product of the Year at SLIBFI Awards 2018

The Bank was awarded the Gold Award for 'Islamic Finance Product of the Year' at the SLIBFI Awards 2018. The Award was adjudicated for the Bank's innovative Apartment Financing solutions.

LMD Top 100

The LMD 100, has been ranking the Top Sri Lankan listed corporates for the last 25 years. Ranked at 95th position, Amāna Bank is the youngest listed company to be among the LMD 100 in 2018.

LMD's Top 100 Most Valuable Brands

Amāna Bank continued to be ranked amongst LMD's top 100 Brands for 2018. The ranking index was published in a

special issue by Brands Annual magazine, which is presented by Brand Finance along with Media Services, the publishers of the renowned LMD Magazine.

AMĀNA BANK AWARDS 2018

The Bank held its Awards Ceremony at the Bandaranaike Memorial International Conference Hall. Held under the theme 'Rewarding Excellence', Amāna Bank Awards 2018 recognised the high performing individuals and branches during the aforementioned period. The event was held under the patronage of the Bank's Chairman Osman Kassim, along with the participation of the Board of Directors and the members of the Management Committee. Role based Individual Awards were bestowed to recognise the Best Business Development Officers, Customer Relationship Managers, Assistant Branch Managers and Branch Managers. Grade based awards were dedicated towards recognising the best talent within each grade including those in the Office Assistant grade. Branches were recognised in terms of Best Deposit Mobilisation Branch, Best CIF Branch, Best Ladies Unit, Best New Entrant Branch and Best Overall Branch. The Bank's Akurana Branch walked away with the Gold Award for Best Overall Branch for the second consecutive year while Puttalam Branch was bestowed the Silver.

In recognition and appreciation of staff members who have rendered over 10 years of service during Amāna's journey since its formative years, the Bank presented 55 long standing employees with the 10 Years of Service Award.

The Bank's support units were also separately recognised. Further, the Bank availed a series of qualitative awards which went on to honour the Best Sports Team, Best Sports person, the Best Project Implementation and the Most Innovative

Solution. With a view to encourage excellent service across the Bank, the ceremony also recognised exceptional service moments by awarding the Best 'We Care' Moment.

The highlight of the ceremony was the presentation of the CEO Award, given to the most outstanding employees of the Bank for their unwavering display of dedication, passion and going beyond the call of duty. The recipients of the prestigious CEO Award at Amāna Bank Awards 2018 were Zakir Hisham of Prestige Banking, Nishath Nawaz of Operations and Chandana Dissanayake of Central Processing Unit.



Gold Award at IFFSA Awards 2018



Gold Award at SLIBFI Awards 2018



CEO Award Winners at Amāna Bank Awards 2018

HUMAN RESOURCES MANAGEMENT REVIEW

The Human Resources (HR) function continued to align its strategies with the overall Strategic Plan of the Bank through various initiatives and programmes carried out during the year. Whilst ensuring that the staff remained trained and motivated to face existing and future challenges, the Bank also strengthened its staff rewards scheme in line with its performance driven and market based rewards strategy. To this effect, a series of activities were rolled out which are detailed below.

TALENT MANAGEMENT

The Bank recognises the importance of a comprehensive talent management process, which is also linked to a robust succession planning process. This includes identifying high potential employees who can be groomed through tailored career development plans to fill critical and challenging positions against immediate and future business needs. HR plays an instrumental role in securing the future success of the Bank. In doing so, the function is guided by its long-term vision of working in partnership to create an environment where employees can thrive and are empowered to deliver sustainable performance.

With the aim of creating a performance-driven culture, the Bank empowered its employees by providing them with the means to perform to their fullest potential. A diverse workforce and an inclusive culture have paved way for employees sharing their perspectives that in return has assisted the Bank towards innovative thinking.

Our Talent Strategy

The engagement of our employees is a key determinant to our success. With the combined effort of over 900 staff, the Bank has progressed in keeping up with the vision, mission and strategic goals that ensures prosperity of our customers whilst contributing to the economy at large.

The significance of creating a different workforce has been clearly evident to the Bank, which has encouraged employees to continuously strive towards being the best they can be and create an inclusive environment where all employees are valued and recognised.

HR has developed an environment where employees are motivated towards learning and creating realistic career goals, in addition to promoting the identity of the Bank. Over the past year, the department has extended its focus towards ensuring that employees are well equipped with the essential skills needed to meet future challenges with confidence.

Amāna Bank offers a range of opportunities to the employees including mentoring, coaching and focus group discussions. The Bank continues to concentrate on talent development through:

- ★ engaging careers with opportunities for growth
- ★ investments in learning and development to enhance knowledge, skills and capabilities
- ★ competitive compensation and benefits
- ★ diversity and inclusion

The delivery of professional HR services is designed to positively impact business results. These include bringing HR's knowledge of human capital trends to support the Bank's 5 year Strategy and to provide access to the skills required. There has also been a particular focus on demographic trends and how they affect the organisation. The Bank is developing workforce management solutions to optimize the balance between supply and demand for capabilities, and to manage the cost and employee base more efficiently and effectively in the long term. One of the key aspects is enabling employees to develop the skills necessary to take up new roles within the organisation with the

Bank supporting internal, cross-divisional career mobility by identifying redeployment opportunities and offering training and development. In addition to supporting the execution of strategic measures, internal mobility allows employees to have more diverse and fulfilling careers. At the same time, the Bank seeks to add to the skills of its workforce and to position itself as an employer of choice - one that rewards sustainable performance and offers a comprehensive range of benefits.

STAFF STRENGTH - BY GRADE (31.12.2018)

Category	No. of Employees	%
Management Committee	11	1.2
Assistant Vice Presidents	5	0.6
Senior Managers	19	2.1
Managers	116	12.7
Executive Officers	188	20.6
Junior Executive Officers	299	32.8
Banking Associates and Trainee Banking Associates	148	16.2
Business Development Officers	118	13.0
Office Assistants	7	0.8
Total	911	100.0

STAFF STRENGTH - BY AGE

Category	No. of Employees	%
61 and Above	11	1.2
51-60	28	3.1
41-50	95	10.4
31-40	220	24.2
21-30	491	53.9
20 and Below	66	7.2
Total	911	100.0

NEW RECRUITMENTS - BY AGE GROUP

Age group	No. of Employees	%
Over 50	6	1.8
30-50	31	9.3
Under 30	297	88.9
Total	334	100.0

NEW RECRUITMENTS - BY REGION

Region	No. of Employees	%
Western	214	64.0
Eastern	61	18.3
Central	29	8.7
Other	30	9.0
Total	334	100.0

LEARNING & DEVELOPMENT

The HR Department recently revamped the Training Unit to a Learning & Development (L&D) model that is closely linked with the talent management division of the Bank. This programme was based on the KSA (knowledge, skills, and abilities) Model.

Our approach to learning and development is based on training needs analysis, talent pipeline development and succession planning with critical components being:

- ★ to adapt individual career development plans for the talent pipeline
- ★ to carry out specific training programmes based on needs
- ★ to make awareness of mandatory regulatory requirements
- ★ to carry out leadership, executive & managerial development programmes, which includes soft skills development
- ★ to tailor retail banking training, especially at grassroots level and conduct outbound training sessions covering staff of business and support service units of the bank.

In terms of training content, a key area of focus during the year, was creating awareness on all regulatory frameworks and guidelines applicable to staff and maintaining the learning initiatives standard.

In addition, the HR Department also focused on professional & leadership development, which is a process of enhancing skills and knowledge, including job mastery and professional development coupled with career planning activities such as:

- ★ professional development and Executive development programme
- ★ leadership development training
- ★ outbound training sessions

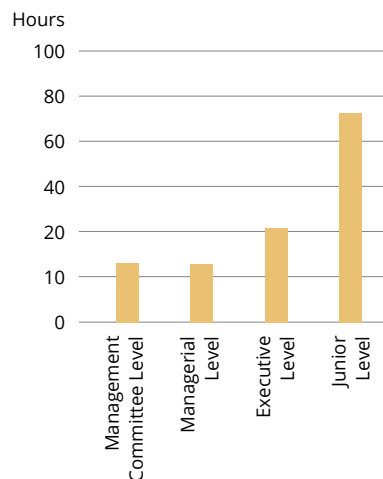
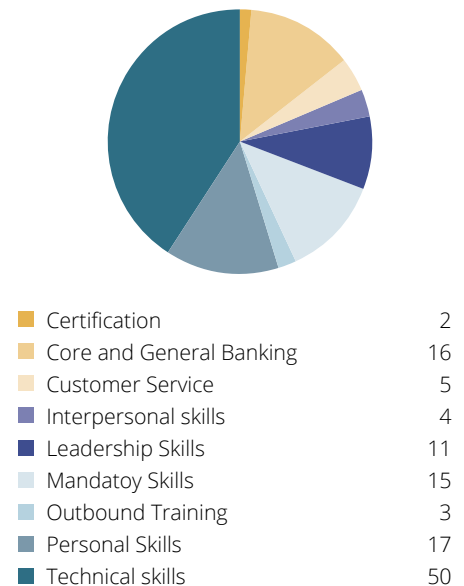
Professional development, which is an ongoing process, relates to staff encouragement and support in reviewing and re-assessing individual deployment goals aligned to the Bank's objectives.

The L&D Unit played a key role in uplifting the competencies of the Bank employees, through the scheduling of learning activities and allowing access to learning resources, while also providing them with valuable feedback.

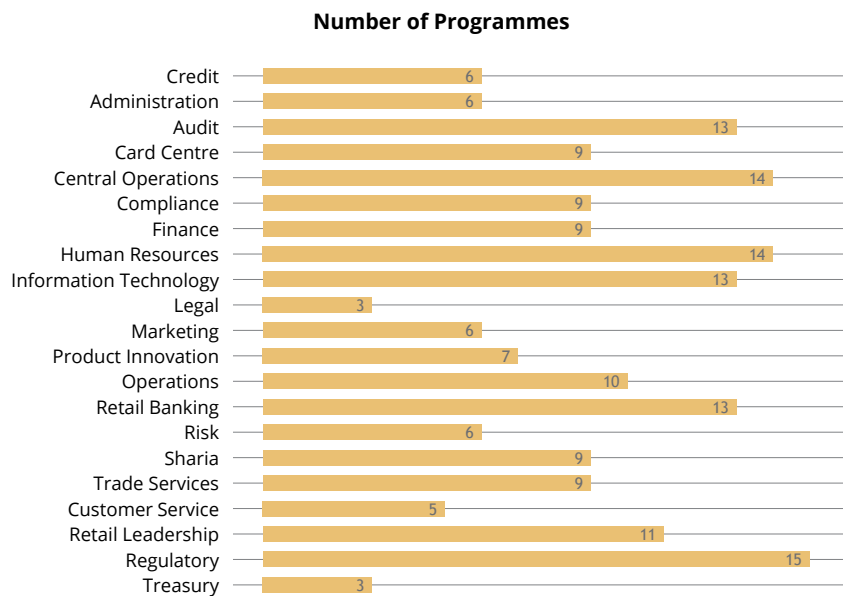
The year 2018 was a significant year for L&D with an average satisfaction score of 89% along with 1,920 man-days completed by 31 December 2018.

Below is a snapshot of the achievement of L&D Unit in 2018.

Employee Category	Average Hours of Training
Management Committee Level	22.0
Managerial Level	21.5
Executive Level	34.9
Junior Level	77.2

Average Hours of Training**Training Skills Matrix**

Human Resources Management Review



COMPENSATION & BENEFITS

Amāna Bank continuously strives to ensure staff have been recognised and well rewarded for their tireless services delivered to their stakeholders. The Bank believes Human Capital is its most valued asset. The compensation and benefits policy has been designed in order to attract and retain the best talent.

The compensation and benefits policy of the Bank has been structured in order to create a platform for better employee engagement and enrich lives of staff. Several measures have been taken to ensure that the benefits policy of the Bank is on par with industry standards by appropriately enhancing allowances and facility schemes for respective staff grades.

PERFORMANCE MANAGEMENT

The performance management cycle ensures that all employees at Amāna Bank undergo regular appraisals of their key performance indicators which enhances their performance as well as their career development. Goal setting and formal

feedback is provided on a bi-annual basis to the executive cadre and once a year to the Non-Executive cadre, whilst continuous feedback is encouraged.

The process has been fortified by the need to live by the values of Amāna Bank, enable identification of high performers and successful employees and also helps identify and enhance required skills of individuals who require assistance to achieve their key performance indicators. It is also noteworthy that the appraisal process encourages employees to contribute to the objectives of the Bank at large, as opposed to the business unit or functional unit they belong to.

Consequent to the resilient performance posted by the Bank in 2018, the Human Resource Department will continue to add value by reviewing its existing policies and procedures to identify areas for improvement and implement suitable strategies to enhance the value of our human capital which is pivotal for the growth of the Bank in the years ahead.

AMĀNA BANK SPORTS CLUB

Amāna Bank Sports Club (ABSC) was established in 2011 with the objectives to encourage team spirit, foster improved employee relationships, and facilitate the Bank's participation in external sporting events.

Since then the ABSC has conducted many recreational and sports activities which has improved team spirit, employee relationships and sportsmanship. Further the sports club facilitated the teams and individuals representing the Bank to participate in many mercantile sports tournaments.

2018 was a remarkable year for ABSC as our teams and individuals excelled in the following tournaments to keep the Amāna Bank flag high.

- ★ Amāna Bank emerged Champions at the Mercantile B-Division Football Knockout Tournament 2018.
- ★ Amāna Bank emerged Cup Runners-Up at the Mercantile 7-a-side Football Tournament 2018.
- ★ Amāna Bank emerged as Runners-Up at Mercantile E-Division Cricket Tournament 2018.
- ★ Mr. Irshard Othman and Mr. Gazzali Ghouse, became back to back Champions at the Mercantile Tennis Tournament in the Senior Over 45 Men's Doubles category. Meanwhile, the duo also teamed-up for the Senior Over 35 Men's Doubles category and ended as worthy Runners-Up. The team was positioned 5th in the overall ranking.



Executive Development Programme in progress



Executive Development Programme in progress



Certification Course on the Sharia Banking model for front-line staff



Collaborative Leadership workshop for Senior Management



Champion Football Team



Personal productivity workshop



Collecting the Mercantile B-Division Football Championship Trophy



Outbound training programme for Eastern Region staff



Outbound training programme for Retail Credit staff



The Tennis Team which emerged overall 5th place in the 2018 Mercantile Tennis Tournament



Our unique product solutions inherently value the customer's needs. That's why our solutions continue to enrich the lives of our customers.

OPTIMIZING OUR
PRODUCT SOLUTIONS

REPORT ON SHARIA SUPERVISION

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

By the Grace of Almighty Allah, the year under review marks the seventh full year of commercial operations for Amāna Bank PLC.

During the year, the Sharia Supervisory Council (SSC) of the Bank held three Sharia Council meetings to review various products, product modifications, concepts, transactions and processes including the approval of one new product.

NEW PRODUCT APPROVED BY SSC DURING THE YEAR

1. Alternative to Discounting under Ujr and Wadi'ah Yad Dhamanah

PRODUCT CERTIFICATES REVIEWED AND APPROVED BY SSC DURING THE YEAR

1. Current Account
2. Diminishing Musharaka
3. Express Cash
4. Ijara
5. Istisna
6. Mudaraba
7. Murabaha
8. Musharaka
9. Service Ijara
10. Thijara
11. Wakala

PRODUCT BOOKLET DEVELOPED BY SHARIA SUPERVISION DEPARTMENT

1. Developed a Booklet for Assets and Liability Products of the Bank during the year

SHARIA GUIDELINES/POLICIES REVIEWED AND APPROVED BY SSC DURING THE YEAR

1. Sharia Policy on Treatment of the Charity Fund
2. Sharia Guidelines on Inspections
3. Sharia Guidelines on Murabaha Transactions

SHARIA REVIEW AND COMPLIANCE PROCESS

To ensure that revenue generated by the Bank adheres strictly to conjunctions of the rules and principles of Sharia, the Sharia Supervision Department actively assessed various operational activities throughout the year. Credit approvals, restructuring of financing facilities, customer specific transaction process flows, text of Letters of Guarantee and Sharia documents were reviewed to ensure Sharia compliance whilst offering financing products to the customers.

The Sharia Review function plays a vital role in achieving the objective of ensuring Sharia compliance by evaluating adherence to the rules and principles of Sharia in all activities undertaken by the Bank.

The Sharia Supervision Department focuses on matters pertaining to the rules and principles of Sharia, enabling the facilitation of smooth operations whilst ensuring Sharia compliance at all levels in the Bank.

Income generated from customer advances via retail and business banking transactions that were reviewed are as follows:

Income Generated from Retail Financing (LKR '000)	1,804,401
Income Generated from Business Financing (LKR '000)	4,329,233
Number of Transactions Performed	11,701
Number of Transactions Reviewed	11,701
Total Gross Advances as at 31 December 2018 (LKR '000)	53,906,267
Gross Non-Performing Advances Ratio (%)	2.8

Moreover, physical inspections were conducted on a random basis and measures were taken to verify the relevant purchase evidences/invoices, further enhancing the controls.

All financing granted using various products during the year were reviewed by the Sharia Supervision Department and their alignment with the guidelines issued by SSC was also verified.

Report on Sharia Supervision

The process and the scope of the review included the following:

- ★ invoices and other related purchase evidences were verified by confirmations and the existence of suppliers was also confirmed by visiting their premises on a sample basis.
- ★ genuine purchase evidences were provided to execute Murabaha transactions so that Murabaha disbursements are not availed to set-off previous balances with the supplier and Murabaha Status Sheets.
- ★ Sharia documentation, security documents and procedures followed by different functional areas for Local Murabaha, Import Musawama/ Murabaha, Extended Murabaha, Ijara (Leasing), Diminishing Musharaka, Musharaka, Istisna, Thijara, Wakala, Education Financing, Travel Financing, Solar Financing, Express Cash and Gold Safekeeping Facility.
- ★ declarations, description of assets, relevant purchase invoices, sequence and order of the documents and time difference between purchases and declaration in Murabaha.
- ★ purchase deeds, treatment of ownership related cost and recovery of rentals in Ijara transactions, ownership ratio in Diminishing Musharaka facilities and issuance of timely unit sale receipts.
- ★ investments made in Equity with reference to the Equity stock screening criteria.
- ★ import finance transactions and related documentation.

- ★ extensive reviews of customer payment, purchase cycle and periodic assessment of customers' processes.
- ★ profit Sharing Ratio, Mudaraba pool working and the applicable profit allocation for deposit products.
- ★ treasury placements with other Islamic Financial Institutions and Window Operations.

ONLINE SHARIA COMPLIANCE PROCESS

Sharia Supervision Department carries out Sharia review of all Murabaha transactions executed on a post transaction basis, as well as sample based spot reviews. The Sharia review process is carried out to ensure Sharia compliance of all transactions and also to build a zero tolerance culture within the Bank to Sharia non-compliance.

In order to streamline and make the Sharia compliance process effective & efficient, the Bank implemented an Online Sharia Compliance Process, which essentially is a live compliance process. The Online Sharia Compliance Process takes place at the fund disbursement and deal creation stages of all Local Murabaha, Extended Murabaha, Import Murabaha/Musawama transactions of branches and relevant departments.

REVIEW OF MARKETING & COMMUNICATION ACTIVITIES

All Marketing & Communication activity materials were reviewed by the Sharia Supervision Department to ensure such activities of the Bank adhere to the rules and principles of Sharia.

MURABAHA STATUS SHEET

A system for continuous monitoring of Murabaha Transactions is in place whereby the branches extending Murabaha financing are required to submit a monthly report after thorough review by the branch/ department head, to the Sharia Supervision Department for review and continuous monitoring of Murabaha Transactions to avoid any Sharia non-compliance.

TRAINING AND DEVELOPMENT

During the year, 12 internal Sharia training sessions were held in which 332 employees participated. These programmes were conducted with the objective of enhancing the knowledge and skills of staff members on the rules and principles of Sharia and Sharia documentation related to the respective contracts.

During the year, the Sharia Supervision Department focused on increasing the level of awareness amongst the key stakeholders on Islamic Banking, products offered by the Bank and to inculcate the values of Islamic banking. In this regard 18 external programmes were conducted for Sharia scholars, customers, university lecturers, teachers, students and the general public. The total participation at these programmes was 1,182.

Programme	Audience	No. of Sessions	No. of Participants
Internal			
Introduction to Islamic Banking-Our Model	Newly Recruited Staff	7	201
Sharia Principles of Amāna Bank Products	Newly Recruited Customer Relationship Managers	1	6
Principles of Islamic Banking and Amāna Bank Products	Call Centre Staff	1	20
Amāna Bank Certified Islamic Banker Level-1	Business Development Officers	2	80
Islamic Finance Awareness	Senior Management	1	25
Subtotal		12	332
External			
Awareness Program on Islamic Finance	Prominent Sharia Scholars	2	45
Awareness Program on Islamic Finance & Amāna Bank Products	Sharia Scholars, Academics, Students, Customers and General Public	16	1,137
Subtotal		18	1,182
Total		30	1,514

SHARIA RISK MANAGEMENT COMMITTEE

The Sharia Risk Management Committee (SRMC) is a Sub-Committee of the Bank's Management Committee that was established to discharge the responsibilities of management on Sharia Compliance. During the year three SRMC meetings were held in order to take up matters relating to Sharia Review, Compliance and Risk.

REGIONAL SHARIA REVIEW UNITS

The regional Sharia units in the Central and Eastern regions play a significant role towards accomplishment of the objective of ensuring Sharia compliance at all levels through 100% review of transactions and facilitating smooth operations in a timely manner.

SHARIA ADVISORY SERVICES

Internal Support

Sharia Supervision Department provides advisory services on structuring of products and transactional processing on an on-going basis, based on existing guidelines and resolutions made by the SSC. Issues encountered would be escalated to the Executive Committee of the SSC based on the complexity of the issue. All such advisory provided by the Sharia Supervision Department are tabled at the subsequent SSC meetings and ratified by the SSC.

The Sharia Supervision Department also reviews Credit Memorandums on pre-approval basis of both new proposals as well as at annual reviews of facilities to ensure that the most appropriate product is provided to the customer.

Number of Advisory Provided by the Executive Committee of the Sharia Supervisory Council	5
Number of Advisory/Clearances Provided by the Sharia Supervision Department based on existing guidelines and resolutions	420
Total	425
Number of Credit Memorandums reviewed by the Sharia Supervision Department	190

External Support

The Bank continues its Sharia Advisory Services to a public listed company engaged in commodity brokerage, in order to structure their financing operations to be in compliance with Sharia principles.

In this regard, the Bank provides Advisory Services for Product Development, Transaction Structuring, Internal Process, Procedures and Guidelines, Documentation, Monitoring and Control, Training as well as monitor compliance to the requirements of Sharia.

CHARITY

During the year, LKR 1,509,407.36 was transferred to the Charity Payable Account. As at 31 December 2018 the total balance amounted to LKR 2,744,466.54.

Report on Sharia Supervision

STATEMENT OF SOURCES AND UTILISATION OF CHARITY FUND

	LKR	LKR
Opening balance as at 1 January 2018		3,295,759.18
Additions During the Year		
Purification of Dividends / Disposal Gains of Equity	42,661.12	
Interest Accumulated in Nostro Accounts	1,270,496.24	
Excess Cash	196,250.00	1,509,407.36
		4,805,166.54
Less: Distribution of Charity		(2,060,700.00)
Closing balance as at 31 December 2018		2,744,466.54

SUMMARY OF CHARITY FUND DISTRIBUTION

	For Medical Purpose	650,000.00
	For Social Benefits	1,410,700.00
	Total Charity Fund Distribution in 2018	2,060,700.00

The total amount of LKR 2,060,700.00 was disbursed from the Charity Account with the approval of Chief Executive Officer, Chief Financial Officer, In-House Sharia Advisor and was duly reported to the SSC for its concurrence.

THE WAY FORWARD FOR THE YEAR 2019

- ★ Continue to ensure the zero tolerance culture on Sharia non-compliance.
- ★ Strengthen the Sharia Risk Management process and mitigation of Sharia violations through the involvement of the Sharia Risk Management Committee.
- ★ Review and update the Sharia product process, guidelines, documentation and checklists to offer the most appropriate product for the customer.
- ★ Advice and guide to provide the best-fit Product to customers.
- ★ Ijara to be included to the Online Compliance Process.
- ★ Review and Publish the Zakath Booklet.
- ★ Facilitate the New Product Development process by providing advice on the appropriate Sharia principles and contracts to structure new products.
- ★ Facilitate and conduct training sessions as follows to develop Sharia competency levels and instill onus on all stakeholders:
 - Introduction to Islamic Banking for new recruits
 - Sharia Refresher programmes for existing staff members
 - Focused training programmes on rules and principles of Sharia, documentation and Sharia compliance

- Sharia compliance and Sharia Risk programmes for Management Committee and Other Senior Management staff
- Conduct Sharia Awareness Programmes for Academics, Students, Customers, Sharia Scholars and General Public

May Almighty Allah make us successful in accomplishing His precious tasks and reward us in this world and in the Hereafter.

وعلیکم السلام ورحمة الله وبرکاته



Ash-Sheikh Nazhan Naurooz
In-House Sharia Advisor and Secretary to the
Sharia Supervisory Council
8 Jumaadal Aakhirah 1440 A.H.

14 February 2019

CORPORATE SOCIAL RESPONSIBILITY

The overall emphasis of the Bank's CSR strategy is towards initiatives that support children, mainly focusing on their health, education and general well-being amongst other key needs. The Bank continued to engage its staff in carrying out its CSR initiatives with much interest to encourage a culture of sharing and giving back to society.

AMĀNA BANK ORPHAN CARE

- ★ The Bank made headway towards launching its landmark CSR initiative Amāna Bank Orphan Care. Through this project, the Bank will address the needs of orphan children once they reach maturity, especially towards providing them some measure of financial stability and security. For this purpose, the Bank will setup a platform to periodically deposit funds orphan account, irrespective of their ethnicity or race, until they reach the age of 18. During 2018, the Bank established a special Trust to oversee the launch and operations of the Orphan Care program, which includes trustees of high repute and stature, who have a proven track record of passionate social service. The Bank has already provided the seed capital for the trust and will open the fund for contributions from donors inspired by this cause.

CHILDREN'S HEALTH

- ★ The Bank made a significant contribution to the surgery and recovery of 14 year old Thalasemia patient Hasini Imasha Rajapaksa, who was in the media spotlight due to her rare health condition.
- ★ The Bank continued its contribution towards the maintenance of the Children's Ward at the Kalubowila (Colombo South) General Hospital. In 2018 the Bank was engaged in donating a 16 litre Mini Autoclave machine to the ward.
- ★ The Bank made a donation to improve facilities in the Kandy General Hospital Children's Ward with the participation of the Kandy Branch staff.
- ★ Likewise the Bank also made donations to the Kinniya Base Hospital.

CHILDREN'S EDUCATION

- ★ The Bank continued to contribute to the Lanka Relief and Development Foundation through which many after-school

educational programs are conducted for students of less privilege in the southern province of Sri Lanka.

- ★ The Bank continued its association with the Makola Orphanage by donating school books and stationery for the new school year, thereby ensuring that the orphans have a sound education.
- ★ A donation was made by the Bank to the "Human Resource Development Organisation - Kalmunai to conduct a seminar with aim of improving the pass rate of students sitting for the O/L Examination.
- ★ The Bank provided stationery to Al-Hiqma M Primary School during their commemoration of the school's Annual Prize giving.
- ★ The Bank extended its support to the Centre for Islamic Studies in sorting out stationery requirements for a fundraising project to support underprivileged families.
- ★ The Bank extended its CSR contribution reaching out to Muttur Al Amna Social Development Centre by donating stationery to be used by students pursuing their studies in the center.

CHILDREN'S GENERAL WELFARE AND OTHER

- ★ The Bank supported Menhandy School for Exceptional Child - Support for Children with Special Needs which is an organisation in the field of rehabilitation for children who are differently abled.
- ★ The Bank contributed to a youth leadership training programme organised by the National Youth Services Council.
- ★ A donation was done to the Deaf Womens' Association which is focused on providing relief for differently abled families.
- ★ A donation was made to purchase footwear for the children housed at the Balapokuna Girl's Orphanage.
- ★ The Bank identified an institution called the Kinniya Poverty Vision (41 Nursery Schools Registered under Kinniya Poverty Vision) to which a donation was made.
- ★ The Bank supported Young Men's Muslim Association Maligawatte (YMMA) in arranging booklets in relation to charity projects implemented by the association. YMMA is an organisation which carries out charity programs and social benefit activities and focuses on projects such as helping underprivileged and needy.

- ★ The Bank supported the victims who were affected from the severe floods that hit Thummodara Negombo in May last year. Dry Rations were distributed to victims in the locality.



Donation of a Mini Autoclave machine to the Children's Ward at the Kalubowila General Hospital



Contribution made to the surgery of Thalasemia patient Hasini Imasha Rajapaksa



School books and stationery donated to Makola Orphanage



Distribution of dry rations to flood victims in Negombo



Complementing our people friendly banking approach, our passion for service excellence under the pledge of 'We Care' continues to drive superior and sincere service to our valued customers.

**OPTIMIZING
OUR SERVICE**

RISK MANAGEMENT

THE RISK MANAGEMENT DEPARTMENT IS MANDATED TO DESIGN AND OPERATE THE BANK'S INTEGRATED RISK MANAGEMENT PROCESS AND IS INDEPENDENT OF THE BANK'S BUSINESS LINES. THE BANK HAS DEVELOPED A RISK MANAGEMENT FRAMEWORK ADHERING TO THE BASEL III ACCORD WHICH PROVIDES GUIDANCE TO THE OVERALL RISK MANAGEMENT GOALS AND STRATEGY.

In today's dynamic environment, banks are exposed to various risks in their routine business operations. Risk is inherent in every level of activity carried out by a bank, but is managed through an effective process of on-going identification, measurement and monitoring, with the aid of risk limits and other controls. The major categories of risks are credit, market, liquidity and operational risks. Banks also face other risks including but not limited to reputational, legal, regulatory, etc.

Amāna Bank has adopted an Integrated Risk Management (IRM) framework with a set of policies approved by its Board of Directors (BOD) along with supporting procedures. The purpose of these policies and procedures is to manage and optimise the risk-reward trade off. Through the IRM framework, the BOD assesses the risk profile and has oversight over the implementation of the IRM framework of the Bank and its management on a regular basis, at minimum, on a quarterly basis.

The IRM framework covers identification of potential risks and sources of such risks, the mechanism of managing such information and reporting on how to monitor such risks. It also defines relevant officers and committees responsible for risk control and mitigation. The risk management policies and procedures, among other matters, addresses:

- i. a system to aggregate overall risk exposures for monitoring and control
- ii. measures for risk diversification with limits for various exposures based on risk appetite
- iii. risk measurement approaches such as use of historical databases, stress testing and scenario analyses
- iv. capital maintenance considering expected losses and unexpected losses
- v. capital allocation to businesses and products in order to optimise risk adjusted returns and economic value additions

- vi. disaster recovery and contingency plans.

RISK APPETITE

An effective risk governance framework includes a strong risk culture, a well-developed risk appetite articulated through the Risk Appetite Statement, and well defined responsibilities for risk management in particular, and control functions, in general.

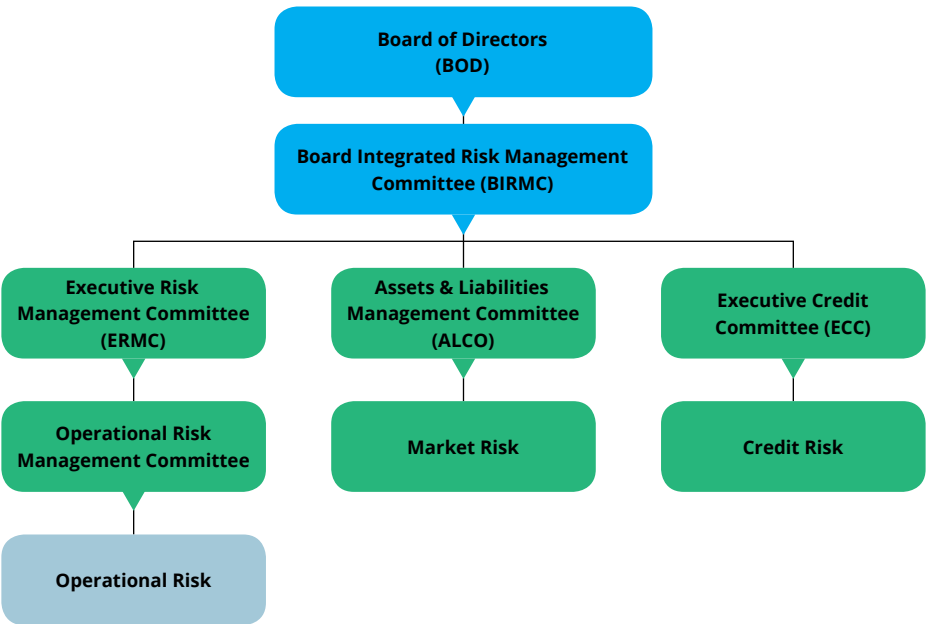
In order to effectively implement risk appetite, the Bank has defined quantitative indicators on all risk categories (for example: capital adequacy level, risk limits, earnings growth, foreign exchange net position, single borrower limits, liquidity gap, etc.) and embedded qualitative aspects in the policies and procedures (such as assessment criteria). The Bank's risk policy and risk limits are designed to be consistent with the defined risk appetite.

RISK MANAGEMENT STRUCTURE

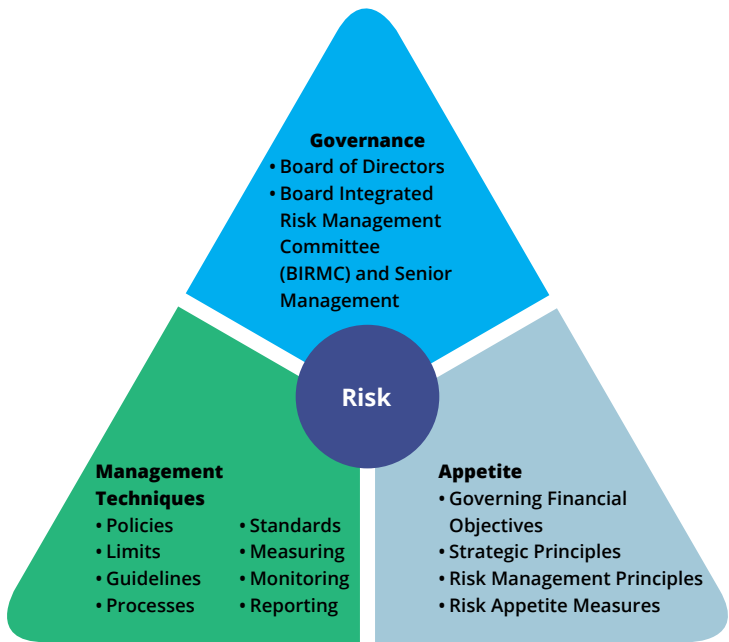
The Risk Management Department (RMD) is mandated to design and operate the Bank's integrated risk management process and is independent of the Bank's business lines. The Bank has developed a risk management framework adhering to the Basel III Accord which provides guidance to the overall risk management goals and strategy. This risk management framework provides the basis for the ongoing development and enhancement of the Bank's integrated risk management infrastructure and capabilities. The framework provides a structured approach to the management, measurement and control of risk i.e. a way that people and processes ensure that business activities provide an appropriate balance of return for the risks undertaken. The primary goals of risk management are to ensure that the outcomes of risk taking activities are consistent with the Bank's strategies and risk appetite. The Bank's enterprise-wide risk management framework provides the foundation for achieving these goals.

Risk Management

Integrated Risk Management Framework document was revised by RMD, reviewed by the Board Integrated Risk Management Committee and approved by the BOD during the year.



The Bank's risk management framework is applied on an enterprise-wide basis and consists of three key elements as depicted below:



Risk Management Framework

The Bank has in place a strong risk management framework which is based on the need to assess the Bank's exposure to risks while minimising adverse impacts of credit risk, market risk, liquidity risk and operational risk on resources, earnings and cash flows through a robust framework of integrated risk management. The Bank has ensured that its portfolios/exposures remain aligned to the defined risk appetite and strategy whilst proactively managing risks supported by strong open-minded risk identification.

The Bank's mission with respect to risk management is to advance its risk management capabilities, culture and practices so as to be in line with internationally accepted standards and practices. As such, the Bank has continued to invest in its risk management capabilities in terms of human resources, processes, policies and introduced the latest tools during the year under review. The global economic crisis has provided an opportunity for a fundamental restructuring of the approach to risk and regulation in the financial sector. The Board is required to define the risk appetite for the Bank and is responsible for the activities and overall performance of the Bank. This risk appetite supports effective decision-making, capital allocation and is central to embedding risk management in business decisions and risk reporting across the Bank.

A strong and pervasive integrated risk management culture provides a bank with a sound foundation of risk management framework consistent with the bank's objectives, risk tolerance, control standards and management philosophy.

The risk governance structure at Amāna Bank stems from the Board of Directors and is monitored by the following committees:

- ★ Board Integrated Risk Management Committee (BIRMC)

- ★ Board Audit Committee (BAC)
- ★ Board Credit Committee (BCC)
- ★ Assets and Liabilities Management Committee (ALCO)
- ★ Executive Risk Management Committee (ERMC)
- ★ Operational Risk Management Committee (ORMC)
- ★ Management Audit Committee (MAC)
- ★ Executive Credit Committees (ECC)
- ★ IT Steering Committee (ITSC)

The Board has defined the risk appetite for the Bank which is then rolled out to each business line and subsequently to the business unit. The Board is assisted by a number of Board level and Management level committees.

TYPICAL ROLES/RESPONSIBILITIES IN SETTING RISK APPETITE

Stakeholders	Roles/Responsibilities
Board of Directors	★ Review and approve risk appetite ★ Review strategic objectives and positioning
BIRMC	★ Understand the risk profile of the Bank and the Bank's performance against same ★ Set basic goals for the Bank's risk appetite and strategy, such as ratings or earnings-volatility targets with senior management and issue guidelines for senior management in implementing risk management policies and procedures throughout the Bank ★ Ensure that the risk function is adequately staffed with professionals who are sufficiently competent in managing and monitoring all risks within the Bank and that they can avail of appropriate systems and tools
CEO, CRO and Senior Management	★ Set business strategy ★ Identify availability of capital ★ Coordinate process of aligning risk appetite and risk strategy with business strategy and capital capacity ★ Oversee monitoring and reporting around the risk appetite process ★ Align business lines and goals within the risk parameters ★ Communicate risk appetite ★ Promote risk culture ★ Communicate and integrate objectives throughout the business processes ★ Embed risk appetite related goals in performance objectives and compensation rewards
Business/Support Unit Heads	★ Propose key initiatives in light of economic, risk and competitive outlook ★ Align risk policies, processes and limits used in managing day-to-day business operations with the metrics contained in the risk appetite statement

With the intention of being consistent with the risk-ownership concept under the Basel III Accord, the Bank's strategy to manage various risks is structured into '3 Lines of Defence' as summarised below:

1ST LINE OF DEFENCE: RISK TAKING UNITS

These are the units directly exposed to specific risks daily and must assume primary responsibility in their management. By identifying and analysing risks and shortcomings, instituting regular controls, monitoring and reporting procedures and taking appropriate action, they are in the best position to mitigate or avoid risks. The overall ownership of the risk environment and responsibility to manage the risks therefore reside with them.

2ND LINE OF DEFENCE: RISK CONTROL UNITS

This refers to the respective Risk Management Team and the Risk Control Committees, including other control and monitoring departments such as Legal, Compliance and Sharia Supervision. The RMD shall be responsible for the development and maintenance of the risk management framework and its implementation. Other controlling and monitoring departments are responsible to develop guidelines in managing risks under their purview. Both RMD and controlling/monitoring departments ensure timely receipt of reports and perform analyses before submitting them to top management and the BOD for their oversight. Where appropriate, they provide support to the risk taking units and initiate changes to policies and procedures.

3RD LINE OF DEFENCE: INDEPENDENT ASSURANCE

This refers to the Internal Audit function whose roles and responsibilities under the risk management policy are to provide independent assurance to the Board of Directors on the effectiveness of the risk

Risk Management

THE BANK'S RMD STRATEGICALLY MANAGES THE RISKS BY WORKING CLOSELY WITH THE BUSINESS UNITS AT EVERY STAGE OF THE PROCESS AND WITH THE USE OF CREDIT RISK AND OPERATIONAL RISK MANAGEMENT TOOLS HAS SUCCESSFULLY MANAGED THE NON PERFORMING ADVANCES (NPA) RATIO AT A LEVEL BELOW THE INDUSTRY AVERAGE AND WORK TOWARDS STRENGTHENING THE RISK CONTROL AND SELF-ASSESSMENT (RCSA) PROCESS.

management framework, that the policy has been implemented with integrity.

Going forward, the Bank aims to leverage the risk management system capabilities to drive the following business benefits:

- i. increase efficiency and reduce operating cost for risk management through optimised utilisation of resources and skills (reduction in manual operations)
- ii. reduce potential losses with enhanced risk management and increase profitability through better control over risk appetite.
- iii. adhere to regulations that may come into effect in the future (i.e. Central Bank of Sri Lanka (CBSL), Securities and Exchange Commission (SEC), etc.)
- iv. enhance strategic decision-making with foresight into risks.
- v. enhance product and services strategy by providing confidence in introducing innovative and profitable offerings.
- vi. timely detection of risks to reduce losses due to risk events.

During the year, a prudent risk management approach in line with industry best practices assisted Amāna Bank to reach the current level of growth. In order to achieve this, the Bank was able to cultivate a risk based culture by means of a robust risk management framework throughout all branches and departments. The Bank's RMD strategically manages the risks by working closely with the business units at every stage of the process and with the use of credit risk and operational risk management tools has successfully managed the Non Performing Advances (NPA) ratio at a level below the industry average and work towards strengthening the Risk Control and Self-Assessment (RCSA) process.

ASSESSMENT OF CAPITAL ADEQUACY

In order to provide assurance that Amāna Bank has sufficient capital to support all its

business and risk taking activities, the Bank carried out the Internal Capital Adequacy Assessment Process (ICAAP) as per the Basel III guidelines required by CBSL.

ICAAP guides the minimum internal capital requirement for the Bank's current and future business strategies and financial plans for the next three years via a comprehensive risk assessment process on its portfolio risk exposures, its risk management practices towards material risks and potential capital planning buffer required in the event of stress.

CBSL directed all licensed commercial banks in Sri Lanka to formulate their ICAAP document and submit the same for regulatory evaluation within five months of the financial year end. The Bank has, in compliance with the CBSL guidelines, formulated the ICAAP document and met the said requirement.

Capital Requirement under Basel III

Minimum Requirement covered under Pillar 1 of Basel III regulations has been complied which required the capital buffers to be implemented. Amāna Bank is maintaining the capital to comply with the buffer requirement and maintain CAR at 12.5% by 2019, which is the rate that is applied for banks which carry an asset base of less than LKR 500 billion.

Assessment of the capital has been reviewed by the ICAAP process which assesses the risks that are not covered in the Pillar I in order to meet the capital ratio and the buffer requirement as specified by the regulator. ICAAP was prepared in line with Basel III capital and buffer requirement and the capital was assessed under various stress scenarios for smooth functioning of the Bank.

The Bank has adopted the latest requirements of Basel III. The Liquidity Coverage Ratio (LCR) is currently being

reported to CBSL based on existing guidelines and Net Stable Funding ratio (NSFR) was reported to CBSL in 2018 according to the guidelines issued. LCR in terms of all currencies and based on rupee have been monitored separately and reported to the relevant management committee and BIRMC on a monthly basis in order to assess the liquidity risk of the Bank.

The compilation of the ICAAP report is spearheaded by the Management Committee and a cross functional team which consists of resource personnel from risk, audit and finance departments.

ICAAP report helps the Bank meet the following objectives:

- i. ensure that the Bank is adequately capitalised beyond the minimum regulatory capital requirements under Pillar I at all times;
- ii. ensure a comprehensive coverage of risks facing the Bank covering not only the Pillar I risks but also other risks that are covered under Pillar II and Pillar III. Further, the ICAAP document shall also aim to address inadequacies in risk management process of Pillar I risks through related risks categories (example: residual credit risk and under-estimation of credit risk in standardised approach).
- iii. formulate a process that forms an integral part of the Bank's risk management processes so as to enable the BOD and senior management to assess the risks that are inherent in their activities and are material to the Bank on an on-going basis.
- iv. have a process for assessing the overall capital adequacy in relation to the risk profile.
- v. enable the Bank to withstand adverse business conditions by evaluating the adequacy of capital in stress scenarios.
- vi. usage of risk management in general business decisions and budgets, day-

to-day activities such as evaluating individual credit decision process and in overall strategic planning of the Bank.

- vii. embark upon a continuous process for improvement in risk management techniques, policies, processes, systems and overall awareness of the Bank.

SOURCES OF CAPITAL AND CAPITAL MANAGEMENT

The growth in profitability in the ensuing years will be a source of internally generated capital whilst external sources will include equity via rights issue and private placements in the future.

The Bank having raised equity capital in 2017 through a rights issue, satisfied the regulator's current minimum capital requirement of LKR 10 billion. This also enabled the Bank to support its current and future expansion activities whilst continuing to maintain its regulatory capital adequacy ratios at a healthy level well above minimum requirement. Supplemented by the sustained growth in profits, the Bank expects its level of capital to be adequate in the short to medium term. Based on the latest regulation, the Bank is required to increase its capital up to LKR 20 billion by end 2020 and in this regard, the Board of Directors is in the process of evaluating suitable options to comply with this new requirement before the stipulated deadline.

Whilst the current level of capital is adequate for the planned capital expenditure up to the mid-term, subsequent to meeting the new requirement in 2020 the Bank expects to be well-positioned in terms of the desired capital level.

Further to Amāna Bank's inaugural dividend paid during 2018, the Bank may, subject to the provisions of the Articles of Association and the Companies Act No. 07 of 2007, make dividend payments by way of interim and final dividends to its shareholders in relation to the profits made from time to

time. Such dividends will be paid after taking into consideration the Bank's earnings, investment requirements and other financial conditions.

STRESS TESTING

Stress testing is an essential risk management tool used to assess Bank's potential vulnerabilities to stressed business conditions. Sound stress testing practices enables the Board and Senior Management to make a more informed forward looking assessment of risks when determining Bank's risk appetite, business strategies and contingency plans.

The internally developed scenarios shall include economic recession scenarios, one of which must be a prolonged recession, to assess its ability to withstand and mitigate such scenarios. These scenarios have been applied in the ICAAP, annually.

Sensitivity and Scenario Analyses

The Bank uses a range of stress testing methodologies such as sensitivity and scenario analysis to ensure that its stress testing is comprehensive. Sensitivity analysis estimates the impact on the value of a portfolio of exposures arising from assumed movements in a single risk factor or several closely related risk factors.

Supervisory Review and Evaluation

As part of the Bank's risk-based supervisory framework and evaluation of ICAAP, stress testing shall be reviewed and evaluated. The Bank shall be required to take action to improve its capital or risk management processes in order to address any adverse scenario impact conducted through stress testing.

CREDIT RISK MANAGEMENT

Overview

Credit Risk is the risk of potential loss arising from failure of a customer or counterparty to perform according to its contractual obligations to the Bank. It includes failure

Risk Management

in the repayment of capital plus the Bank's profit/mark-up on direct financing or from off balance sheet assets such as letters of credit, letters of guarantee, documents against acceptance, etc. within the agreed tenure and in the agreed currency.

Credit Risk generates the largest regulatory capital requirement for the Bank. The Bank manages the Credit Risk in the entire portfolio as well as on individual credit exposures.

The main objectives of Credit Risk Management function will be:

- ★ to ensure optimal risk-reward pay off for the Bank and to maximise returns.
- ★ maintain quality of the portfolio by minimising non-performing advances and probable losses.
- ★ maintain a well-diversified portfolio by prudently managing risk in the asset portfolio to ensure that risk of excessive concentration to any industry/sector/ individual customer is minimised.
- ★ regulatory guidelines on sectors are maintained and all related party transactions are monitored and reported to the relevant authorities as well as ensuring clearly defined internal policies and guidelines are set and reviewed regularly to meet the current requirements of the Bank.

Credit Policies & Guidelines

The Bank has a well-defined Credit Risk Policy approved by the BOD and a Credit Procedure Manual which are reviewed regularly. These documents define the credit culture of the Bank, target markets, prohibited areas which the Bank under no circumstances will entertain due to either these are against the values of the Bank, very high risks involved in such proposals or negative social and ethical consideration, set acceptable risk parameters, valuation of collateral, delegated authorities and the guide to post-disbursement monitoring of financing accommodated. The

policy guidelines are used to manage the incidence of credit risk, which is spelt out in the Credit Risk Policy ensuring stringent pre / post credit risk management in line with the risk appetite of the Bank, the regulations of CBSL and Basel guidelines.

Structured Standardised Credit

Credit proposals are prepared in pre-determined formats, and comprise of financial appraisal, independent review of financial and non-financial information such as credit ratings, collateral and covenants, and credit approval based on BOD sanctioned delegation of authority (DA).

Credit is extended only to suitable and well-identified customers on evaluating and ensuring the purpose, ensuring that the primary source of repayment for each credit is from identifiable cash flow, sources of income, their ethical standards and records. Where the source of repayment is unknown or speculative or where the purpose/destination of funds is undisclosed these requests are not accommodated, further ensuring that risk considerations shall have priority over business and profit considerations.

A pricing mechanism that reflects variation in the risk profile of various exposures to ensure that higher risks are compensated by higher returns is ensured based on risk based pricing; the financial performance of borrowers are continuously monitored and frequently reviewed as set out in each approval and as per credit procedure guidelines. The Bank obtains collateral as a possible secondary recourse or as a fall back option which are obtained based on exposure guidelines set by the credit risk policy and valuation guidelines, which in turn are set according to regulatory guidelines on collateral obtained.

Delegation of Authority

The BIRMC has been delegated with the responsibility of managing the Bank's overall

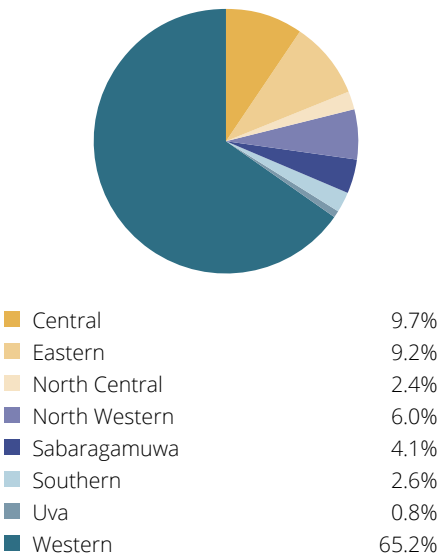
credit risk. At an executive level, credit authority has been further delegated to Executive Credit Committees (ECC) which is headed by CEO and CRO respectively. The Credit Risk Department conducts independent reviews of the credit risks lying with the business units and makes recommendations on credit policies, prudential limits on sector exposures and counterparty exposures in order to make improvements.

Final authority and responsibility for all activities that expose the Bank to credit risk rests with the BOD which has delegated approval authority to the CEO to re-delegate limits to Business Lines. All DAs to individual members are name specific and are based on the individual experience, facility type and collateral in order to ensure accountability and mitigate any judgmental errors.

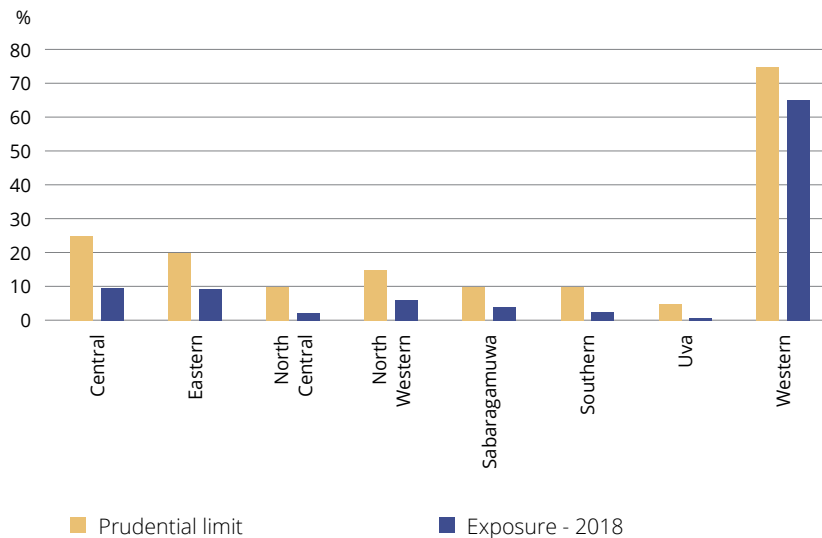
Prudential Limits

The Bank continuously strengthens its monitoring mechanism of the credit risk to ensure regular and frequent review of the portfolio. This helps the Bank to understand

Geographical Concentration of Advances



Geographical Concentration Against Prudential Limits



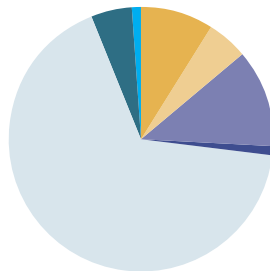
any emerging risk trends, align its credit risk appetite to its business strategy, whilst promoting risk based business decision making. This exercise covers analysis of the portfolio based on industry sectors, products, geographies and trends in NPA.

Prudential, industry, geographic and portfolio limits are set by the BIRMC. Credit Risk Department monitors compliance with these approved limits. Desired diversification is achieved by setting maximum exposure limits on single / group obligor exposures, where the internal limits are more stringent than the limits set by the regulator, which too is monitored by RMD for compliance.

Portfolio Management

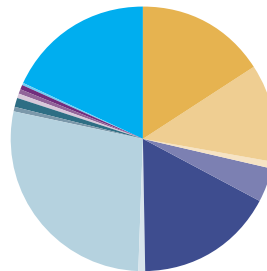
Credit portfolio management is an important function within the overall credit risk management. Need for such critical and objective portfolio management emanates from the need to optimise the benefits associated with diversification. It also helps the Bank to identify and address potential adverse impact of concentration of exposures. The Bank has a well-structured portfolio management mechanism which evaluates exposures on the basis of industry concentration, rating quality, internally

Exposure by Product



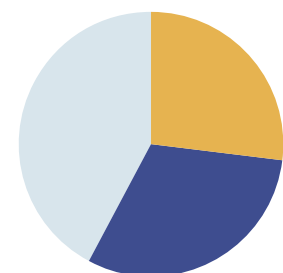
Overdraft	9%
Trade Finance	5%
Lease Receivables	12%
Staff Facilities	1%
Term Financing:	67%
Gold Facilities	5%
Others	1%

Exposure by Sector



Agriculture, Forestry and Fishing	16%
Manufacturing	12%
Tourism	1%
Transportation and Storage	4%
Construction	17%
Infrastructure Development	1%
Wholesale and Retail Trade	28%
Information Technology and Communication Services	0.5%
Financial Services	1%
Professional, Scientific and Technical Activities	0.7%
Education	0.6%
Health Care, Social Services and Support Services	0.2%
Consumption	18%

Exposure by Segment



Consumer	28%
Corporate	30%
SME	42%

Risk Management

established early warning indicators apart from regulator imposed quantitative ceilings such as the single borrower and aggregate exposure. On feedback from regular reviews and interactions with business units the criteria for credit accommodation is amended to insulate portfolios from further deterioration.

In addition, stress tests/scenario analyses are carried out to assess the impact of any material changes in the external environment with suitable recommendations to restructure the portfolio. Any deteriorating credits with emphasis on internal and external early warning signals are identified and such accounts are “Watch Listed” and they are monitored closely. NPAs are identified at an early stage through regular interactions with business units, enabling management to take action as appropriate. In addition, a post-approval hindsight review of credit approved is carried out by an independent committee which reports to BIRMC with appropriate recommendations. All monitoring reports are submitted regularly to the respective credit committees and BIRMC.

Developments in 2018

The Bank has been successful in developing a culture of risk awareness and responsible financing through comprehensive training of the credit team and continuous discussions at regular credit committee meetings which has resulted in improving the skills of frontline staff.

The Bank has been using a risk scoring model from its inception for its SME and Corporate portfolios which now requires upgrade / replacement with the growth and diversified portfolio of the Bank. Well aware of the requirement of a robust risk scoring model to correctly reflect the Bank’ portfolio in terms of risk within acceptable market guidelines, the Bank decided to make appropriate capital expenditure in

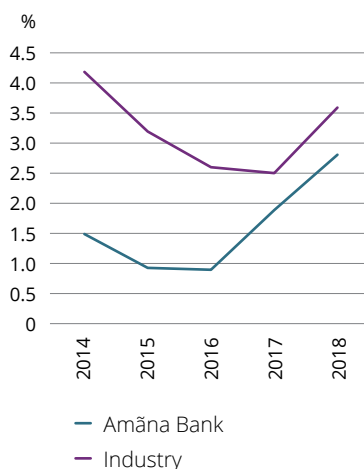
this regard and has now finalised a suitable Credit Risk Rating Model, tried and tested in many markets including Sri Lanka for implementation, which is expected to be fully functional in 2019.

The increasing trend in banking sector NPAs triggered the Bank to take the following steps to contain NPAs:

- ★ initiation of an SMS alert to provide a friendly reminder to customers of their due date and amount.
- ★ segregation of collection and recovery teams into soft collection, collection, recovery and legal recovery, thus ensuring focus.
- ★ tightening up of the follow-up process and frequency.
- ★ periodic auctioning of unredeemed Gold Safe Keeping articles.
- ★ additional focus on NPAs arising from low-value facilities.
- ★ strengthening legal resources to speed up legal recovery process.

As a result of the above steps, the Bank’s Gross NPA has been contained at 2.8% while Net NPA stood at only 0.9%

Gross NPA Movement



* Note - Industry Gross NPA for 2018 is as at Q3.

MARKET RISK MANAGEMENT

Market Risk

Market risk is the risk of loss from changes in market prices and rates (including rates, credit spreads, foreign exchange rates, equity prices and commodity prices), the correlations among them and their levels of volatility. A description of each market risk category is provided below.

Rate Risk

The risk of loss due to changes in the level, slope and curvature of the yield curve, volatility of rates and prepayments.

Credit Spread Risk

The risk of loss due to changes in the market price of credit or the creditworthiness of issuers.

Foreign Exchange Rate Risk

The risk of loss due to changes in spot and forward prices and the volatility of currency exchange rates.

Equity Risk

The risk of loss due to changes in the prices and the volatility of individual equity instruments and equity indices.

Commodity Risk

The risk of loss due to changes in spot and forward prices and the volatility of precious and base metals.

Market risk mainly arises from activities undertaken by the Bank’s Treasury, foreign exchange, equity, commodity and money market portfolios. A Board approved limit structure has been adopted by the Bank to mitigate and monitor its market risk. Further, the BOD and the Management have ensured effective monitoring and management of market risk with the following:

- i. BIRMC reviews market risk policies and limits and approval is obtained from the BOD for any changes necessary.

An annual review of treasury related policies and limits also takes place to ensure such policies and limits are in line with regulatory requirements.

- ii. BIRMC and ALCO monitor and manage market risk of the Bank in accordance with the Board approved risk framework.
- iii. Risk Middle Office independently monitors all significant market risks and submits reports to CEO, ALCO and BIRMC.
- iv. Risk Middle office conducts stress testing for foreign exchange exposures, equity investments, gold facilities and liquidity on a periodic basis. Aggregate level of stress testing is conducted on a quarterly basis.

As required by CBSL, the Bank uses the Internal Measurement Approach to calculate Market Risk under Basel regulation. The Bank classifies quoted equity exposures into either trading or available for sale (AFS) portfolios and manages those portfolios separately. Market risk for the portfolios is monitored based on a VaR methodology and also using other sensitivity analyses.

OBJECTIVES OF THE METHODOLOGIES USED TO ASSESS MARKET RISK

Value at Risk (VaR)

VaR is a method of measuring market risk based on a common confidence interval and time horizon. It is a statistical estimate of expected potential loss that is derived by translating the risk of any financial instrument into a common standard.

The Bank calculates general market risk and equity specific risk VaR using historical simulation based on 365 days of market data. Changes in VaR between reporting periods are generally due to changes in levels of exposure, volatilities and/or correlations among asset classes. VaR is also used to evaluate risks arising in certain funding and investment portfolios. Back testing is also an important and necessary

part of the VaR process, by validating the quality and accuracy of the Bank's VaR model.

Stress Testing

VaR measures potential losses in normally active markets. Accordingly, stress testing examines the impact that abnormally large swings in market factors and periods of prolonged inactivity might have on trading portfolios. The stress testing programme is designed to identify key risks and quantify potential losses from abnormal events. The Bank subjects its trading and AFS portfolios to stress tests on a periodic basis, using stress tests based on risk factor sensitivities and specific market events. The stress testing programme is an essential component of the Bank's comprehensive risk management framework which complements the current VaR methodology and other risk measures and controls employed by the Bank. Risk Middle Office conducted the stress testing on an aggregate level and reported to ALCO and BIRMC on a quarterly basis.

Sensitivity Analysis

Sensitivity analysis assesses the effect of changes in rates on current earnings and on the economic value of shareholders' equity. It is applied to each of the major currencies within the Bank's operations.

Gap Analysis

Gap analysis is used to assess the rate sensitivity of the Bank's operations. Under gap analysis, rate sensitive assets and liabilities and off balance sheet instruments are assigned to defined time periods on the basis of expected re-pricing dates.

Rate Risk Analysis

Earnings perspective involves analysing the impact of changes in the profit rate on accrual or reported earnings in the near term, measured by changes in the net financing income. Economic value perspective involves analysing the changes

of impact of profit on the expected cash flows on assets minus the expected cash flows on liabilities plus the net cash flows on off balance sheet items. The level of profit rate changes is an important factor to choose fixed/floating rate assets/liabilities, their maturities and hedging decisions.

VaR Assumptions

The VaR that the Bank measures is an estimate, using a confidence level of 99% of the potential loss that is not expected to be exceeded if the current market risk positions were to be held unchanged for one day. The use of a 99% confidence level means that, within a one day horizon, losses will be below the VaR limit on average under normal market conditions, for 99 out of 100 days.

Since VaR is an integral part of the Bank's market risk management, VaR figures are reviewed monthly against loss limits by ALCO and at every BIRMC.

In practice, the actual trading results may differ from the VaR calculation and in particular the calculation does not provide a meaningful indication of profits and losses in stressed market situations.

Foreign Exchange Risk

Such risks are primarily due to changes in foreign exchange rates which are managed by setting and monitoring dealer, currency, counterparty and settlement limits for on and off balance sheet instruments.

Foreign exchange exposures in individual currencies are managed in accordance with the limits approved by the BOD. In addition, this is also managed and monitored against the regulatory/statutory limits approved by CBSL.

The Bank engages in interbank forward transactions to cover positions created due to customer transactions and mismatches in balance sheet positions. Cash flows of currencies are managed by undertaking promissory buy/sell transactions on a matching basis. In addition, the Bank's activities in the trade finance business result in off balance sheet exposures.

The concentration of on and off balance sheet foreign currency risk as at 31 December 2018 and 31 December 2017 are given in the tables shown below:

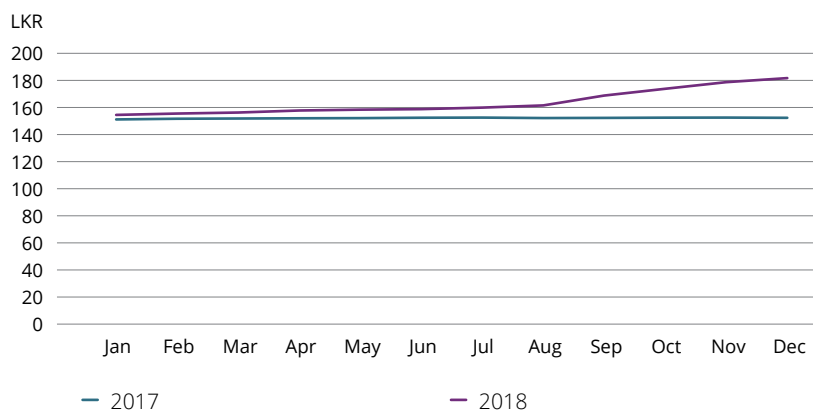
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As at 31 December 2017

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During the year 2018 the LKR depreciated by 19% against the US Dollar.

USD/LKR RATE

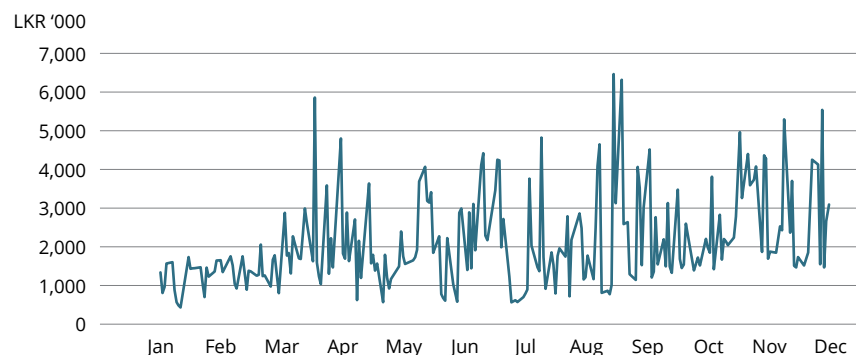


(Source: CBSL month end rates)

Equity Position Risk

The Bank holds equity portfolios for trading and investment purposes. These portfolios expose the Bank to rate risks, credit spread and equity risks. Equity position risk arises due to changes in individual equity prices. The Bank's equity portfolio is classified as held for trading (HFT) and available for sale (AFS) portfolios. HFT portfolio comprise of equities purchased with a view to take advantage of short term capital gains. The equities in AFS portfolio are purchased in order to realise capital gains in the medium term and for dividend income. Going forward the Equity Portfolios will be classified as required by Guidelines to Licensed Banks on the Adoption of Sri Lanka Accounting Standard - SLFRS 9: Financial Instruments issued by CBSL dated 31 December 2018.

FX VaR 2018



Risk Management

The performance of the equity portfolio is monitored by the Equity Investment Committee (EIC) and ALCO. The Board of Directors has laid down sector, portfolio and loss limits to control and mitigate the risks of the equity portfolio. The Bank also adheres to the Guidelines issued by CBSL regarding the exposure to a single entity and the total exposure limit for the equity portfolio. The Bank conducts transactions only in equities which are published in the White List.

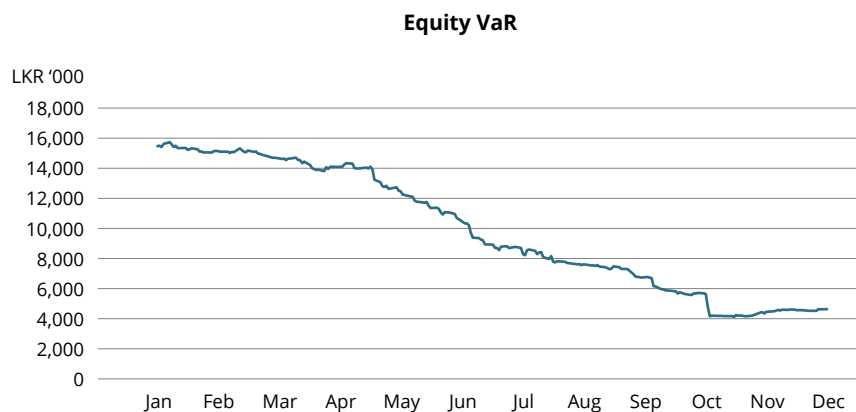
The sectorial exposure of equity portfolio comparing with previous year is given below:

2018			
Equity/Sector	Total Cost as at 31 December	Mark-to-Market Value as at 31 December	Maximum Exposure Limit for Sector
	LKR	LKR	LKR
Manufacturing	31,168,000	25,149,280	87,500,000
Construction	16,942,000	10,321,200	52,000,000
Beverage & Food	13,201,058	12,364,632	52,500,000
Trading	42,319,103	40,479,560	52,500,000
Diversified	24,062,519	18,160,392	87,500,000
Power	6,739,410	5,750,963	52,500,000
Sub Total	134,432,090	112,226,027	
Strategic Investments	244,335,790	184,685,504	
Total Equity Portfolio	378,767,880	296,911,532	
Total Approved Portfolio Limit			710,000,000

2017			
Equity/Sector	Total Cost as at 31 December	Mark-to-Market Value as at 31 December	Maximum Exposure Limit for Sector
	LKR	LKR	LKR
Manufacturing	49,704,360	32,081,252	87,500,000
Construction	27,612,301	16,497,000	52,000,000
Beverage & Food	15,316,394	13,202,684	52,500,000
Trading	65,071,029	41,552,444	52,500,000
Diversified	32,046,076	24,062,519	87,500,000
Power	18,078,724	14,829,410	52,500,000
Sub Total	207,828,885	142,225,309	
Strategic Investments	338,189,617	219,691,749	
Total Equity Portfolio	546,018,502	361,917,058	
Total Approved Portfolio Limit			710,000,000

The Bank's Treasury system carries out daily marking to market of the equity portfolio against the closing weighted average prices published by the Colombo Stock Exchange.

A graph indicating the daily VaR figures for Equity portfolio (excluding the strategic investment portfolio) is given below:



Rate Risk

Rate risk arising from the Bank's financing and investment activities is managed in accordance with the Board approved policies and limits, which are designed to control the risk to net financing income and economic value of shareholders' equity.

Mismatches in maturity of assets and liabilities that mature or are re-priced during a specified time period, does have an impact on the Bank's exposure to rate risk. In order to manage and mitigate such risks, ALCO reviews the re-pricing of assets and liabilities on a monthly basis. The Bank's rate risk is limited due to the business model adopted where customer deposits have been taken on the profit and loss sharing basis.

However, rate risk is monitored by measuring the impact on rate sensitive maturity gaps with yield curve shifts of parallel and non-parallel nature.

[illegible]

Risk Management

Impact of yield curve shifts on rate sensitive assets and liabilities on contractual and behavioural basis are given below based on the above scenarios:

2018			2017		
Scenario	Rate Risk (LKR million)	Impact on CAR	Scenario	Rate Risk (LKR million)	Impact on CAR
Behavioural Basis					
Scenario I	(429.14)	-0.72%	Scenario I	(330.54)	-0.65%
Scenario II	462.29	0.77%	Scenario II	348.48	0.69%
Scenario III	(324.27)	-0.54%	Scenario III	(220.47)	-0.43%
Scenario IV	331.49	0.56%	Scenario IV	223.22	0.44%
Scenario V	(1,013.51)	-1.70%	Scenario V	(791.26)	-1.56%
Contractual Basis					
Scenario I	(782.39)	-1.31%	Scenario I	(694.98)	-1.37%
Scenario II	856.27	1.43%	Scenario II	756.66	1.49%
Scenario III	(451.73)	-0.76%	Scenario III	(360.47)	-0.71%
Scenario IV	472.57	0.79%	Scenario IV	377.97	0.74%
Scenario V	(1,832.40)	-3.07%	Scenario V	(1,633.63)	-3.21%

The details of the impact of 1% increase in market rates on Economic Value of Equity (EVE) and Earnings at Risk (EaR) calculated based on Behavioural and Contractual maturities are given in the table below:

	2018	2017
Economic Value of Equity (EVE) - (100 bps shift)		
Behavioural - % of Total Capital	1.93%	1.58%
- Value in LKR million	(218.64)	(167.57)
Contractual - % of Total Capital	3.52%	3.34%
- Value in LKR million	(399.98)	(354.84)
Earnings at Risk (EaR) - (100bps shift)		
Behavioural - % of Total Capital	-0.12%	-0.30%
- Value in LKR million	(13.09)	(31.93)
Contractual - % of Total Capital	0.81%	1.01%
- Value in LKR million	(92.39)	(106.89)

Maturity Gaps of Assets and Liabilities (Behavioural Basis) as at 31 December 2018

	Up to 3 Months	3 - 12 Months	1 - 3 Years	3 - 5 Years	Over 5 Years	Total as at 31.12.2018	Sensitive to Rates
	LKR	LKR	LKR	LKR	LKR	LKR	
Assets							
Cash and Cash Equivalents	5,338,090,636	-	-	-	-	5,338,090,636	Yes
Balance with Central Bank of Sri Lanka	1,878,378,578	1,261,604,938	121,516,016	115,924,612	166,020,636	3,543,444,781	Yes
Placements with Banks	6,593,054,455	2,671,644,795	-	-	-	9,264,699,249	Yes
Placements with Licensed Finance Companies	2,427,970,097	-	-	-	-	2,427,970,097	Yes
Derivative Financial Assets	406,123,506	39,609,234	-	-	-	445,732,740	Yes
Financial Assets Measured at Fair Value through Profit or Loss	113,249,108	-	-	-	-	113,249,108	Yes
Financing and Receivables to Other Customers	16,675,655,594	15,859,388,275	12,074,120,500	5,415,384,757	2,829,114,229	52,853,663,356	Yes
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	186,655,424	186,655,424	Yes
Other Assets - Financial	264,732,481	286,798,209	34,174,143	-	-	585,704,833	Yes
Property, Plant and Equipment	-	-	-	-	1,890,194,155	1,890,194,155	No
Intangible Assets	-	-	-	-	238,311,383	238,311,383	No
Other Assets - Non Financial	246,145,455	127,951,081	7,955,169	-	-	382,051,706	No
Total Assets	33,943,399,909	20,246,996,532	12,237,765,829	5,531,309,369	5,310,295,828	77,269,767,468	
Liabilities							
Due to Banks	1,210,204,847	-	-	-	-	1,210,204,847	Yes
Derivative Financial Liabilities	471,779,054	969,226,568	-	-	-	1,441,005,622	Yes
Due to Depositors	25,098,524,136	27,844,024,686	2,647,515,150	2,524,211,761	3,608,406,862	61,722,682,595	Yes
Other Liabilities - Financial	467,598,759	4,994,467	6,000,000	2,035,656	-	480,628,881	Yes
Current Tax Liabilities	-	330,606,614	-	-	-	330,606,614	No
Dividend Payable	3,562,069	-	-	-	-	3,562,069	No
Deferred Tax Liability	-	-	-	-	221,536,935	221,536,935	No
Retirement Benefit Liability	-	-	-	-	127,517,726	127,517,726	No
Other Liabilities - Non Financial	97,921,864	-	-	-	-	97,921,864	No
Total Liabilities	27,349,590,728	29,148,852,335	2,653,515,150	2,526,247,416	3,957,461,523	65,635,667,153	
Maturity Gap	6,593,809,181	(8,901,855,803)	9,584,250,679	3,005,061,953	1,352,834,304	11,634,100,315	

Risk Management

Maturity Gaps of Assets and Liabilities (Contractual Basis) as at 31 December 2018

	Up to 3 Months	3 - 12 Months	1 - 3 Years	3 - 5 Years	Over 5 Years	Total as at 31.12.2018	Sensitive to Rates
	LKR	LKR	LKR	LKR	LKR	LKR	
Assets							
Cash and Cash Equivalents	5,338,090,636	-	-	-	-	5,338,090,636	Yes
Balance with Central Bank of Sri Lanka	3,543,444,781	-	-	-	-	3,543,444,781	Yes
Placements with Banks	6,593,054,455	2,671,644,795	-	-	-	9,264,699,249	Yes
Placements with Licensed Finance Companies	2,427,970,097	-	-	-	-	2,427,970,097	Yes
Derivative Financial Assets	406,123,506	39,609,234	-	-	-	445,732,740	Yes
Financial Assets Measured at Fair Value through Profit or Loss	113,249,108	-	-	-	-	113,249,108	Yes
Financing and Receivables to Other Customers	16,675,655,594	15,859,388,275	12,074,120,500	5,415,384,757	2,829,114,229	52,853,663,356	Yes
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	186,655,424	186,655,424	Yes
Other Assets - Financial	264,732,481	286,798,209	34,174,143	-	-	585,704,833	Yes
Property, Plant and Equipment	-	-	-	-	1,890,194,155	1,890,194,155	No
Intangible Assets	-	-	-	-	238,311,383	238,311,383	No
Other Assets - Non Financial	246,145,455	127,951,081	7,955,169	-	-	382,051,706	No
Total Assets	35,608,466,112	18,985,391,594	12,116,249,813	5,415,384,757	5,144,275,191	77,269,767,468	
Liabilities							
Due to Banks	1,210,204,847	-	-	-	-	1,210,204,847	Yes
Derivative Financial Liabilities	471,779,054	969,226,568	-	-	-	1,441,005,622	Yes
Due to Depositors	37,572,864,714	21,539,930,419	700,289,874	576,986,485	1,332,611,103	61,722,682,595	Yes
Other Liabilities - Financial	467,598,759	4,994,467	6,000,000	2,035,656	-	480,628,881	Yes
Current Tax Liabilities	-	330,606,614	-	-	-	330,606,614	No
Dividend Payable	3,562,069	-	-	-	-	3,562,069	No
Deferred Tax Liability	-	-	-	-	221,536,935	221,536,935	No
Retirement Benefit Liability	-	-	-	-	127,517,726	127,517,726	No
Other Liabilities - Non Financial	97,921,864	-	-	-	-	97,921,864	No
Total Liabilities	39,823,931,306	22,844,758,067	706,289,874	579,022,141	1,681,665,764	65,635,667,153	
Maturity Gap	(4,215,465,194)	(3,859,366,474)	11,409,959,938	4,836,362,616	3,462,609,428	11,634,100,315	

Maturity Gap Analysis for Local Currency Denominated Assets and Liabilities - as at 31 December 2018

	Up to 1 month LKR	1 - 3 months LKR	3 - 6 months LKR	6 - 9 months LKR	9 - 12 months LKR	1 - 3 Years LKR	3 - 5 Year LKR	Over 5 Years LKR	Total LKR
Inflows									
Cash on Hand	1,814,139,269	-	-	-	-	-	-	-	1,814,139,269
Deposits with CBSL	915,985,084	631,177,860	456,777,218	497,715,059	479,723,608	265,110,015	131,399,082	191,226,854	3,569,114,781
Balances due from HO/ Affiliates and Own Branches	-	-	-	-	-	-	-	-	-
Balances due from									
Other Banks	23,965,674	2,415,579,323	1,750,000,000	-	-	-	-	-	4,189,544,997
Investments	299,904,532	-	-	-	-	-	-	-	299,904,532
Bills of Exchange	-	-	-	-	-	-	-	-	-
Overdrafts	350,107,740	350,107,740	350,107,740	350,107,740	350,107,740	972,521,501	972,521,501	972,521,501	4,668,103,206
Financing and Receivables to Other Customers	6,368,633,350	5,579,611,071	3,344,340,346	2,188,954,069	2,132,396,205	9,101,774,701	4,482,466,196	9,213,640,588	42,411,816,526
Non Performing Advances	-	-	-	-	243,367,270	-	-	730,101,810	973,469,080
Inter Branch Transactions	206,879	-	-	-	-	-	-	-	206,879
Other Assets	272,563,731	103,124,417	13,359,194	13,359,194	298,360,564	101,772,149	-	2,312,918,049	3,115,457,296
Lines of Credit Committed from Institutions	-	-	-	-	-	-	-	-	-
Others	-	-	-	-	-	-	-	-	-
Total (a)	10,045,506,260	9,079,600,412	5,914,584,498	3,050,136,062	3,503,955,387	10,441,178,366	5,586,386,780	13,420,408,801	61,041,756,565
Outflows									
Demand Deposits	1,562,542,526	790,196,100	395,098,050	164,624,188	98,774,513	-	-	329,248,375	3,340,483,751
Savings Deposits	3,785,908,251	3,557,073,574	2,864,134,954	1,473,631,847	922,607,987	2,137,491,751	2,108,621,431	3,083,267,845	19,932,737,637
Balance Due to HO/Affiliates /Branches	-	-	-	-	-	-	-	-	-
Balance due to other Banks	-	-	-	-	-	-	-	-	-
Time Deposits	379,944,989	6,916,340,255	4,892,130,866	7,243,659,242	7,539,468,465	2,593,497,702	236,245,360	-	29,801,286,881
Certificate of Deposits, Borrowings and Bonds	-	-	-	-	-	-	-	-	-
Net Inter-Branch Transactions	-	-	-	-	-	-	-	-	-
Bills Payable	-	-	-	-	-	-	-	-	-
Profit Payable	56,062,717	142,279,845	105,367,774	118,423,166	114,956,112	64,269,822	31,854,684	41,885,758	675,099,878
Provisions other than for Financing and Receivables to Other Customers and depreciation in the value of Investment portfolio	1,495,722,482	7,886,404	19,861,140	91,837,275	11,930,088	10,885,051	87,065,914	447,132,591	2,172,320,943
Other Liabilities	3,141,183,213	-	-	-	-	-	-	-	3,141,183,213
Lines of Credit committed from institutions	-	-	-	-	-	-	-	-	-
Unutilised portion of Overdraft, Financing and Receivables to Other Customers	263,158,250	526,316,499	789,474,749	789,474,749	789,474,749	-	-	-	3,157,898,996
Letters of Credit/Guarantees/ Acceptances	615,610,908	271,688,962	481,992,573	373,406,608	397,051,339	246,542,217	5,907,573	-	2,392,200,180
Repo/Bills Rediscounted/ Swaps/Forward contracts	(2,834,063,315)	(1,146,453,869)	6,466,234,637	2,013,000,000	915,000,000	732,000,000	-	-	6,145,717,453
Others	-	-	-	-	-	-	-	11,351,825,785	11,351,825,785
Total (b)	8,466,070,021	11,065,327,770	16,014,294,743	12,268,057,075	10,789,263,252	5,784,686,543	2,469,694,961	15,253,360,353	82,110,754,718
Gap = (a)-(b)	1,579,436,239	(1,985,727,358)	(10,099,710,245)	(9,217,921,013)	(7,285,307,865)	4,656,491,823	3,116,691,818	(1,832,951,552)	(21,068,998,152)

Risk Management

Maturity Gap Analysis for U.S. Dollar Denominated Assets and Liabilities - as at 31 December 2018

	Up to 1 month USD	1 - 3 months USD	3 - 6 months USD	6 - 9 months USD	9 - 12 months USD	1 - 3 Years USD	3 - 5 Year USD	Over 5 Years USD	Total USD
Inflows									
Cash on Hand	779,038	-	-	-	-	-	-	-	779,038
Deposits with CBSL	-	-	-	-	-	-	-	-	-
Balances due from HO/Affiliates and Own Branches	-	-	-	-	-	-	-	-	-
Balances due from Other Banks	58,416,932	-	-	-	-	-	-	-	58,416,932
Investments	-	-	-	-	-	-	-	-	-
Bills of Exchange	-	-	-	-	-	-	-	-	-
Overdrafts	7,500	7,500	7,500	7,500	7,500	20,833	20,833	20,833	99,996
Financing and Receivables from Other Customers	3,815,426	13,719,125	2,536,728	330,118	1,859,967	2,405,051	1,094,049	5,555	25,766,019
Non Performing Advances	-	-	-	-	91,248	-	-	273,744	364,992
Inter Branch Transactions	-	-	-	-	-	-	-	-	-
Other Assets	33,907	-	-	-	-	-	-	-	33,907
Lines of Credit Committed from Institutions	-	-	-	-	-	-	-	-	-
Others	-	-	-	-	-	-	-	-	-
Total (a)	63,052,802	13,726,625	2,544,228	337,618	1,958,715	2,425,883	1,114,882	300,131	85,460,884
Outflows									
Demand Deposits	567,694	296,188	148,094	61,706	37,024	-	-	123,412	1,234,117
Savings Deposits	1,893,156	1,800,095	1,440,076	720,038	463,024	912,349	926,053	977,472	9,132,263
Balance Due to HO/ Affiliates/Branches	19	-	-	-	-	-	-	-	19
Balance due to other Banks	6,600,000	-	-	-	-	-	-	-	6,600,000
Time Deposits	1,720,101	17,042,465	2,671,110	3,464,722	4,585,186	804,589	-	-	30,288,172
Certificate of Deposits, Borrowings and Bonds	-	-	-	-	-	-	-	-	-
Net Inter-branch Transactions	-	-	-	-	-	-	-	-	-
Bills Payable	-	-	-	-	-	-	-	-	-
Profit Payable	22,002	114,735	25,034	25,482	30,739	10,455	5,639	5,952	240,037
Provisions other than for Financing and Receivables to Other Customers and depreciation in the value of Investment portfolio	37,072	-	-	-	-	31,255	-	-	68,327
Other Liabilities	(19,575,443)	-	-	-	-	-	-	-	(19,575,443)
Lines of Credit committed from institutions	-	-	-	-	-	-	-	-	-
Unutilised portion of Overdraft, Financing and Receivables to Other Customers	-	-	-	-	-	-	-	-	-
Letters of Credit/Guarantees/ Acceptances	7,539,296	5,333,977	643,959	703,990	138,456	440,000	-	-	14,799,677
Repo/Bills Rediscounted/Swaps/ Forward contracts	15,486,685	6,264,775	(35,334,616)	(11,000,000)	(5,000,000)	(4,000,000)	-	-	(33,583,155)
Others	-	-	-	-	-	-	-	1,538,833	1,538,833
Total (b)	14,290,581	30,852,236	(30,406,344)	(6,024,063)	254,429	(1,801,353)	931,692	2,645,669	10,742,848
Gap = (a)-(b)	48,762,221	(17,125,611)	32,950,572	6,361,680	1,704,285	4,227,236	183,190	(2,345,538)	74,718,036

Liquidity Risk

Liquidity risk is the risk that the Bank is unable to meet its financial obligations in a timely manner without incurring high cost.

Effective liquidity risk management is essential in order to maintain the confidence of depositors and counterparties, manage cost of funds, and to enable business units to continue to generate revenue, even under adverse circumstances.

Liquidity risk is managed within the framework of policies and limits that are approved by the BOD. The BOD receives reports on risk exposures and performance against approved limits. ALCO provides senior management oversight of liquidity risk and meets at least monthly to discuss the Bank's liquidity profile.

Adequate liquid assets are maintained by the Bank to ensure the Statutory Liquid Assets Ratio (SLAR) is maintained in accordance with the regulatory requirements. Liquid assets defined for purposes of the liquidity ratio are mainly cash holdings, bank balances and short-term interbank deposits. The maintenance of SLAR is given below:

Liquid Assets to Liabilities Ratios

	2018	2017
Year-end	22.98%	22.23%
Minimum	20.86%	21.21%
Maximum	23.68%	23.46%

Liquidity Coverage Ratio (LCR)

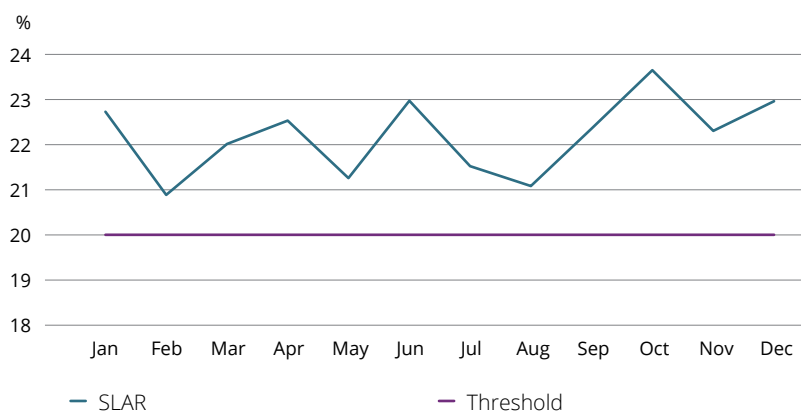
Regulations require banks to maintain LCR in respect of Rupee Liquidity Minimum Requirement for local currency operations and All Currency Liquidity Minimum Requirement for overall operations. This ratio was introduced under Basel III Liquidity Standards and CBSL expects banks to maintain a minimum ratio as 80% in 2017, 90% in 2018 and 100% in 2019.

During 2018, the Bank adequately maintained its LCR above the minimum requirement.

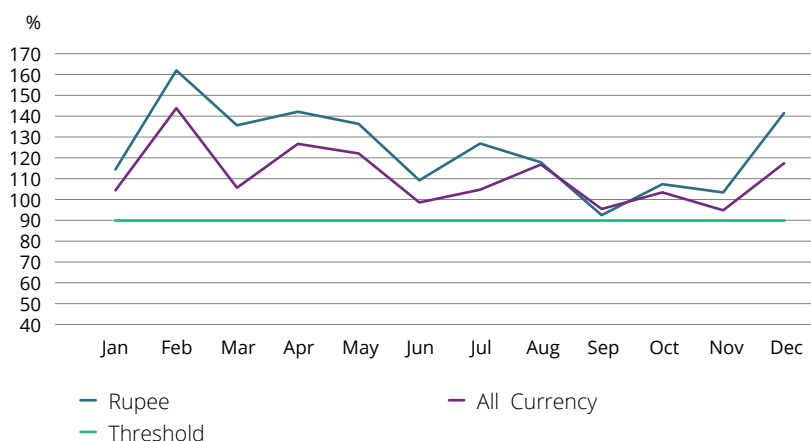
Asset and Liability Maturity Gaps

The contractual and behavioural assets and liability maturity gaps as at end of year are indicated below:

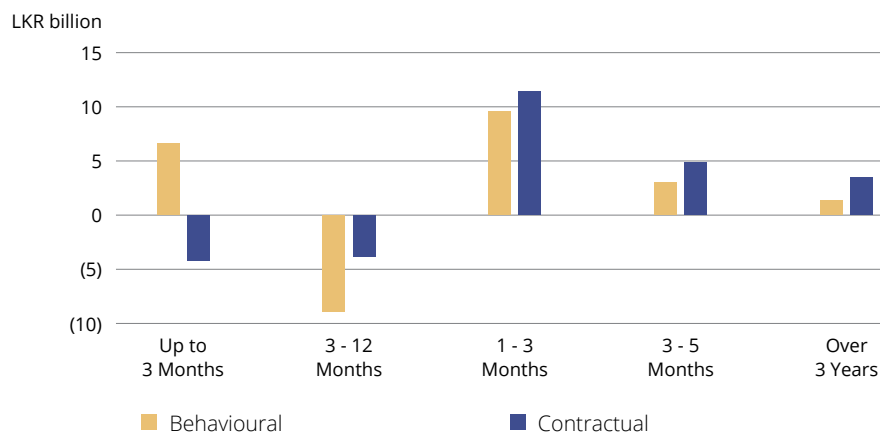
SLAR 2018



LCR 2018



Maturity Gaps



Risk Management

Stress Testing

Stress testing is carried out based on Board approved stress testing guidelines and the results are reviewed by BIRMC and ALCO regularly. Stress testing is carried out for areas in relation to exchange exposure, equity portfolio and liquidity to ascertain the impact if the markets faced stressed situations.

i. Foreign Exchange

Amāna Bank's foreign exchange exposure has been stress tested using three scenarios which are based on 10%, 15% and 20%, in order to assess adverse rate movements of exchange rates, for which the result would impact upon the Capital Adequacy Ratio (CAR). The stress testing results of exchange exposures as of 31 December 2018 are given below:

Particulars	Scenario 1	Scenario 2	Scenario 3
Adverse Change in Exchange Rate (%)	10	20	30
Net Exposure (LKR)	278,181,177	278,181,177	278,181,177
Exchange Loss (LKR)	27,818,118	41,727,177	55,636,235
Capital Funds - Dec 2018 (LKR)	11,347,153,694	11,347,153,694	11,347,153,694
Capital Adjusted for Loss (LKR)	11,319,335,576	11,305,426,517	11,291,517,459
Risk Weighted Assets - Dec 2018 (LKR)	59,726,125,165	59,726,125,165	59,726,125,165
Adjusted Risk Weighted Assets (LKR)	59,698,307,048	59,684,397,989	59,670,488,930
Capital Adequacy Ratio as at 31 December 2018 (%)	19.00%	19.00%	19.00%
Revised Capital Adequacy Ratio (%)	18.96%	18.94%	18.92%
Decline in CAR (%)	0.04%	0.06%	0.08%

ii. Equity Portfolio

Amāna Bank's equity portfolio has been stress tested using three scenarios which are based on 10%, 20% and 30% in order to assess adverse price movements of equities, for which the result would impact upon the CAR. The stress testing results of the equity portfolio as of 31 December 2018 is given below:

Particulars	Scenario 1	Scenario 2	Scenario 3
Adverse Change in Equity Price (%)	10	20	30
Market Value of Equity Portfolio (LKR)	296,911,537	296,911,537	296,911,537
Revaluation Loss (LKR)	29,691,154	59,382,307	89,073,461
Capital Funds - Dec 2018 (LKR)	11,347,153,694	11,347,153,694	11,347,153,694
Capital Adjusted for Loss (LKR)	11,317,462,540	11,287,771,387	11,258,080,233
Risk Weighted Assets - Dec 2018 (LKR)	59,726,125,165	59,726,125,165	59,726,125,165
Adjusted Risk Weighted Assets (LKR)	59,696,434,012	59,666,742,858	59,637,051,704
Capital Adequacy Ratio as at 31 December 2018 (%)	19.00%	19.00%	19.00%
Revised Capital Adequacy Ratio (%)	18.96%	18.92%	18.88%
Decline in CAR (%)	0.04%	0.08%	0.12%

iii Liquidity

The Bank's ability to maintain regulatory liquidity requirements is undertaken based on stress testing due to the concentration of liquidity which could lead to the impact of large outflows due to customer withdrawals.

OPERATIONAL RISK MANAGEMENT

Management of Operational Risk at Amāna Bank

Operational Risk is defined as the risk of losses resulting from inadequate or failed internal processes, people and systems or from external events, which includes legal risk. This definition excludes Strategic and Reputation Risks. Therefore, in line with the Basel II risk management framework and leading practices, operational risk in the Bank is composed of the following risk types: operations risk, legal risk, regulatory compliance risk, financial crime risk, people risk, property risk, technology risk, vendor risk, financial risk and environmental risk. While the overall Operational Risk management responsibility is with RMD, different departments such as Legal, Compliance, IT manages the individual risks, which can be classified as operational risk.

Operational Risk exposure is managed through a comprehensive set of internal controls and management processes that include risk assessment (identification, description and estimation), risk evaluation, reporting, mitigation, residual risk reporting and monitoring and control associated with the Bank's business operations as an on-going activity. Operational Risk is recognised as a distinct risk category, which the Bank strives to manage within acceptable levels through sound operational risk management practices. The Bank's approach to managing Operational Risk is to adopt practices that are fit and prudent to suit the organisational maturity and relevant business environments.

Managing Operational Risk forms part of the day to day responsibilities of management at all levels. The objective in managing Operational Risk is to increase the efficiency and effectiveness of the Bank's resources, minimise losses and utilise opportunities. The Bank's framework defines the minimum requirements for Operational Risk management and is supported by specific

policies and procedures. Business units implement the Bank's framework, policies and procedures but may customise these to better suit the Bank's unique model.

Business unit/line management as the first line of defence is ultimately responsible for managing risks that arise within the scope of their respective areas. Both centralised and decentralised Operational Risk management functions are independent from business line management and work in partnership as the second line of defence. Their role is to monitor, manage and report on risks to ensure Operational Risk exposure remains within the policy parameters as mandated by the BOD and Senior Management. These independent functions are also responsible for developing and implementing the Operational Risk management framework and for promoting sound risk management practices across the Bank. Internal Audit is the Bank's third line of defence and performs an independent review of the Operational Risk management framework, policies and practices to ensure that Operational Risk practices are adequate, comprehensive, consistent and efficiently implemented.

Operational Risk Identification



As shown in the above diagram, risk management starts with risk identification. Risks that have the potential to affect the Bank are identified through analysis of internal factors, such as key control lapses and external factors such as environmental threats.

The Bank has established different processes that identify the nature and types of Operational Risk and their causes along with resulting effects on the Bank. Proper Operational Risk identification supports the reporting and maintenance of capital for Operational Risk exposure and events, facilitates the establishment of mechanisms to mitigate or control the risks, and ensures that management is fully aware of the sources of emerging Operational Risk loss events.

Risk identification is performed at all levels of units in the Bank. Risks that have the potential to impact the Bank must be identified through analysis of internal factors and external factors. Risk identification takes into consideration the following:

Risk Management

- ★ risks arising from control lapses
- ★ risks identified through root cause analysis of operational events in a timely manner
- ★ risks arising from potential infrequent but severe events
- ★ risks arising from change initiatives (example: new products and projects)
- ★ external events with risk implications to the Bank

The Bank uses the following tools for Operational risk identification:

Risk Control and Self-Assessments

Risk Control and Self-Assessment (RCSA) is a structured means for a business line, supporting unit, product line or process to identify and assess its own risks and introduce measures aimed at improving risk control. It focuses on Operational Risks. In addition, the ownership of key risks - and measures introduced to mitigate unacceptable risk exposure - is clearly defined.

RCSA is conducted by staff of the Bank's unit being assessed (i.e., those who know the process best) with the guidance of the Head of Operational Risk Management Unit, where necessary. As a consequence, RCSA is regarded as an effective Operational Risk Management tool, to be deployed throughout the Bank.

RCSAs will assist business and support units to self-identify and assess operational risks for certain key processes for which they are responsible. RCSA will also help to address those risks by evaluating the effectiveness of controls and, if necessary, establishing action plans to address any identified process gaps.

Since the business units have expertise in their functions and the process, Operational Risk coordinators of respective units, conduct the RCSA which is reviewed and evaluated by RMD along with the heat map

for escalation to the Management and Board Sub-Committees for their comments and suggestions. Operational Risk Management Unit is continuously looking to improve this process and develop a simplified and user friendly approach while raising staff awareness.

Key Risk Indicators

The function of Key Risk Indicators (KRI) is to allow the early detection of Operational Risk before actual failure occurs. It is an early warning indicator of risks and not losses.

Data collection, analysis and presentation of key risk indicators are carried out on a monthly basis along with root cause identification and follow-up on corrective actions. New Key Risk indicators were identified in order to assess and mitigate the Operational Risk of the Bank.

KRIs are monitored by Operational Risk Management Unit on a monthly basis and in the event of a threshold breach it is escalated to ORMCM to make recommendations for control of same. A KRI dash board is prepared monthly and is circulated for BIRMC's review.

Internal Operational Risk Events and Losses

Departments report all Operational Risk events and losses to the Operational Risk Management Unit which maintains a centralised database on all internal risk events and losses (both historical and current). This data is then classified into various risk categories.

Loss event database is maintained in line with Basel II regulations and CBSL requirements to identify operational loss trends from internal loss data collection and prepare analysis for management reporting. Root cause of operational losses to facilitate control/process/system improvements are identified and monitored for resolution.

External Risk Events Data

External events which have Operational Risk implication to the Bank are monitored as a source of potential Operational Risk.

New/Change Initiatives Risk Analysis

Operational risks are identified and assessed in the evaluation and implementation of new/change initiatives such as new products, acquisition, integration and projects.

In line with Amāna Bank's goal towards Digitalisation of customer servicing tools, Bank has set up a dedicated team to drive Digital Banking Projects. Thus digitalisation enables upgraded service delivery network to the customer, since Cyber Risk and Technology Risk have emerged as significant risks in recent past in the industry, Operational Risk Management Unit is closely working with Information Technology and Digital Banking Team to understand and minimise the vulnerability to Cyber Risk and Technology Risk.

Operational Risk Assessment

All risks identified are assessed using the Operational Risk grading matrix. Risks are assigned risk grades (high, medium and low) based on the assessments of likelihood and impact of the risks. Impact is assessed qualitatively and quantitatively against the Operational Risk tolerance and limits set for the five dimensions of impacts: financial, reputational, regulatory, human resources and business disruption. The use of the said dimensions ensures a comprehensive assessment of the impact.

The risk grades of the assessed risks reflect the status of adherence to the risk appetite of the Bank. Qualitative and quantitative methodologies and tools are applied to identify and assess operational risks and to provide management with information for determining appropriate mitigating measures.

Operational Risk Mitigation and Control

All risks must have mitigation plans established to reduce the inherent risks within the risk appetite of the Bank. Actions to mitigate or control identified risks are prioritised based on assessed impact of the risks, and are directed at the root cause of the risk. All action plans are assigned to owners. Risk grades are reassessed periodically to appropriately reflect changes in the environment and the progress of the mitigation plans. Mitigation plans are captured and progress is monitored.

There are different levels of controls operational in the Bank. The following levels of control are distinguished in this respect:

- ★ Individual level
- ★ Management control
- ★ Assessments carried out by specialist units such as Internal Audit, Sharia Audit and Compliance.
- ★ Assessments carried out by external parties (External Auditors and Supervisory Authorities).

Together, these four levels of risk control form the basis for Operational Risk control system.

The Banking industry uses insurance as a highly developed operational risk management and mitigation tool. Insurance (Takaful) policies of the Bank are reviewed on a periodic basis and the same process is monitored by Operational Risk management through RCSA as the use of insurance helps to transfer the risk of low frequency and high severity losses that might occur as a result of events such as fire, theft, damage to physical assets by natural disaster, etc.

Operational Risk Monitoring

The final step of the risk management process is to monitor unresolved risks until the point when the risk exposures are within the risk appetite of the Bank. This involves periodic reassessment of risk

grades to capture changes in environment that may increase or decrease potential impact of the risks.

Risk reviews on new products, processes and external suppliers including outsourced service providers are undertaken by the Bank. Outsourced activities are carried out based on CBSL guidelines from the Direction on Outsourcing of Business Operations of Licensed Commercial Banks. A report on outsourced activities is submitted to CBSL on a periodical basis.

Details of Outsourced Activities

To be the catalyst for alternate banking industry in Sri Lanka, the Bank has focused its efforts on its strengths and therefore constantly focuses on refining its operations and outsources non critical areas wherever possible. With a view to streamline the processes and activities of the Bank and to facilitate transactions that would give the Bank a competitive advantage the Bank continued to seek outsourcing options. This process was further strengthened by the Bank through a well-defined policy on outsourcing functions and which is within the purview of Administration Department of the Bank.

The implementation of the Outsourcing Policy is monitored to ensure compliance with CBSL Directive No.7 of 2010 on Outsourcing of Business Operations of Licensed Commercial Banks and related guidelines. Under the provisions of the policy, the below mentioned areas are some of the outsourced activities of the Bank.

Service	Basis of Payment
Cheque Book Printing	Per cheque book
Supply of ATM Consumables	Per card
Data Entry of Mandate Details	Per document
All Cash Sorting & Transport	Transport- Per agreed rate according to the distance & counting - Per bundle
Tax Consultancy Services	Per service transaction / Per assignment
Actuarial Services	Per assignment
Security Service	Number of shifts
Courier Service	Per courier
Vehicle Hire	Per Km
Janitorial Services	Number of shifts
Archival of Documents	Per carton
Central Mail Room Management	Number of mails processed
Secretarial Services	Monthly fee
Processing of Salaries	Monthly fee
IFRS Consultancy Service	Assignment fee

Risk Management

The Bank conducts a detail KYC and due diligence tests prior to selecting a new service provider or renewing an existing contract. A comprehensive report on all such outsourced activities is annually submitted to CBSL for their review.

Managing Operational Risks in New Product Development

A process is in place to identify the operational risks of new products along with possible mitigates prior to launch of such products and a similar process is followed during the annual review of existing Product Programmes. Risk management is a key aspect of product development, as the Bank thrives on innovation to deliver new products that would cater to the growing and evolving needs of the retail, SME and corporate customers. These Product Programmes are approved by all stakeholders.

Business Continuity Management (BCM)

As an integral component of the Bank's risk management framework, the Bank has deployed a Business Continuity Policy which enables the bank to plan the business continuity in a desired manner while identifying the critical business units and formulating key roles with required responsibilities in order to act upon adequately in the event of a disaster. This planning is being done annually based on CBSL guidelines and the standard international business continuity management practices. The entire business continuity process is reviewed annually and feedback provided for further improvements where necessary. The Bank's business continuity strategy is structured to ensure centralised monitoring and reporting and decentralised execution, and is supported by a robust governance process.

The developed BCM contains four different areas, which include, Recovery Plans, Emergency Response Plans, Support Plans and Management System Plans. The

Business Continuity Plans so developed are backed by infrastructure to support key services, core systems and critical business processes.

The BIRMC approves the plan and its implementation is coordinated via the Operational Risk Unit of the Bank. The Bank's Executive Risk Management Committee (ERMC) acts as a BCM Steering Committee to establish appropriate policies, standards, strategies and processes. The BCM Working Committee is appointed by the BCM Steering Committee to implement the BCM Policy based on key critical units' requirements to address elements of continuity planning (e.g. identification of critical business processes, delegation of authority, order of succession, alternate operating facilities, communications, and vital records, etc.) and restoration of the Bank's essential functions.

The Bank gives primary importance to ensuring safety of its customers, staff, contractors and other visitors. In this regard, the Bank not only has an able emergency response team but also a team dedicated to support people and families affected.

Management plans within the BCP spells out the tools and processes required to maintain the continued effectiveness of the plan. Business Continuity Plan is periodically reviewed through comprehensive Business Impact Analysis (BIA) to accommodate organisational changes and is subjected to regular drills and testing as well.

BCP Testing/Activation Drills

The Bank has successfully conducted Disaster Recovery (DR) Testing in May 2018 from the Bank's Disaster Recovery Site in respect of its critical business operations.

BCP/DR Drill reports highlighting test results, technical and operational functions, issues encountered, lessons learnt and risk mitigation measures adopted

during the testing process were reported to the Regulator with the review and recommendation of the BIRMC and approval of the BOD well within stipulated deadlines of the Regulator. RMD identified additional alternative locations for selected units/ functions and carried out mock drills in order to assess the feasibility. BCP Drills at such additional locations were successfully carried out in 2018.



Our human, financial and technological resources continue to be our strength in our journey of growth.

**OPTIMIZING
OUR RESOURCES**

CORPORATE GOVERNANCE

CORPORATE GOVERNANCE AT THE BANK

The Bank's approach to governance is based on the Corporate Governance Direction No.11 of 2007 for Corporate Governance for Licensed Commercial Banks in Sri Lanka issued by the Central Bank as the chief regulator and Code of Best Practices issued by Securities and Exchange Commission of Sri Lanka, jointly with The Institute of Chartered Accountants of Sri Lanka.

Amāna Bank is firmly grounded in its values to ensure optimum management of compliance risk and ensure that tacit governance is practiced. This includes the need to constantly seek new avenues in ensuring that Compliance consists of going beyond merely regulatory compliance. The Bank kept Corporate Governance at the forefront by actively and emphatically promoting Ethics training, living and demonstrating our values in action and by celebrating employees who demonstrate a commitment to live the Bank values in the most coherent and cohesive manner. This includes harnessing the different platforms available such as whistleblowing, encouraging engagement and constructive criticisms at all levels and forums. This also included the second Awards Ceremony; where the number of awards and categories were enhanced to provide opportunities to truly harness the achievements of all staff. Climate surveys were also introduced to constantly evaluate and develop the leadership skills of those directly responsible for governance.

In order to create the right environment for the Corporate Governance culture, the senior management is frequently tracked on their "Trust Huddles" by way of providing updates at every Management Committee meeting. The Board too, engages in various knowledge enrichment sessions where senior practitioners from the industry are welcomed to share their experiences and ignite discussions.

The Board Sub-Committees are in place to assist the Board's responsibilities with the Corporate Governance principles. The Board of Directors is fully committed to ensure that good governance is practiced and presented their report to shareholders in pages 118 to 121 in this Annual Report. The detailed report set out below on Bank's compliance with the requirements of sound governance as set out by Direction No. 11 of 2007 issued by Central Bank of Sri Lanka and subsequent amendments thereof. Accordingly, during the period under review the Bank was in compliance with all of the provisions of the above direction.

STATEMENT OF EXTERNAL AUDITORS

The External Auditors have performed an audit of agreed upon procedures on the Corporate Governance Principles from 3(1) to 3(8) specified in Banking Act Direction No. 11 of 2007 and amendments thereto on Corporate Governance for Licensed Commercial Banks in Sri Lanka issued by the Central Bank of Sri Lanka.

Rule Number	Rule	Status of Compliance
3 (1)	The Responsibilities of the Board	
3 (1) (i)	The Board shall strengthen the safety and soundness of the Bank by ensuring the implementation of the following:-	
3 (1) (i) (a)	Approve and oversee the Bank's strategic objectives and corporate values and ensure that these are communicated throughout the Bank.	Complied. The Strategic Plan for the period 2019 to 2022 was reviewed and approved by the Board which includes strategic objective and corporate values. Annual Budget prepared based on the Strategic Plan has been approved by the Board after extensive discussion. Strategies and Corporate values are monitored and assessed at regular meetings with the Management Committee and communicated to all staff by each Management Committee member through the use of KPIs, goals, targets and various other forums and platforms.
3 (1) (i) (b)	Approve the overall business strategy of the Bank, including the Risk Policy and Risk Management procedures and mechanisms with measurable goals, for at least for the next three years.	Complied. The Bank approved Strategic Plan includes overall business strategy and measurable goals for the period 2019 - 2022. The financial projections up to 2022 have also been included. The Integrated Risk Management (IRM) Framework approved by the Board includes risk management procedures and mechanism, which reviews the measurable goals in line with the Strategic Plan, where gaps are being identified and addressed, and is monitored regularly at monthly Board Meetings.
3 (1) (i) (c)	Identify the principal risks and ensure implementation of appropriate systems to manage the risks prudently.	Complied. The Bank has implemented a stringent risk management process from the Risk Policy which is being monitored by the IRM Framework prudently and the Board through a well-structured Risk reporting system. The IRM Framework is being monitored through the use of monthly risk dashboard by the Board Integrated Risk Management Committee (BIRMC). BIRMC Chairman's report consisting of deliberation and minutes of the BIRMC are submitted to the Board periodically. The Board has a process where Board members discuss new strategies and products at length, which is to be introduced during the year.
3 (1) (i) (d)	Approve implementation of a policy of communication with all stakeholders, including depositors, creditors, shareholders and borrowers.	Complied. The Board has approved a comprehensive communication policy, which covers the communication to all stakeholders, depositors, creditors, shareholders and clients.
3 (1) (i) (e)	Review the adequacy and the integrity of the Bank's internal control systems and management information systems.	Complied. Adequacy and the integrity of the Bank's internal control system and management information system (MIS) are reviewed by the BAC. The Internal Audit Department determines the adequacy and the integrity of the Bank's internal control system and MIS regularly, and submits a report to the BAC. The Board and the BAC has examined the report for 2018 and are satisfied on the adequacy and integrity of the MIS. Accordingly, these observations related to the level of accuracy of Board-level MIS reports presented to the Board and its sub-committees. The reports include the audit observations noted during the review.

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (1) (i) (f)	Identify and designate Officers Performing Executive Functions of Licensed Commercial Banks (LCB) as referred to in the Banking Act Determination No. 03 of 2010 on Assessment of Fitness and Propriety of Officers Performing Executive Functions in LCB as 'Key Management Personnel' of the Bank.	Complied. The Bank has identified and designated the CEO, CFO, SnVPS, VPs, Chief Compliance Officer, Chief Legal Officer, Company Secretary, Chief Information Officer, Chief Internal Auditor and Chief Risk Officer as Key Management Personnel (KMP) as per the CBSL Guideline.
3 (1) (i) (g)	Define the areas of authority and key responsibilities for the Board Directors themselves and for Key Management Personnel.	Complied. Segregation of duties and authorities between the Board of Directors and Key Management Personnel (KMP) is in place, where Directors are responsible for strategic decisions and the KMPs are responsible for carrying out the decisions. Article 29 of the Bank's Articles of Association, stipulates the authority and key responsibilities of the Board of Directors. Board approved functions and responsibilities of the CEO are in place. Key responsibilities of the KMPs are defined in the individual job description which have been submitted to the BNC and approved by the Board. Delegated authorities of the KMPs have been approved by the Board through the amendment to the Credit Risk Policy.
3 (1) (i) (h)	Ensure that there is appropriate oversight of the affairs of the Bank by Key Management Personnel that is consistent with Board's policy.	Complied. Board of Directors has oversight on the KMPs at Board and Board sub-committee meetings, where KMPs are called or present to make regular presentations to the Board on matters under their purview and explain matters relating to their concerns. All policies are also reviewed and approved at the Board, thereby ensuring appropriate Board oversight.
3 (1) (i) (i)	Periodically assess the effectiveness of the Board of Directors' own governance practices, including	Complied.
	i) the selection, nomination and election of Directors and Key Management Personnel:	The Board has delegated the functions of selecting, nominating and election of Directors and KMPs to the Board Nomination Committee (BNC) in line with the approved Terms of Reference (TOR) of the BNC. Further, Article 28 of the Bank's Articles of Association stipulates the appointment of the Directors
	ii) the management of conflicts of interest and	Article 32 of the Bank's Articles of Association cover Director's interest and a Director's interest register is maintained at the Board meeting. Further, management of Conflict of interest is covered in the Board approved Policy of Related Party transactions.

Rule Number	Rule	Status of Compliance
	iii) the determination of weaknesses and implementation of changes where necessary	Bank has a self-evaluation process in place for the Board of Directors, where the Directors evaluate the Board's own governance practices. A summary of the self-evaluation is submitted by the Company Secretary for their review and action if necessary.
3 (1) (i) (j)	Ensure that the Board has an appropriate succession plan for Key Management Personnel	Complied. A Board approved succession plan for Key Management Personnel is in place.
3 (1) (i) (k)	Meet regularly, on a needs basis, with the Key Management Personnel to review policies, establish communication lines and monitor progress towards corporate objectives.	Complied. KMPs are called or present to make regular presentations to the Board or Board Sub-Committees on matters under their purview and explain matters relating to their concerns, thus, establishing communication and monitoring progress towards corporate objectives. All policies are reviewed and approved at the Board, thereby ensuring proper oversight of Board functions.
3 (1) (i) (l)	Understand the regulatory environment and ensure that the Bank maintains an effective relationship with regulators	Complied. The Company Secretary furnishes the Board Orientation Pack which includes CBSL guidelines, Regulatory guidelines, determinations and rules of Corporate Governance to a new Director for his/her information, on being appointed to the Board. An awareness programme was conducted to the Board on 19 January 2018 on CSE Regulations. The Chief Compliance Officer submits quarterly Compliance report to the Board through BIRMC that assists the Board to identify the regulatory environment and requirements. Board ensures that effective relationships with the regulators are maintained by way of active participation at the meetings with the regulators by the CEO. The Board is constantly briefed and updated on the latest regulatory changes by the respective Mancom. For example SLFRS by the CFO & BASEL III by the CRO.
3 (1) (i) (m)	Exercise due diligence in the hiring and oversight of external auditors.	Complied. Article 44 of the Bank's Articles of Association covers the appointment of the External Auditors who are appointed at the Annual General Meeting (AGM). There is a process for oversight of the External Auditors carried out by the BAC as per the approved TOR of the BAC.

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (1) (ii)	The Board shall appoint the Chairman and the Chief Executive Officer and define and approve the functions and responsibilities of the Chairman and the Chief Executive Officer in line with direction 3 (5) of these directions	Complied. Positions of the Chairman and CEO are separated. Further, function and responsibilities of the Chairman and CEO are appropriately defined and approved by the Board in line with Direction 3 (5).
	Board Procedure	
3 (1) (iii)	The Board shall meet regularly and Board meetings shall be held at least twelve times a year at approximately monthly interval. Such regular Board meetings shall normally involve active participation in person of a majority of Directors entitled to be present. Obtaining the Board's consent through the circulation of written resolutions/papers shall be avoided as far as possible.	Complied. The Board has held twelve (12) meetings during the year. There were 5 circular resolutions passed for the year which was subsequently ratified by Board.
3 (1) (iv)	The Board shall ensure that arrangements are in place to enable all Directors to include matters and proposals in the agenda for regular Board meetings where such matters and proposals relate to the promotion of business and the management of risks of the Bank.	Complied. Board meetings are notified in advance allowing Directors to include any matters and proposals in the agenda, in line with the Board approved procedure. The Directors inform such matters and proposals to the Board Secretary to include in the Board meetings.
3 (1) (v)	The Board procedures shall ensure that notice of at least 7 days is given of a regular Board meeting to provide all Directors an opportunity to attend. For all other Board meetings, reasonable notice may be given.	Complied. Board Meeting Notice is circulated to the Directors 7 days in advance of the Board Meeting providing them an opportunity to attend the meeting.
3 (1) (vi)	The Board procedure shall ensure that a Director, who has not attended at least two-thirds of the meetings in the period of 12 months immediately preceding or has not attended the immediately preceding three consecutive meetings held, shall cease to be a Director. Participation at the Directors' meetings through an alternative Director shall, however, be acceptable as attendance.	Complied. The Directors have attended the required number of the meetings during the year 2018 in accordance with the Corporate Governance code. The attendances of the Directors are set out in page 111 of the Annual Report.
3 (1) (vii)	The Board shall appoint a Company Secretary who satisfies the provisions of Section 43 of the Banking Act No 30 of 1988, whose primary responsibilities shall be to handle the secretarial services to the Board and shareholder meetings and to carry out other functions specified in the statutes and other regulations.	Complied. The Board has appointed a Company Secretary, a Fellow of the Institute of Chartered Secretaries UK and a Fellow of the Chartered Corporate Secretaries of SL who satisfies the provisions of Section 43 of the Banking Act No. 30 of 1988 (as amended).

Rule Number	Rule	Status of Compliance
3 (1) (viii)	All Directors shall have access to advice and services of the Company Secretary with a view to ensure that Board procedures and all applicable rules and regulations are followed.	Complied. As a practice all Directors have access to advice and services of the Company Secretary. A Board approved process is in place to enable all Directors to have access to the advice and services of the Company Secretary.
3 (1) (ix)	The Company Secretary shall maintain the minutes of the Board meetings and such minutes shall be open for inspection at any reasonable time, on reasonable notice by any Director.	Complied. The minutes of the Board meetings are comprehensively maintained by the Company Secretary and there is a Board approved procedure to enable all Directors to have access to such minutes as per the Corporate Governance code.
3 (1) (x)	Minutes of Board meetings shall be recorded in sufficient detail so that it is possible to gather from the minutes, as to whether the Board acted with due care and prudence in performing its duties. The minutes shall also serve as a reference for regulatory and supervisory authorities to assess the depth of deliberations at the Board meetings. Therefore, the minutes of a Board meeting shall clearly contain or refer to the following; - A summary of data and information used by the Board in its deliberations. - The matters considered by the Board. - The fact-finding discussions and the issues of contention or dissent which may illustrate whether the Board was carrying out its duties with due care and prudence. - The testimonies and confirmations of relevant executives which indicate compliance with the Board's strategies and policies and adherence to relevant laws and regulations. - The Board's knowledge and understanding of the risks to which the Bank is exposed and an overview of the Risk Management measures adopted. - The decisions and Board resolutions.	Complied. Minutes of the Board meetings are recorded in sufficient details and maintained comprehensively by the Company Secretary that covers the Board deliberation, decisions, matters considered by the Board and approval of resolutions. The Board minutes also captures the fact-finding discussions, compliance with Board's Strategies and Policies and adherence to relevant laws and regulations. The understandings of the risks to which the Bank is exposed and an overview of the Risk Management measures adopted are also captured in the Board minutes.

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (1) (xi)	There shall be a procedure agreed by the Board to enable Directors, upon reasonable request, to seek independent professional advice in appropriate circumstances, at the Bank's expense. The Board shall resolve to provide separate independent professional advice to Directors to assist the relevant Director or Directors to discharge his/her/their duties to the bank.	Complied. A Board approved procedure is in place for Directors to obtain independent professional advice in appropriate circumstances, at the Bank's expense.
3 (1) (xii)	Directors shall avoid conflicts of interests, or the appearance of conflicts of interest in their activities with, and commitments to, other organisations or related parties. If a Director has a conflict of interest in a matter to be considered by the Board, which the Board has determined to be material, the matter should be dealt with at a Board meeting, where Independent Non-Executive Directors who have no material interest in the transaction, are present.	Complied. The Board approved Policy of Related Party Transactions includes provision to manage avoiding conflicts of interests, or the appearance of conflicts of interest, which is in accordance to the Corporate Governance Direction No. 11 of 2007. Further, the procedure covers the disclosure of interest (if any) of the Director at Board meetings and a register is maintained by the Board Secretary to record such interests and recorded in the Board minutes.
	Further, a Director shall abstain from voting on any Board resolution in relation to which he/she or any of his/her close relation or a concern, in which a Director has substantial interest, is interested and	In line with the procedure, the Directors abstain from participating in discussions, opinion or approving situations where there is a conflict of interest. The concerned Director shall leave the room during the time of discussion and approval on the subject matter in which the Director has an interest.
	He/She shall not be counted in the quorum for the relevant agenda item at the Board meeting.	Such Director is not counted in the quorum.
3 (1) (xiii)	The Board shall have a formal schedule of matters specifically reserved to it for decision to ensure that the direction and control of the Bank is firmly under its authority.	Complied. The Board has a formal schedule of matters specifically reserved to the Board for its decision to ensure that the direction and control of the Bank is within Board's authority.
3 (1) (xiv)	The Board shall, if it considers that the Bank is, or is likely to be, unable to meet its obligations or is about to become insolvent or is about to suspend payments due to depositors and other creditors, forthwith inform the Director of Bank Supervision of the situation of the Bank prior to taking any decision or action.	Complied. The Board is aware of the requirement to inform the Director of Bank Supervision if such a situation arose of the Bank prior to taking any decision or action in this regard. Such a situation has not arisen during the year 2018.

Rule Number	Rule	Status of Compliance
3 (1) (xv)	The Board shall ensure that the Bank is capitalised at levels as required by the Monetary Board in terms of the capital adequacy ratio and other prudential grounds.	Complied. The Bank is in compliance with the Capital Adequacy Ratio requirement as stipulated by the Central Bank of Sri Lanka (CBSL). Further, the Board monitors the Capital Adequacy Ratio and other prudential requirements on a monthly basis.
3 (1) (xvi)	The Board shall publish in the Bank's Annual Report, an annual corporate governance report setting out the compliance with Direction 3 of these Directions.	Complied. The Corporate Governance Report is published on pages 84 to 111 of the Annual Report.
3 (1) (xvii)	The Board shall adopt a scheme of self-assessment to be undertaken by each Director annually, and maintain records of such assessments.	Complied. The Board has process of self-assessment of each Director which is performed by the Directors annually and is filed with the Company Secretary.
3 (2)	The Board's Composition	
3 (2) (i)	The number of Directors on the Board shall not be less than 7 and not more than 13.	Complied. The Board comprises of 11 Directors which is in line with the regulation.
3 (2) (ii)	The total period of service of a Director other than a Director who holds a position of a Chief Executive Officer shall not exceed nine years, and such period in office shall be inclusive of the total period of service served by such Director up to 1st January 2008.	Complied. There are no Directors who have served for a period more than 9 years during the year under review.
3 (2) (iii)	An employee of a Bank may be appointed, elected or nominated as a Director of the Bank (hereinafter referred to as an "Executive Director") provided that the number of Executive Directors shall not exceed one-third of the number of Directors of the Board. In such an event, one of the Executive Directors shall be the Chief Executive Officer of the Bank.	Complied. There are no Executive Directors on the Board, thus the Bank complies with the requirement.

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (2) (iv)	The Board shall have at least three Independent Non-Executive Directors or one third of the total number of the Directors, whichever is higher. This sub-direction shall be applicable from 1st January 2010 onwards. A Non-Executive Directors shall not be considered independent if he/she has; - directly and indirectly shareholdings of more than 1% of the Bank. - currently has or had during the period of two years immediately preceding his/her appointment as Director, any business transactions with the Bank as described in Direction 3 (7) hereof, exceeding 10% of the regulatory capital of the Bank. - has been employed by the Bank during the two year period immediately preceding the appointment as Director. - has a close relation who is a Director or CEO or a member of Key Management Personnel or a material shareholder of the Bank or another bank. For this purpose, a “close relation” shall mean the spouse or a financially dependent child. - represents a specific stakeholder of the Bank. - is an employee or Director or a material shareholder in a company or business organisation: - which currently has a transaction with the Bank as defined in Direction 3(7) of these Directions, exceeding 10% of the regulatory capital of the Bank, or - in which any of the other Directors of the Bank are employed or are Directors or are material shareholder; or - in which any of the other Directors of the Bank have a transaction as defined in Direction 3 (7) of these Directions, exceeding 10% of the regulatory capital of the Bank.	Complied. The Board consists of four Independent Non-executive Directors out of a total of 11 Directors as at end December 2018, which constitute to more than one third of the total number of Directors, hence complying with the requirement.

Rule Number	Rule	Status of Compliance
3 (2) (v)	In the event an Alternate Director is appointed to represent an Independent Director, the person so appointed shall also meet the criteria that apply to the Independent Director.	Complied. No Alternative Director has been appointed to represent the Independent Directors during the year 2018.
3 (2) (vi)	Non-Executive Directors shall be persons with credible track records and/or have necessary skills and experience to bring an independent judgment to bear on issues of strategy, performance and resources.	Complied. Article 28 of the Articles of Association stipulates appointment of Directors. Board Nomination Committee (BNC) has a formal documented procedure in place to appoint Non-Executive Directors to the Board, who possess the necessary skills and experience to bring an independent judgment on Bank issues.
3 (2) (vii)	A meeting of the Board shall not be duly constituted, although the number of Directors required to constitute the quorum at such meeting is present, unless more than one half of the number of Directors present at such meeting are Non-Executive Directors. .	Complied. The Board of the Bank comprises entirely of Non-Executive Directors, therefore the concern does not arise.
3 (2) (viii)	The Independent Non-Executive Directors shall be expressly identified as such in all corporate communications that disclose the names of Directors of the Bank. The Bank shall disclose the composition of the Board, by category of Directors, including the names of the Chairman, Executive Directors, Non-Executive Directors and Independent Non-Executive Directors in the annual corporate governance report.	Complied. The compositions of the Board by category of Directors are disclosed on pages 111 and 22 to 24 in the Annual Report.
3 (2) (ix)	There shall be a formal, considered and transparent procedure for the appointment of new Directors to the Board. There shall also be procedures in place for the orderly succession of appointment of the Board.	Complied. Article 28 of the Articles of Association stipulates appointment of Directors. Further, Board Nomination Committee (BNC) has a formal documented procedure in place for the appointment of Directors to the Board and all new Directors have been appointed in accordance with the procedure.
3 (2) (x)	All Directors appointed to fill a casual vacancy shall be subject to election by shareholders at the first general meeting after their appointment.	Complied. Article 28 of Bank's Articles of Association covers the appointment of Directors to fill a casual vacancy and all such appointments for the year 2018 are subject to election at the next AGM.
3 (2) (xi)	If a Director resigns or if removed from office, the Board shall: a) Announce the Director's resignation or removal and reasons for such removal or resignation including but not limited to information relating to the relevant Director's disagreement with the Bank, if any; and b) Issue a statement confirming whether or not there are any matters that need to be brought to the attention of shareholders.	Complied. Resignations or removal of Directors are communicated to the Regulators, shareholders and CSE together with a statement confirming whether or not any matters should be brought to the attention of shareholders, including the reasons for such resignations or removal. Resignations of Dr. A. A. M. Haroon, Mr. H. U. Siddiqui, Mr. Wahid Ali M. B. Khalil and Mr. Faheemul Haq was communicated to the relevant authorities accordingly.

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (2) (xii)	A Director or an employee of a Bank shall not be appointed, elected or nominated as a Director of another bank except where such bank is a subsidiary company or an associate company of the first mentioned bank.	Complied. The Bank has a process to identify whether a Director of a Bank is appointed, elected or nominated as a Director of another Bank based on the affidavit obtained and submitted to CBSL annually. Such a situation has not arisen during the year 2018.
3 (3)	Criteria to Assess the Fitness and Propriety of Directors	
	In addition to provisions of Section 42 of the Banking Act No. 30 of 1988, the criteria set out below shall apply to determine the fitness and propriety of a person who serves or wishes to serve as a Director of a bank. Non-compliance with any one of the criteria as set out herein shall disqualify a person to be appointed, elected or nominated as a Director or to continue as a Director.	
3 (3) (i)	The age of a person who serves as a Director shall not exceed 70 years.	Complied. None of the Directors age exceeds 70 years, during the year under review.
3 (3) (ii)	A person shall not hold office as a Director of more than 20 companies/entities/institutions inclusive of subsidiaries or associate companies of the Bank.	Complied. None of the Directors holds Directorships of more than 20 companies/entities/institutions inclusive of subsidiaries or associate companies of the Bank, in the year under review.
3 (4)	Management Functions Delegated by the Board	
3 (4) (i)	The Directors shall carefully study and clearly understand the delegation arrangements in place.	Complied. Article 31 of the Articles of Association empowers the delegation powers of the Board of Directors. Further, all delegation arrangements are approved by the Board after due consideration and are periodically reviewed to ensure that the extent of delegation addresses the needs of the Bank.
3 (4) (ii)	The Board shall not delegate any matters to the Board Committee, CEO, Executive Directors or Key Management Personnel, to an extent that such delegation would significantly hinder or reduce the ability of the Board as a whole to discharge its functions.	Complied. The Board has not delegated powers to Board Committees, CEO or Key Management Personnel, to an extent that such delegation would significantly hinder or reduce the ability of the Board as a whole to discharge its functions.
3 (4) (iii)	The Board shall review the delegation process in place on a periodic basis to ensure that they remain relevant to the needs of the Bank.	Complied. The Board periodically reviews and approves the delegation arrangements in place and ensures that the extent of delegation is in accordance to the needs of the Bank based on the recommendations made by the management.

Rule Number	Rule	Status of Compliance
3 (5)	The Chairman and the Chief Executive Officer	
3 (5) (i)	The roles of the Chairman and the Chief Executive Officer shall be separated and shall not be performed by the same individual.	Complied. The roles of the Chairman and the CEO are separate and are held by two individuals appointed by the Board. Chairman provides leadership to the Board and CEO manages the day to day operations of the Bank giving effect to the strategies and policies approved by the Board.
3 (5) (ii)	The Chairman shall be a Non-Executive Director and preferably an independent Director as well. In the case where the Chairman is not an Independent Director, the Board shall designate an Independent Director as the Senior Director with suitably documented terms of reference to ensure a greater independent element. The designation of Senior Director shall be disclosed in the Bank's Annual Report	Complied. The Chairman is a Non-Executive Director. Since the Chairman is a Non-Independent Director the Board has appointed an Independent Director, Mr. Jazri Magdon Ismail as the Senior Director. Designation of Senior Director is disclosed on page 22 of the Annual Report.
3 (5) (iii)	The Board shall disclose in its Corporate Governance report, which shall be an integral part of its Annual Report, the identity of the Chairman and the CEO and the nature of the relationship (including financial, business, family or other material/relevant relationship(s), if any, between the Chairman and the CEO and the relationships among members of the Board.	Complied. The Bank has a process to identify relationship of the Board Members and maintained at the Board Secretary's division. The Company Secretary obtains an annual declaration from all Board Members to this effect and the Director's interest register is updated regularly. As per the declaration there are no relationships between the Directors.
3 (5) (iv)	The Chairman shall; - Provide leadership to the Board - Ensure that the Board works effectively and discharges its responsibilities; and - Ensure all key and appropriate issues are discussed by the Board in a timely manner.	Complied. A self – evaluation process is in place which ensures that Chairman provides leadership to the Board, the Board works effectively and discharges its responsibilities and all key and appropriate issues are discussed by the Board in a timely manner.

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Rule Number	Rule	Status of Compliance
3 (5) (v)	The Chairman shall be primarily responsible for drawing up and approving the agenda for each Board Meeting, taking into account where appropriate, any matters proposed by the other Directors for inclusion in the agenda. The Chairman may delegate the drawing up of the agenda to the Company Secretary.	Complied. The Chairman has delegated the drawing of the agenda to the Company Secretary, which is drawn in consultation with the Chairman.
3 (5) (vi)	The Chairman shall ensure that all the Directors are properly briefed on issues arising at Board meetings and also ensure that Directors receive adequate information in a timely manner.	Complied. The Chairman ensures that the Board is adequately briefed and informed of all matters arising at the Board. The Board papers are forwarded to the Board members 7 days prior to the meeting. Further, minutes of the previous Board meeting are distributed to the Board members and tabled at the next Board meeting for confirmation.
3 (5) (vii)	The Chairman shall encourage all the Directors to make a full and active contribution to the Board's affairs and take the lead to ensure that the Board acts in the best interest of the Bank.	Complied. The Chairman encourages all Directors to make full and active contribution to the affairs of the Bank. This requirement is addressed in the self-evaluation process where all Directors disclose their full and active contribution to the affairs of the Bank.
3 (5) (viii)	The Chairman shall facilitate the effective contribution of Non-Executive Directors in particular and ensure constructive relations between Executive and Non-Executive Directors.	Complied. The Chairman ensures that the Non-Executive Directors actively contribute to make decisions at the Board. Further, the self-evaluation process for Non-Executive Directors assesses the contributions made by them to the Bank.
3 (5) (ix)	The Chairman shall not engage in activities involving direct supervision of Key Management Personnel or any other executive duties whatsoever.	Complied. The Chairman is a non-executive Director and does not get involved in the supervision of KMPs or any other executive duties.
3 (5) (x)	The Chairman shall ensure that appropriate steps are taken to maintain effective communication with shareholders and that the views of shareholders are communicated to the Board.	Complied. The Chairman ensures effective communication with the shareholders at the AGM, which is the main forum where the Board discusses shareholder's issues.
3 (5) (xi)	The CEO shall function as the apex executive-in-charge of the day-to-day management of Bank's operations and business.	Complied. The CEO is the apex executive-in-charge of the day-to-day management of Bank's operations and business.

Rule Number	Rule	Status of Compliance
3 (6)	Board Appointed Committees	
3 (6) (i)	Each Bank shall have at least four Board committees as set out in the following Direction; 3(6)(ii) –Audit Committee 3(6)(iii) – Human Resources and Remuneration Committee 3(6)(iv) – Nomination Committee 3(6)v) – Integrated Risk Management Committee	Complied. The Board has established the following mandatory Board Sub-Committees as per regulatory requirement:- 1. Board Audit Committee (BAC) 2. Board Human Resources and Remuneration Committee (BHRRC) 3. Board Nomination Committee (BNC) 4. Board Integrated Risk Management Committee (BIRMC). In addition the Board has also appointed Board Credit Committee and Related Party Review Committee
	Each Committee shall report directly to the Board	Reports / Minutes of the above Committees are submitted to the Board for discussion and ratification at the monthly Board meetings.
	All Committees shall appoint a Secretary to arrange the meetings and maintain, minutes, records etc. under the supervision of the Chairman of the Committee.	Each Committee has appointed a Secretary to arrange the meetings and maintain minutes under the supervision of the Chairman of the Sub-Committees.
	The Board shall present a report of the performance on each Committee, on their duties and roles at the Annual General meeting.	Report of each Board Committee is presented in the Annual Report. Refer pages 124 to 130 of the Annual Report.
3 (6) (ii)	Audit Committee	
3 (6) (ii) (a)	The Chairman of the committee shall be an Independent Non-Executive Director who possesses qualifications and experience in accounting and/or audit.	Complied. The Chairman of the BAC is a non-executive, independent Director who is a Fellow of the Institute of Chartered Accountants of Sri Lanka and possesses the required qualifications and experience.
3 (6) (ii) (b)	All members of the committee shall be Non-Executive Directors.	Complied. All members of the BAC are Non-executive Directors.
3 (6) (ii) (c)	The committee shall make recommendations on matters in connection with; a) The appointment of external auditor for audit services to be provided in compliance with the relevant statutes;	Complied. The re-appointment of External Auditors for audit services is in compliance with the relevant statutes as recommended by the BAC.
	b) The implementation of the Central Bank guidelines issued to auditors from time to time;	The implementation of the CBSL guidelines issued to the External Auditors from time to time is discussed by BAC and any issues raised by the External Auditors are in line with CBSL guidelines and the Bank's responses to the issues.
	c) The application of the relevant accounting standards; and	The application of the relevant accounting standards, including the requirements are in line with the SLFRS for the year 2018.

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Rule Number	Rule	Status of Compliance
	d) The service period, audit fees and any resignation or dismissal of the auditor, provided that the engagement of the Audit partner shall not exceed five years, and that the particular Audit partner is not re-engaged for the audit before the expiry of three years from the date of the completion of the previous term.	There has been no resignation or dismissal of the External Auditor or the Engagement Partner in the year 2018.
3 (6) (ii) (d)	The committee shall review and monitor the external auditor's independence and objectivity and the effectiveness of the audit processes in accordance with applicable standards and best practices.	Complied. The BAC has discussed with the External Auditors, the scope, objectivity and the effectiveness of the audit process carried out in accordance with the SLAuS for the year 2018. The External Auditor's independence is evidence through the Engagement Letter and their reports presented to the BAC directly.
3 (6) (ii) (e)	The committee shall develop and implement a policy on the engagement of an external auditor to provide non-audit services that are permitted under the relevant statutes, regulations, requirements and guidelines. In doing so, the committee shall ensure that the provision by an external auditor of non-audit services does not impair the external auditor's independence or objectivity. When assessing the external auditor's independence or objectivity in relation to the provision of non-audit services, the committee shall consider: i. whether the skills and experience of the audit firm make it a suitable provider of the non-audit services; ii. whether there are safeguards in place to ensure that there is no threat to the objectivity and/or independence in the conduct of the audit resulting from the provision of such services by the external auditor; and iii. whether the nature of the non-audit services, the related fee levels and the fee levels individually and in aggregate relative to the audit firm, pose any threat to the objectivity and/or independence of the external auditor.	Complied. A policy on engagement of the External Auditors to provide non-audit services was reviewed and recommended by the BAC which has been approved by the Board of Directors.

Rule Number	Rule	Status of Compliance
3 (6) (ii) (f)	The committee shall, before the audit commences, discuss and finalise with the external auditors the nature and scope of the audit, including: (i) an assessment of the Bank's compliance with the relevant Directions in relation to corporate governance and the management's internal controls over financial reporting; (ii) the preparation of financial statements for external purposes in accordance with relevant accounting principles and reporting obligations; and (iii) the co-ordination between firms where more than one audit firm is involved.	Complied. The External Auditors makes a presentation of the financial statement audit plan for 2018, which outline the scope and deliverables of their engagement. The BAC has discussed in detail and finalised the nature and scope of the audit with the External Auditors in accordance with the SLAuS.
3 (6) (ii) (g)	The committee shall review the financial information of the Bank, in order to monitor the integrity of the financial statements of the Bank, its annual report, accounts and quarterly reports prepared for disclosure and the significant financial reporting judgments contained therein. In reviewing the Bank's annual report and accounts and quarterly reports before submission to the Board, the committee shall focus particularly on; i) Major judgmental areas ii) Any changes in accounting policies and practices iii) Significant adjustments arising from the audit iv) The going concern assumption; and v) The compliance with relevant accounting standards and other legal requirements.	Complied The BAC has a process where the CFO presents the quarterly financial statements, year-end audited financial statements and reports for disclosure that are reviewed, discussed and approved by the BAC. Such financial statements are recommended by the BAC for approval of the Board of Directors.
3 (6) (ii) (h)	The committee shall discuss issues, problems and reservations arising from the financial audit, and any matters the auditor may wish to discuss including those matters that may need to be discussed in the absence of the Key Management personnel, if necessary.	Complied. The Committee has met with the External Auditors twice in the year 2018 to discuss issues, problems and reservation arising from the financial audit in the absence of the executive management.
3 (6) (ii) (i)	The committee shall review the external auditor's management letter and the management's response thereto.	Complied. The Committee has reviewed the External Auditor's Management Letter and the management's response thereto.

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Rule Number	Rule	Status of Compliance
3 (6) (ii) (j)	The committee shall take the following steps with regard to the internal audit function of the Bank;	Complied.
	(i) Review the adequacy of the scope, functions and resources of the internal audit department, and satisfy itself that the department has the necessary authority to carry out its work;	The BAC has reviewed and approved the Internal Audit Plan for the year 2018, which cover the scope and resource requirement relating to audit plan to satisfy itself that the Internal Audit Department (IAD) has the necessary authority to carry out its work. The BAC also monitors the IAD function and the progress of the internal audit plan.
	(ii) Review the internal audit programme and results of the internal audit process and, where necessary, ensure that appropriate actions are taken on the recommendations of the internal audit department;	The internal audit plan for the year 2018 has been approved by the BAC. Progress reports of the audit finding are discussed and appropriate actions are taken based on the IAD recommendations which are sanctioned by the BAC.
	(iii) Review any appraisal or assessment of the performance of the head and senior staff member of the internal audit department;	The Performance appraisal of the Chief Internal Auditor was carried out at the BAC meeting held on 14 February 2019.
	(iv) Recommend any appointment or termination of the head, senior staff members and outsourced service providers to the internal audit function;	There were no appointments or termination of the Head or Senior Staff member during the year 2018.
	(v) Ensure that the committee is appraised of resignations of senior staff members of the internal audit department including the Chief Internal Auditor and any outsourced service providers, and to provide an opportunity to the resigning senior staff members and outsourced services providers to submit reasons for resigning;	The Committee is appraised of any resignation or retirement of senior staff members in the Internal Audit Department.
	(vi) Ensure that the internal audit function is independent of the activities it audits and that it is performed with impartiality, proficiency and due professional care;	Internal Audit Department is an independent function reporting directly to the BAC. The audits are performed with impartiality, proficiency and due professional care.
3 (6) (ii) (k)	The committee shall consider the major findings of internal investigation and management's responses thereto.	Complied. Major findings of internal investigation and management's responses thereto are discussed in detail by the BAC with suitable action points agreed upon and recorded in the minutes of the BAC meeting.
3 (6) (ii) (l)	The CFO, CIA and a representative of the External Auditors may normally attend meetings. Other Board members and the CEO may also attend meetings upon invitation of the committee. However, at least twice a year, the committee shall meet the External Auditors without the Executive Directors being present.	Complied. The CFO, CIA and a representative of the External Auditors attend meetings regularly. The CEO and other Senior Management have attended meetings by invitation as appropriate. The BAC met the External Auditors twice during the year 2018 in the absence of all members of the Executive Management. Currently, there are no Executive Directors on the Board.

Rule Number	Rule	Status of Compliance
3 (6) (ii) (m)	The committee shall have (i) Explicit authority to investigate into any matter within its terms of reference; (ii) The resources which it needs to do so; (iii) Full access to information; and (iv) Authority to obtain external professional advice and invite outsiders with relevant experience and attend, if necessary.	Complied. The Board approved Terms of Reference of the BAC covers the requirements as stipulated.
3 (6) (ii) (n)	The committee shall meet at regularly, with due notice of issues to be discussed and shall record its conclusions in discharging its duties and responsibilities.	Complied. The BAC has had nine meetings in the year 2018.
3 (6) (ii) (o)	The Board shall disclose in an informative way, (i) Details of the activities of the audit committee; (ii) The number of audit committee meetings held in the year; and (iii) Details of attendance of each individual Director at such meetings.	Complied. The Board has disclosed the required information in pages 124 to 125 in the Annual Report.
3 (6) (ii) (p)	The Secretary of the Committee (who may be the Company Secretary or the head of Internal Audit function) shall record and keep detailed minutes of the meetings.	Complied. The Chief Internal Auditor has been appointed as the Secretary to the BAC who maintains detailed minutes of all meetings.
3 (6) (ii) (q)	The committee shall review arrangements by which employees of the bank may, in confidence raise concerns about possible improprieties in financial reporting, internal control or other matters. Accordingly, the committee shall ensure that proper arrangements are in place for the fair and independent investigation of such matters and for appropriate follow-up action and to act as the key representative body for overseeing the bank's relations with the external auditor.	Complied. The Board approved 'Whistle Blowing' policy is in place which covers the improprieties in financial reporting, internal control or other matters, fair and independent investigation of such matter and appropriate follow-up action.
3 (6) (iii)	Human Resource And Remuneration Committee	
3 (6) (iii) (a)	The committee shall determine the remuneration policy (salaries, allowances and other financial payments) relating to Directors, CEO and Key Management Personnel of the Bank.	Complied. A Board approved benefit policy is in place which determines the remuneration relating to Directors, CEO and Key Management Personnel of the Bank.

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Rule Number	Rule	Status of Compliance
3 (6) (iii) (b)	The committee shall set goals and targets for the Directors, CEO and Key Management Personnel.	Complied. The BHRRC has discussed and approved the goals and targets of each KMP for the year 2018 aligned to the Strategic Plan. The BHRRC has agreed that the 2018 Business Plan be considered as the KPI for the CEO. A Board approved goals and targets for Directors are in place.
3 (6) (iii) (c)	The committee shall evaluate the performance of the CEO and Key Management Personnel against the set targets and goals periodically and determine the basis for revising remuneration, benefits and other payments of performance-based incentives.	Complied. The BHRRC has assessed the evaluation of the performance of the CEO and the KMPs against the goals and targets set out for the year 2018.
3 (6) (iii) (d)	The CEO shall be present at all meetings of the committee, except when matters relating to the CEO are being discussed.	Complied. The Board approved Terms of Reference of the BHRRC addresses this rule. The CEO was not present at meetings when matters relating to the CEO were being discussed.
3 (6) (iv)	Nomination Committee	
3 (6) (iv) (a)	The committee shall implement a procedure to select/appoint new Director, CEO and Key Management Personnel.	Complied. A Board approved policy / procedure on selection and appointment of new members to the Board, CEO and Key Management Personnel on the recommendation of the Board Nomination Committee (BNC) is in place. Accordingly, Board has approved the appointment of Mr. Syed Muhammed Asim Raza and Mr. Khairul Muzamel Perera Bin Abdullah as Directors on 20 October and 17 November 2018, respectively, with the recommendation of the BNC.
3 (6) (iv) (b)	The committee shall consider and recommend (or not recommend) the re-election of current Directors, taking into account the performance and contribution made by the Director concerned towards the overall discharge of the Board's responsibilities.	Complied. The Committee has reviewed the services rendered by the existing Directors and recommended the re-appointment accordingly for the year 2018.
3 (6) (iv) (c)	The committee shall set criteria such as qualifications, experience and key attributes required for eligibility to be considered for appointment or promotion to the post of CEO and the key management positions.	Complied. A Board approved eligibility criteria for appointment or promotion to the post of CEO and KMPs are in place. All such appointments are recommended by the BNC and subsequently approved at the Board.
3 (6) (iv) (d)	The committee shall ensure that Directors, CEO and Key Management Personnel are fit and proper persons to hold office as specified in the criteria given in Direction 3 (3) and as set out in the Statutes.	Complied. The Director's, CEO's and Key Management Personnel's affidavits and declarations are tabled at the BNC for recommendation prior to submitting to the Central Bank of Sri Lanka for approval to ensure that the Directors, CEO and Key Management Personnel are fit and proper persons to hold office. Further, fit and proper certificate from Central Bank of Sri Lanka has been obtained for all appointments of Directors and KMP.

Rule Number	Rule	Status of Compliance
3 (6) (iv) (e)	The committee shall consider and recommend from time to time, the requirement of additional/new expertise and the succession arrangements for retiring Directors and Key Management Personnel.	Complied. A Board approved Policy & Procedure is in place for the appointment of new Directors. BNC has considered the requirements for succession arrangements for Director and KMPs during the year 2018. The Succession Plan for the Management Committee has been reviewed and recommended by the BNC and subsequently approved by the Board.
3 (6) (iv) (f)	The committee shall be chaired by an Independent Director and preferably be constituted with a majority of Independent Directors. The CEO may be present at the meeting by invitation.	Complied. The Committee is Chaired by an Independent Director and comprises of three Independent Directors and two Non-Independent Director. The CEO is present at meetings only by invitation.
3 (6) (v)	Integrated Risk Management Committee	
3 (6) (v) (a)	The committee shall consist of at least three Non-Executive Directors, CEO and Key Management Personnel supervising Board risk categories, i.e., credit, market, liquidity, operational and strategic risks. The committee shall work with Key Management Personnel very closely and make decisions on behalf of the Board within the framework of the authority and responsibility assigned to the committee.	Complied. The BIRMC consists of 3 Non-Executive Directors, CEO and CRO who satisfy the said criteria. Further, KMPs are called or present to make regular presentations to the Committee on matters under their purview and explain matters relating to their subject.
3 (6) (v) (b)	The committee shall assess all risks, i.e., credit, market, liquidity, operational and strategic risks to the Bank on a monthly basis through appropriate risk indicators and management information. In the case of subsidiary companies and associate companies, Risk Management shall be done, both on a bank basis and group basis.	Complied. BIRMC has implemented a procedure to meet on a quarterly basis to assess the risk of the Bank through the use of dashboards. These dashboards which covers the below mentioned risks are shared with BIRMC members for monitoring:- ★ Credit Risk ★ Market Risk ★ Liquidity Risk ★ Operational Risk ★ Enterprise Risk, Strategic Risk, Legal Risk and Reputational Risk Not applicable as the Bank do not have any subsidiaries or associate companies.

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Rule Number	Rule	Status of Compliance
3 (6) (v) (c)	The committee shall review the adequacy and effectiveness of all management level committees, such as the credit committee and asset-liability committee to address specific risks and to manage those risks within quantitative and qualitative risk limits as specified by the committee.	Complied. The BIRMC reviews the adequacy and effectiveness of the management committees namely ECC 1, ALCO & ERMC through the minutes and report submitted by these committees at the subsequent BIRMC meeting. Further, the TORs of all these committees are evaluated and reviewed through the IRMF by the BIRMC annually.
3 (6) (v) (d)	The committee shall take prompt corrective action to mitigate the effects of specific risks in the case such risks are at levels beyond the prudent levels decided by the committee on the basis of the Bank's policies and regulatory and supervisory requirements.	Complied. The BIRMC has reviewed the dashboard on the risk tolerance and considered all risk indicators which have gone beyond the prudent limits decided by the committee on the basis of the Bank's policies, regulatory and supervisory requirements and corrective actions are taken promptly for any deviations to mitigate the effects.
3 (6) (v) (e)	The committee shall meet at least quarterly to assess all aspects of Risk Management including updated business continuity plans.	Complied. The Committee has held four meetings during the year 2018.
3 (6) (v) (f)	The committee shall take appropriate action against the officers responsible for failure to identify specific risks and take prompt corrective actions as recommended by the committee, and/or as directed by the Director of Bank Supervision.	Complied. The Bank specific risks and the limits are identified by the relevant committees such as ALCO, ERMC and ORMC and as such the decisions are taken collectively.
3 (6) (v) (g)	The committee shall submit a risk assessment report within a week of each meeting to the Board seeking the Board's views, concurrence and/or specific directions.	Complied. The BIRMC Chairman's report contains a Risk assessment, which is submitted at the subsequent Board meeting informing the BIRMC's deliberations and decisions and seeking the Board's views, concurrence and/or for specific directions.
3 (6) (v) (h)	The committee shall establish a compliance function to assess the Bank's compliance with laws, regulations, regulatory guidelines, internal controls and approved policies on all areas of business operations. A dedicated Compliance Officer selected from Key Management Personnel shall carry out the compliance function and report to the committee periodically.	Complied An independent compliance function has been established, headed by a dedicated Compliance Officer to assess and ensure the Bank's compliance with laws, regulations and regulatory guidelines and reports to the BIRMC regularly through the quarterly compliance status reports. The Compliance function also performs monthly / quarterly independent verification and testing for compliance with CBSL requirements. The Compliance function also assesses the Bank's internal controls and policies on all areas of business operations.

Rule Number	Rule	Status of Compliance
3 (7)	Related Party Transactions	
3 (7) (i)	The Bank shall take necessary steps to avoid any conflicts of interest that may arise from any transaction of the Bank with any person, and particularly with the following categories of persons who shall be considered as “related parties” for the purpose of this Direction; a) Any of the Bank’s subsidiary companies; b) Any of the Bank’s associate companies; c) Any of the Directors of the Bank; d) Any of the Bank’s Key Management Personnel; e) A close relation of any of the Bank’s Directors or Key Management Personnel; f) A shareholder owning a material interest in the Bank. g) A concern in which any of the Bank’s Directors or a close relation of any of the Bank’s Directors or any of its material shareholders has a substantial interest.	Complied. The Board takes necessary steps in line with the Banking Act, Corporate Governance Direction and the Bank’s Policy on Related Party Transactions to avoid any conflicts of interest that may arise from any transaction of the Bank with its related parties. The Policy on Related Party Transactions were reviewed and approved by the Board in October 2018.
3 (7) (ii)	The type of transactions with related parties that shall be covered by this Direction shall include the following: a) The grant of any type of accommodation, as defined in the Monetary Board’s Directions a maximum amount of accommodation. b) The creation of any liabilities of the Bank in the form of deposits, borrowings and investments. c) The provision of any services of a financial or non-financial nature provided to the Bank or received from the Bank. d) The creation or maintenance of reporting lines and information flows between the Bank and any related parties which may lead to the sharing of potentially proprietary, confidential or otherwise sensitive information that may give benefits to such related parties.	Complied. The Board approved Policy on Related Party Transactions covers types of specific related parties and related party transactions as noted in the Direction and to avoid any conflicts of interest that may arise from any related party transactions.

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Rule Number	Rule	Status of Compliance
3 (7) (iii)	The Board shall ensure that the Bank does not engage in transactions with related parties as defined in Direction 3 (7) (i) above, in a manner that would grant such parties 'more favourable treatment' than that accorded to other constituents of the Bank carrying on the same business. In this context, 'more favourable treatment' shall mean and include treatment, including the; a) Granting of "total net accommodation" to related parties, exceeding a prudent percentage of the Bank's regulatory capital, as determined by the Board. For purposes of this sub-direction; (i) "Accommodation" shall mean accommodation as defined in the Banking Act Directions, No 7 of 2007 on Maximum Amount of Accommodation. (ii) The "total net accommodation" shall be computed by deducting from the total accommodation, the cash collateral and investments made by such related parties in the Bank's share capital and debt instruments with a maturity of 5 years or more.	Complied Please refer comment in 3 (7) (i) and 3 (7) (ii) above. Board approved Policy on Related Party Transactions enhances transparency and contains provisions of this rule to ensure compliance. Further, to strengthen the corporate governance of the Bank, the Related Party Transactions Review Committee reviews the related party transactions in line with the policy to avoid any 'favourable treatment' granted to such parties.
	b) Charging a lower rate than the Bank's best lending rate or paying more than the Bank's deposit rate for a comparable transaction with an unrelated comparable counterparty.	
	c) Providing of preferential treatment, such as favourable terms, covering trade losses and/or waiving fees/commissions that extend beyond the terms granted in the normal course of business undertaken with unrelated parties.	
	d) Providing services to or receiving services from a related-party without an evaluation procedure.	

Rule Number	Rule	Status of Compliance
	e) Maintaining reporting lines and information flows that may lead to sharing potentially proprietary, confidential or otherwise sensitive information with related parties, except as required for the performance of legitimate duties and functions.	
3 (7) (iv)	The Bank shall not grant any accommodation to any of the Directors or to a close relation of such Director unless such accommodation is sanctioned at a meeting of its Board of Directors, with not less than two-thirds of the number of Directors other than the Director concerned, voting in favour of such accommodation. This accommodation shall be secured by such security as may from time to time be determined by the Monetary Board as well.	Complied. Any accommodation granted to related party is approved at the Board meetings with not less than 2/3 of the number of Directors other than the Directors concerned, voting for such accommodation granted as per the Board approved Policy on Related Party Transactions. All accommodation granted to KMPs of the Bank are subject to staff financing schemes of the Bank.
3 (7) (v)	a) Where any accommodation has been granted by a bank to a person or a close relation of a person or to any concern in which the person has a substantial interest, and such person is subsequently appointed as a Director of the Bank, steps shall be taken by the Bank to obtain the necessary security as may be approved for that purpose by the Monetary Board, within one year from the date of appointment of the person as a Director.	Complied The Bank did not encounter such a situation during the year under review.
	b) Where such security is not provided by the period as provided in Direction 3(7)(v)(a) above, the Bank shall take steps to recover any amount due on account of any accommodation, together with interest, if any within the period specified at the time of the grant of accommodation or at the expiry of a period of eighteen months from the date of appointment of such Director, whichever is earlier.	

Corporate Governance

Rule Number	Rule	Status of Compliance
	c) Any Director who fails to comply with the above sub-directions shall be deemed to have vacated the office of a Director and the Bank shall disclose such fact to the public.	
	d) The sub-direction, however, shall not apply to a Director who at the time of grant of the accommodation was an employee of the Bank and the accommodation was granted under a scheme applicable to all employees of the Bank.	
3 (7) (vi)	The Bank shall not grant any accommodation or 'more favourable treatment' relating to the waiver of fees and/or commissions to any employee or a close relation of such employee or to any concern in which the employee or close relation has a substantial interest other than on the basis of a scheme applicable to the employees of the Bank or when secured by security as may be approved by the Monetary Board in respect of accommodation granted as per Direction 3(7)(v) above.	Complied The Bank has a process in the RPT system to capture KMPs transactions as and when, such transactions take place. Additionally such transactions are verified by the relevant authorities (Finance Department.). No accommodation was granted to any employees or to any concern in which the employee or close relation has a substantial interest on more 'favourable treatment' other than on the basis of a scheme applicable to the employees of the Bank or when secured by security as may be approved by the Monetary Board in respect of accommodation granted as per Direction 3(7)(v) above.
3 (7) (vii)	No accommodation granted by the Bank under Direction 3(7)(v) and 3(7)(vi) above, nor any part of such accommodation, nor any interest due thereon shall be remitted without the prior approval of the Monetary Board and any remission without such approval shall be void and of no effect.	Complied The Bank did not encounter such a situation during the year under review.
3 (8)	Disclosure	
3 (8)(i)	The Board shall ensure that;	Complied.
	a) Annual audited statements and quarterly financial statements are prepare and published in accordance with the formats prescribed by the supervisory and regulatory authorities and applicable accounting standards and that	Annual audited financial statements and quarterly financial statements are prepared and published in accordance with the regulatory requirements and as per the accounting standards.
	b) Such statements are published in the newspapers in an abridged form, in Sinhala, Tamil and English.	Financial statements are published in all three languages.

Rule Number	Rule	Status of Compliance
3 (8)(ii)	The Board shall ensure that the following minimum disclosures are made in the Annual Report;	Complied.
	a) A statement to the effect that the annual audited financial statements have been prepared in line with applicable accounting standards and regulatory requirements, inclusive of specific disclosures.	Refer Statement of Directors' Responsibility, on pages 132 to 133.
	b) A report by the Board on the Bank's internal control mechanism that confirms that the financial reporting system has been designed to provide reasonable assurance regarding the reliability of financial reporting, and that the preparation of financial statements for external purposes has been done in accordance with relevant accounting principles and regulatory requirements.	Refer Directors' Statement on Internal Control over Financial Reporting on pages 114 to 115.
	c) To obtain the External Auditor's certification on the effectiveness of the internal control mechanism referred to in Direction 3(8)(ii)(b) above.	Refer 'Independent Assurance Report on Directors' Statement on Internal Control over Financial Reporting' on pages 116 to 117.
	d) Details of Directors, including names, qualifications, age, experience fulfilling the requirements of the guidelines fitness and propriety, transactions with the Bank and the total of fees/remuneration paid by the Bank.	Refer Profiles of Directors, on pages 22 to 24. Transactions with the Bank: a) Financing and Receivables: Nil b) Financing Income: Nil c) Deposits: LKR 77,601,900 d) Financing Expenses: LKR 5,615,453 e) Commitment and Contingencies: Nil Total fees/remuneration paid by the Bank: Refer Note 13 to the Financial Statements on page 172.

Corporate Governance

Rule Number	Rule	Status of Compliance																		
	e) Total net accommodation as defined in 3(7)(iii) granted to each category of related parties. The net accommodation granted to each category of related parties shall also be disclosed as a percentage of the Bank's regulatory capital.	<table><tr><th>Category of Related Parties</th><th>Total Net Accommodation (LKR)</th><th>% of Regulatory Capital</th></tr><tr><td>Directors of the Bank</td><td>NIL</td><td>NIL</td></tr><tr><td>KMPs</td><td>179,051,040</td><td>1.74%</td></tr><tr><td>A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest</td><td>561,999,429</td><td>5.47%</td></tr><tr><td>A close relation of any of the Bank's Directors or Key Management Personnel</td><td>NIL</td><td>NIL</td></tr><tr><td>Material Shareholder</td><td>NIL</td><td>NIL</td></tr></table>	Category of Related Parties	Total Net Accommodation (LKR)	% of Regulatory Capital	Directors of the Bank	NIL	NIL	KMPs	179,051,040	1.74%	A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest	561,999,429	5.47%	A close relation of any of the Bank's Directors or Key Management Personnel	NIL	NIL	Material Shareholder	NIL	NIL
Category of Related Parties	Total Net Accommodation (LKR)	% of Regulatory Capital																		
Directors of the Bank	NIL	NIL																		
KMPs	179,051,040	1.74%																		
A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest	561,999,429	5.47%																		
A close relation of any of the Bank's Directors or Key Management Personnel	NIL	NIL																		
Material Shareholder	NIL	NIL																		
	f) The aggregate values of remuneration paid by the Bank to its Key Management Personnel and the aggregate values of the transactions of the Bank with its Key Management Personnel, set out by Board categories such remuneration paid, accommodation granted and deposits or investments made in the Bank.	<table><tr><th colspan="2">Nature of Transaction</th><th>KMPs(LKR)</th></tr><tr><td colspan="2">Remuneration</td><td>152,904,786</td></tr><tr><td colspan="2">Accommodation granted</td><td>179,051,040</td></tr><tr><td colspan="2">Deposits</td><td>59,164,057</td></tr></table>	Nature of Transaction		KMPs(LKR)	Remuneration		152,904,786	Accommodation granted		179,051,040	Deposits		59,164,057						
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Accommodation granted		179,051,040																		
Deposits		59,164,057																		
	g) To obtain the External Auditor's certification of the compliance with these Corporate Governance Directions.	The Bank has obtained External Auditor's certification on compliance with these Corporate Governance Directions. Board confirms that all the findings of the 'Factual Findings Report' of auditors have been incorporated in the Corporate Governance Report.																		
	h) A report setting out details of the compliance with prudential requirements, regulations, laws and internal controls and measures taken to rectify any material non-compliance.	Refer Bank's Compliance with Prudential Requirements, on pages 112 to 113.																		
	i) A statement of the regulatory and supervisory concerns on lapses in the Bank's risk management, or non-compliance with these Directions that have been pointed out by the Director of Bank Supervision, if so directed by the Monetary Board to be disclosed to the public, together with the measures taken by the Bank to address such concerns.	The Director of Bank Supervision or the Monetary Board has not directed the Bank to disclose any non-compliance issues to the public.																		

Attendance of Directors During 2018

Name of Director	Main Board		Board Audit Committee		Board Credit Committee		Board Nomination Committee		Board Integrated Risk Management Committee		Board Human Resources and Remuneration Committee		Related Party Transactions Review Committee	
	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility
Mr. Osman Kassim ¹	12	12	-	-	11	11	-	-	-	-	-	-	-	-
Mr. Tyeab Akbarally ²	11	12	-	-	11	11	2	3	-	-	2	2	-	-
Dr. A.A.M. Haroon (resigned w.e.f. 3 January 2018) ⁴	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Mr. Mohamed Jazri Magdon Ismail ³	12	12	9	9	-	-	3	3	4	4	2	2	4	4
Mr. Haseeb Ullah Siddiqui (resigned w.e.f. 21 July 2018) ⁴	4	6	-	-	-	-	-	-	-	-	-	-	-	-
Mr. Wahid Ali Mohd. Khalil (resigned w.e.f. 4 April 2018) ⁴	2	3	0	2	-	-	-	-	-	-	-	-	-	-
Mr. Harsha Amarasekera ⁴	11	12	-	-	-	-	-	-	-	-	-	-	-	-
Mr. Rajiv Nandlal Divedi ⁵	11	12	8	9	-	-	2	3	4	4	-	-	3	4
Mr. P. Dilshan R. Hettiaratchi ⁵	10	12	-	-	11	11	3	3	-	-	2	2	4	4
Mr. Faheemul Huq (resigned w.e.f. 24 January 2018) ⁴	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Mr. Aaron Russell-Davison (appointed w.e.f. 4 January 2018) ⁵	10	12	7	8	-	-	-	-	-	-	1	1	1	1
Mr. Adeeb Ahmad (appointed w.e.f. 16 January 2018) ⁴	10	12	-	-	-	-	3	3	2	4	-	-	-	-
Mr. Mohammed Ataur Rahman Chowdhury (appointed w.e.f. 16 January 2018) ⁴	11	12	7	8	-	-	-	-	-	-	1	1	-	-
Mr. Syed Muhammed Asim Raza (appointed w.e.f. 20 October 2018) ⁴	2	2	-	-	-	-	-	-	-	-	-	-	-	-
Mr. Khairul Muzamel Perera Bin Abdullah (appointed w.e.f. 17 November 2018) ⁴	1	1	-	-	-	-	-	-	-	-	-	-	-	-

Please refer profiles of Board of Directors from pages 22 to 24 for additional details.

1 - Chairman, Non-Executive, Non-Independent Director

2 - Deputy Chairman, Non-Executive, Non-Independent Director

3 - Non-Executive, Independent Senior Director

4 - Non-Executive, Non-Independent Director

5 - Non-Executive, Independent Director

BANK'S COMPLIANCE WITH PRUDENTIAL REQUIREMENTS

Amāna Bank places the highest importance in its endeavour to ensure optimum management of compliance risk and prudential requirements. In this regard, the Board of Directors has formulated a Compliance Policy that sets out the Terms of Reference of the Chief Compliance Officer (CCO) and the framework for Compliance function based on the consultative document on compliance by the Basel Committee on Banking Supervision.

The functions and activities of Compliance are critical to the overall health of the Bank's business and its key performance benchmarks are independent of direct business profitability targets. The CCO directly reports on compliance concerns to the Board Integrated Risk Management Committee (BIRMC).

The department assists in the optimum development, implementation and management of Compliance functions of the Bank. This includes the facilitation of the day-to-day challenges in interpretation and understanding of regulations; proactively take initiatives to highlight common industry wide compliance concerns, operations and administration of activities are in alignment with laws and regulations pertaining to the industry standards.

The Compliance Department, further addresses effective Compliance management across the Bank with the support and coordination of the CEO and senior management in order to adhere to the Policies and Processes of the Bank. In this context the Department continuously engages with the Management Committee and the executive management to oversee and assess the level of Compliance by obtaining management confirmations and where necessary initiating corrective action. Additionally, the department also reviews the level of Compliance with statutory requirements and the internal procedures at branches and other departments by

periodic reviews conducted by Compliance staff. All exceptions that were identified during the reviews had been escalated to either the Executive Risk Management Committee and the Board Integrated Risk Management Committee or the Board of Directors and followed up to ensure that corrective action is taken as appropriate.

MONITORING OF COMPLIANCE

The Compliance Department carried out annual Bank-wide risk assessment function focusing on adherence to laws, regulations and regulatory guidelines. The Department is entrusted with the responsibility of monitoring these requirements on an ongoing basis. The Compliance function takes an overview approach in this and monitors the Compliance with statutory requirements through process assurances obtained from relevant department heads, based on the sign-off given by the heads of business departments on quarterly Compliance reports, and focuses on exception reports to follow-up on non-Compliance issues. In addition, the Compliance department also carries out regular reviews depending on the severity of the potential impact of the risk event. A quarterly Compliance report is submitted to the Board of Directors and BIRMC in this respect which covers:

- ★ Compliance with Statutory/mandatory reporting requirements
- ★ Status of Compliance with the key Compliance requirements under the Directions issued by Central Bank of Sri Lanka
- ★ Significant non-Compliance events, if any
- ★ Regulatory/potential breaches, if any

ANTI-MONEY LAUNDERING (AML) COMPLIANCE

The Compliance Department has taken steps from the inception of the Bank to address the Bank's Compliance with regulations such as Know Your Customer

(KYC) and Anti-Money Laundering (AML) functions going beyond mere regulatory Compliance. Appropriate mechanisms have been devised by the Department to identify and assess the regulatory Compliance requirements which are then disseminated to the business/operations departments on a regular basis. Further, during the year the Compliance function introduced a Learning Management System, which is benchmarked and used by a leading International Bank.

The Bank has established a sound framework for AML Compliance based on relevant laws enacted by the Government of Sri Lanka to combat money laundering/terrorist financing and in line with the rules governing the conduct of all account relationships issued by Financial Intelligence Unit (FIU) of the Central Bank of Sri Lanka. A separate manual for AML/CFT has been approved by the Board of Directors and is reviewed periodically in line with new rules enacted by the FIU. The Compliance function makes optimal use of the automated Compass Anti Money Laundering system to manage AML/CFT risks. The Compliance Department pays special attention to any suspected money laundering transactions reported by the business units and carries out investigation to ensure adherence. The Bank implemented the second phase of the World Check name screening system for the screening of wire transfers seamlessly through the core banking system to monitor against international sanctions as per prudential requirements.

PRODUCT RESPONSIBILITY

The Product Development Committee, comprising representatives from various disciplines of the Bank, ensures that all new products and services introduced and any changes to our current products conform to the applicable laws and regulations and reflect ethical practices.

The Compliance Department plays a key role in product development to ensure

legal and regulatory Compliance. Therefore, Compliance Department along with the Legal Department ensures that the new product structures are cleared for regulatory and legal Compliance within the normal regulatory and legal framework of the country.

CUSTOMER CHARTER

The corporate website publishes expected deposit rates, financing rates, exchange rates and tariffs and charges. The procedure for Comments, Complaints and Suggestions is also set out on the website. The same has been displayed at branches including contact details of officials of the Bank and the Financial Ombudsman who can also be informed in the event, efforts made by the Bank prove unsatisfactory to the client.

CAPACITY BUILDING ON COMPLIANCE

Capacity building on Compliance through various internal and external training forms a critical building block of the Bank's Compliance plan, to instil an organisation wide compliance culture. Internal training and orientation for new recruits include training modules on Compliance. Existing and new staff are provided training throughout the year to ensure that well-trained staff members are present in all branches and departments.

Some of the key training programmes that were conducted during the year included:

- ★ A Compliance Forum which was held for all staff as refresher training on the AML/CFT system with the Ultimate Beneficial Ownership Declaration being introduced.
- ★ Forums on Exchange Control regulations which were conducted through the Institute of Bankers of Sri Lanka by a representative of the CBSL.
- ★ A brief for the Board of Directors on the latest developments in the SEC and CSE areas by the Chief Regulatory Officer (CRO) of CSE.
- ★ A programme to inculcate the right values and ethics training, the senior management was tracked on their progress of the Trust Huddle via the Mancom Meeting updates.
- ★ Three induction programmes conducted by the Compliance team for Bank's staff on AML KYC throughout the year.

TECHNOLOGY DRIVEN COMPLIANCE

While most initiatives are taken to comply with various regulations, the Banking Act and subsequent Directions issued by CBSL in this regard, the Bank constantly seeks to ensure that measures taken go well beyond mere Compliance to meet the foreseeable threats in this rapidly evolving aspect. During the year under review, the bank introduced Online Learning Management system geared towards learning the latest changes in the AML, Financial Crime areas. This system is used by a leading International Bank and was procured to further strengthen the compliance mechanism and create the right awareness and broaden the knowledge base of the staff who are now better equipped to handle the myriad of complexities faced in today's environment.

CORPORATE GOVERNANCE COMPLIANCE

The Bank's approach to governance is based on the Corporate Governance Direction No.11 of 2007 for Corporate Governance for Licensed Commercial Bank in Sri Lanka issued by the Central Bank as the regulator and Code of Best Practices issued by Securities and Exchange Commission of Sri Lanka, jointly with The Institute of Chartered Accountants of Sri Lanka.

The Board of Directors is fully committed to ensure that good governance is practiced and responsible for developing an effective framework. Accordingly, during the period under review the Bank was in compliance to all of the provisions of the above direction.

DIRECTORS STATEMENT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

RESPONSIBILITY

In line with the Banking Act Direction No 11 of 2007, section 3(8)(ii)(b), the Board of Directors present this report on Internal Control over Financial Reporting.

The Board of Directors ("Board") is responsible for the adequacy and effectiveness of the internal control mechanism in place at Amāna Bank PLC, ("the Bank"). In considering such adequacy and effectiveness, the Board recognises that the business of banking requires reward to be balanced with risk on a managed basis and as such the internal control systems are primarily designed with a view to highlighting any deviations from the limits and indicators which comprise the risk appetite of the Bank. In this light, the system of internal controls can only provide reasonable, but not absolute assurance, against material misstatement of financial information and records or against financial losses or fraud.

The Board has established an ongoing process for identifying, evaluating and managing the significant risks faced by the Bank and this process includes enhancing the system of internal control over financial reporting as and when there are changes to the business environment or regulatory guidelines. The process is regularly reviewed by the Board and accords with the Guidance for Directors of Banks on the Directors' Statement on Internal Control issued by the Institute of Chartered Accountants of Sri Lanka. The Board has assessed the internal control over financial reporting taking into account principles for the assessment of internal control system as given in that guidance.

The Board is of the view that the system of internal controls over financial reporting

in place is sound and adequate to provide reasonable assurance regarding the reliability of financial reporting, and that the preparation of financial statements for external purposes is in accordance with relevant accounting principles and regulatory requirements.

The Management assists the Board in the implementation of the Board's policies and procedures on risk and control by identifying and assessing the risks faced, and in the design, operation and monitoring of suitable internal controls to mitigate and control these risks.

KEY FEATURES OF THE PROCESS ADOPTED IN APPLYING AND REVIEWING THE DESIGN AND EFFECTIVENESS OF THE INTERNAL CONTROL SYSTEM OVER FINANCIAL REPORTING

The key processes that have been established in reviewing the adequacy and integrity of the system of internal controls with respect to financial reporting include the following:

- ★ Various Committees are established by the Board to assist the Board in ensuring the effectiveness of the Bank's daily operations and that the Bank's operations are in accordance with the corporate objectives, strategies and the annual budget as well as the policies and business directions that have been approved.
- ★ The Internal Audit Department of the Bank checks for compliance with policies and procedures and the effectiveness of the internal control systems on an ongoing basis using samples and rotational procedures and highlight significant findings in respect of any non-compliance. Audits are carried out on all units and branches,

the frequency of which is determined by the level of risk assessed, to provide an independent and objective report. The annual Audit Plan is reviewed and approved by the Board Audit Committee. Findings of the Internal Audit Department are submitted to the Board Audit Committee for review at their periodic meetings.

- ★ The Board Audit Committee of the Bank reviews internal control issues identified by the Internal Audit Department, the External Auditors, regulatory authorities and the Management: and evaluates the adequacy and effectiveness of the risk management and internal control systems. They also review the internal audit functions with particular emphasis on the scope of audits and quality of the same. The minutes of the Board Audit Committee meetings are forwarded to the Board on a periodic basis. Further details of the activities undertaken by the Board Audit Committee of the Bank are set out in the Board Audit Committee Report on pages 124 to 125.
- ★ In assessing the internal control system over financial reporting, identified officers of the Bank collated all procedures and controls that are connected with significant accounts and disclosures of the financial statements of the Bank. These in turn were observed and checked by the Internal Audit Department for suitability of design and effectiveness on an ongoing basis.
- ★ The Bank adopted the new Sri Lanka Accounting Standards comprising LKAS and SLFRS in 2012. The processes and procedures initially applied to adopt the aforementioned Accounting Standards were further strengthened during

the subsequent years based on the feedback received from the External Auditors, Internal Audit Department, Regulators and the Board Audit Committee. The Bank will continue to further strengthen the controls over the processes and relevant management information systems and its reports for Financial Statement Disclosures related to Risk Management. The Bank has also recognised the need to introduce an automated financial reporting process in order to comply with the requirements of recognition, measurement, classification and disclosure of the financial instruments more effectively and efficiently.

- ★ SLFRS 9 – “Financial Instruments”, is applicable for financial reporting periods beginning on or after 1 January 2018. SLFRS 9 poses a significant impact on impairment assessment of financial assets whereby the impairment assessment approach shifted from an “incurred credit loss model” applied based on LKAS 39 – “Financial Instruments – Recognition and Measurement” to an “expected credit loss model”. Further this standard creates a significant impact on the processes adopted for classification of financial instruments which is now driven by the “business model” based on which the financial instruments are held and the contractual cash flow characteristics of the instrument. Giving due regards to the complexities involved with the implementation of this standard, the Bank began the implementation journey in 2017 with the assistance of an external consultant. During the year, the Bank continued to refine the statistical models used in the computations and the procedures used for data extraction

which is essential for the successful implementation of the standard. Despite SLFRS 9 coming into effect from 1 January 2018, the Bank continued to report its interim financial statements based on LKAS 39, based on the option granted by the Institute of Chartered Accountants of Sri Lanka to prepare the interim financial statements continuing the application of LKAS 39 – Financial Instruments: Recognition & Measurement. However, the financial statements for the year ended 31 December 2018 are being presented in line with SLFRS 9.

- ★ The comments made by the External Auditors in connection with internal control system over financial reporting in previous years were reviewed during the year and appropriate steps have been taken to rectify them.

CONFIRMATION

Based on the above processes, the Board confirms that the financial reporting system of the Bank has been designed to provide a reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes and has been done in accordance with Sri Lanka Accounting Standards and regulatory requirements of the Central Bank of Sri Lanka.

REVIEW OF THE STATEMENT BY EXTERNAL AUDITORS

The External Auditors, Messrs Ernst & Young, have reviewed the above Directors Statement on Internal Control over Financial Reporting included in the Annual Report of the Bank for the year ended 31 December 2018 and reported to the Board that nothing has come to their attention that causes them to believe that the statement is inconsistent with their understanding of

the process adopted by the Board in the review of the design and effectiveness of the internal control over financial reporting of the Bank. Their Report on the Statement of Internal Control over Financial Reporting is given on pages 114 to 115 of this Annual Report.

By Order of the Board,



Osman Kassim

Chairman – Board of Directors



Jazri Magdon Ismail

Chairman - Board Audit Committee

14 February 2019
Colombo

INDEPENDENT ASSURANCE REPORT ON DIRECTORS' STATEMENT ON INTERNAL CONTROL OVER FINANCIAL REPORTING



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APAG/UM/TW

INDEPENDENT ASSURANCE REPORT TO THE BOARD OF DIRECTORS OF AMĀNA BANK PLC

Report on the Director's Statement on Internal Control

We were engaged by the Board of Directors of Amāna Bank PLC ("Bank") to provide assurance on the Directors' Statement on Internal Control over Financial Reporting ("Statement") included in the annual report for the year ended 31 December 2018.

Management's Responsibility

Management is responsible for the preparation and presentation of the Statement in accordance with the "Guidance for Directors of Banks on the Directors' Statement on Internal Control" issued in compliance with section 3(8) (ii)(b) of the Banking Act Direction No. 11 of 2007, by the Institute of Chartered Accountants of Sri Lanka.

Our Independence and Quality Control

We have complied with independence and other ethical requirement of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka, which is founded

on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behavior.

The firm applies Sri Lanka Standard on Quality Control 1 and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Our Responsibilities and Compliance with SLSAE 3050 (Revised)

Our responsibility is to assess whether the Statement is both supported by the documentation prepared by or for directors and appropriately reflects the process the directors have adopted in reviewing the design and effectiveness of the internal control of the Bank.

We conducted our engagement in accordance with Sri Lanka Standard on Assurance Engagements (SLSAE) 3050

(Revised), Assurance Report for Banks on Directors' Statement on Internal Control, issued by the Institute of Chartered Accountants of Sri Lanka.

This Standard required that we plan and perform procedures to obtain limited assurance about whether Management has prepared, in all material respects, the Statement on Internal Control.

For purpose of this engagement, we are not responsible for updating or reissuing any reports, nor have we, in the course of this engagement, performed an audit or review of the financial information.

Summary of Work Performed

We conducted our engagement to assess whether the Statement is supported by the documentation prepared by or for directors; and appropriately reflected the process the directors have adopted in reviewing the system of internal control over financial reporting of the Bank.

Partners: W R H Fernando FCA FCMA M P D Cooray FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W K B S P Fernando FCA FCMA
Ms. K R M Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G G S Manatunga FCA Ms. P V K N Sajeewani FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA
Principal T P M Ruberu FCA FCCA

A member firm of Ernst & Young Global Limited

The procedures performed were limited primarily to inquiries of bank personnel and the existence of documentation on a sample basis that supported the process adopted by the Board of Directors.

SLSAE 3050 (Revised) does not require us to consider whether the Statement covers all risks and controls or to form an opinion on the effectiveness of the Bank's risk and control procedures. SLSAE 3050 (Revised) also does not require us to consider whether the processes described to deal with material internal control aspects of any significant problems disclosed in the annual report will, in fact, remedy the problems.

The procedures selected depend on our judgement, having regard to our understanding of the nature of the Bank, the event or transaction in respect of which the Statement has been prepared.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusion.

Our Conclusion

Based on the procedures performed, nothing has come to our attention that causes us to believe that the Statement included in the annual report is inconsistent with our understanding of the process the Board of Directors has adopted in the review of the design and effectiveness of internal control over financial reporting of the Bank.



15 February 2019
Colombo

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE BANK

Contents of this Report are in accordance with the statutory requirements, the requirements of relevant regulatory authorities and best accounting practices. This Report was approved by the Directors.

GENERAL

Your Directors have pleasure in presenting their Annual Report on the State of Affairs, together with the Audited Financial Statements for the year ended 31 December 2018. Amāna Bank PLC, a licensed commercial bank was incorporated under the Companies Act No. 07 of 2007 as a public limited liability company in Sri Lanka under the registration number PB 3618. It was listed in the Colombo Stock Exchange on 29 January 2014 and re-registered under the Companies Act No. 07 of 2007 under the registration number PB 3618 PQ on 28 August 2014.

Amāna Bank PLC is a licensed commercial bank under the Banking Act No. 30 of 1988 and amendments thereto.

Completion and the contents of this report are in accordance with the statutory requirements, the requirements of relevant regulatory authorities for listed companies in the financial services industry and best accounting practices.

PRINCIPAL ACTIVITIES

The principal activities of the Bank are the provision of commercial banking and related services.

COMPLIANCE AND CORPORATE GOVERNANCE FOR LICENSED COMMERCIAL BANKS IN SRI LANKA

The Board of Directors of the Bank has adopted a comprehensive policy on compliance and in accordance with the regulations of the Central Bank of Sri Lanka (CBSL) has established an independent compliance function in respect of statutory

requirements and CBSL Directions relating to licensed commercial banks. Further in accordance with the provisions of the Financial Transaction Reporting Act No. 06 of 2006, the Board has appointed a Compliance Officer at Senior Management level in charge of compliance of the Bank. The Bank has also a Compliance Policy and Guideline on KYC (Know Your Customer) and AML (Anti Money Laundering). The Compliance Department monitors the compliance of the statutory requirements of the Bank and a report is submitted to the Board Integrated Risk Management Committee, Board Audit Committee and the Board of Directors on a quarterly basis ensuring the Bank complies with all such requirements.

The Bank also complies with the Banking Act Direction No.11 of 2007 on Corporate Governance issued by CBSL and is compliant with the provisions of the said Direction. The Corporate Governance Report is disclosed in pages 84 to 111.

In addition, the Bank is currently a listed entity and is in compliance with the Directions of the Securities and Exchange Commission of Sri Lanka, Continuing Listing Rules of the Colombo Stock Exchange and all other relevant authorities. The Board of Directors also hereby confirms that the Bank is compliant with section 9 of the Listing Rules of Colombo Stock Exchange pertaining to related party transactions.

FINANCIAL RESULTS

	2018 LKR	2017 LKR
Net Operating Income	3,627,889,737	3,098,137,640
Total Operating Expenses	(2,305,652,485)	(2,039,573,052)
Operating Profit Before Value Added Tax on Financial Services, Nation Building Tax & Debt Repayment Levy	1,322,237,252	1,058,564,588
Value Added Tax on Financial Services, Nation Building Tax & Debt Repayment Levy	(420,038,265)	(319,245,989)
Profit Before Tax	902,198,987	739,318,599
Tax Expenses	(345,753,279)	(236,490,936)
Profit for the Year	556,445,708	502,827,663
Other Comprehensive Income / (Loss) for the Year Net of Tax	(21,382,884)	253,978,309
Total Comprehensive Income for the Year	535,062,824	756,805,972

PROPERTY, PLANT AND EQUIPMENT AND DEPRECIATION

Details of the property, plant and equipment of the Bank, additions made during the year and the depreciation charges for the year are shown in Note 26 to the Financial Statements.

DONATIONS

During the year under review, the Bank made donations amounting to LKR 1,220,716/78 (2017 - LKR 1,165,953/-)

EVENTS AFTER THE REPORTING DATE

No circumstances have arisen since the reporting date which would require adjustments to, or disclosure in the Financial Statements except for the events disclosed in Note 48 to the Financial Statements.

ACCOUNTING AND VALUATION METHODS

For the year under review, the financial statements were prepared in accordance with Sri Lanka Accounting Standards (SLFRS/LKAS) which have materially converged with the International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board.

STATED CAPITAL AND SHAREHOLDERS

The Stated Capital of the Bank is LKR 10,619,450,156/- (2,501,390,534 shares)

FINANCIAL STATEMENTS

The Financial Statements of the Bank are given in pages 148 to 214.

ACCOUNTING POLICIES

The Accounting Policies adopted in the preparation of Financial Statements are given in pages 153 to 168.

DIRECTORS

The following were Directors of Amāna Bank PLC during the year ended 31 December 2018:

- 1) Mr. Osman Kassim (Chairman, Non-Executive, Non-Independent Director)
- 2) Mr. Tyeab Akbarally (Deputy Chairman, Non-Executive, Non-Independent Director)
- 3) Dr. Aboobacker Admani Mohamed Haroon (resigned as Non-Executive, Non-Independent Director on 3 January 2018)
- 4) Mr. Mohamed Jazri Magdon Ismail (Non-Executive, Independent Senior Director)

- 5) Mr. Haseeb Ullah Siddiqui (resigned as Non-Executive, Non-Independent Director on 21 July 2018)
- 6) Mr. Wahid Ali Bin Mohd. Khalil (resigned as Non-Executive, Non-Independent Director on 4 April 2018)
- 7) Mr. Harsha Amarasekera, PC (Non-Executive, Non-Independent Director)
- 8) Mr. Faheemul Huq (resigned as Non-Executive, Non-Independent Director on 24 January 2018)
- 9) Mr. Rajiv Nandlal Dvivedi (Non-Executive, Independent Director)
- 10) Mr. Pradeep Dilshan Rajeeva Hettiaratchi (Non-Executive, Independent Director)
- 11) Mr. Aaron Russell-Davison (appointed as Non-Executive, Independent Director on 4 January 2018)
- 12) Mr. Mohammed Ataur Rahman Chowdhury (appointed as Non-Executive, Non-Independent Director on 16 January 2018)
- 13) Mr. Adeeb Ahmad (appointed as Non-Executive, Non-Independent Director on 16 January 2018)
- 14) Mr. Syed Muhammed Asim Raza (appointed as Non-Executive, Non-Independent Director on 20 October 2018)
- 15) Mr. Khairul Muzamel Perera Bin Abdullah (appointed as Non-Executive, Non-Independent Director on 17 November 2018)

ALTERNATE DIRECTORS

The following were Alternate Directors of Amāna Bank PLC during the year ended 31 December 2018:

- 1) Mr. Huzefa Inayetally Akbarally (Alternate Director to Mr. Tyeab Akbarally)
- 2) Mr. Mohamed Faizel Mohamed Haddad (Alternate Director to Mr. Osman Kassim)

ROTATION OF DIRECTORS

In terms of Article 29 (6) of the Articles of Association of the Company one-third of the Directors shall retire from office at each Annual General Meeting. The following Directors retire by rotation and stand for re-appointment at the Annual General Meeting of Amāna Bank.

- a) Mr. Mohamed Jazri Magdon Ismail
- b) Mr. Harsha Amarasekera, PC
- c) Mr. Mohammed Ataur Rahman Chowdhury
- d) Mr. Adeeb Ahmad

INTEREST REGISTER

The Directors' interest in shares has been disclosed in the Interest Register.

DIRECTORS' REMUNERATION AND OTHER BENEFITS

Directors' remuneration in respect of the Bank for the financial year ended 31 December 2018 is given in Note 13 to the Financial Statements.

DIRECTORS' INTEREST IN CONTRACTS

As at 31 December 2018, none of the Directors had interests in contracts with the Bank, other than those disclosed in Note 47 to the Financial Statements.

As required by the Section 168 (1) (e) of the Companies Act No. 07 of 2007, the Bank maintains an Interests Register. We wish to confirm that all Directors have made declarations as required by the Sections 192 (1) and (2) of the Companies Act aforesaid and all related entries were made in the Interests Register during the year under review. The share ownership of Directors is disclosed on page 120. The Interest Register is available for inspection by shareholders or their authorised representatives as required by the Section 119 (1) (d) of the Companies Act No. 07 of 2007.

Annual Report of the Board of Directors on the Affairs of the Bank

DIRECTORS' INVESTMENTS IN SHARES

The shareholdings of Directors who held office as at 31 December 2018 were as follows:

Name of Director	Number of Shares Held	Percentage of Shareholding (%)
Mr. Osman Kassim	57,541,157	2.30
Mr. Tyeab Akbarally	52	0.00
Mr. Mohamed Jazri Magdon Ismail	127,000	0.01
Mr. Harsha Amarasekera, PC	Nil	Nil
Mr. Rajiv Nandlal Dvivedi	Nil	Nil
Mr. Pradeep Dilshan Rajeeva Hettiaratchi	Nil	Nil
Mr. Aaron Russell-Davison	Nil	Nil
Mr. Adeeb Ahmad	Nil	Nil
Mr. Mohammed Ataur Rahman Chowdhury	Nil	Nil
Mr. Syed Muhammed Asim Raza	Nil	Nil
Mr. Khairul Muzamel Perera Bin Abdullah	Nil	Nil
Mr. Huzefa Inayetally Akbarally (Alternate Director to Mr. Tyeab Akbarally)	01	
Mr. Mohamed Faizel Mohamed Haddad (Alternate Director to Mr. Osman Kassim)	40,000	0.00

BOARD COMMITTEES

The Board of Directors, while assuming the overall responsibility and accountability for the management oversight of the Bank has also appointed Board Committees to ensure oversight and control over certain functions of the Bank conforming to Directions on Corporate Governance issued by the Monetary Board of the Central Bank of Sri Lanka. Accordingly the following committees have been constituted by the Board:

Board Audit Committee

1. Mr. Mohamed Jazri Magdon Ismail - Chairman
2. Mr. Rajiv Nandlal Dvivedi - Member
3. Mr. Aaron Russell-Davison - Member (appointed w.e.f. 17 February 2018)
4. Mr. Mohammed Ataur Rahman Chowdhury (appointed w.e.f. 17 February 2018)

The report of the Board Audit Committee is given on pages 124 to 125 which forms part of the Annual report of the Board of Directors.

Board Integrated Risk Management Committee

1. Mr. Rajiv Nandlal Dvivedi - Chairman
2. Mr. Mohamed Jazri Magdon Ismail - Member
3. Mr. Adeeb Ahmad - Member (appointed w.e.f. 17 February 2018)
4. Mr. Mohamed Azmeer (CEO) - Member
5. Mr. Ajmal Naleer - (CRO) - Member

The report of the Board Integrated Risk Management Committee is given on pages 126 to 127 which forms part of the Annual Report of the Board of Directors.

Board Nomination Committee

1. Mr. Pradeep Dilshan Rajeeva Hettiarachchi - Chairman (appointed as Chairman w.e.f. 17 February 2018)
2. Mr. Mohamed Jazri Magdon Ismail - Member
3. Mr. Tyeab Akbarally - Member
4. Mr. Rajiv Nandlal Dvivedi - Member
5. Mr. Adeeb Ahmad - Member (appointed w.e.f. 17 February 2018)

The report of the Board Nomination Committee is given on pages 129 to 130 which forms part of the Annual report of the Board of Directors.

Board Human Resources and Remuneration Committee

1. Mr. Tyeab Akbarally - Chairman
2. Mr. Mohamed Jazri Magdon Ismail - Member
3. Mr. Pradeep Dilshan Rajeeva Hettiaratchi - Member
4. Mr. Mohammed Ataur Rahman Chowdhury - Member (appointed w.e.f. 17 February 2018)
5. Mr. Aaron Russell-Davison - Member (appointed w.e.f. 17 February 2018)

The report of the Board Human Resources & Remuneration Committee is given on page 128 which forms part of the Annual report of the Board of Directors.

Related Party Transactions Review Committee

1. Mr. Mohamed Jazri Magdon Ismail - Chairman
2. Mr. Rajiv Nandlal Dvivedi - Member
3. Mr. Pradeep Dilshan Rajeeva Hettiaratchi - Member

4. Mr. Aaron Russell-Davison - Member
(appointed w.e.f.15 September 2018)

The report of the Related Party Transactions Review Committee is given on page 131 which forms part of the Annual Report of the Board of Directors.

In addition to the above mandatory Board appointed Committees, the Board of Directors has also appointed a Board Credit Committee which oversees the Credit approval functions of the Bank.

Board Credit Committee

1. Mr. Pradeep Dilshan Rajeeva
Hettiaratchi - Chairman
2. Mr. Tyeab Akbarally - Member
3. Mr. Osman Kassim - Member

AUDITORS

The Financial Statements for the year ended 31 December 2018 have been audited by Messrs Ernst & Young, Chartered Accountants who offer themselves for re-appointment. A resolution relating to their re-appointment and authorising the Directors to determine their remuneration will be proposed at the Annual General Meeting.

The Auditors Messrs Ernst & Young, Chartered Accountants were paid LKR 2,939,509/- as Audit fees by the Bank.

As far as the Directors are aware the Auditors do not have any relationship (other than that of an Auditor and Tax Consultant) with the Bank. The Auditors also do not have any interest in the Bank.

ANNUAL REPORT

The Directors approved the Financial Statements together with the reviews which forms part of the Annual Report. The appropriate number of copies has

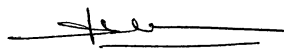
been submitted to the Central Bank of Sri Lanka, Sri Lanka Accounting and Auditing Standard Monitoring Board, the Registrar of Companies and the Colombo Stock Exchange.

ANNUAL GENERAL MEETING

The Annual General Meeting will be held on 29 March 2019 at 3.00 p.m. at the Banquet Hall (Ground Floor), Bandaranaike Memorial International Conference Hall (BMICH), Baudhaloka Mawatha, Colombo 7.

The Notice of the Annual General Meeting is given on page 250.

By Order of the Board



Mrs. Samitha Dayani de Silva
Company Secretary

16 February 2019
Colombo

DIRECTORS' INTEREST IN CONTRACTS

Name of Director / Alternate Director	Name of Company	Position	Nature of Transaction	Existing Limit	Amount	Amount
				2018	2018	2017
				LKR	LKR	LKR
Mr. Tyeab Akbarally	Amāna Takaful PLC	Chairman	Due to Depositors		298,561,489	272,632,836
Mr. Osman Kassim		Director	Financing and Receivables to Other Customers	36,989,383	36,989,383	5,490,135
Dr. A. A. M. Haroon*		Director	Financial Assets Measured at FVPL/FVOCI		184,685,504	219,691,749
			Personnel and Other Operating Expenses		48,197,574	43,164,893
			Net Fees and Commission Income		15,385,294	16,655,093
Mr. Osman Kassim	Expolanka Holdings PLC and Group	Director	Due to Depositors		42,911,893	22,338,372
Mr. Harsha Amarasekera		Director	Financing and Receivables to Other Customers	1,360,915,711	925,911,703	1,084,715,743
			Letters of Credit, Letters of Guarantee, Shipping Guarantees and Other		28,925,000	41,817,741
			Financial Assets Measured at FVPL/FVOCI		18,160,392	24,062,519
Mr. Osman Kassim	A.P.I.I.T. Lanka (Pvt) Limited	Chairman	Due to Depositors		151,728,178	55,183,216
Mr. Osman Kassim	Aberdeen Holdings Limited and Group	Chairman	Due to Depositors		379,612,960	83,356,864
			Financing and Receivables to Other Customers	522,360,045	522,360,045	
Mr. Osman Kassim	Alhasan Foundation	Chairman	Due to Depositors		3,469,198	5,605,081
Mr. Osman Kassim	Amāna Takaful (Maldives) PLC	Director	Due to Depositors		13,093,010	12,772,842
Mr. Tyeab Akbarally		Director				
Mr. Osman Kassim	Vidullanka PLC	Chairman	Due to Depositors		13,413,293	194,947
Dr. A. A. M. Haroon*		Director	Financing and Receivables to Other Customers			57,563,079
Mr. Osman Kassim, Chairman of the Bank is the Chairman of Crescentrating (Pvt) Limited (Singapore), Rokfam (Pvt) Limited and also a Director of Amāna Takaful Life PLC, Expack Corrugated Cartons (Pvt) Limited and Maldives Islamic Bank (Pvt) Limited.						
Dr. A. A. M. Haroon*	Vanguard Industries (Pvt) Limited	Chairman	Due to Depositors			10,069
			Financing and Receivables to Other Customers			182,878,391
Dr. A. A. M. Haroon*	ATL Investment Holdings Limited	Director	Due to Depositors		6,023,738	6,222,846
Dr. A. A. M. Haroon*	Amāna Capital Limited	Director	Due to Depositors		772,136	
Dr. A. A. M. Haroon*	Amāna Wealth Limited	Director	Due to Depositors		981,585	30,672
Mr. Harsha Amarasekera	Delmege Forsyth & Company Limited	Director	Due to Depositors		220,775	429,163
			Financing and Receivables to Other Customers	550,000,000	468,747,727	266,529,844
			Letters of Credit, Letters of Guarantee, Shipping Guarantees and Other		69,292,205	14,604,820

Name of Director / Alternate Director	Name of Company	Position	Nature of Transaction	Existing Limit	Amount	Amount
				2018	2018	2017
				LKR	LKR	LKR
Mr. Harsha Amarasekera	Chevron Lubricants Lanka PLC	Director	Financial Assets Measured at FVPL/FVOCI		8,379,280	13,458,900
Mr. Harsha Amarasekera	Vallibel Power Erathna PLC	Director	Financial Assets Measured at FVPL/FVOCI		5,750,963	6,739,410
Mr. Harsha Amarasekara, a Director of the Bank is the Chairman of CIC Holdings PLC and CIC Agri Business (Pvt) Limited and a Director of Amaya Leisure PLC, Vallibel One PLC, Royal Ceramic PLC, Ambeon Capital PLC, Ceylon Hotel Holdings (Pvt) Limited, Galle Face Management Company (Pvt) Limited, Millennium Airlines (Pvt) Limited, Millennium Investments Lanka (Pvt) Limited, The Hill Club Company Limited, Swisstek (Ceylon) PLC, Swisstek Aluminium Limited, Handhuvaru Ocean Holidays (Pvt) Limited and Link Natural Products (Pvt) Limited.						
Mr. Tyeab Akbarally	Akbar Brothers (Pvt) Limited	Director	Due to Depositors		651,562	630,688
Mr. Huzefa Akbarally		Alternate Director				
Mr. Tyeab Akbarally	Akbar Pharmaceuticals (Pvt) Limited	Director	Due to Depositors		95,918	92,846
Mr. Huzefa Akbarally		Alternate Director				
Mr. Tyeab Akbarally, a Director of the Bank is also a Director of A B Properties (Pvt) Limited, A B Development (Pvt) Limited, Akbar Brothers Exports (Pvt) Limited, Zahra Exports (Pvt) Limited, Energy Reclamation (Pvt) Limited, Falcon Properties (Pvt) Limited, Falcon Developments (Pvt) Limited, Quick Tea (Pvt) Limited, Falcon Trading (Pvt) Limited, Land & Buildings (Pvt) Limited, Lina Manufacturing (Pvt) Limited, Lina Cardiac (Pvt) Limited,Chadstone Holdings (Pvt) Limited, Akbar Pharmaceuticals Holdings (Pvt) Limited and Flinth Commercial Park (Pvt) Limited.						
Mr. Pradeep Dilshan Rajeeva Hettiaratchi, a Director of the Bank is also a Director of Asset Trust Management (Pvt) Limited, GTPL (Pvt) Limited, Faber Capital Lanka (Pvt) Limited and Sagasolar Power (Pvt) Limited.						
Mr. Rajiv Dvivedi, a Director of the Bank is also a Director of Candor Securities Limited, Candor Asset Management (Pvt) Limited, Candor Capital (Pvt) Limited, Candor Shared Services (Pvt) Limited and Accordion Partners (USA)						
Mr. Adeeb Ahmad, a Director of the Bank is also a Director of ICD Equity Partners, AFAQ SME Fund, Omar Peak International, Green Peak International & Jordan Pharmaceuticals Manufacturing. Co.						
Mr. Aaron Russell-Davison, a Director of the Bank is also a Director of Korcula Holdings (Pvt) Limited, Breaking Waves (Pvt) Limited, Ceylon Cinnamon Corporation (Pvt) Limited, Gradeley Estates (Pvt) Limited, Kugan Capital (Pvt) Limited and Silk Road Partners (Pvt) Limited.						
Mr. Huzefa Akbarally, an Alternate Director of the Bank is a Director of A B Properties (Pvt) Limited, A B Developments (Pvt) Limited, Akbar Brothers Exports (Pvt) Limited, Energy Reclamation (Pvt) Limited, Falcon Developments (Pvt) Limited, Falcon Trading (Pvt) Limited, Land & Buildings (Pvt) Limited, Quick Tea (Pvt) Limited, Lina Manufacturing (Pvt) Limited, Terraqua International (Pvt) Limited, Daily Life Renewable Energy Limited, Diyaviduli (Pvt) Limited, Seguvanthivu Windpower (Pvt) Limited, Vidatamuni Windpower (Pvt) Limited, Terraqua Kokavita (Pvt) Limited, Flinth Commercial Park (Pvt) Limited, Cleanco Lanka (Pvt) Limited, Greensands (Pvt) Limited, Lina Cardiac (Pvt) Limited, Buluthota Energy (Pvt) Limited, Chadstone Holdings (Pvt) Limited, Akbar Pharmaceuticals Holdings (Pvt) Limited and Windforce (Pvt) Limited.						
Mr. M. F. M. Hadad, an Alternate Director of the Bank is a Director of Paragon Management Services (Pvt) Limited, Serendib Grand (Pvt) Limited and Acer Events Management Services Limited.						

* Dr. A. A. M. Haroon resigned from the Directorship of Amāna Bank PLC with effect from 3 January 2018.

BOARD AUDIT COMMITTEE REPORT

COMPOSITION

The Board Audit Committee (BAC) conducts its proceedings in accordance with the terms of reference approved by the Board of Directors. The Committee as at the end of the year 2018 comprised of four Non-Executive Directors, three of them being Independent. The Chairman of the Committee, Mr. Mohamed Jazri Magdon Ismail is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka.

Table below shows the list of members of the BAC during the year under review and their attendance at the Committee meetings held during the year.

Members	Total Number of Meetings Attended / Total Number of Meetings Eligible to Attend
Mr. Mohamed Jazri Magdon Ismail (Chairman) (Non-Executive, Independent Senior Director)	9/9
Mr. Rajiv Nandlal Dvivedi (Non-Executive, Independent Director)	8/9
Mr. Wahid Ali Mohd. Khalil (Non-Executive, Non-Independent Director) Resigned w.e.f. 4 April 2018	0/2
Mr. Aaron Russell-Davison (Non-Executive, Independent Director) Appointed w.e.f. 17 February 2018	7/8
Mr. Mohammed Ataur Rahman Chowdhury (Non-Executive, Non-Independent) Appointed w.e.f. 17 February 2018	7/8

The Chief Internal Auditor functions as the Secretary to BAC.

ROLE OF THE BOARD AUDIT COMMITTEE

The Committee assists the Board of Directors in carrying out its responsibilities in relation to financial reporting requirements and assessment of internal controls. The role and responsibilities of the Committee is defined in the Committee's "Terms of Reference" document. The Committee amongst other functions performs the following key tasks:

- ★ Reviewing the operations and effectiveness of the Bank's internal control system to ensure that a good financial reporting system is in place to comply with Sri Lanka Accounting Standards.
- ★ Ensuring that the presentation of Financial Statements satisfies all applicable accounting standards as well as the relevant legal and regulatory requirements.
- ★ Recommending appointment or re-appointment of the External Auditor for audit services in compliance with the relevant statutes.
- ★ Reviewing and monitoring the External Auditor's independence and objectivity and the effectiveness of the audit processes in accordance with applicable standards and best practices.
- ★ Discussing and finalising with the External Auditors the nature and scope of the audit before the commencement of the audit.
- ★ Ensuring an Audit Charter and a comprehensive Internal Audit Manual and Guidelines are in place.

- ★ Monitoring the effectiveness of the Bank's Internal Audit Function.
- ★ Reviewing the adequacy of the scope, functions and resources of the Internal Audit Department and ensuring that appropriate actions are taken on the findings and recommendations of the Department.

REGULATORY COMPLIANCE

The role and functions of the BAC are regulated by the Banking Act Direction No. 11 of 2007, the Mandatory Code of Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka and the Best Practices of Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka.

MEETINGS

The Committee met nine times during the year under review. The Chief Executive Officer, Chief Internal Auditor and the Chief Financial Officer attended these meetings by invitation. On the invitation of the Committee, the Engagement Partner of the Bank's External Auditors, M/s Ernst and Young also attended two (2) meetings held during the year. Further where necessary, Key Management Personnel from pertinent business and support departments of the Bank were also invited to attend relevant segments of the meetings to enhance the awareness of the Committee with regard to issues and/or developments relating to such departments. Such invitations were extended to ensure that the committee is provided with all the relevant information to facilitate the discharge of its role and responsibilities.

FINANCIAL REPORTING

The BAC as part of its responsibility to oversee the Bank's financial reporting process on behalf of the Board of Directors, has reviewed and discussed with the Management, the Annual Financial Statements for the year 2018, prior to

release. These Financial Statements have been prepared in line with the Sri Lanka Accounting Standards (SLFRS & LKAS) and are an integral part of the Bank's Annual Report.

Above review by the Committee included the extent of compliance with the Sri Lanka Accounting Standards, the Companies Act No 7 of 2007, the Banking Act No 30 of 1988 and amendments thereto.

RISKS AND INTERNAL CONTROLS

The internal controls within the Bank are designed to provide reasonable but not absolute assurance to the Directors and assist them to monitor the financial position of the Bank. During the year, the Committee reviewed the effectiveness of the Bank's internal control system and assessed the effectiveness of the internal controls over financial reporting as of 31 December 2018, as required by the Banking Act Direction No 11 of 2007, Corporate Governance for Licensed Commercial Banks in Sri Lanka, Subsection 3 (8) (ii) (b), based on the "Guidance for Directors of Banks on the Directors' Statement of Internal Control" issued by the Institute of Chartered Accountants of Sri Lanka. The result of the assessment is given on pages 114 to 115 of the Annual Report, titled "Directors' Statement on Internal Controls over Financial Reporting". The External Auditors have issued an Assurance Report on the Directors' Statement on Internal Controls over Financial Reporting. This report is given on pages 116 to 117 of the Annual Report. Based on its assessment of the Internal Control System, the Committee concluded and confirmed to the Board as of 31 December 2018 that the Bank's Internal Control over financial reporting is effective.

EXTERNAL AUDIT

The BAC reviewed and monitored the independence of the External Auditors and the objectivity as well as the effectiveness of the audit process and assisted the

Board with its recommendations to the shareholders on re-appointment of M/s Ernst & Young, Chartered Accountants as external auditors for the financial year ended 31 December 2018.

As part of the Committee meetings held during the year, the External Audit approach and procedures, including matters relating to the scope of such audit and the External Auditors' independence were discussed with the External Auditors. Further, the Committee met the External Auditors two (2) times during the year without the presence of the executive management to ensure that there was no limitation of scope in relation to the Audit and any other related incidents which could have had a negative impact on the effectiveness of the external audit, and concluded that there was no cause for concern. Moreover committee also reviewed the External Auditor's Management Letter – 2017 and the management's responses thereto.

INTERNAL AUDIT

During the year, the BAC reviewed the independence, objectivity & performance of the Internal Audit Function. This review also included the findings from the internal audits completed and the Internal Audit Department's evaluation of the Bank's internal controls. The Committee also reviewed the adequacy of Internal Audit coverage through the Internal Audit Plan and approved the same. It also assessed the Internal Audit Department's resource requirements.

'Management Audit Committee' (MAC) which is an Executive level Management Committee headed by the CEO discusses the Internal Audit reports issued to the BAC in order to optimize the remedial actions taken resolve the audit findings therein and to follow-up on actions taken by the auditees to resolve previously agreed audit findings.

PROFESSIONAL ADVICE

The Committee has the authority to seek external professional advice on matters within its purview.

WHISTLE BLOWING

An internal Whistle Blowing scheme is in place for all staff members to raise any concerns and expose any suspected wrongdoings and provides a process for resolving such wrongdoings without any fear of reprisal or adverse consequences to those associated in disclosure thereof. The Committee has put in place a process to continuously review the complaints received via this scheme and appropriate directions are accordingly for future course of actions.

AUDIT SOFTWARE

During the latter part of the year 2018, the Internal Audit Department acquired an Audit Software for the purpose of performing data analysis as part of the Audit Procedures. The Internal Audit Department has been mandated to leverage on this Audit Software during the year 2019 to enhance the audit coverage thereby providing more comprehensive assurance to the Committee and to the Board of Directors.

COMMITTEE EVALUATION

The annual evaluation of the BAC was carried out by the members of the Board and the Committee has taken note of the feedback received.



Mohamed Jazri Magdon Ismail
Chairman – Board Audit Committee

14 February 2019
Colombo

BOARD INTEGRATED RISK MANAGEMENT COMMITTEE REPORT

COMPOSITION OF THE COMMITTEE

The Board Integrated Risk Management Committee (BIRMC) comprising of members listed below conducts its proceedings in accordance with the Terms of Reference approved by the Board of Directors. The Committee was appointed by the Board on 30 May 2011 and the current Chairman is Mr. Rajiv Nandlal Dvivedi.

The Committee met four times during the year 2018 and the attendance is as follows:

Member	Meetings Attended/ Meetings Eligible to Attend
Mr. Rajiv Nandlal Dvivedi (Non-Executive, Independent Director)	4/4
Mr. Mohamed Jazri Magdon Ismail (Non-Executive, Independent Senior Director)	4/4
Mr. Adeeb Ahmad (Non-Executive, Non- Independent Director) Appointed w.e.f. 17 February 2018	2/4
Mr. Mohamed Azmeer (Chief Executive Officer)	4/4
Mr. Ajmal Naleer (Chief Risk Officer)	4/4

REGULATORY COMPLIANCE

The BIRMC was established by the Board of Directors, in compliance with the Section 3 (6) of Direction No. 11 of 2007, on Corporate Governance for Licensed Commercial Banks in Sri Lanka, issued by the Monetary Board of the Central Bank of Sri Lanka (CBSL) under powers vested in the Monetary Board, in terms of the Banking Act No. 30 of 1988 as amended.

MEETINGS

Vice President - Operations, Manager - Risk Middle Office and Manager Operational Risk attended BIRMC meetings by invitation. Key Management Personnel from relevant business and support departments of the Bank including Chief Compliance Officer (CCO) were also invited to attend segments of the meetings to articulate and clarify matters relating to their respective areas. Such invitations were extended to ensure that the BIRMC is provided with all relevant information to facilitate the discharge of its role and responsibilities. After every BIRMC meeting, a report from the BIRMC Chairman along with the respective BIRMC meeting minutes is forwarded to the Board of Directors for perusal.

ROLE AND RESPONSIBILITIES OF THE BIRMC

The BIRMC is primarily responsible for the effective functioning of the risk management function within the Bank. The BIRMC has the authority to request different kinds of information from various sources, in order to effectively carry out its responsibilities on the risk management process of the Bank. Its main responsibilities include the following:

- (i) Ensure that the Bank has a comprehensive risk management policy and framework and appropriate compliance policies and processes are in place and to continuously monitor their effectiveness so as to inculcate a proactive risk management culture within the Bank.

- (ii) Review and recommend the risk appetite/tolerance for the Bank at all levels of business, to the Board for adoption.
- (iii) Assess and oversee risks, i.e. credit, market, liquidity, operational and strategic risks to the Bank, on a monthly basis through appropriate risk indicators and management information.
- (iv) Reviewing the independence and robustness of risk management processes and internal controls throughout the Bank, with a view to manage the Bank's key risk control and mitigation processes.
- (v) To oversee all management level committees managing risk, such as Executive Risk Management Committee (ERMC), Executive Credit Committee 1 (ECC I) and the Asset and Liability Committee (ALCO).
- (vi) Ensuring that there are clear and independent reporting lines and responsibilities for risk management functions.
- (vii) Apprising the Board on the proper management of risk, specifically relating to Capital, Market, and Credit and Operational risks and seeking the Board's endorsement on any strategic decisions taken relating to such risks.
- (viii) Take prompt corrective action to mitigate the effects of specific risks, in case such risks are at levels beyond prudent levels decided by the Committee, on the basis of the Bank's policies and regulatory and supervisory requirements.
- (ix) Take appropriate actions against the officers responsible for failure to identify specific risks and take prompt corrective actions as recommended by the Committee, and/or as directed by the Director of Bank Supervision.
- (x) Submit an update on key matters discussed and resolved at the next Board meeting, prior to the issuance of the BIRMC minutes.

- (xi) Establish a compliance function to assess the Bank's compliance with laws, regulations, regulatory guidelines, internal controls and approved policies on all areas of business operations. A dedicated Compliance Officer selected from the Key Management Personnel shall carry out the compliance function and report to the Committee periodically.

The BIRMC has the authority to seek external professional advice on matters within its purview.

RISK MANAGEMENT AND INTERNAL CONTROLS

Risk management controls are implemented across the Bank to provide reasonable assurance to the Board and Senior Management that effective mitigation action plans are implemented to address all risk exposures. During the year, BIRMC has reviewed and assessed the effectiveness of the Bank's risk management controls for the financial year ended 31 December 2018. In pursuit of managing its risk profile, the Bank has further strengthened the Risk Management Department (RMD) with the objective of effectively managing the core functions of risk: credit, market, liquidity and operational risks.

COMMITTEE EVALUATION

The Risk Management Department has carried out Risk Control and Self-Assessment (RCSA) in the critical business units for identifying, assessing, mitigating, monitoring and reporting of operational risks. The results of such exercises were also escalated to the relevant management levels and taken up for discussions at BIRMC meetings for creating awareness and appropriate action. It is our aim to continue to strengthen the RCSA process.

The Risk Management Department implemented a Risk Dashboard and is maintaining the dashboard to assess all

risks in the Bank and helps the Management to mitigate potential risk, which is escalated to the Board of Directors.

Impact of complying with Basel III requirements was thoroughly discussed at BIRMC meetings and a presentation was made to the Board. Basel III regulations were applied in the preparation of the ICAAP report for 2018 and the assessment was done based on the capital buffer as required in the said regulations.

Risk Management Department has conducted a Business Continuity Plan (BCP) drill successfully with a negligible number of issues. The BCP/DR (Disaster Recovery) test results were validated by the Internal Audit Department and submitted to the Board Audit Committee. BCP/DR test results were recommended by the BIRMC to be tabled for the approval of the Board of Directors for onward submission to CBSL.

BIRMC has reviewed major policies during the year 2018 and recommended for onward submission to Board of Directors for approval. BIRMC also reviewed the Directions announced by CBSL which required relevant policies to be amended with immediate effect, and forwarded to Board of Directors with its recommendation.

BIRMC evaluated its management committees and ensured that they are functioning adequately and effectively as per their Terms of Reference.

In 2018, the Bank continued its upward momentum in terms of balance sheet growth, in line with its Strategic Plan. The Bank managed the overall risk profile successfully, whilst ensuring that the right balance is maintained between risk and rewards, without hindering business growth. The Board and the BIRMC are satisfied with the effective risk management strategies implemented by the Bank, under its Integrated Risk Management Framework (IRMF).

The Bank shall continue to review, monitor and proactively address potential risks identified in all its operations and implement appropriate mitigation strategies, to remain in a steady growth and expansion phase. The Bank shall also continue to function within its approved risk appetite as well as comply with Basel regulations in line with the CBSL requirements of effective risk management practices.



Rajiv Nandlal Dvivedi

Chairman - Board Integrated Risk Management Committee

14 February 2019
Colombo

BOARD HUMAN RESOURCES AND REMUNERATION COMMITTEE REPORT

The Board Human Resources and Remuneration Committee (BHRRC) comprises the following members:

1. Mr. Tyeab Akbarally - Chairman (Non-Executive, Non-Independent Director)
2. Mr. Mohamed Jazri Magdon Ismail - Member (Non-Executive, Independent Senior Director)
3. Mr. Pradeep Dilshan Rajeeva Hettiaratchi - Member (Non-Executive, Independent Director)
4. Mr. Aaron Russell-Davison - Member (Non-Executive, Independent Director) appointed w.e.f. 17 February 2018
5. Mr. Mohammed Ataur Rahman Chowdhury - Member (Non-Executive, Non-Independent Director) appointed w.e.f. 17 February 2018

All five (5) Directors in the Committee are Non-Executive Directors with three (3) being Independent Directors.

AUTHORITY AND RESPONSIBILITIES

The BHRRC has the explicit authority to decide on and review the Bank's Human Resources and Remuneration Policy and Structure within its Terms of Reference on behalf of the Board of Directors. It may however, refer any matter which in the opinion of BHRRC should be decided by the Board of Directors together with its recommendations.

In discharging its duties and functions the BHRRC has all the resources it needs to do so and full and unrestricted access to information and the right to obtain external professional advice and invite outsiders with relevant experience to attend meetings if necessary.

The Roles and Responsibilities of the Committee include:

- (i) Approving and updating the Human Resource Policies as per recommendation from CEO.
- (ii) Approval of Remuneration.
 - a. Directors' emoluments
 - b. Annual salary and bonus based on performance evaluations
 - c. Incentives, allowances and other perquisites
- (iii) Evaluating the performance of the CEO and Key Management Personnel against the set targets and determine the basis for revising remuneration, benefits and other payments of performance-based incentives.
- (iv) Approving periodic Human Resource Policy and Procedure revisions.

MEETINGS

Meetings are held as and when necessary after providing sufficient notice to all members. The Committee held two meetings during the year under review.

Name	Eligible to Attend/Attended
Mr. Tyeab Akbarally	2/2
Mr. Mohamed Jazri Magdon Ismail	2/2
Mr. Pradeep Dilshan Rajeeva Hettiaratchi	2/2
Mr. Aaron Russell-Davison	1/1
Mr. Mohammed Ataur Rahman Chowdhury	1/1



Tyeab Akbarally

Chairman - Board Human Resources and Remuneration Committee

14 February 2019
Colombo

BOARD NOMINATION COMMITTEE REPORT

COMPOSITION OF THE COMMITTEE

Amāna Bank's Board Nomination Committee (BNC) constitutes of (5) Non-Executive Directors, majority of whom are Independent Directors as named below:

- ★ Mr. Pradeep Dilshan Rajeeva Hettiaratchi - Chairman (Non-Executive, Independent Director) appointed as Chairman w.e.f. 17 February 2018
- ★ Mr. Mohamed Jazri Magdon Ismail - Member (Non-Executive, Independent Senior Director)
- ★ Mr. Tyeab Akbarally - Member (Non-Executive, Non-Independent Director)
- ★ Mr. Rajiv Nandlal Dvivedi - Member (Non-Executive, Independent Director)
- ★ Mr. Adeeb Ahmad - Member (Non-Executive, Non-Independent Director) appointed w.e.f. 17 February 2018

Brief profiles of the Members of the Committee are given on pages 22 to 24 in the Annual Report. The Company Secretary functions as the Secretary of the Committee.

RESPONSIBILITIES OF THE BOARD NOMINATION COMMITTEE

According to the Terms of Reference (TOR) given by the Board to the BNC, the following are its key responsibilities:

- (i) Establishing a procedure to select/appoint new Directors, Chief Executive Officer (CEO) and Key Management Personnel (KMP).
- (ii) Considering and recommending (or not recommending) the re-election of current Directors, taking into account the performance and contribution made by the Director concerned towards the overall discharge of the Board's responsibilities.

- (iii) Setting the criteria such as qualifications, experience and key attributes required for eligibility to be considered for appointment or promotion to the post of CEO and the key management positions.
- (iv) Ensuring that the Directors, CEO and KMP are fit and proper persons to hold office as specified and set out in the Banking Act and other relevant Statutes and in terms of the Directions issued by the Central Bank of Sri Lanka (CBSL) from time to time.
- (v) Considering and recommending from time to time, the requirements of additional/new expertise and the succession arrangements for retiring Directors and KMP.

The Quorum necessary for transaction of business is three Members.

FREQUENCY OF MEETINGS

The Committee is required to meet as and when necessary and at least twice during a financial year.

REGULAR ATTENDEES BY INVITATION

Mr. Mohamed Azmeer (Chief Executive Officer) attends BNC Meetings regularly by invitation.

MEETINGS

Name	Eligible to Attend/Attended
Mr. Pradeep Dilshan Rajeeva Hettiaratchi	3/3
Mr. Mohamed Jazri Magdon Ismail	3/3
Mr. Tyeab Akbarally	3/2
Mr. Rajiv Nandlal Dvivedi	3/2
Mr. Adeeb Ahmad	3/3
Mr. Mohamed Azmeer (By Invitation)	3/3

AUTHORITY

The Board Nomination Committee has the authority to discuss issues under its purview and report back to the Board with recommendations, enabling the Board to take a final decision on the matter.

The Members of the Committee have the authority to express their independent views when making decisions.

If the need arises, professionals from outside may be invited for advice on specific issues.

BNC is authorised to seek any information that it requires from any officer or employee of the Bank.

Board Nomination Committee Report

PERFORMANCE DURING THE YEAR

During the year 2018, the BNC held 4 Meetings.

As mandated under the Corporate Governance Direction issued by the Central Bank of Sri Lanka, the Committee also considered the re-appointment of Directors who retire by rotation in terms of Article 29(6) of the Articles of Association of the Bank and also Fitness and Propriety of the continuing Directors.

BNC is actively involved in the selection and appointments of Directors and KMP to ensure that they are fit and proper persons to hold their offices.



Pradeep Dilshan Rajeeva Hettiaratchi

Chairman - Board Nomination Committee

14 February 2019

Colombo

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

COMPOSITION OF THE RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

The Board Related Party Transaction Review Committee (BRPTRC) was formed as a Board Sub-Committee with effect from 28 March 2016 in terms of the Code of Best Practice on Related Party Transactions issued by the Securities & Exchange Commission of Sri Lanka (the "Code") and Section 9 of the Listing Rules of the Colombo Stock Exchange (the "Rules").

The Committee comprises of the following four Independent, Non-Executive Directors.

- ★ Mr. Mohamed Jazri Magdon Ismail - Chairman (Non-Executive, Independent Senior Director)
- ★ Mr. Rajiv Nandlal Dvivedi - Member (Non-Executive, Independent Director)
- ★ Mr. Pradeep Dilshan Rajeeva Hettiaratchi - Member (Non-Executive, Independent Director)
- ★ Mr. Aaron Russell-Davison - Member (Non-Executive, Independent Director) appointed w.e.f. 15 September 2018

REGULAR ATTENDEES BY INVITATION

Mr. Mohamed Azmeer (Chief Executive Officer) attends BRPTRC Meetings regularly by invitation.

The Committee is assisted by the following staff members:

- ★ Mr. M. Ali Wahid (Chief Financial Officer)
- ★ Mr. Irshad Iqbal (Chief Compliance Officer)
- ★ Mr. Ajmal Naleer (Chief Risk Officer)
- ★ Mr. M. M. S. Quvylidh (Senior VP Corporate and SME Banking)
- ★ Mr. Numair Cassim (Chief Internal Auditor)
- ★ Mr. Fazly Marikar (VP Strategic Management & Product Innovation)

In addition, the Committee summons other Management officials to participate in proceedings on a need basis.

MEETINGS

The committee meets quarterly as stipulated by the regulations. During 2018 the Committee held four meetings.

Name	Eligible to attend/Attended
Mr. Mr. Mohamed Jazri Magdon Ismail	4/4
Mr. Rajiv Nandlal Dvivedi	4/3
Mr. Pradeep Dilshan Rajeeva Hettiaratchi	4/4
Mr. Aaron Russell-Davison	1/1
Mr. Mohamed Azmeer (By Invitation)	4/4

The Company Secretary functions as the Secretary to the Committee.

TERMS OF REFERENCE AND SCOPE OF OPERATIONS

The Committee operates in accordance with the Terms of Reference on monitoring Related Party Transactions as regulated by the "Code" and the "Rules" with a view to determining that they have not received any favourable nor preferential - considerations vis a vis - the other shareholders and customers of the Bank as well as to ascertain that their transactions and dealings are in strict conformity with Statutory and Regulatory requirements, which the Bank is obliged to adhere to.

The Committee relies on the integrity of periodically reportable related party transactions of Board Members, Key Management Personnel and other relevant individuals and entities which are identified by an automated data capturing process.

Wherever necessary the Committee escalates the related party transaction for approval of the Board.

REPORTING TO THE BOARD

The Minutes of the Committee Meetings are tabled at the immediately following Board Meeting enabling all Board Members to have access to same.



Mohamed Jazri Magdon Ismail

Chairman - Related Party Transactions Review Committee

14 February 2019
Colombo

STATEMENT OF DIRECTORS' RESPONSIBILITY

The responsibility of the Directors, in relation to the Financial Statements of Amāna Bank PLC (Bank) is set out in this Statement. The responsibilities of the External Auditors in relation to the Financial Statements are set out in the Auditors' Report given on page 144.

In terms of Sections 150, 151 and 153 of the Companies Act No. 07 of 2007, the Directors of the Bank are responsible for ensuring that the Bank keeps proper books of account of all the transactions and prepare Financial Statements that give a true and fair view of the financial position of the Bank as at end of each financial year and of the financial performance of the Bank for each year and place them before a general meeting. The Financial Statements comprise of the Statement of Financial Position as at 31 December 2018, Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows for the year then ended and Notes thereto.

Accordingly, the Directors confirm that the Financial Statements of the Bank give a true and fair view of:

- (a) the financial position of the Bank as at reporting date; and
- (b) the financial performance of the Bank for the financial year ended on the reporting date.

The Financial Statements of the Bank have been certified by the Bank's Chief Financial Officer, the officer responsible for their preparation, as required by the Sections 150 and 152 of the Companies Act. In addition, the Financial Statements of the Bank have been signed by three Directors and the Company Secretary of the Bank on 14 February 2019 as required by the Sections 150 and 152 of the Companies Act and other regulatory requirements. Under the Section 148 of the Companies Act, the Directors are also responsible for ensuring

that proper accounting records which correctly record and explain the Bank's transactions are maintained and that the Bank's financial position, with reasonable accuracy, at any point of time is determined by the Bank, enabling preparation of the Financial Statements, in accordance with the Act to facilitate proper audit of the Financial Statements.

The Financial Statements for the year 2018, prepared and presented in this Annual Report have been prepared based on new Sri Lanka Accounting Standards which came to effect from 1 January 2012 and are in agreement with the underlying books of accounts conforming with the requirements of the Sri Lanka Accounting Standards, Companies Act No. 07 of 2007, Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995, Banking Act No. 30 of 1988 and amendments thereto and the Directions on Corporate Governance No. 11 of 2007 issued by the Central Bank of Sri Lanka.

In addition, these financial statements comply with the prescribed format issued by the Central Bank of Sri Lanka for the preparation of Annual Financial Statements of licensed commercial banks.

The Directors have taken appropriate steps to ensure that the Bank maintains proper books of accounts and review the financial reporting system directly by them at their regular meetings and also through the Board Audit Committee. The Report of the said Committee is given on pages 124 to 125.

The Board of Directors accepts responsibility for the integrity and objectivity of the Financial Statements presented in this Annual Report. The Directors confirm that in preparing the Financial Statements exhibited on pages 148 to 214 including appropriate Accounting Policies based on the new financial reporting framework, had been selected and applied in a consistent

manner, while reasonable and prudent judgments have been made so that the form and substance of the transactions are properly reflected.

The Directors also have taken reasonable measures to safeguard the assets of the Bank and to prevent and detect frauds and other irregularities. In this regard, the Directors have instituted an effective and comprehensive system of internal controls comprising of internal checks, internal audit and financial and other controls required to carry on the business of banking in an orderly manner and safeguard its assets and secure as far as practicable, the accuracy and reliability of the records. The Directors' Statement on Internal Control over Financial Reporting is given on pages 114 and 115 of this Annual Report.

The Board of Directors also wishes to confirm that, as required by the Sections 166 (1) and 167 (1) of the Companies Act, they have prepared this Annual Report in time and ensured that a copy thereof is sent to every shareholder of the Bank, who have expressed desire to receive a hard copy or to other shareholders a soft copy each in a CD containing the Annual Report within the stipulated period of time. The Directors also wish to confirm that all shareholders have been treated equally in accordance with the original terms of issue.

The Bank's External Auditors, Messrs Ernst & Young who were appointed in terms of the Section 158 of the Companies Act and in accordance with a resolution passed at the last Annual General Meeting, were provided with every opportunity to undertake the inspections they considered appropriate. They carried out reviews and sample checks on the system of internal controls as they considered appropriate and necessary for expressing their opinion on the Financial Statements and maintaining accounting records. They have examined the Financial Statements made available to them by the

Board of Directors of the Bank together with all the financial records, related data and minutes of shareholders' and Directors' meetings and expressed their opinion which appears as reported by them on pages 144 to 147.

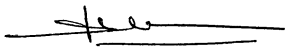
COMPLIANCE REPORT

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Bank, all contribution, levies and taxes payable on behalf of and in respect of the employees of the Bank, and all other known statutory dues as were due and payable by the Bank as at the reporting date have been paid or, where relevant, provided for. The Directors further confirm that after considering the financial position, operating conditions, regulatory and other factors and relevant matters the Directors have a reasonable expectation that the Bank possesses adequate resources to continue in operation for the foreseeable future.

For this reason, the Directors continue to adopt the Going Concern basis in preparing the Financial Statements.

The Directors are of the view that they have discharged their responsibilities as set out in this Statement.

By Order of the Board,



Mrs. Samitha Dayani de Silva

Company Secretary

16 February 2019
Colombo

INDEPENDENT SHARIA SUPERVISORY COUNCIL REPORT

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

TO THE SHAREHOLDERS OF AMĀNA BANK PLC

In carrying out the roles and the responsibilities of the Sharia Supervisory Council, we hereby submit our report for the financial year ended 31 December 2018.

The Management is responsible for ensuring that the Bank conducts its business in accordance with the rules and principles of Sharia and it is our responsibility to form an independent opinion, based on our review of the operations of the Bank and to produce this report.

We had three (3) meetings during the financial year in which we reviewed inter alia the contracts relating to the transactions and applications introduced by the Bank.

We have also conducted our review to form an opinion as to whether the Bank has complied with the rules and principles of Sharia and also with the specific rulings and guidelines issued by us. We conducted our review which included examining on a test basis each type of transaction, the relevant documentation and procedures adopted by the Bank. We planned and performed our review so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the Bank has not violated the rules and principles of Sharia.

Based on the above, in our opinion:

1. The contracts, transactions and deals entered into by the Bank during the financial year ended 31 December 2018, that we have reviewed are in compliance with the rules and principles of Sharia.
2. The allocation of profit and charging of losses relating to Investment Accounts conform to the basis that had been approved by us in accordance with the rules and principles of Sharia.
3. All earnings that have been realised from sources or by means prohibited by the Sharia were disposed to charitable causes upon our approval.

وعليكم السلام ورحمة الله وبركاته

Allah Knows Best.



Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani

Chairman



Ash-Sheikh Mohd. Nazri Bin Chik

Vice-Chairman



Ash-Sheikh M. M. A. Mubarak

Member



Ash-Sheikh Mufti M.I.M. Rizwe

Member



Ash-Sheikh Mufti Muhammad Hassan Kaleem

Member

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بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

අමාත්‍ය බැංකුවෙහි කොටස්ගිණියන් වෙතයි

ශරියා අධීක්ෂණ සභාවේ කාර්යභාරයන් සහ වගකීම් ඉටුකරමින්, 2018 දෙසැම්බර් 31 දිනෙන් අවසන් මූල්‍ය වර්ෂය සඳහා වන අපගේ වාර්තාව මෙමගින් ඉදිරිපත් කරමු.

ශරියා නීතිරීති සහ මූලධර්ම අනුව බැංකුව විසින් එහි ව්‍යාපාර කටයුතු මෙහෙයවනු ලබන බව සහතික කිරීමේ වගකීම කළමනාකාරිත්වය සතු වන අතර, බැංකුවේ මෙහෙයුම් කටයුතු සම්බන්ධයෙන් අපගේ සමාලෝචනය මත පදනම්ව ස්වාධීන මතයක් ගොඩනැගීම සහ මෙම වාර්තාව ඉදිරිපත් කිරීම අපගේ වගකීම වේ.

මූල්‍ය වර්ෂය ඇතුළත අප විසින් රැස්වීම් තුනක් (03)ක් පවත්වන ලද අතර, එහිදී අනෙකුත් දෑ අතර, ගනුදෙනු ආශ්‍රිත ගිවිසුම් සහ බැංකුව විසින් හඳුන්වා දෙන ලද යෙදුම් ද අප විසින් සමාලෝචනය කරන ලදී.

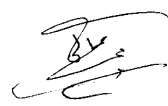
ශරියා නීතිරීති සහ මූලධර්ම වලට සහ අප විසින් නිකුත් කරන ලද විශේෂිත නියමයන් සහ මගපෙන්වුම් වලට අනුකූලව බැංකුව කටයුතු කර තිබේදැයි යන්න පිළිබඳව අපගේ මතය ගොඩනැගීම සඳහා ද අපගේ සමාලෝචනය අප විසින් සිදුකරන ලදී. බැංකුව විසින් යොදා ගන්නා ලද එක හා සමාන වර්ගයේ ගනුදෙනු කාණ්ඩ, අදාළ ලේඛන සහ ක්‍රියාපටිපාටි පරීක්ෂණ පදනමක් මත විභාගකිරීමක්ද ද සමාලෝචනයේ දී අප විසින් සිදුකරන ලදී. ශරියා නීතිරීති සහ ප්‍රතිපත්ති බැංකුව විසින් උල්ලංඝනය කර නොමැති බවට සාධාරණ සහතිකයක් ලබාදීම පිණිස ප්‍රමාණවත් සාක්ෂි අප වෙත රැස්කරගැනීම උදෙසා අපට අවශ්‍ය යැයි අප විසින් සලකන ලද සියලු තොරතුරු සහ විස්තර කිරීම් ලබාගැනීමට හැකිවන ආකාරයෙන් අප විසින් අපගේ සමාලෝචනය සැලසුම් කර, ක්‍රියාවට නංවන ලදී.

ඉහත කරුණු මත පදනම් වූ අපගේ මතය වන්නේ:

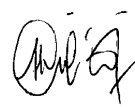
1. අප විසින් සමාලෝචනය කරන ලද, 2018 දෙසැම්බර් 31 දිනෙන් අවසන් වූ මූල්‍ය වර්ෂය තුළ බැංකුව විසින් ඇතිකරගත් ගිවිසුම්, ගනුදෙනු සහ ව්‍යාපාර කටයුතු, ශරියා නීතිරීති සහ ප්‍රතිපත්ති වලට අනුකූලව සිදුකර ඇත.
2. ආයෝජන ගිණුම් ආශ්‍රිත ලාභාංශ වෙන්කිරීම් සහ අලාභ සඳහා අයකිරීම්, ශරියා නීතිරීති සහ මූලධර්ම වලට අනුව අප විසින් අනුමත කරන ලද පදනමට අනුකූල වේ.
3. ශරියා නීතිය මගින් තහනම් කර ඇති ප්‍රභවයන් සහ මාර්ග වෙතින් උපලබ්ධි වූ සියලු උපයාගැනීම් අපගේ අනුමැතිය මත, පුණ්‍යාධාර කටයුතු වෙත බෙදාහරින ලදී.

و عليكم السلام ورحمة الله وبركاته

අල්ලාහ් දෙවියන් සියල්ල දන්නේ ය.



අඡ්-ෂෙයික් ආචාර්ය මුර්ති මුහම්මද් ඉම්රාන් අඡ්රෆ් උස්මානි
සභාපති



අඡ්-ෂෙයික් මොහමඩ් නස්(Z)ර් බින් වික්
උප-සභාපති



අඡ්-ෂෙයික් එම්.එම්.ඒ මුබාරක්
සාමාජික



අඡ්-ෂෙයික් මුර්ති එම්.අයි.එම්. රිස්(Z)වි
සාමාජික



අඡ්-ෂෙයික් මුර්ති මුහම්මද් හස්සාන් කලීම්
සාමාජික

சுயாதீன ஷரிஆ மேற்பார்வைச் சபையின் அறிக்கை

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

அமானா வங்கி பி.எல்.சி.யின் பங்குதாரர்களுக்கு,

ஷரிஆ மேற்பார்வைச் சபையின் பொறுப்புக்கள் மற்றும் பணிகளை நிறைவேற்றும் நாம், 2018 டிசம்பர் 31இல் முடிவடைந்த நிதியாண்டிற்கான எமது அறிக்கையை இத்தால் சமர்ப்பிக்கின்றோம்.

வங்கியின் வியாபார நடவடிக்கைகள் அனைத்தும் ஷரிஆ விதிகள் மற்றும் கோட்பாடுகளுக்கு அமைவாக மேற்கொள்ளப்படுவதை உறுதிப்படுத்துவது வங்கி முகாமைத்துவத்தின் பொறுப்பாகும். வங்கியின் செயற்பாடுகளை மீளாய்வு செய்து அதன் அடிப்படையில் ஒரு சுயாதீன அபிப்பிராயத்தை உருவாக்கி இந்த அறிக்கையை வெளியிடுவது எமது பொறுப்பாகும்.

நிதியாண்டில் நாம் மூன்று (3) கூட்டங்களை நடத்தினோம். வங்கியினால் மேற்கொள்ளப்பட்ட கொடுக்கல் வாங்கல்கள் மற்றும் அறிகுறிகளால் கட்டப்பட்ட செலவுகளைத் தொடர்பான ஒப்பந்தங்கள் இக் கூட்டங்களில் எம்மால் மீளாய்வு செய்யப்பட்டன.

வங்கியானது ஷரிஆ விதிகள் மற்றும் கோட்பாடுகள் மேலும் எம்மால் வழங்கப்பட்ட தீர்ப்புக்கள் மற்றும் வழிகாட்டுதல்களுக்கும் அமைவாகச் செயற்பட்டதா என்பதைக் குறித்து எமது சுயாதீன அபிப்பிராயத்தை உருவாக்குவதற்காகவும் நாம் மீளாய்வை மேற்கொண்டோம். வங்கியினால் மேற்கொள்ளப்பட்ட ஒவ்வொரு வகையான கொடுக்கல் வாங்கல்கள் தொடர்பாகவும் ஏற்புடைய ஆவணப்படுத்தல்கள் மற்றும் நடைமுறைகள் தொடர்பாகவும் பரீட்சை அடிப்படையிலான பரிசீலனையும் எமது மீளாய்வில் உள்ளடங்கியிருந்தது. வங்கியானது ஷரிஆ விதிகளையும் கோட்பாடுகளையும் மீறவில்லை என்று நியாயமான உத்தரவாதத்தை வழங்குவதற்குப் போதுமான சான்றுகள் எமக்குக் கிடைக்க வேண்டும் என்பதற்காக, நாம் அவசியமெனக் கருதிய சகல தகவல்களையும்

விளக்கவுரைகளையும் பெற்றுக்கொள்ளும் முறையில் நாம் எமது மீளாய்வைத் திட்டமிட்டு மேற்கொண்டோம்.

மேற்குறிப்பிட்ட மீளாய்வின் அடிப்படையில் எமது அபிப்பிராயம் பின்வருமாறு:

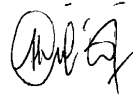
1. 2018 டிசம்பர் 31இல் முடிவடைந்த நிதியாண்டில் வங்கியினால் செய்துகொள்ளப்பட்டு எம்மால் மீளாய்வு செய்யப்பட்ட ஒப்பந்தங்கள், கொடுக்கல் வாங்கல்கள் மற்றும் வியாபாரச் செயற்பாடுகள் யாவும் ஷரிஆ விதிகள் மற்றும் கோட்பாடுகளுக்கு அமைவாகவே இருந்தன.
2. முதலீட்டுக் கணக்குகள் தொடர்பான இலாப ஒதுக்கீடும் மற்றும் இழப்புக்களின் அறவீடும், ஷரிஆ விதிகள் மற்றும் கோட்பாடுகளுக்கு அமைவாக எம்மால் அங்கீகரிக்கப்பட்ட அடிப்படையிலேயே அமைந்திருந்தன.
3. ஷரிஆவினால் தடை செய்யப்பட்ட மூலங்கள் அல்லது வழிகளில் இருந்து பெறப்பட்ட வருவாய்கள் அனைத்தும் எமது அனுமதியின்பேரில் தரும காரியங்களுக்கு வழங்கப்பட்டன.

و عليكم السلام ورحمة الله وبركاته

அல்லாஹ் அனைத்தையும் நன்கறிவான்.



அஷ்-ஷெய்க் கலாநிதி முப்தி முஹம்மத் இம்ரான் அஷ்ரப் உஸ்மான்
தலைவர்



அஷ்-ஷெய்க் மொஹமட் நஸ்ரி பின் சிக்
உப தலைவர்



அஷ்-ஷெய்க் எம்.எம்.ஏ. முபாரக்
அங்கத்தவர்



அஷ்-ஷெய்க் முப்தி எம்.ஐ.எம். ரிஸ்வி
அங்கத்தவர்



அஷ்-ஷெய்க் முப்தி முஹம்மத் ஹஸ்ஸான் கலீம்
அங்கத்தவர்

SHARIA GOVERNANCE

The cornerstone of the unique business model of Amāna Bank rests on the rules and principles of Sharia which is the foundation for the practice of Islamic Banking. Therefore, the Bank has placed great importance in ensuring that the overall operations are in accordance with the rules and principles of Sharia.

In this regard, the Bank has established a Sharia Governance Framework with the Sharia Supervisory Council (SSC) as the apex body. The standards issued by the Islamic Financial Services Board (IFSB), namely IFSB-10 (2009) Guiding Principles on Sharia Governance Systems for Institutions offering Islamic Financial Services (IIFS) are taken into consideration in developing the Sharia Governance Framework. A detailed

report on the compliance status of Sharia Governance of the Bank to IFSB-10 is depicted at the end of this report.

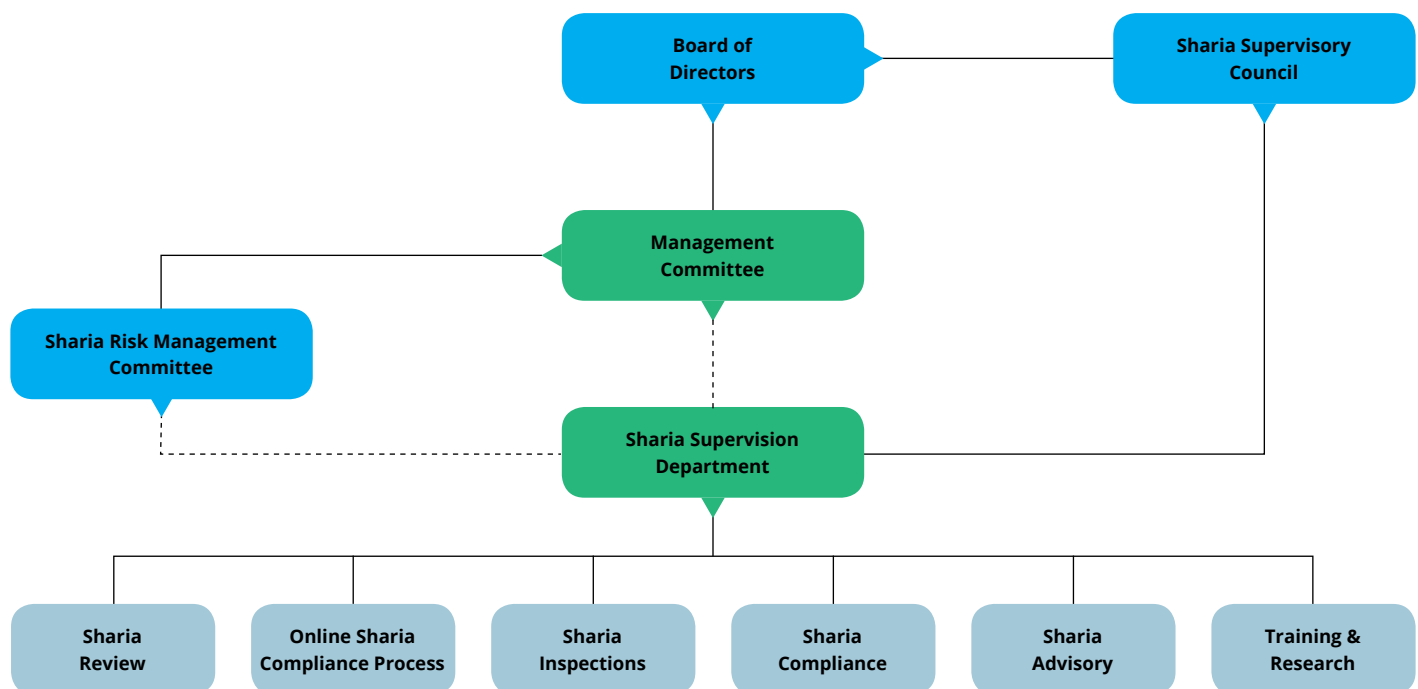
SHARIA SUPERVISORY COUNCIL (SSC)

The Council functionally reports to the Board of Directors (BOD). The roles and responsibilities of the SSC are spelt out in the Terms of Reference (TOR) of the SSC.

The SSC is assisted by the Sharia Supervision Department that performs six (6) compliance functions namely Sharia Review, Online Sharia Compliance Process, Sharia Inspection, Sharia Compliance, Sharia Advisory and Training & Research. At the management level, the Bank has established the Sharia Risk Management Committee (SRMC) which is a Sub-Committee of the

Management Committee to discharge the responsibilities of management on Sharia Compliance. The SRMC is chaired by the In-House Sharia Advisor and its membership comprises of several management members. The SRMC met two times during the year in order to deliberate issues relating to Sharia Review, Compliance and Risk.

The diagram below describes the framework:



—— Functional Reporting Line
 - - - - Administrative Reporting Line

Sharia Governance

COMPOSITION OF THE SSC

The composition of the SSC would be a minimum of three (3) members. As at 31 December 2018, the SSC has five (5) members comprising of two (2) local scholars and three (3) foreign scholars.

Coming from diverse backgrounds with wide experience and knowledge, each SSC member is an expert in their specialised field such as Islamic law, Islamic Banking, Capital Market, Takaful, Waqf, Zakat, Halal industry, etc. Additionally, their qualification in Islamic jurisprudence (usul al-fiqh) and Islamic commercial laws (fiqh al-mu'amalat), expertise and vast experiences in the academia as well as in the industry, definitely support the depth and breadth of the Sharia deliberations.

RESPONSIBILITIES OF THE BANK TOWARDS SSC AND SHARIA COMPLIANCE

While the SSC is responsible for forming and expressing decisions on the Bank's compliance with the rules and principles of Sharia, the responsibility for compliance therewith rests with the management of the Bank.

Therefore, it is crucial that the Management works hand-in-hand with the SSC to ensure that all business activities, products, services and operations are in compliance with Sharia. Therefore, it is the responsibility of the Management to perform the following:

- (i) to refer all Sharia issues in its business operations to the SSC for decision;
- (ii) to adopt and take necessary measures for implementation of the SSC's decisions;
- (iii) to provide sufficient resources to the SSC including budget allocation, independent expert consultation, reference materials and training;
- (iv) to ensure that the SSC is familiar with the operations and the business of the Bank;

- (v) to provide the SSC with access to all relevant records, transactions, manuals and information, as required by its members in performing their duties; and
- (vi) to recommend the appropriate remuneration to the SSC members which commensurate with and reflect the duties and responsibilities of the SSC.

It is the Bank's responsibility to perform the following with regard to Sharia Compliance:

- (i) to comply with SSC decisions and established Sharia requirements in all its products, services, legal documentations and activities;
- (ii) the Bank shall not act in contravention to the SSC decisions to suit its convenience.

AUTHORITY OF THE SSC

The SSC assumes the following authority based on its TOR:

- (i) the decision of the SSC is binding on the Bank, whilst its recommendation is not binding on it.
- (ii) the SSC has the right to check the Assets and Liabilities of the Bank.
- (iii) the SSC has the right to review the Bank's books, registers and documents at any time and it shall have the right to request to check any data it deems necessary.
- (iv) in the event the Bank is unable to provide information requested, which results in the SSC's inability to carry on its role and responsibilities, SSC will submit a written report to the Board of Directors and may demand that a meeting of the Shareholders be convened.
- (v) the SSC has the right to accept or reject any activity carried out by the Bank based on the rules and principles of Sharia.

SSC MEETINGS

SSC meetings are scheduled to be held at least three (3) times annually with additional meetings convened as and when warranted, to facilitate important decisions that are required between the scheduled meetings.

Three (3) SSC meetings were held during the financial year ended 31 December 2018, as follows:

Date of Meeting	Percentage of Members Attendance (%)
25 April 2018	100
9 August 2018	100
7 December 2018	100

In between the meetings, the Bank refers its Sharia issues in its daily operations to the Executive Committee of the SSC that is comprised of two (2) appointed members for guidance and the decision. The decisions taken by the Executive Committee are tabled in the SSC meeting for concurrence.

APPOINTMENT AND RE-APPOINTMENT OF SSC MEMBERS

- (i) The shareholders of the Bank shall appoint the member of the SSC based on the recommendation made by the Board of Directors.
- (ii) Each member of the SSC shall have a term of office of one (1) year as appointed by the shareholders. Upon expiry of such term, the members may be reappointed at the approval of the shareholders in conformity with the governance standards defined by the Accounting and Auditing Organisation for Islamic Financial Institution (AAOIFI).
- (iii) Notwithstanding the above, the Board of Directors may appoint new members to the posts which become vacant in the SSC during the year, subject to the approval of the shareholders at the subsequent Annual General Meeting.

IFSB - 10 (2009), GUIDING PRINCIPLES ON SHARIA GOVERNANCE SYSTEMS FOR IIFS

The IFSB-10 defined “Sharia Governance System” as a set of institutional and organisational arrangements through which an IIFS ensures that there is effective independent oversight of Sharia compliance over each of the following structures and processes:

- a) issuance of relevant Sharia pronouncements/resolutions;
- b) dissemination of information on such Sharia pronouncements/resolutions to the operative personnel of the IIFS who monitor the day-to-day compliance with the Sharia pronouncements/resolutions vis-à-vis every level of operations and each transaction;
- c) an internal Sharia compliance review/audit for verifying that Sharia compliance has been satisfied, during which any incident of non-compliance will be recorded and reported, and as far as possible, addressed and rectified;
- d) an annual Sharia compliance review/audit for verifying that the internal Sharia compliance review/audit has been appropriately carried out and its findings have been duly noted by the Sharia board;

The status of Amāna Bank’s Sharia Governance to IFSB -10 is summarised as follows:

Guiding Principle		Status
Part I:	General Approach to the Sharia Governance System	
Principle 1.1:	The Sharia governance structure adopted by the IIFS should be commensurate and proportionate with the size, complexity and nature of its business.	(a) A detailed Sharia Governance Framework is adopted by the Bank, which sets the Sharia Supervisory Council (SSC) as the apex body with regard to Sharia. (b) The SSC has wide ranging rights of access to every activity of the Bank. (c) The SSC has also appointed an Executive Committee comprising of two (2) members of the SSC, ensuring timely adequate access to the Bank.
Principle 1.2:	Each IIFS must ensure that the Sharia board has: ★ clear terms of reference regarding its mandate and responsibility; ★ well-defined operating procedures and lines of reporting; and ★ good understanding of, and familiarity with, professional ethics and conduct.	(a) A detailed Terms of Reference (TOR) spells out the roles and responsibilities of the SSC. (b) The TOR outlines operating procedures and lines of reporting that includes having an internal Sharia Supervision Department (SSD) comprising of officers with appropriate qualifications and experience. The SSD is; ★ the secretariat to the SSC and serves as the first point of reference for Sharia compliance issues, with an advisory/consultancy role delegated by the SSC; ★ handle the processing and secretarial matters relating to issues to be raised to the SSC; and ★ provide input for executive decisions to be made by the senior management. (c) The SSC comprises of respected and accepted scholars with high standard of professional ethics and conduct.

Sharia Governance

Guiding Principle		Status
Part II:	Competence	
Principle 2.1:	The IIFS shall ensure that any person mandated with overseeing the Sharia Governance System fulfils acceptable fit and proper criteria.	The members of the SSC and officers of the SSD have met the “Fit and Proper” criteria which covers; ★ good character - that is, honesty, integrity, fairness and reputation; and ★ competence, diligence, capability and soundness of judgment.
Principle 2.2:	The IIFS shall facilitate continuous professional development of persons serving on its Sharia board, as well as its ISCU and ISRU, if any.	Though the Bank does not invest in training for members of the SSC, the Bank invests on continuous professional development of the staff at SSD.
Principle 2.3:	There should be a formal assessment of the effectiveness of the Sharia board as a whole and of the contribution by each member to the effectiveness of the Sharia board.	A formal assessment is not carried out of the SSC.
Part III:	Independence	
Principle 3.1:	The Sharia board should play a strong and independent oversight role, with adequate capability to exercise objective judgment on Sharia-related matters. No individual or group of individuals shall be allowed to dominate the Sharia board’s decision-making.	(a) The independence of the SSC is clearly spelt out in the TOR of the SSC and continued to be respected by the Board of Directors and the Management of the Bank. (b) None of the members of the SSC have blood or intimate relationship with the Bank, its related companies or its officers. (c) None of the members of the SSC are under full-time employment of the Bank or its related companies except for; Ash Sheikh Mohd. Nazri Chik (Vice Chairman - SSC), who is the Chief Sharia Officer of Bank Islam Malaysia who has a shareholding of 7.22% in the Bank. It is worth noting that he was independent of Bank Islam during his initial appointment to the SSC in 2010 and later he re-joined Bank Islam as its Head of Sharia in 2011. (d) None of the members of the SSC, or his or her immediate family member, is accepting any compensation or financing from the Bank or any of its subsidiaries other than compensation for service on the SSC. (e) None of the members of the, or his or her immediate family member, is a substantial shareholder of or a partner in (with a stake of 5% or more), or an executive officer of, or a Director of any for-profit business organisation to which the Bank or any of its subsidiaries made, or from which the Bank or any of its subsidiaries received, significant payments in the current or immediate past financial year.

Guiding Principle		Status
Principle 3.2:	In order to fulfil their responsibilities, the Sharia board should be provided with complete, adequate and timely information prior to all meetings and as an on-going basis.	(a) The SSD which has a direct reporting line to the SSC is entrusted with providing timely and accurate information. (b) Being a direct report, the SSC has direct access to the SSD to check whether internal control and compliance procedures have been appropriately followed and that applicable rules and regulations to which the Bank is subject to have been complied with. (c) Such controls were reviewed through the Risk Control and Self-Assessment (RCSA) exercise. (d) According to the TOR of the SSC, in the event the Bank is unable to provide information requested, which results in the SSC's inability to carry on its role and responsibilities, the SSC will submit a written report to the Board of Directors and may demand that a meeting of the Shareholders be convened.
Part IV:	Confidentiality	
Principle 4.1:	Sharia board members should ensure that internal information obtained in the course of their duties is kept confidential.	A confidentiality clause is incorporated in the TOR of the SSC.
Part V:	Consistency	
Principle 5.1:	The IIFS should fully understand the legal and regulatory framework for issuance of Sharia pronouncements/resolutions in the jurisdiction where it operates. It should ensure that its Sharia board strictly observes the said framework and, wherever possible, promotes convergence of the Sharia governance standards.	All decisions, pronouncements and resolutions of the SSC have been arrived at on consensus of the members. The SSC takes due care in the dissemination of Sharia pronouncements/resolutions, ensuring that the business intelligence and internal information of the Bank would not be exploited by inappropriate parties.



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**OPTIMIZING OUR
DIGITAL OUTLOOK**

FINANCIAL INFORMATION

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- 151** Statement of Changes in Equity
- 152** Statement of Cash Flows
- 153** Notes to the Financial Statements

INDEPENDENT AUDITORS' REPORT



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APAG/UM/DM

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF AMĀNA BANK PLC

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

We have audited the financial statements of Amāna Bank PLC ("The Bank"), which comprise the statement of financial position as at 31 December 2018, and the statement of profit or loss and statement of comprehensive income, statement of changes in equity and, cash flow statement for the year then ended, and a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying financial statements of the Bank give a true and fair view of the financial position of the Bank as at 31 December 2018, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial

statements section of our report. We are independent of the Bank in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation

to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: W R H Fernando FCA FCMA M P D Cooray FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W K B S P Fernando FCA FCMA
Ms. K R M Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G S G Manatunga FCA Ms. P V K N Sajeewani FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA
Principal T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

Key Audit Matters Specific to the Bank

Key Audit Matter	How our Audit Addressed the Key Audit Matter
Impairment allowances for Financing and Receivables to Other Customers and Bank's transition to SLFRS 9: We considered the Impairment allowance for loans and receivables to other customers as a key audit matter due to the materiality of the balances, higher estimation uncertainty involved. In addition, given the significant changes SLFRS 9 required for the basis of estimating the impairment allowance for Financing and Receivables to Other Customers from the date of transition, we also selected the disclosure of impact of the transition to the SLFRS 9. As at 31 December 2018, Financing and Receivables, net of impairment amounted to LKR. 52.9billion representing 68% of the Bank's total assets. Significant estimates, judgments and assumptions are used by the management to determine the impairment allowance for Financing and Receivables to other Customers that involves complex manual calculations. The Note 23 to the Financial Statements describes basis of impairment allowance for Financing and Receivables to Other Customers. On 1 January 2018, as described in Note 37, the Bank transitioned to the new Sri Lanka Financial Reporting Standard 9: Financial Instruments, (SLFRS 9).	To assess the reasonableness of the Impairment allowance for Financing and Receivables to Other Customers, our audit procedures (among others) were designed to obtain sufficient and appropriate audit evidences, including the following: ★ Focusing on the oversight, review and approval of impairment policies by the board audit committee and management, we evaluated the design, implementation of controls over measurement of loans and advances, in the light of the requirements in SLFRS 9. ★ We tested the underlying calculations and data used in such calculations of impairment allowances; ★ The following key focused procedures were also performed: For a sample of Financing and Receivables to Other Customers individually assessed for impairment: ★ where impairment indicators existed, we evaluated the reasonableness of management's estimated future recoveries including the expected future cash flows, discount rates and the valuation of collateral held. We also compared the actual recoveries against previously estimated amounts of future recoveries; ★ where Financing and Receivables granted to customers in industries with elevated risk of credit loss is involved, we assessed the main criteria used by the management for determining whether an impairment event had occurred and reasonableness of management estimation of such additional impairment. For Financing and Receivables to Other Customers collectively assessed for impairment: ★ we tested the completeness and fairness of the underlying information in financing and receivables used in the impairment calculations by agreeing details to the Bank's source documents and information in IT systems as well as re-performing the calculation of Impairment allowance for Financing and Receivables to Other Customers. ★ we also considered reasonableness of macro-economic and other factors used by management in their judgmental overlays for various types of loan portfolios, by comparing them with publicly available data and information sources. - We assessed the adequacy of the related Financial Statement disclosures as set out in Note 23. - We also assessed the adequacy of the Bank's disclosure on the impact of the initial adoption of SLFRS 9 as set out in Note 37.

Independent Auditors' Report

Other Information Included in the 2018 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard

Responsibilities of Management and those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters

related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- ★ Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not

detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- ★ Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Bank.
- ★ Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- ★ Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.
- ★ Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- ★ Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Bank to express an opinion on the financial statements. We are responsible for the direction, supervision and performance of the audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we state the following:

- a) The basis of opinion, scope and limitations of the audit are as stated above.
- b) In our opinion:
 - ★ we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Bank and,
 - ★ the financial statements of the Bank, comply with the requirements of section 151 of the Companies Act No. 07 of 2007.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1697.



14 February 2019
Colombo

STATEMENT OF PROFIT OR LOSS

Year ended 31 December	Note	2018 Rs.	2017 Rs.
Financing Income	4	6,883,221,870	5,544,237,256
Financing Expenses	5	(3,522,889,356)	(2,790,618,052)
Net Financing Income		3,360,332,514	2,753,619,204
Net Fees and Commission Income	6	297,048,806	236,134,326
Net Trading Income	7	461,155,830	388,699,264
Net Gains / (Losses) from Financial Assets Measured at Fair Value through Profit or Loss	8	(22,436,152)	-
Net Gains from Derecognition of Financial Assets	9	1,892,185	-
Net Other Operating Income	10	6,662,241	9,467,520
Total Operating Income		4,104,655,424	3,387,920,314
Impairment on Financial Assets	11	(476,765,687)	(289,782,674)
Net Operating Income		3,627,889,737	3,098,137,640
Personnel Expenses	12	1,246,223,287	1,095,792,424
Depreciation of Property, Plant and Equipment	26	126,685,717	148,879,193
Amortisation of Intangible Assets	27	47,939,212	48,967,708
Other Operating Expenses	13	884,804,269	745,933,727
Total Operating Expenses		2,305,652,485	2,039,573,052
Operating Profit Before Value Added Tax on Financial Services, Nation Building Tax and Debt Repayment Levy		1,322,237,252	1,058,564,588
Value Added Tax on Financial Services, Nation Building Tax and Debt Repayment Levy		(420,038,265)	(319,245,989)
Profit Before Tax		902,198,987	739,318,599
Tax Expenses	14	(345,753,279)	(236,490,936)
Profit for the Year		556,445,708	502,827,663
Earnings Per Share - Basic / Diluted	15	0.22	0.29

The Accounting Policies and Notes on pages 153 through 214 form an integral part of the Financial Statements.

STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 December	Note	2018 Rs.	2017 Rs.
Profit for the Year		556,445,708	502,827,663
Other Comprehensive Income to be Reclassified to Profit or Loss in Subsequent Periods:			
Financial Investments - Available for Sale:			
Net Gain/(Loss) on Financial Investments - Available for Sale		-	(47,348,976)
Reclassification to Profit or Loss as Impairment		-	20,339,796
Net Other Comprehensive Income to be Reclassified to Profit or Loss in Subsequent Periods:		-	(27,009,180)
Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:			
Financial Investments - Fair Value through Other Comprehensive Income:			
Net Gain / (Loss) on Financial Investments - Fair Value through Other Comprehensive Income		(32,411,016)	-
Revaluation Surplus on Property, Plant and Equipment	26	-	608,536,162
Deferred Tax Effect on Revaluation Surplus	33	-	(314,184,209)
Re-measurement Gain / (Loss) on Defined Benefit Plans	34	15,316,850	(18,561,756)
Deferred Tax Effect on Defined Benefit Plans	33	(4,288,718)	5,197,292
Net Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:		(21,382,884)	280,987,489
Other Comprehensive Income / (Loss) for the Year Net of Tax		(21,382,884)	253,978,309
Total Comprehensive Income for the Year		535,062,824	756,805,972

The Accounting Policies and Notes on pages 153 through 214 form an integral part of the Financial Statements.

STATEMENT OF FINANCIAL POSITION

As at 31 December	Note	2018 Rs.	2017 Rs.
Assets			
Cash and Cash Equivalents	17	5,338,090,636	5,859,766,950
Balance with Central Bank of Sri Lanka	18	3,543,444,781	4,127,811,572
Placements with Banks	19	9,264,699,249	5,285,796,238
Placements with Licensed Finance Companies	20	2,427,970,097	2,112,166,496
Derivative Financial Assets	21	445,732,740	127,616,662
Financial Assets Measured at Fair Value through Profit or Loss	22	113,249,108	-
Financial Assets - Held for Trading	22	-	41,645,557
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	23	52,853,663,356	42,914,143,571
Financial Assets Measured at Fair Value through Other Comprehensive Income	24	186,655,424	-
Financial Assets - Available for Sale	24	-	323,264,501
Other Assets - Financial	25	585,704,833	388,890,295
Property, Plant and Equipment	26	1,890,194,155	1,795,135,517
Intangible Assets	27	238,311,383	230,675,871
Other Assets - Non Financial	28	382,051,706	333,169,325
Total Assets		77,269,767,468	63,540,082,555
Liabilities			
Due to Banks	29	1,210,204,847	-
Derivative Financial Liabilities	30	1,441,005,622	29,924,292
Financial Liabilities at Amortised Cost - Due to Depositors	31	61,722,682,595	50,922,561,081
Other Liabilities - Financial	32	480,628,881	680,470,646
Current Tax Liabilities		330,606,614	187,075,365
Dividend Payable		3,562,069	-
Deferred Tax Liability	33	221,536,935	216,241,918
Retirement Benefit Liability	34	127,517,726	119,241,024
Other Liabilities - Non Financial	35	97,921,864	70,765,834
Total Liabilities		65,635,667,153	52,226,280,160
Shareholders' Funds			
Stated Capital	36	10,619,450,156	10,619,450,156
Statutory Reserve Fund	38	70,226,882	42,404,597
Other Reserves	39	(60,456,037)	(28,031,817)
Revaluation Reserve	40	819,630,323	820,716,783
Retained Earnings	41	185,248,991	(140,737,324)
Total Equity		11,634,100,315	11,313,802,395
Total Liabilities and Shareholders' Funds		77,269,767,468	63,540,082,555
Net Asset Value Per Share	42	4.65	4.52
Commitments and Contingencies	46	46,485,430,714	27,813,190,776
Memorandum Information			
Number of Employees		911	742
Number of Branches		29	28

We certify that these Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.


M. Ali Wahid
 Chief Financial Officer

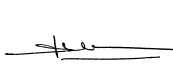

Mohamed Azmeer
 Chief Executive Officer

The Board of Directors is responsible for these Financial Statements. Signed for and on behalf of the Board by:


Osman Kassim
 Chairman


Tyeab Akbarally
 Deputy Chairman


Mohamed Jazri Magdon Ismail
 Senior Director


Mrs. Dayani De Silva
 Company Secretary

The Accounting Policies and Notes on pages 153 through 214 form an integral part of the Financial Statements.

14 February 2019
 Colombo

STATEMENT OF CHANGES IN EQUITY

Year ended 31 December

	Note	Stated Capital Rs.	Statutory Reserve Rs.	Other Reserves		Revaluation Reserve Rs.	Retained Earnings Rs.	Total Rs.
				Revenue Reserve Rs.	Fair Value Reserve Rs.			
As at 1 January 2017		5,866,808,141	17,263,213	(216,926,328)	(26,868,210)	526,908,060	(379,139,357)	5,788,045,519
Rights Issue		4,752,642,015	-	-	-	-	-	4,752,642,015
Share Issue Expenses		-	-	(9,536,684)	-	-	-	(9,536,684)
Profit for the Year		-	-	-	-	-	502,827,663	502,827,663
Other Comprehensive Income	39	-	-	-	(27,009,180)	294,351,953	(13,364,464)	253,978,309
Transfers to Statutory Reserve Fund	38	-	25,141,384	-	-	-	(25,141,384)	-
Reclassifying to Profit or Loss								
as Impairment	39	-	-	-	25,845,573	-	-	25,845,573
Transferred to Retained Earnings	40	-	-	226,463,012	-	(543,230)	(225,919,782)	-
As at 1 January 2018		10,619,450,156	42,404,597	-	(28,031,817)	820,716,783	(140,737,324)	11,313,802,395
Impact of Adopting SLFRS 9	37	-	-	-	(13,204)	-	(39,654,363)	(39,667,567)
Restated Opening Balance								
under SLFRS 9		10,619,450,156	42,404,597	-	(28,045,021)	820,716,783	(180,391,687)	11,274,134,828
Profit for the Year		-	-	-	-	-	556,445,708	556,445,708
Other Comprehensive Income	39	-	-	-	(32,411,016)	-	11,028,132	(21,382,884)
Interim Dividend 2018								
- (Dividend Per Share - Rs. 0.07)		-	-	-	-	-	(175,097,337)	(175,097,337)
Transfers to Statutory Reserve Fund	38	-	27,822,285	-	-	-	(27,822,285)	-
Transferred to Retained Earnings	40	-	-	-	-	(1,086,460)	1,086,460	-
As at 31 December 2018		10,619,450,156	70,226,882	-	(60,456,037)	819,630,323	185,248,991	11,634,100,315

The Accounting Policies and Notes on pages 153 through 214 form an integral part of the Financial Statements.

STATEMENT OF CASH FLOWS

Year ended 31 December	Note	2018 Rs.	2017 Rs.
Cash Flow from Operating Activities			
Financing Income Received		6,416,841,127	5,445,156,050
Fees and Commission Received		339,789,092	239,617,456
Financing Expenses Paid		(3,429,654,751)	(2,595,124,827)
Foreign Exchange Income Received		418,175,710	394,172,149
Gratuity Payments Made	34	(9,948,748)	(8,354,105)
Payments to Employees and Suppliers		(2,470,080,200)	(2,095,442,059)
Operating Profit before Changes in Operating Assets and Liabilities (Note A)		1,265,122,230	1,380,024,664
(Increase) / Decrease in Operating Assets			
Financing and Receivables to Other Customers		(10,037,289,447)	(4,674,618,472)
Other Assets - Financial		(496,773,924)	(153,516,506)
Other Assets - Non Financial		(171,564,085)	(1,497,563)
Balance with Central Bank of Sri Lanka		584,366,791	(1,311,041,349)
Increase / (Decrease) in Operating Liabilities			
Due to Other Customers		10,709,291,756	3,810,314,654
Due to Banks		1,207,800,000	(750,500,000)
Other Liabilities		1,236,090,598	(18,900,040)
Net Cash Flow from Operating Activities before Income Tax		4,297,043,919	(1,719,734,612)
Income Tax Paid		(63,107,752)	-
Net Cash Flow from Operating Activities		4,233,936,167	(1,719,734,612)
Cash Flows From / (Used In) Investing Activities			
Acquisition of Property, Plant and Equipment		(247,972,369)	(62,099,109)
Proceeds from Sale of Property, Plant and Equipment		8,500	456,517
Acquisition of Intangible Assets		(47,748,557)	(113,738,668)
Investments in Placements with Licensed Finance Companies		(314,535,285)	(2,097,301,257)
Investments in Placements with Banks		(3,991,415,246)	(612,069,817)
Dividend Received from Financial Assets		6,654,850	8,420,541
Financial Assets Measured at Fair Value through Profit or Loss		12,290,376	-
Financial Assets Measured at Fair Value through Other Comprehensive Income		-	-
Sale / (Acquisition) of Financial Investments - Available for Sale		-	27,409,639
Sale / (Acquisition) of Financial Investments - Held for Trading		-	(1,605,671)
Net Cash Flows Used in Investing Activities		(4,582,717,731)	(2,850,527,825)
Cash Flows From / (Used In) Financing Activities			
Rights Issue of Shares		-	4,752,642,015
Share Issue Expenses		-	(9,536,684)
Dividend Paid		(171,535,268)	-
Net Cash Flows From Financing Activities		(171,535,268)	4,743,105,331
Net Increase / (Decrease) in Cash and Cash Equivalents		(520,316,832)	172,842,894
Cash and Cash Equivalents at the Beginning of the Year		5,859,766,950	5,686,924,056
Cash and Cash Equivalents at the End of the Year - Gross of Allowance for Impairment Losses	17	5,339,450,118	5,859,766,950
A. Reconciliation of Operating Profit			
Profit before Taxation		902,198,987	739,318,599
Depreciation of Property, Plant and Equipment	26	126,685,717	148,879,193
Amortisation of Intangible Assets	27	47,939,212	48,967,708
(Profit) / Loss on Disposal of Property, Plant and Equipment	10	(7,391)	(212,466)
Impairment for Financing and Receivables to Other Customers and Financial Assets	11	476,765,687	289,782,675
Provision for Gratuity	34	33,542,300	26,427,071
(Increase) / Decrease in Placement Income Receivable		9,598,766	(26,104,794)
Increase / (Decrease) in Profit Payable		93,234,605	195,493,225
Other Non Cash Items		(408,232,055)	(25,751,901)
Dividend Income (Net)		(6,654,850)	(8,420,541)
Gratuity Payments	34	(9,948,748)	(8,354,105)
		1,265,122,230	1,380,024,664

The Accounting Policies and Notes on pages 153 through 214 form an integral part of the Financial Statements.

NOTES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

1.1 General

Amāna Bank PLC ('the Bank') is a licensed commercial bank established under the Banking Act No. 30 of 1988 (Banking Act) and amendments thereto. It is a public limited liability company incorporated on 5 February 2009 and is domiciled in Sri Lanka. The registered office of the Bank is located at No. 486, Galle Road, Colombo 3. The Bank commenced commercial banking operations on 1 August 2011. The shares of the Bank are listed on the Colombo Stock Exchange.

The staff strength of the Bank as at 31 December 2018 was 911 (2017 - 742).

1.2 Principal Activities

The principal activities of the Bank continue to be providing banking and related activities such as accepting customer deposits, personal banking, lease financing, home and property financing, gold facilities, resident and non-resident foreign currency operations, trade financing, import and export financing, equipment and machinery financing, working capital financing and project financing.

1.3 Parent Entity and Ultimate Parent Entity

The Bank does not have an identifiable parent of its own.

1.4 Date of Authorisation of Issue

The Financial Statements of Amāna Bank PLC for the year ended 31 December 2018 were authorised for issue in accordance with a resolution of the Board of Directors on 14 February 2019.

2.1 BASIS OF PREPARATION

2.1.1 Basis of Measurement

The Financial Statements are prepared under the historical cost basis, except for, Derivative Financial Instruments, Financial Assets recognised through Profit or Loss, Financial Assets recognised through Other

Comprehensive Income and Freehold Land and Building and Retirement Benefit Liability - Actuarial Valuation, all of which have been measured at fair value.

The Financial Statements are presented in Sri Lankan Rupees (Rs.), except as otherwise indicated.

2.1.2 Changes in Accounting Policies and Disclosures

In these Financial Statements, the Bank has applied SLFRS 9 and SLFRS 15, effective for annual periods beginning on or after 1 January 2018, for the first time.

SLFRS 9 – Financial Instruments

SLFRS 9 replaces LKAS 39 for annual periods on or after 1 January 2018. The Bank has not restated comparative information for 2017 for Financial Instruments in the scope of SLFRS 9. Therefore, the comparative information for 2017 is reported under LKAS 39 and is not comparable to the information presented for 2018. Differences arising from the adoption of SLFRS 9 have been recognised directly in Retained Earnings as of 1 January 2018 and are disclosed in Note 37.

SLFRS 15 – Revenue from Contracts with Customers

Since 1 January 2018, the Bank has also adopted SLFRS 15. The adoption of SLFRS 15 did not impact the timing or amount of fee and commission income from contracts with customers and the related assets and liabilities recognised by the Bank. However, the impact of comparative information is limited to new disclosure requirements.

Apart from the changes mentioned above, the Bank has consistently applied the accounting policies for all periods presented in these Financial Statements.

2.1.3 Statement of Compliance

The Financial Statements of the Bank which comprise of the Statement of Financial

Position, Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows and Significant Accounting Policies and notes, have been prepared in accordance with Sri Lanka Accounting Standards (SLFRSs and LKASs) laid down by the Institute of Chartered Accountants of Sri Lanka and are in compliance with the requirements of the Companies Act No. 07 of 2007. The presentation of the Financial Statements is also in compliance with the requirements of the Banking Act No. 30 of 1988 and amendments thereto.

2.1.4 Presentation of Financial Statements

The Bank presents its Statement of Financial Position broadly in order of liquidity. An analysis regarding recovery or settlement within 12 months after the Statement of Financial Position date (current) and more than 12 months after the Statement of Financial Position date (non-current) is presented in Note 45.

Financial Assets and Financial Liabilities are offset and the net amount is reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously. Income and expense is not offset in the Statement of Profit or Loss unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies of the Bank.

The Financial Statements of the Bank provide comparative information in respect of the previous period.

2.1.5 Going Concern

The Board of Directors of the Bank has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future.

Notes to the Financial Statements

Furthermore, the Board of Directors is not aware of any material uncertainties that may cast significant doubt upon the Bank's ability to continue as a going concern. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.2 Significant Accounting Judgments, Estimates and Assumptions

The preparation of Financial Statements of the Bank in conformity with Sri Lanka Accounting Standards, requires the management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Estimates and assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected. The most significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect on the amounts recognised in the Financial Statements of the Bank are as follows:

a. Fair Value of Property, Plant and Equipment

The Freehold Land and Buildings of the Bank are reflected at fair value. The management determined that these constitute class of assets under SLFRS 13, based on the nature, characteristics and risks of the properties. The Bank engages independent valuers to determine fair value of Freehold Land and Building. When current market prices of similar assets are available, such evidence is considered in estimating fair values of these assets using comparable prices adjusted for specific market factors such as nature, location and condition of the property.

The valuation techniques and assumption used to determine the fair value of Property, Plant and Equipment and the sensitivity on the amounts presented are disclosed in Note 26 to the Financial Statements.

b. Impairment of Available for Sale Financial Instruments (Policy applicable prior to 1 January 2018)

The Bank reviews equity instruments classified as Available for Sale investments at each reporting date to assess whether they are impaired as explained in Note 2.3.3.f.i (i). The interpretation of what is 'significant' or 'prolonged' requires judgement. In making this judgement, the Bank evaluates, among other factors, historical share price movements, and the duration and extent to which the fair value of an investment is less than its cost.

The impairment methodology and application for Available for Sale investments is disclosed in more detail in Note 2.3.3.f.i (i), Note 11 and 24.

c. Fair value of Financial Instruments

Where the fair values of Financial Assets and Financial Liabilities are recorded in the Statement of Financial Position cannot be derived from active markets, they are determined using a variety of valuation techniques that include the use of mathematical models. The valuation of Financial Instruments is described in more detail in Note 43.

d. Impairment losses on Financing and Receivables to Other Customers

The Bank reviews its individually significant Financing and Receivables to Other Customers at each reporting date to assess whether an impairment loss should be recorded in the Statement of Profit or Loss. In particular, management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about

a number of factors and actual results may differ, resulting in future changes to the impairment allowance.

Financing and Receivables to Other Customers that have been assessed individually and found not to be impaired and all individually insignificant Financing and Receivables to Other Customers are then assessed collectively, in groups of assets with similar risk characteristics, to determine whether provision should be made due to Expected Credit Loss (ECL - applicable from 1 January 2018 onwards), events for which there is objective evidence, but the effects of which are not yet evident.

The impairment loss on Financing and Receivables to Other Customers is disclosed in more detail in Notes 2.3.3.f.i (i), 23.4 and Note 44.3 (a) and (c).

e. Deferred Tax Assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax planning strategies.

Details on deferred tax assets are disclosed in Note 33.

f. Defined Benefit Plans

The cost of the defined benefit plan is determined using an actuarial valuation. The actuarial valuation involves making assumptions about discount rates, salary increment rate, age of retirement, and mortality rates. Due to the long term nature of these plans, such estimates are subject to significant uncertainty.

Assumptions used are reviewed at each reporting date and disclosed in Note 34.

g. Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured.

Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote.

Commitments and Contingencies are subject to ECL and detailed policies are disclosed in Notes 2.3.3.f.i (i) and Note. 46.2.

2.3 Summary of Significant Accounting Policies

2.3.1 Foreign Currency Transactions and Balances

These Financial Statements are presented in Sri Lankan Rupees (Rs.) which is the Bank's functional and presentation currency.

Transactions in foreign currencies are initially recorded at the spot rate of exchange prevailing at the date of the transactions.

Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency rate of exchange at the reporting date. All differences arising on non-trading activities are taken to 'Net Other Operating Income in the Statement of Profit or Loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

Promissory Forward exchange transactions are valued at the forward market rates ruling on the date of the reporting date. The resulting net unrealised gains or losses are dealt within the Statement of Profit or Loss.

2.3.2 Derivative Financial Instruments

Derivatives are financial instruments that derive their value in response to changes in market rates, financial instrument prices, commodity prices, foreign exchange rates and credit risk indices.

Derivatives are initially recognised at fair value at the date the derivative transaction is entered into and are subsequently re-measured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in Statement of Profit or Loss immediately.

Derivative assets/liabilities represent the Promissory Forward exchange transactions as at the reporting date.

2.3.3 Non-Derivative Financial Instruments

a. Date of Recognition

All non-Derivative Financial Assets and Liabilities are initially recognised on the trade date (i.e. the date that the Bank becomes a party to the contractual provisions of the instrument). This includes 'regular way trades': purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place.

b. Initial measurement of Financial Instruments

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention in acquiring them. All financial instruments are measured initially at their fair value plus transaction costs, except in

the case of Financial Assets and Financial Liabilities which are recorded at Fair Value through Profit or Loss. Transaction costs in relation to Financial Assets and Financial Liabilities at Fair Value through Profit or Loss are dealt within the Statement of Profit or Loss.

c. 'Day 1' profit or loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable markets, the Bank immediately recognises the difference between the transaction price and fair value (a 'Day 1' profit or loss) in Financing Income. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognised in the Statement of Profit or Loss when the inputs become observable, or when the instrument is derecognised.

d. Financial Instruments (Policies applicable after 1 January 2018)

(i) Classification of Financial Instruments

The Bank classifies its Financial Assets into the following measurement categories:

- ★ Measured at fair value (either through other Comprehensive Income, or through Profit or Loss); and
- ★ Measured at amortised cost.

The classification depends on the Bank's business model for managing Financial Assets and the contractual terms of the Financial Assets' cash flows. The Bank classifies its Financial Liabilities at amortised cost unless it has designated liabilities at fair value through Profit or Loss or is required to measure liabilities at fair value through Profit or Loss such as Derivative Liabilities.

Notes to the Financial Statements

(ii) Financial Assets Measured at Amortised Cost

Placements, Financing and Receivables to Other Customers and Other Financial Assets are measured at amortised cost where they have:

- ★ Contractual terms that give rise to cash flows on specified dates, that represent solely payments of principal and profits on the principal amount outstanding; and
- ★ Are held within a business model whose objective is achieved by holding to collect contractual cash flows.

These instruments are initially recognised at fair value plus directly attributable transaction costs and subsequently measured at amortised cost. The measurement of credit impairment is based on the three-stage expected credit loss model described below in Note (vi) Impairment of Financial Assets.

(iii) Financial assets measured at fair value through other Comprehensive Income Equity instruments

Investment in equity instruments that are neither Trading Financial Assets recognised through Profit or Loss, nor contingent consideration recognised by the Bank in a business combination to which SLFRS 3 'Business Combination' applies, are measured at fair value through other Comprehensive Income, where an irrevocable election has been made by management. For portfolios where management does not consider an irrevocable election of adopting fair value through Other Comprehensive Income, by default such investments shall be measured at fair value through Profit and Loss.

Amounts presented in Other Comprehensive Income are not subsequently transferred to Profit or Loss. Dividends on such investments are recognised in Profit or Loss.

(iv) Fair Value through Profit or Loss

Fair Value through Profit or Loss comprise:

- ★ Financial Investments - For Trading; and
- ★ Instruments with contractual terms that do not represent solely payments of Principal and Profit.

Financial Instruments held at fair value through Profit or Loss are initially recognised at fair value, with transaction costs recognised in the Statement of Profit or Loss as incurred. Subsequently, they are measured at fair value and any gains or losses are recognised in the Statement of Profit or Loss as they arise.

Where a Financial Asset is measured at fair value, a credit valuation adjustment is included to reflect the credit worthiness of the counterparty, representing the movement in fair value attributable to changes in credit risk.

(a) Financial Investments - For Trading

A Financial Investment is classified as Financial Assets recognised through Profit or Loss if it is acquired or incurred principally for the purpose of selling or repurchasing in the near term, or forms part of a portfolio of Financial Instruments that are managed together and for which there is evidence of short-term profit taking, or it is a derivative not in a qualifying hedge relationship.

Trading derivatives and trading securities are classified as Financial Assets recognised through Profit or Loss and recognised at fair value. Refer Note 21 & 30 for Trading Derivative Assets and Liabilities, and Note 22 for Trading securities.

(b) Financial Instruments Designated as Measured at Fair Value through Profit or Loss

Upon initial recognition, Financial Instruments may be designated as measured at fair value through Profit

or Loss. A Financial Asset may only be designated at fair value through Profit or Loss if doing so eliminates or significantly reduces measurement or recognition inconsistencies (i.e. eliminates an accounting mismatch) that would otherwise arise from measuring Financial Assets or Liabilities on a different basis.

A Financial Liability may be designated at fair value through Profit or Loss if it eliminates or significantly reduces an accounting mismatch or:

- ★ Host contract contains one or more embedded derivatives; or
- ★ Financial Assets and Liabilities are both managed and their performance evaluated on a fair value basis in accordance with a documented risk management or investment strategy.

Where a Financial Liability is designated at Fair Value through Profit or Loss, the movement in fair value attributable to changes in the Bank's own credit quality is calculated by determining the changes in credit spreads above observable market rates and is presented separately in other Comprehensive Income.

(v) Impairment of Financial Assets

The Bank applies a three-stage approach to measuring Expected Credit Losses (ECLs) for the following categories of financial assets that are not measured at fair value through profit or loss:

Debt Instruments

- ★ Instruments measured at Amortised Cost and Fair Value through Other Comprehensive Income;
- ★ Financing and Receivables commitments; and
- ★ Financial Guarantee Contracts

ECL is not recognised on equity instruments.

Financial Assets migrate through the following three stages based on the change in credit risk since initial recognition:

Stage 1: 12-months ECL

For exposures where there has not been a significant increase in credit risk since initial recognition and that are not credit impaired upon origination, the portion of the lifetime ECL associated with the probability of default events occurring within the next 12 months is recognised.

Bank determines 12 month ECL from customers who are not significantly credit deteriorated (i.e. less than 30 days past due)

Stage 2: Lifetime ECL – not Credit Impaired

For exposures where there has been a significant increase in credit risk since initial recognition but are not credit impaired, a lifetime ECL (i.e. reflecting the remaining lifetime of the Financial Asset) is recognised.

In being consistent with the policies of the Bank, significant deterioration is measured through the rebuttable presumption of 30 days past due in line with the requirements of the standard.

Stage 3: Lifetime ECL – Credit Impaired

Exposures are assessed as credit impaired when one or more events that have a detrimental impact on the estimated future cash flows of that asset have occurred. For exposures that have become credit impaired, a lifetime ECL is recognised and Financing Income is calculated by applying the Effective Rate to the amortised cost (net of provision) rather than the gross carrying amount.

Determining the Stage for Impairment

At each reporting date, the Bank assesses whether there has been a significant increase in credit risk for exposures since initial recognition by comparing the risk of default occurring over the expected life

between the reporting date and the date of initial recognition. The Bank considers reasonable and supportable information that is relevant and available without undue cost or effort for this purpose. This includes quantitative and qualitative information and also, forward-looking analysis.

An exposure will migrate through the ECL stages as asset quality deteriorates. If, in a subsequent period, asset quality improves and also reverses any previously assessed significant increase in credit risk since origination, then the provision for impairment loss reverts from lifetime ECL to 12-months ECL. Exposures that have not deteriorated significantly since origination, or where the deterioration remains within the Bank's investment grade criteria, or which are less than 30 days past due, are considered to have a low credit risk. The provision for impairment loss for these Financial Assets is based on a 12-months ECL. When an asset is uncollectible, it is written off against the related provision. Such assets are written off after all the necessary procedures have been completed and the amount of the loss has been determined. Subsequent recoveries of amounts previously written off reduce the amount of the expense in the Statement of Profit or Loss.

The Bank assesses whether the credit risk on an exposure has increased significantly on an individual or collective basis. For the purposes of a collective evaluation of impairment, Financial Instruments are grouped on the basis of shared credit risk characteristics, taking into account instrument type, credit risk ratings, date of initial recognition, remaining term to maturity, industry, geographical location of the borrower and other relevant factors.

Measurement of ECLs

ECLs are derived from unbiased and probability-weighted estimates of expected loss, and are measured as follows:

- ★ Financial Assets that are not credit-impaired at the reporting date: as the present value of all cash shortfalls over the expected life of the Financial Asset discounted by the effective rate. The cash shortfall is the difference between the cash flows due to the Bank in accordance with the contract and the cash flows that the Bank expects to receive.
- ★ Financial Assets that are credit-impaired at the reporting date: as the difference between the gross carrying amount and the present value of estimated future cash flows discounted by the effective rate.
- ★ Undrawn commitments: as the present value of the difference between the contractual cash flows that are due to the Bank if the commitment is drawn down and the cash flows that the Bank expects to receive.
- ★ Financial Guarantee Contracts: as the expected payments to reimburse the holder less any amounts that the Bank expects to recover.

For further details on how the Bank calculates ECLs including the use of forward looking information, refer to the Credit quality of Financial Assets section in Note 23. For details on the effect of modifications of Financing and Receivables on the measurement of ECL refer to note on Provision for expected credit loss.

ECLs are recognised using a provision for impairment loss account in Statement of Profit and Loss. The Bank recognises the provision charge in Statement of Profit or Loss, with the corresponding amount recognised in other Comprehensive Income, with no reduction in the carrying amount of the asset in the Statement of Financial Position.

The mechanics of the ECL calculations are outlined below and the key elements are, as follows.

Notes to the Financial Statements

PD : The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognised and is still in the portfolio.

EAD : The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of capital and financing income, whether scheduled by contract or otherwise, expected draw downs on committed facilities, and accrued financing income from missed payments.

LGD : The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the Bank would expect to receive, including the realisation of any collateral.

(vi) Recognition and Derecognition of Financial Instruments

A Financial Asset or Financial Liability is recognised in the Balance Sheet when the Bank becomes a party to the contractual provisions of the instrument, which is generally on trade date. Financing and Receivables are recognised when cash is advanced (or settled) to the borrowers.

Financial Assets at fair value through Profit or Loss are recognised initially at fair value. All other Financial Assets are recognised initially at fair value plus directly attributable transaction costs.

The Bank derecognises a Financial Asset when the contractual cash flows from the asset expire or it transfers its rights to receive contractual cash flows on the Financial Asset in a transaction in which substantially all the risks and rewards of ownership are transferred. Any income in

transferred Financial Assets that is created or retained by the Bank is recognised as a separate asset or liability.

A Financial Liability is derecognised from the Balance Sheet when the Bank has discharged its obligation or the contract is cancelled or expires.

(vii) Offsetting

Financial Assets and Liabilities are offset and the net amount is presented in the Balance Sheet when the Bank has a legal right to offset the amounts and intends to settle on a net basis or to realise the asset and settle the liability simultaneously.

e. Critical Accounting Assumptions and Estimates Applicable for Financial Assets

The application of the Bank's accounting policies requires the use of judgements, estimates and assumptions. If different assumptions or estimates were applied, the resulting values would change, impacting the net assets and income of the Bank.

Assumptions made at each reporting date are based on best estimates at that date. Although the Bank has internal control systems in place to ensure that estimates are reliably measured, actual amounts may differ from those estimates. Estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

The accounting policies which are most sensitive to the use of judgement, estimates and assumptions are specified below.

(i) Fair value measurement

A significant portion of Financial Instruments are carried on the Statement of Financial Position at fair value. Fair value is the price that would be received to sell an asset or

paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Where the classification of a Financial Asset or Liability results in it being measured at fair value, wherever possible, the fair value is determined by reference to the quoted bid or offer price in the most advantageous active market to which the Bank has immediate access. An adjustment for credit risk is also incorporated into the fair value as appropriate.

Fair value for a net open position that is a Financial Liability quoted in an active market is the current offer price, and for a Financial Asset the bid price, multiplied by the number of units of the instrument held or issued.

Where no active market exists for a particular asset or liability, the Bank uses a valuation technique to arrive at the fair value, including the use of transaction prices obtained in recent arm's length transactions, discounted cash flow analysis, option pricing models and other valuation techniques, based on market conditions and risks existing at reporting date. In doing so, fair value is estimated using a valuation technique that makes maximum use of observable market inputs and places minimal reliance upon entity-specific inputs.

The best evidence of the fair value of a Financial Instrument at initial recognition is the transaction price (i.e. the fair value of the consideration given or received) unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument (i.e. without modification or repackaging) or based on a valuation technique whose variables include only data from observable markets. When such evidence exists, the Bank recognises the difference between the transaction price

and the fair value in profit or loss on initial recognition (i.e. on day one).

(ii) Impairment charges on Financing and Receivables

Judgment is required by management in the estimation of the amount and timing of future cash flows when determining an impairment loss for Financing and Receivables. In estimating these cash flows, the Bank makes judgments about the customer's financial situation and the net realisable value of collateral. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance.

A collective assessment of impairment takes into account data from the advance portfolio (such as credit quality, levels of arrears, credit utilisation, advances to collateral ratios etc.), and concentrations of risk and economic data (including levels of unemployment, Inflation, GDP Growth Rate, country risk and the performance of different individual groups). The impairment loss on Financing and Receivables is disclosed in more detail in Note 23 - Financial Assets at Amortised Cost - Financing and Receivables to Other Customers.

f. Classification and Subsequent Measurement of Financial Assets (Policies applicable prior to 1 January 2018)

At the inception a Financial Asset is classified into one of the following:

- i. Financial Investments at Fair Value through Profit or Loss
 - a. Financial Investments - Held for Trading
 - b. Financial Investments designated at Fair Value through Profit or Loss
- ii. Advances and Receivables
- iii. Financial Investments - Available for Sale

The subsequent measurement of Financial Assets depends on their classification.

i. Financial Investments at Fair Value through Profit or Loss

A Financial Investment is classified as Fair Value through Profit or Loss if it is held for trading or is designated at Fair Value through Profit or Loss.

a. Financial Investments - Held for Trading

Financial Investments acquired or incurred principally for the purpose of selling or repurchasing it in the near term or it is part of a portfolio that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking.

Financial Investments - Held for Trading are recorded in the Statement of Financial Position at fair value; Changes in fair value, results if buying and selling and dividend income are recognised in Net Trading Gain according to the terms of the contract or when the right to the payment has been established.

This has been classified in the Statement of Financial Position as "Financial Investments - Held for Trading".

Details of Financial Investments - Held for Trading are given in Note 22 to the Financial Statements.

b. Financial Investments designated at Fair Value through Profit or Loss

The Bank designates Financial Investments at Fair Value through Profit or Loss in the following circumstances:

- ★ Such designation eliminates or significantly reduces measurement or recognition inconsistency that would otherwise arise from measuring the assets.
- ★ The assets are part of a group of Financial Assets, Financial Liabilities

or both, which are managed and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy.

- ★ The asset contains one or more embedded derivatives that significantly modify the cash flows that would otherwise have been required under the contract.

Financial Investments designated at Fair Value through Profit or Loss are recorded in the Statement of Financial Position at fair value. Changes in fair value are recorded in the Statement of Profit or Loss.

The Bank has not designated any Financial Assets upon initial recognition as designated at Fair Value through Profit or Loss.

ii. Advances and Receivables

Advances and Receivables include non-derivative Financial Assets with fixed or determinable payments that are not quoted in an active market, other than:

- ★ those that the Bank intends to sell immediately or in the near term and those that the Bank upon initial recognition designates as at fair value through profit or loss.
- ★ those that the Bank, upon initial recognition, designates as available for sale.
- ★ those for which the Bank may not recover substantially all of its initial investment, other than because of credit deterioration.

Advances and Receivables are subsequently measured at amortised cost using the Effective Profit Rate (EPR), less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EPR. The amortisation is included in "Financing Income" in the Statement of Profit or Loss.

Notes to the Financial Statements

The losses arising from impairment are recognised in the Statement of Profit or Loss in 'Impairment on Financial Assets'.

Advance and Receivables have been classified in the Statement of Financial Position as,

(i) *Cash and Cash Equivalents*

Cash and cash equivalents as referred to in the Statement of Financial Position and Statement of Cash Flows, comprises of cash in hand and balances with banks on demand or with an original maturity of three months or less.

(ii) *Balance with Central Bank of Sri Lanka*

The Monetary Law Act requires that all commercial banks operating in Sri Lanka maintain reserves against all deposit liabilities ("Due to Other Customers") denominated in Sri Lankan Rupees.

(iii) *Placements with Banks*

(iv) *Placements with Licensed Finance Companies*

(v) *Financing and Receivables to Other Customers*

iii. *Financial Investments - Available for Sale*

Financial Investments Available for Sale consists of equity investments. Equity investments classified as Available for Sale are those which are neither classified as Held for Trading nor designated at Fair Value through Profit or Loss.

The Bank has not designated any Financing and Receivables to Other Customers as Available for Sale.

After initial measurement, Available for Sale Financial Investments are subsequently measured at fair value.

Unrealised gains and losses are recognised directly in equity (Statement of

Comprehensive Income) in the Available for Sale Reserve. When the investment is disposed of, the cumulative gain or loss previously recognised in equity is recognised in the Statement of Profit or Loss in 'Net Other Operating Income/ (Expenses)'. Where the Bank holds more than one investment in the same security, gains or losses arising from the disposal of the investment is calculated based on the weighted average basis.

Dividends earned whilst holding Available for Sale Financial Assets are recognised in the Statement of Profit or Loss in 'Net Other Operating Income/(Expenses)' when the right to receive the dividend is established. The losses arising from impairment of such assets are recognised in the Statement of Profit or Loss in 'Impairment on Financial Assets and removed from the 'Available for Sale Reserve'.

Details of Financial Investments - Available for Sale are given in Note 24 to the Financial Statements.

g. Financial Liabilities

Initial recognition and measurement of Financial Liabilities within the scope of LKAS 39 are classified as Due to Banks, Due to Other Customers (Deposits) and Other Financial Liabilities. The Bank determines the classification of its Financial Liabilities at initial recognition.

The Bank classifies Financial Liabilities into Financial Liabilities at Fair Value through Profit or Loss or Other Financial Liabilities in accordance with the substance of the contractual arrangement and the definitions of Financial Liabilities.

The Bank recognises Financial Liabilities in the Statement of Financial Position when the Bank becomes a party to the contractual provisions of the Financial Liability.

i. Financial liabilities at Fair Value through Profit or Loss

Financial Liabilities at Fair Value through Profit or Loss include Financial Liabilities Held for Trading or designated as such upon initial recognition. Subsequent to initial recognition, Financial Liabilities at Fair Value through Profit or Loss are measured at fair value, and changes therein are recognised in Statement of Profit or Loss.

Upon initial recognition, transaction costs directly attributable to the acquisition are recognised in Statement of Profit or Loss as incurred. The criteria for designation of Financial Liabilities at Fair Value through Profit or Loss upon initial recognition are the same as those of Financial Assets at Fair Value through Profit or Loss.

As at the reporting date the Bank does not have any Liabilities under this classification.

ii. Financial Liabilities at Amortised Cost

Financial Liabilities including Due to Banks, Due to Other Customers and Other Financial Liabilities are initially measured at fair value less transaction cost that are directly attributable to the acquisition and subsequently measured at amortised cost using the EPR method.

Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EPR. The EPR amortisation is included in 'Finance Expenses' in the Statement of Profit or Loss. Gains or losses are recognised in the Statement of Profit or Loss when the liabilities are derecognised.

The details of the Bank's Financial Liabilities at amortised cost are shown in Note 29, 30, 31, and 32 to the Financial Statements.

h. De-recognition of Financial Assets/ Liabilities

(i) De-recognition of Financial Assets

A Financial Asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- ★ The rights to receive cash flows from the asset have expired
- ★ The Bank has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either:
- ★ The Bank has transferred substantially all the risks and rewards of the asset or,
- ★ The Bank has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Bank has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Bank's continuing involvement in the asset. In that case, the Bank also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Bank has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Bank could be required to repay.

(ii) De-recognition of Financial Liabilities

A Financial Liability is derecognised when the obligation under the liability is discharged or cancelled or expires. Where an existing Financial Liability is replaced

by another from the same party on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification, is treated as a de-recognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original Financial Liability and the consideration paid is recognised in the Statement of Profit or Loss.

i. Impairment of Financial Assets

The Bank assesses at each reporting date whether there is any objective evidence that a Financial Asset or a group of Financial Assets is impaired. A Financial Asset or a group of Financial Assets is deemed to be impaired if, and only if, there is objective evidence of impairment as a result of one or more events that have occurred after the initial recognition of the asset (an 'incurred loss event'), and that loss event (or events) has an impact on the estimated future cash flows of the Financial Asset or the group of Financial Assets that can be reliably estimated.

(i) Financial Assets Carried at Amortised Cost

For Financial Assets carried at Amortised cost (Placements with Banks, Placements with Licensed Finance Companies, Financing and Receivables to Other Customers and Other Financial Assets), the Bank first assesses individually whether objective evidence of impairment exists for Financial Assets that are individually significant, or collectively for Financial Assets that are not individually significant. If the Bank determines that no objective evidence of impairment exists for an individually assessed Financial Asset, it includes the asset in a group of Financial Assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment. The criteria that the Bank uses

to determine that there is objective evidence of an impairment loss include:

- (a) Customer is experiencing significant financial difficulties.
- (b) Breach of covenants or conditions.
- (c) Economic and legal reasons relating to the customers financial difficulty.
- (d) Likelihood of client becoming bankrupt / insolvent.
- (e) Concessions given to customer in view of deteriorating financial condition.
- (f) Statutory indicators such as new regulations / government policies would prevent the operations to repay the dues as agreed.

If there is objective evidence that an impairment loss has been incurred, the amount of the loss is measured as the difference between the assets' carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred) discounted at the asset's original effective rate. If the facility has a variable rate, the discount rate for measuring any impairment loss is the current effective rate. The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognised in the Statement of Profit or Loss. Financing Income continues to be accrued on the reduced carrying amount and is accrued using the profit rate used to discount the future cash flows for the purpose of measuring the impairment loss.

★ Individually assessed Financing and Receivables to Other Customers

Impairment on individual significant Financing and Receivables to Other Customers are identified by the management based on the circumstances evidencing overdue payment of profit/ return, downward adjustment of risk rating and breach of contract terms. In order to ascertain presence of such evidence, the Bank uses a detailed questionnaire, which is completed by the respective Customer

Notes to the Financial Statements

Relationship Manager, who has a better understanding of the customer's financial condition as at each reporting date.

If there are any indications of impairment, the future cash flows with regard to the financing is estimated. Subsequently, amortised cost and the impairment loss are calculated.

Allowance amount is decided considering many integrated factors, i.e. possibility of achieving the business plan, ability to withstand the financial difficulties, projected cash flows should bankruptcy ensue, supplementary financial support, net realisable value of collateral and timing of anticipated cash flows.

★ Collectively Assessed Financing and Receivables to Other Customers

For the purpose of a collective evaluation of impairment, the Bank determines the provisioning for collective assessment using data in relation to the performance of its financing portfolio using Net Flow Rate method. Under this methodology, the movement in the outstanding balance of customers are classified into categories over the periods and are used to estimate the amount of financial assets that will eventually be written off as a result of the events occurring before the reporting date which the Bank is not able to identify on an individual financing basis, and that can be reliably estimated.

Impairment is assessed on a collective basis for following two categories of Financing and Receivables to Other Customers.

- To cover losses which have been incurred but have not yet been identified on Financing and Receivables to Other Customers subject to individual assessment; and
- For Financing and Receivables to Other Customers that are not considered as individually significant

In addition to the above, economic factors both at macro-economic and at Bank levels are considered in arriving at the collective assessment.

See Note 11 for details of impairment losses on Financial Assets carried at amortised cost.

★ Reversal of Impairment

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the financial asset impairment allowance account accordingly. The write-back is recognised in the Statement of Profit or Loss.

(ii) *Financial Investments - Available for Sale*

For Available for Sale financial investments, the Bank assesses at each reporting date whether there is objective evidence that an investment is impaired.

In the case of equity investments classified as Available for Sale, objective evidence would also include a 'significant' or 'prolonged' decline in the fair value of the investment below its cost. Where there is evidence of impairment, the cumulative loss measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that investment previously recognised in the Statement of Profit or Loss, is removed from equity and recognised in the Statement of Profit or Loss. Impairment losses on equity investments are not reversed through the Statement of Profit or Loss; increases in the fair value after impairment are recognised in Statement of Comprehensive Income.

(iii) *Collateral Valuation*

The Bank seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, gold, securities, letters of

credit/guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting arrangements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the Bank's approved valuation policy.

To the extent possible, the Bank uses active market data for valuing financial assets, held as collateral. Other financial assets which do not have a readily determinable market value are valued using models. Non-financial collateral, such as real estate, is valued based on data provided by third parties such as independent professional valuers.

★ Collateral Repossessed

The Bank's policy is to sell the repossessed assets at the earliest possible opportunity. Such collateral repossessed are held on a memorandum basis without derecognising the underlying receivable.

★ Rescheduled Financing and Receivables to Other Customers

Financing and Receivables to Other Customers (facilities) whose original terms have been modified including those subject to forbearance strategies are considered rescheduled facilities. This may involve extending the payment arrangements and the agreement of new facility conditions. If the renegotiations are on terms that are not consistent with those readily available in the market, this provides objective evidence of impairment. Once the terms have been renegotiated, any impairment is measured using the EPR as calculated before the modification of terms and the facility is no longer considered past due. Management continually reviews renegotiated facilities to ensure that all criteria are met and the future payments are likely to occur. The facilities continue to be subjected to an individual or collective impairment assessment, calculated using the EPR of the Original facility.

(iv) Write-off of Financial Assets carried at Amortised Cost

Financial assets (and the related impairment allowance accounts) are normally written off, either partially or in full, when there is no realistic prospect of recovery. Where financial assets are secured, this is generally after receipt of any proceeds from the realisation of security.

2.3.4 Reclassification of Financial Instruments

The Bank does not reclassify any Financial Instrument into the 'Fair value through Profit or Loss' category after initial recognition. Further, the Bank does not reclassify any Financial Instrument out of the 'Fair value through Profit or Loss' category if upon initial recognition it was designated as at Fair value through Profit or Loss.

The Bank reclassifies non - derivative financial assets out of the 'Held for Trading' category and into the 'Available for Sale' or 'Advances and Receivables', categories as permitted by the Sri Lanka Accounting Standard (LKAS 39) "Financial Instruments: Recognition and Measurement". Further, in certain circumstances, the Bank is permitted to reclassify Financial Instruments out of the 'Available for Sale' category and into the 'Advances and receivables' category.

Reclassifications are recorded at fair value at the date of reclassification, which becomes the new amortised cost. For a Financial Asset reclassified out of the 'Available for Sale' category, any previous gain or loss on that asset that has been recognised in equity is amortised to profit or loss over the remaining life of the investment using the EPR. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the EPR. If the asset is subsequently determined to be impaired, then the amount recorded in equity is recycled to the Statement of Profit or Loss.

Reclassification is at the election of management, and is determined on an instrument by instrument basis.

2.3.5 Offsetting Financial Instruments

Financial Assets and Financial Liabilities are offset and the net amount reported in the Statement of Financial Position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

2.3.6 Determination of Fair Value

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date in principle or, in its absence, the most advantageous market to which the Bank has access at that date. The fair value of a liability reflects its non-performance risk.

When available, the Bank measures the fair value of an instrument using the quoted price in an active market for that instrument (Level 1 valuation). A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Bank uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price – i.e. the fair value of the consideration given or received. If the Bank determines that the fair value at initial recognition differs from the transaction

price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability (Level 1 valuation) nor based on a valuation technique that uses only data from observable markets (Level 2 valuation), then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognised in Statement of Profit or Loss on an appropriate basis over the life of the instrument but no later than when the valuation is wholly supported by observable market data or the transaction is closed out.

Fair values reflect the credit risk of the instrument and include adjustments to take into account of the credit risk of the Bank and the counterparty where appropriate. Fair value estimates obtained from models are adjusted for any other factors, such as liquidity risk or model uncertainties; to the extent that the Bank believes a third-party market participant would take them into account in pricing a transaction.

The fair value of a demand deposit is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use. An external valuer is involved for valuation of non-financial assets (Freehold Land and Buildings).

The Bank recognises transfers between levels of the fair value hierarchy as at the end of the reporting period during which the change has occurred.

An analysis of fair values of Financial Instruments and non-financial assets

Notes to the Financial Statements

(Freehold Land and Buildings) are provided in Note 26 and Note 43 respectively.

2.3.7 Other Assets - Financial

Other Financial Assets are stated at cost less impairment for unrecoverable amount.

2.3.8 Other Assets - Non Financial

Other Non-Financial Assets are valued net of specific provision, where necessary, so as to reduce the carrying value of such assets to their estimated realisable value.

2.3.9 Property, Plant and Equipment

Property, Plant and Equipment are tangible items that are held for use in the production or supply of goods or services, for rental to others or for administrative purposes and are expected to be used during more than one period.

(a) Valuation

Freehold Land and Buildings are measured at fair value less accumulated depreciation on buildings and impairment losses recognised at the date of revaluation. Valuations are performed with sufficient frequency to ensure that the carrying amount of a revalued asset does not differ materially from its fair value.

A revaluation surplus is recorded in Statement of Other Comprehensive Income and credited to the asset revaluation surplus in equity. However, to the extent that it reverses a revaluation deficit of the same asset previously recognised in Statement of Profit or Loss, the increase is recognised in Statement of Profit or Loss. A revaluation deficit is recognised in the Statement of Profit or Loss, except to the extent that it offsets an existing surplus on the same asset recognised in the asset revaluation reserve.

An annual transfer from the asset revaluation reserve to retained earnings is made for the difference between depreciation based on the revalued carrying

amount of the asset and depreciation based on the asset's original cost. Additionally, accumulated depreciation as at the revaluation date is eliminated against the gross carrying amount of the asset and the net amount is restated to the revalued amount of the asset. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

(b) Cost

Property, Plant and Equipment other than Freehold Land and Building is stated at cost, excluding the costs of day to day servicing, less accumulated depreciation and accumulated impairment in value. Such cost includes the cost of replacing part of the Property, plant and equipment when that cost is incurred, if the recognition criteria are met.

(c) Depreciation

The provision for depreciation is calculated by using a straight line method on the cost or valuation of all Property, Plant and Equipment other than freehold land, in order to write off such amounts over the estimated useful lives by equal installments.

Depreciation of an asset begins when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management.

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

The useful lives of the assets are estimated as follows:

	2018	2017
Freehold Buildings	40 years	40 years
Furniture and Fittings	5 years	5 years
Office and Other Equipment	5 - 6 years	5 - 6 years
Computer Equipment	5 - 6 years	5 - 6 years
Motor Vehicles	4 years	4 years
Computer Servers	5 years	5 years
Improvements to Leasehold Premises	Over the Period of Lease or Useful Life whichever is lower	Over the Period of Lease or Useful Life whichever is lower

(d) De-recognition

An Item of Property, Plant and Equipment is de-recognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the Statement of Profit or Loss in the year the asset is de-recognised.

2.3.10 Intangible Assets

The Bank's Intangible Assets include the value of computer software. An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits attributable to it will flow to the Bank.

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows:

	2018	2017
Computer Software	10 years	10 years

De-recognition of Intangible Assets

The carrying amount of an item of intangible asset is de-recognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of an item of intangible asset is included in the Statement of Profit or Loss in the year the item is de-recognised.

2.3.11 Leasing

The determination of whether an arrangement is a lease, or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

a) Finance Lease

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets, but not necessarily legal title, are classified as finance leases.

The Bank has no agreement that is to be recognised as finance lease as at the reporting date.

b) Operating Lease

All other leases are classified as operating leases. When acting as lessor, the Bank includes the assets subject to operating leases in 'Property, Plant and Equipment' and accounts for them accordingly. Impairment losses are recognised to the extent that residual values are not fully recoverable and the carrying value of the assets is thereby impaired.

When the Bank is the lessee, leased assets are not recognised on the Statement of Financial Position. Rentals payable and receivable under operating leases are accounted for on a straight-line basis over the periods of the leases and are included in 'Other Operating Expenses' and 'Other Operating Income', respectively.

2.3.12 Retirement Benefit liability

(a) Defined Benefit Plan – Gratuity

Based on the Sri Lanka Accounting Standard LKAS 19 - Employee Benefits, the Bank has adopted the actuarial valuation technique to ascertain the retirement benefit liability. An Actuarial Valuation has been carried out as at 31 December 2018 by a qualified actuary using projected unit credit method.

The principle assumptions, which have the most significant effects on the valuation, are the rate of discount, rate of increase in salary, rate of turnover at the selected ages, rate of disability, death benefits and expenses.

The defined benefit plan liability is discounted using rates equivalent to the market yields at the date of Statement of Financial Position that are denominated in the currency in which benefits will be paid, and that have a maturity approximating to the terms of the related pension liability.

The Bank recognises the total actuarial gains and losses that arise in calculating the Bank's obligation in respect of the plan in the Statement of Comprehensive Income during the period in which it occurs.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to an employee arises only after the completion of 5 years continued service. The liability is not externally funded.

Details of the key assumptions used in the estimates are contained in Note 34 to the Financial Statements.

(b) Defined Contribution Plan - Employees' Provident Fund and Employees' Trust Fund

Employees are eligible for Employees' Provident Fund Contributions and Employees' Trust Fund Contributions in line with the respective Statutes and Regulations. The Bank contributes 12% and 3% of gross salary, respectively.

2.3.13 Provisions

Provisions are recognised when the Bank has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in the Statement of Profit or Loss net of any reimbursement.

Notes to the Financial Statements

2.3.14 Taxes

(a) Current Tax

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the Statement of Financial Position date.

The provision for Income Tax is based on the elements of income and expenditure as reported in the Financial Statements and computed in accordance with the provisions of the Inland Revenue Act No.10 of 2006 and amendments thereto at the rates specified in Note 14 to the Financial Statements.

The Bank has adopted the requirements of the New Inland Revenue Act 24 of 2017 which was effective from 1 April 2018.

(b) Deferred Tax

Deferred income tax is provided, using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences except where the deferred income tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit or loss nor taxable profit or loss.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of

unused tax assets and unused tax losses can be utilised, except where the deferred income tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit or loss nor taxable profit or loss.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred income tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Profit or Loss.

(c) Value Added Tax On Financial Services

The Bank's total value addition is subjected to a 15% Value Added Tax on Financial Services as per Section 25A of the Value Added Tax Act No. 14 of 2002 and amendments thereto.

(d) Nation Building Tax (NBT) on Financial Services

NBT on financial services is calculated in accordance with Nation Building Tax (NBT) Act, No. 9 of 2009 and subsequent amendments thereto with effect from 1 January 2014. NBT on Financial Services is calculated as 2% of the value addition used for the purpose of VAT on Financial Services.

2.3.15 Equity Reserves (Policy applicable prior to 1 January 2018)

The reserves recorded in equity (Statement of Comprehensive Income) on the Bank's Statement of Financial Position include 'Available for Sale' reserve which comprises of changes in fair value of Financial Investments - Available for Sale.

2.3.16 Recognition of Financial Income and Expenses

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Bank and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

(a) Income

Financing income and expenses are recognised in Statement of Profit or Loss using the Effective Profit Rate (EPR).

The EPR is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the Financial Asset or Liability (or, where appropriate, a shorter period) to the carrying amount of the Financial Asset or Liability.

When calculating the EPR, the Bank estimates future cash flows considering all contractual terms of the Financial Instrument, but not future credit losses. The calculation of the EPR includes all fees and points paid or received that are an integral part of the effective profit rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a Financial Asset or Liability.

(b) Fee and Commission Income

Fee and Commission Income and expense that are integral to the EPR on a Financial Asset or Liability are included in the measurement of the EPR.

The Bank earns Fee and Commission Income from a diverse range of services it provides to its customers comprising of fees receivable from customers for issuing Letters of credit, guarantees, account servicing fees, legal fees and other services provided by the Bank and are recognised as the related services are performed.

(c) Dividend Income

Dividend Income is recognised when the Bank's right to receive the payment is established.

(d) Net Trading Income

Results arising from gains and losses on spot and promissory forward transactions.

(e) Short Term Employee Benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided, and are included under Personnel Expenses in the Statement of Profit or Loss. A liability is recognised for the amounts expected to be paid under short-term bonus if the Bank has a present legal or constructive obligation to pay this amount as a result of past service rendered by the employee and the obligation can be measured reliably.

2.3.17 Financial Guarantees

In the ordinary course of business, the Bank gives Financial Guarantees, consisting of letters of credit, guarantees and acceptances. Financial Guarantees are initially recognised in the Financial Statements (within 'Other Liabilities') at fair value, being the premium received. Subsequent to initial recognition, the Bank's Liability under each guarantee is measured at the higher of the amount initially recognised less cumulative amortisation recognised in the Statement of Profit or Loss, and the best estimate of expenditure required to settle any financial obligation arising as a result of the guarantee.

Any increase in the Liability relating to Financial Guarantees is recorded in the Statement of Profit or Loss in Impairment for Financing and Receivables to Other Customers. The premium received is recognised in the Statement of Profit or Loss in 'Net Fees and Commission Income' on a straight line basis over the life of the guarantee.

2.3.18 Segment Reporting

A Segment is a distinguishable component of the Bank that is engaged in providing services (Business Segments) or in providing services within a particular economic environment (Geographical Segment) which is subject to risks and rewards that are different from those of other segments.

In accordance with the Sri Lankan Accounting Standard SLFRS 8 - 'Segmental Reporting', segmental information is presented in respect of the Bank based on Bank's management and internal reporting structure.

The Bank's segmental reporting is based on the following operating segments.

- ★ Consumer Banking: Individual and SME customers' deposits and consumer financing including overdrafts, asset financing, lease financing, gold facilities, home and property financing.
- ★ Business Banking: Trade financing, overdraft, equipment and machinery financing, working capital financing, lease financing and other credit facilities and deposits of corporate customers.
- ★ Treasury: Placements of funds with other banks and financial institutions, equity investments and managing exposures in foreign exchange.

Management monitors the operating results of its business units separately for the

purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss of respective segment.

Details of segment reporting are given in Note 3 to the Financial Statements.

2.3.19 Earnings Per Share

Earnings Per Share is calculated by dividing profit or loss attributable to Ordinary Shareholders of the Bank by the weighted average number of ordinary shares outstanding for the period.

Details of Earnings Per Share are given in Note 15 to the Financial Statements.

2.3.20 Cash Flow Statement

The cash flow statement has been prepared using the direct method of preparing cash flows in accordance with the Sri Lanka Accounting Standard (LKAS 7) - "Statement of Cash Flows" whereby gross cash receipts and gross cash payments of operating activities, finance activities and investing activities have been recognised. Cash and cash equivalents comprise of short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of change in value. The cash and cash equivalents include cash in hand and balances with banks.

2.3.21 Standards Issued but not yet Effective

The following Sri Lanka Accounting Standards have been issued by the Institute of Chartered Accountants of Sri Lanka which are not yet effective as at 31 December 2018.

Notes to the Financial Statements

2.3.21.1 SLFRS 16- Leases

SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases for both parties to a contract, i.e. the customer ('Lessee') and the supplier ('Lessor'). SLFRS 16 will replace Sri Lanka Accounting Standard – LKAS 17 (Leases) and related interpretations. SLFRS 16 introduces a single accounting model for the lessee, eliminating the present classification of leases in LKAS 17 as either operating leases or finance leases.

The new Standard requires a lessee to:

- ★ recognise assets and liabilities for all leases with a term of more than 12 months, unless the underlying asset is of low value
- ★ present depreciation of lease assets separately, from profit on lease liabilities in the income statement.

SLFRS – 16 substantially carries forward the lessor accounting requirement in LKAS – 17. Accordingly, a lessor continues to classify its leases as operating lease or finance lease, and to account for those two types of leases differently

SLFRS -16 will become effective on 1 January 2019. The Bank is currently assessing the impact on the implementation of the above Standard.

3. SEGMENT INFORMATION

The following table presents information on total income, profit, total assets and liabilities regarding the Bank's operating segments.

	Consumer Banking 2018 Rs.	Business Banking 2018 Rs.	Total Banking 2018 Rs.	Treasury 2018 Rs.	Unallocated/ Elimination 2018 Rs.	Total 2018 Rs.
Income						
Financing Income	1,804,400,654	4,329,232,771	6,133,633,425	706,623,642	42,964,803	6,883,221,870
Net Fee and Commission Income	136,774,298	131,216,200	267,990,498	27,599,951	1,458,357	297,048,806
Net Trading Gain	-	-	-	461,155,830	-	461,155,830
Net Gains / (Losses) from Financial Investments at Fair Value Through Profit or Loss	-	-	-	(22,436,152)	-	(22,436,152)
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	1,892,185	-	1,892,185
Other Operating Income	-	-	-	6,654,850	7,391	6,662,241
Total Income	1,941,174,952	4,460,448,971	6,401,623,923	1,181,490,306	44,430,551	7,627,544,780
Less						
Financing Expenses			(3,501,947,180)	(20,942,176)	-	(3,522,889,356)
Impairment On Financial Assets			(476,765,687)	-	-	(476,765,687)
Operating Expenses			(1,511,903,077)	(787,912,402)	(5,837,006)	(2,305,652,485)
Operating Profit Before VAT on Financial Services, NBT and Debt Repayment Levy			911,007,979	372,635,728	38,593,545	1,322,237,252
VAT on Financial Services, NBT and Debt Repayment Levy						(420,038,265)
Profit Before Tax						902,198,987
Tax Expenses						(345,753,279)
Profit After Tax						556,445,708
Total Assets	14,594,253,966	38,259,409,391	52,853,663,356	16,946,546,239	7,469,557,872	77,269,767,468
Total Liabilities	58,002,974,955	3,719,707,640	61,722,682,595	1,212,749,796	2,700,234,762	65,635,667,153

Notes to the Financial Statements

	Consumer Banking 2017 Rs.	Business Banking 2017 Rs.	Total Banking 2017 Rs.	Treasury 2017 Rs.	Unallocated/ Elimination 2017 Rs.	Total 2017 Rs.
Income						
Financing Income	1,497,872,067	3,669,698,602	5,167,570,669	355,727,225	20,939,362	5,544,237,256
Net Fee and Commission Income	101,366,662	124,098,083	225,464,745	9,264,580	1,405,001	236,134,326
Net Trading Gain	-	-	-	388,699,264	-	388,699,264
Other Operating Income	-	-	-	9,255,054	212,466	9,467,520
Total Income	1,599,238,729	3,793,796,685	5,393,035,414	762,946,123	22,556,829	6,178,538,366
Less						
Financing Expenses			(2,774,139,251)	(16,478,801)	-	(2,790,618,052)
Impairment On Financial Assets			(246,010,752)	(43,771,922)	-	(289,782,674)
Operating Expenses			(1,476,286,672)	(552,810,545)	(10,475,835)	(2,039,573,052)
Operating Profit Before VAT on Financial Services and NBT			896,598,739	149,884,855	12,080,994	1,058,564,588
VAT on Financial Services and NBT						(319,245,989)
Profit Before Tax						739,318,599
Tax Expenses						(236,490,936)
Profit After Tax						502,827,663
Total Assets	12,164,490,690	30,749,652,881	42,914,143,571	15,841,112,624	4,784,826,360	63,540,082,555
Total Liabilities	48,522,718,574	2,399,842,507	50,922,561,081	1,514,164	1,302,204,915	52,226,280,160

4. FINANCING INCOME

	2018 Rs.	2017 Rs.
Financing Income	6,176,598,228	5,188,510,031
Placement Income	706,623,642	355,727,225
Total	6,883,221,870	5,544,237,256

Accrued income from Impaired Financial Assets amounting to Rs. 60,260,082 (2017 - Rs. 29,083,543) has been deducted from Financing Income.

5. FINANCING EXPENSES

	2018 Rs.	2017 Rs.
Expenses on Due to Other Customers	3,501,947,180	2,774,139,251
Expenses on Due to Banks	20,942,176	16,478,801
Total	3,522,889,356	2,790,618,052

6. NET FEES AND COMMISSION INCOME

	2018 Rs.	2017 Rs.
Trade Related Services	117,149,710	92,040,915
Other Banking & Financial Services	179,899,096	144,093,411
Total	297,048,806	236,134,326

7. NET TRADING INCOME

	2018 Rs.	2017 Rs.
Gain / (Loss) on Financial Assets at Fair Value through Profit or Loss	-	(5,472,885)
Foreign Exchange Income		
- From Banks	429,434,917	367,754,328
- From Customers	31,720,913	26,417,821
Total	461,155,830	388,699,264

Foreign Exchange Income includes gains and losses from spot and promissory forward transactions.

8. NET GAINS / (LOSSES) FROM FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH PROFIT OR LOSS

	2018 Rs.	2017 Rs.
Equity Securities	(22,436,152)	-
Total	(22,436,152)	-

The above consists of unrealised gains and losses from changes in the fair value of equity securities.

9. NET GAINS / (LOSSES) FROM DERECOGNITION OF FINANCIAL ASSETS

	2018 Rs.	2017 Rs.
Equity Securities	1,892,185	-
Total	1,892,185	-

The above consists of derecognition of equity securities classified at fair value through Profit or Loss.

10. NET OTHER OPERATING INCOME

	2018 Rs.	2017 Rs.
Income from Dividends	6,654,850	8,420,541
Gain/(Loss) from Disposal of Financial Investments - Available for Sale	-	834,513
Gain/(Loss) on Disposal of Property, Plant and Equipment	7,391	212,466
Total	6,662,241	9,467,520

Notes to the Financial Statements

11. IMPAIRMENT ON FINANCIAL ASSETS

The table below shows the ECL charges on Financial Instruments for the year recorded in the Statement of Profit or Loss

	Stage 1	Stage 2	Stage 3	Total
Cash and Cash Equivalents (Note 17.1)	933,725	-	-	933,725
Placements with Banks (Note 19.1)	787,604	-	-	787,604
Placements with Licensed Finance Companies (Note 20.1)	96,535	-	-	96,535
Commitments and Contingencies (Note 46.2.1)	1,790,702	105,331	411	1,896,444
Financing and Receivables to Other Customers (Note 23.4)	66,734,629	190,695,567	215,621,183	473,051,379
	70,343,195	190,800,898	215,621,594	476,765,687

The Table below shows the impairment charges recorded in the Statement of Profit or Loss under LKAS 39 during 2017

- Individual Impairment	90,576,041
- Collective Impairment	155,434,711
	246,010,752
Impairment on Available for Sale Financial Assets (11.1)	43,771,922
	289,782,674

11.1 Impairment on Available for Sale Financial Assets

The impairment on Available for Sale financial assets is recognised for the equity instruments that met objective evidence of impairment, where a 'significant' or 'prolonged' decline in the fair value of the investment below its cost is observed. Accordingly, the cumulative loss measured as the difference between the acquisition cost and the current fair value of those investments, is transferred from Other Comprehensive Income/Available for Sale Reserve and recognised in the Statement of Profit or Loss.

12. PERSONNEL EXPENSES

	2018 Rs.	2017 Rs.
Salaries and Bonus	877,092,455	791,102,684
Defined Contribution Plan - EPF/ETF	111,618,072	102,128,450
Defined Benefit Plan - Gratuity (Note 34)	33,542,300	26,427,071
Other Staff Related Expenses	223,970,460	176,134,219
Total	1,246,223,287	1,095,792,424

13. OTHER OPERATING EXPENSES

	2018 Rs.	2017 Rs.
Directors' Emoluments	12,597,920	12,949,222
Auditors' Remuneration		
- Audit Fee and Expenses	2,939,509	2,711,409
- Non Audit Service	1,086,800	1,985,190
Professional and Legal Fees	32,554,841	37,325,666
Office Administration and Establishment Expenses	537,515,961	439,142,867
Advertising and Promotion	75,380,557	59,729,485
Deposit Insurance Premium	57,066,936	61,816,007
System Support Fee	80,462,839	70,054,328
Others	85,198,906	60,219,553
Total	884,804,269	745,933,727

14. TAX EXPENSES

	2018 Rs.	2017 Rs.
Current Tax:		
Current Tax Expense	330,606,612	182,880,376
Over Provisions in respect of Previous Year	(1,285,909)	-
Deferred Tax:		
Deferred Taxation Charged/(Reversal) (Note 33)	16,432,575	53,610,560
Income Tax expense reported in the Statement of Profit or Loss	345,753,278	236,490,936

14.1 A reconciliation between Current Tax Expense and the Product of Accounting Profit

	2018 Rs.	2017 Rs.
Accounting Profit before Income Tax	902,198,987	739,318,599
Statutory Tax Rate	28%	28%
At the Statutory Income Tax Rate	252,615,716	207,009,208
Income Exempt from Tax	(4,775,862)	(17,705,921)
Non Deductible Expenses	1,122,052,708	781,373,676
Deductible Expenses	(1,039,285,950)	(689,322,538)
Adjustment for Tax Losses Arisen / (Utilised)	-	(98,474,049)
Income Tax Expense / (Reversals)	330,606,612	182,880,376

The effective income tax rate for 2018 is 38.32% (2017 - 31.99%).

15. EARNINGS PER SHARE - BASIC / DILUTED

Earnings Per Share is calculated by dividing the net Profit or Loss for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

The following reflects the income and share data used in the Earnings Per Share computations.

	2018 Rs.	2017 Rs.
Amount used as the Numerator:		
Net Profit Attributable to Ordinary Shareholders	556,445,708	502,827,663
Number of Ordinary Shares used as Denominator:		
Weighted Average number of Ordinary Shares in Issue (Note 15.1)	2,501,390,534	1,750,973,374
Earnings Per Share - Basic / Diluted	0.22	0.29

Notes to the Financial Statements

15.1 Weighted Average Number of Ordinary Shares for Basic and Diluted Earnings per Share

	Outstanding No. of Shares		Weighted average No. of Shares	
	2018	2017	2018	2017
Number of shares in issue as at 1 January	2,501,390,534	1,250,695,267	2,501,390,534	1,250,695,267
Add				
Rights Share Issue	-	1,250,695,267	-	500,278,107
Weighted Average Number of Ordinary Shares for Diluted Earnings per Ordinary Share Calculation	2,501,390,534	2,501,390,534	2,501,390,534	1,750,973,374

16. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

16.1 Analysis of Financial Instruments by Measurement - as at 31.12.2018

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 and by headings of the Statement of Financial Position.

	Fair Value through Profit or Loss Rs.	Amortised Cost Rs.	Fair Value through Other Comprehensive Income Rs.	Total As at 31.12.2018 Rs.
Financial Assets				
Cash and Cash Equivalents	-	5,338,090,636	-	5,338,090,636
Balance with Central Bank of Sri Lanka	-	3,543,444,781	-	3,543,444,781
Placements with Banks	-	9,264,699,249	-	9,264,699,249
Placements with Licensed Finance Companies	-	2,427,970,097	-	2,427,970,097
Derivative Financial Assets	445,732,740	-	-	445,732,740
Financial Assets recognised through Profit or Loss				
- Measured at Fair Value	113,249,108	-	-	113,249,108
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	52,853,663,356	-	52,853,663,356
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	186,655,424	186,655,424
Other Assets - Financial	-	585,704,833	-	585,704,833
Total Financial Assets	558,981,848	74,013,572,952	186,655,424	74,759,210,224
Financial Liabilities				
Due to Banks	-	1,210,204,847	-	1,210,204,847
Derivative Financial Liabilities	1,441,005,622	-	-	1,441,005,622
Financial Liabilities at Amortised Cost - Due to Depositors	-	61,722,682,595	-	61,722,682,595
Other Liabilities - Financial	-	480,628,881	-	480,628,881
Total Financial Liabilities	1,441,005,622	63,413,516,323	-	64,854,521,945

16.2 Analysis of Financial Instruments by Measurement - as at 31.12.2017

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in LKAS 39 and by headings of the Statement of Financial Position.

	Held for Trading	Advances and Receivables Rs.	Held to Maturity Rs.	Available for Sale Rs.	Total As at 31.12.2017 Rs.
Financial Assets					
Cash and Cash Equivalents	-	5,859,766,950	-	-	5,859,766,950
Balance with Central Bank of Sri Lanka	-	4,127,811,572	-	-	4,127,811,572
Placements with Banks	-	5,285,796,238	-	-	5,285,796,238
Placements with Licensed Finance Companies	-	2,112,166,496	-	-	2,112,166,496
Derivative Financial Assets	127,616,662	-	-	-	127,616,662
Financial Investments - Held for Trading	41,645,557	-	-	-	41,645,557
Financing and Receivables to Other Customers	-	42,914,143,571	-	-	42,914,143,571
Financial Investments - Available for Sale	-	-	-	323,264,501	323,264,501
Other Financial Assets	-	388,890,295	-	-	388,890,295
Total Financial Assets	169,262,219	60,688,575,122	-	323,264,501	61,181,101,842
Financial Liabilities					
Derivative Financial Liabilities	29,924,292	-	-	-	29,924,292
Due to Other Customers	-	50,922,561,081	-	-	50,922,561,081
Other Financial Liabilities	-	680,470,646	-	-	680,470,646
Total Financial Liabilities	29,924,292	51,603,031,727	-	-	51,632,956,019

17. CASH AND CASH EQUIVALENTS

	2018 Rs.	2017 Rs.
Cash in Hand	2,008,360,284	1,439,275,132
Balances with Banks	3,331,089,834	4,420,491,818
Less: Allowance for Impairment Losses		
- Stage 1	17.1 (1,359,482)	N/A
Total	5,338,090,636	5,859,766,950

17.1 Impairment Allowance for Balances with Banks

	2018 Rs.	2017 Rs.
ECL allowance as at 1 January 2018 under SLFRS 9	425,757	N/A
Charge/(Write Back) for the year	933,725	N/A
Amounts written off	-	N/A
As at 31 December	1,359,482	N/A

Notes to the Financial Statements

18. BALANCE WITH CENTRAL BANK OF SRI LANKA

	2018 Rs.	2017 Rs.
Statutory Deposit with the Central Bank of Sri Lanka	3,543,444,781	4,127,811,572
	3,543,444,781	4,127,811,572

As required by the Provisions of Section 93 of the Monetary Law Act, a cash balance is required to be maintained with Central Bank of Sri Lanka. As at 31 December 2018, the minimum cash reserve requirement was 6.0% (2017 - 7.5%) of Rupee liabilities of the Domestic Banking Unit. There is no reserve requirement for foreign currency deposit liabilities of the Domestic Banking Unit.

The statutory deposit with Central Bank of Sri Lanka is not available for financing the Bank's day to day operations and therefore it is not considered as part of Cash and Cash Equivalents.

19. PLACEMENTS WITH BANKS

		2018 Rs.	2017 Rs.
Saving Deposits		148,810	183,617
Term Deposits		9,266,029,115	5,285,612,621
Less: Allowance for Impairment Losses			
- Stage 1	19.1	(1,478,676)	N/A
Total		9,264,699,249	5,285,796,238

19.1 Impairment Allowance for Placements with Banks

		2018 Rs.	2017 Rs.
ECL allowance as at 1 January 2018 under SLFRS 9		691,072	N/A
Charge/(Write Back) for the year		787,604	N/A
Amounts written off		-	N/A
As at 31 December		1,478,676	N/A

20. PLACEMENTS WITH LICENSED FINANCE COMPANIES

		2018 Rs.	2017 Rs.
Saving Deposits		437,615	902,524
Term Deposits		2,427,698,959	2,111,263,972
Less: Allowance for Impairment Losses			
- Stage 1	20.1	(166,477)	N/A
Total		2,427,970,097	2,112,166,496

20.1 Impairment Allowance for Licensed Finance Companies

	2018 Rs.	2017 Rs.
ECL allowance as at 1 January 2018 under SLFRS 9	69,942	N/A
Charge/(Write Back) for the year	96,535	N/A
Amounts written off	-	N/A
As at 31 December	166,477	N/A

21. DERIVATIVE FINANCIAL ASSETS

	2018 Rs.	2017 Rs.
Spot and Promissory Forward Foreign Exchange Transactions	445,732,740	127,616,662
Total	445,732,740	127,616,662

22. FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH PROFIT OR LOSS / FINANCIAL ASSETS - HELD FOR TRADING

SLFRS 9 requires Financial Assets to be classified based on a combination of the entity's business model for managing the assets and the instruments' contractual cash flow characteristics. Majority of the equity securities previously held under Available for Sale category have been reclassified as Financial Assets Fair Value through Profit or Loss (FVPL) upon adoption of SLFRS 9. LKAS 39 required Held for Trading Financial Instruments to be measured at fair value through profit or loss.

	2018 Rs.	2017 Rs.
Investment in Equity Securities - Quoted (22.1)	113,249,108	41,645,557
	113,249,108	41,645,557

22.1 Investment in Equity Securities - Quoted

	No. of Ordinary Shares		Carrying Value 2018 Rs.	Carrying Value 2017 Rs.
	2018	2017		
Access Engineering PLC	732,000	-	10,321,200	-
Amāna Takaful PLC	150,453	4,522,886	1,023,080	3,618,308
Bairaha Farms PLC	37,343	37,343	4,656,672	5,500,624
C.W. Mackie PLC	919,990	268,656	40,479,560	12,358,176
Ceylon Grain Elevators PLC	-	5,379	-	355,552
Chevron Lubricants Lanka PLC	115,100	-	8,379,280	-
Dankotuwa Porcelain PLC	-	100,000	-	750,000
Expolanka Holdings PLC	4,540,098	617,139	18,160,392	3,270,837
Lanka IOC PLC	-	260,000	-	7,280,000
Nestle Lanka PLC	3,849	3,850	6,543,300	6,260,100
Panasian Power PLC	-	300,000	-	810,000
Renuka Agri Foods PLC	554,600	554,600	1,164,660	1,441,960
Teejay Lanka PLC	516,000	-	16,770,000	-
Vallibel Power Erathna PLC	898,588	-	5,750,963	-
Total Carrying Value			113,249,107	41,645,557

Notes to the Financial Statements

23. FINANCIAL ASSETS AT AMORTISED COST - FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

	2018 Rs.	2017 Rs.
Summary		
Gross Financing and Receivables to Other Customers	53,906,266,675	43,440,441,038
Less: Accumulated Impairment		
Stage 1	(254,292,636)	-
Stage 2	(299,783,574)	-
Stage 3	(498,527,109)	-
Individual Impairment	-	(176,246,274)
Collective Impairment	-	(350,051,193)
Total	52,853,663,356	42,914,143,571

23.1 By Product

Overdraft	4,854,634,325	3,277,284,836
Trade Finance	2,843,435,798	2,751,509,589
Lease Receivables	6,430,001,609	5,685,035,955
Staff Facilities	571,828,825	502,563,264
Term Financing:		
- Short Term	14,374,101,901	11,201,672,201
- Long Term	21,647,893,766	17,600,853,793
Gold Facilities	2,402,267,026	1,581,420,947
Others	782,103,425	840,100,453
	53,906,266,675	43,440,441,038

Less: Accumulated Impairment

Stage 1	(254,292,636)	-
Stage 2	(299,783,574)	-
Stage 3	(498,527,109)	-
Individual Impairment	-	(176,246,274)
Collective Impairment	-	(350,051,193)
Total	52,853,663,356	42,914,143,571

23.2 By Currency

	2018 Rs.	2017 Rs.
Sri Lanka Rupees	48,978,136,508	40,413,963,736
United States Dollars	4,928,130,167	3,026,477,302
	53,906,266,675	43,440,441,038

Less: Accumulated Impairment

Stage 1	(254,292,636)	-
Stage 2	(299,783,574)	-
Stage 3	(498,527,109)	-
Individual Impairment	-	(176,246,274)
Collective Impairment	-	(350,051,193)
Total	52,853,663,356	42,914,143,571

23.3 By Industry

	2018 Rs.	2017 Rs.
Agriculture and Fishing	8,667,254,030	7,127,658,590
Manufacturing	6,917,364,736	7,459,433,920
Tourism	674,881,931	693,991,766
Transportation & Storage	2,017,543,808	672,508,862
Construction	8,169,038,748	6,498,301,669
Wholesale & Retail Trade	15,521,433,465	9,595,514,369
Information Technology And Communication Services	207,724,073	272,551,395
Financial and Business Services	690,778,673	126,841,669
Infrastructure	603,693,240	268,259,334
Services	689,935,720	1,682,616,447
Consumers	9,746,618,251	9,042,763,017
	53,906,266,675	43,440,441,038
Less: Accumulated Impairment		
Stage 1	(254,292,636)	-
Stage 2	(299,783,574)	-
Stage 3	(498,527,109)	-
Individual Impairment	-	(176,246,274)
Collective Impairment	-	(350,051,193)
Total	52,853,663,356	42,914,143,571

23.4 Impairment Allowance for Financing and Receivables to Other Customers

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, under SLFRS 9 as at 31.12.2018 is as follows:

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Impairment Rs.
ECL allowance as at 1 January 2018 under SLFRS 9	187,558,007	109,088,007	282,905,926	579,551,940
Charge/(Write Back) for the year	66,734,629	190,695,567	215,621,183	473,051,379
Amounts written off	-	-	-	-
As at 31 December 2018	254,292,636	299,783,574	498,527,109	1,052,603,319

Notes to the Financial Statements

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, under LKAS 39 as at 31.12.2017 is as follows:

	Individual Impairment Rs.	Collective Impairment Rs.	Total Impairment Rs.
As at 31 December 2016	85,923,164	194,616,482	280,539,646
Charge/(Write Back) for the year	90,576,041	155,434,711	246,010,752
Amounts written off	(252,931)	-	(252,931)
As at 31 December 2017	176,246,274	350,051,193	526,297,467

Based on the requirements of the SLFRS 9, the Bank applies the amortised cost method to measure the Financial Instruments in instances where the Bank's business model to hold the Financial Asset to collect the contractual cash flows. The characteristics of the contractual cash flows herein refers to repayment of capital and profits/income only (referred to as "SPPI" test under SLFRS 9).

- ★ Capital is the fair value of the instrument at initial recognition.
- ★ Profit/Income is the return within a basic financing arrangement and typically consists of consideration for the credit risk and may also include consideration for other basic risks such as liquidity risk as well as a financing margin.

The Bank manages its Financial Assets to achieve its business objective having carried out the appropriate business model assessment.

Accordingly, Financial Assets classified as Financing and Receivables to Other Customers as per the LKAS 39 Financial Instruments : Recognition and Measurement, were reclassified and remeasured based on the business model of the Bank and classified as the Financial Assets at Amortised Cost - Financing and Receivables to Other Customers.

24. FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME / FINANCIAL ASSETS - AVAILABLE FOR SALE

Financial Assets held under the category of Fair Value through other Comprehensive Income (FVOCI) consists of equity investments. Gains or Losses arising due to changes in fair value are recognised in OCI. Realised Gains or Losses are not recognised to the Statement of Profit or Loss and is also not subject to any impairment assessment. Dividends earned whilst holding FVOCI Financial Assets are recognised in the Statement of Profit or Loss in 'Net Other Operating Income' when the right to receive the dividend is established. Majority of the equity securities previously held under Available for Sale category have been reclassified as Financial Assets Fair Value through Profit or Loss (FVPL) upon adoption of SLFRS 9.

	2018 Rs.	2017 Rs.
Investments in Securities		
Equities - Quoted (24.1)	183,662,424	320,271,501
Equities - Unquoted (24.2)	2,993,000	2,993,000
	186,655,424	323,264,501

24.1 Investment in Equity - Quoted

	No. of Ordinary Shares		Carrying Value	Carrying Value
	2018	2017	2018	2017
			Rs.	Rs.
Access Engineering PLC	-	702,000	-	16,497,000
Amāna Takaful PLC	27,009,180	270,091,800	183,662,424	216,073,440
C. W. Mackie PLC	-	634,658	-	29,194,268
Chevron Lubricants Lanka PLC	-	113,100	-	13,458,900
Expolanka Holdings PLC	-	3,922,959	-	20,791,683
Teejay Lanka PLC	-	515,200	-	17,516,800
Vallibel Power Erathna PLC	-	898,588	-	6,739,410
Total			183,662,424	320,271,501

24.2 Investment in Equity - Unquoted

	No. of Ordinary Shares		Carrying Value	Carrying Value
	2018	2017	2018	2017
			Rs.	Rs.
Lanka Clear (Private) Limited	50,000	50,000	2,000,000	2,000,000
Credit Information Bureau of Sri Lanka	300	300	993,000	993,000
Total Carrying Value			2,993,000	2,993,000

All unquoted investments are recorded at cost and the Bank intends to hold them for the long term.

25. OTHER ASSETS - FINANCIAL

	2018	2017
	Rs.	Rs.
Prepayments and Advances	111,830,047	105,518,334
Pre-paid Staff Costs	180,861,207	154,079,850
Other Receivables	293,013,579	129,292,111
Total	585,704,833	388,890,295

Notes to the Financial Statements

26. PROPERTY, PLANT AND EQUIPMENT

	Freehold Land and Building Rs.	Improvements to Leasehold Premises Rs.	Furniture and Fittings Rs.	Office Equipment Rs.	Computer Equipment Rs.	Motor Vehicles Rs.	Computer Servers Rs.	Total Rs.
Cost or Valuation:								
As at 1 January 2017	892,278,542	224,159,839	149,615,269	360,426,097	204,661,905	23,064,645	101,717,807	1,955,924,104
Additions	4,055,863	13,334,799	26,241,349	25,563,897	15,975,423	482,200	2,478,219	88,131,750
Revaluation - Note 26.5	608,536,162	-	-	-	-	-	-	608,536,162
Transfer*	(3,587,717)	-	-	-	-	-	-	(3,587,717)
Disposals	-	-	(101,826)	(2,301,600)	-	-	-	(2,403,426)
As at 31 December 2017	1,501,282,850	237,494,638	175,754,792	383,688,394	220,637,328	23,546,845	104,196,026	2,646,600,873
Additions	4,718,245	55,441,322	24,958,482	27,967,529	49,347,239	496,830	58,814,708	221,744,355
Revaluation	-	-	-	-	-	-	-	-
Transfer*	-	-	-	-	-	-	-	-
Disposals	-	(28,923,982)	-	(432,760)	-	-	-	(29,356,742)
As at 31 December 2018	1,506,001,095	264,011,978	200,713,274	411,223,163	269,984,567	24,043,675	163,010,734	2,838,988,486
Depreciation								
As at 1 January 2017	2,382,530	131,276,213	88,602,703	256,188,655	137,955,828	8,402,756	83,524,540	708,333,225
Disposals	-	-	(101,827)	(2,057,519)	-	-	-	(2,159,346)
Transfer*	(3,587,716)	-	-	-	-	-	-	(3,587,716)
Depreciation Charge for the year	2,408,432	33,814,616	26,087,212	46,329,695	31,010,729	1,154,905	8,073,604	148,879,193
As at 31 December 2017	1,203,246	165,090,829	114,588,088	300,460,831	168,966,557	9,557,661	91,598,144	851,465,356
Disposals	-	(28,923,982)	-	(432,760)	-	-	-	(29,356,742)
Depreciation Charge for the year	2,754,241	23,979,421	24,783,245	35,338,386	25,475,294	1,185,561	13,169,569	126,685,717
Transfer*	-	-	-	-	-	-	-	-
As at 31 December 2018	3,957,487	160,146,268	139,371,333	335,366,457	194,441,851	10,743,222	104,767,713	948,794,331
Net Book Value:								
As at 31 December 2018	1,502,043,608	103,865,710	61,341,941	75,856,706	75,542,716	13,300,453	58,243,021	1,890,194,155
As at 31 December 2017	1,500,079,604	72,403,809	61,166,704	83,227,563	51,670,771	13,989,184	12,597,882	1,795,135,517

*This transfer relates to the accumulated depreciation as at the revaluation date that was eliminated against the gross carrying amount of the revalued asset.

26.1 During the year, the Bank acquired Property Plant and Equipment to the aggregate value of Rs.221,744,355/- (2017 - Rs.88,131,749/-). Cash payments amounting to Rs. 247,972,369/- (2017 - Rs.62,099,109/-) were made during the year for purchase of Property Plant and Equipment.

26.2 Property, Plant and Equipment includes fully depreciated assets with a gross carrying amount of Rs.685,919,389/- (2017 - Rs. 416,184,627/-) which are still in use at the date of the Statement of Financial Position.

26.3 There were no Property, Plant and Equipment identified as temporarily idle as at the date of the Statement of Financial Position.

26.4 No assets have been pledged by the Bank.

26.5 The Bank measures land and buildings at revalued amounts with gains in fair value being recognised in Statement of Comprehensive Income and losses in the Statement of Profit or Loss. An independent valuation specialist was engaged to assess the fair value as at 01 July 2017 for the revalued land and buildings. Land and buildings were valued by reference to market-based evidence, using comparable prices adjusted for specific market factors such as nature, location and condition of the property.

The key assumptions used to determine the fair value of the revalued land and buildings and the sensitivity analyses are further discussed below.

The revalued land and buildings consist of Office properties in Colombo 3, Sri Lanka. Management determined that these constitute one class of asset under SLFRS 13, based on the nature, characteristics and risks of the property.

Valuation methods, assumptions and measurement hierarchy

Fair value of the land and building is determined at Rs. 1,499,000,000 that falls under Level 3 (Significant unobservable inputs) of the fair value measurement hierarchy. The fair value was determined using the market comparable method. This means that valuations performed by the valuer are based on market prices, significantly adjusted for differences in the nature, location or condition of the specific property. The property's fair values are based on valuations performed by Mr. P.P.T. Mohideen (Chartered Valuation Surveyor and Fellow of the Institute of Valuers of Sri Lanka), an accredited independent valuer and having recent experience in the location and category of the Land and Building during the year.

Key valuation assumptions used are:

Significant unobservable valuation input:

Land : Price per perch Rs. 20,000,000

Building : Price per square foot Rs. 3,150 - Rs. 3,850

Significant increases / (decreases) in estimated price per perch and square foot in isolation would result in a significantly higher / (lower) fair value.

Reconciliation of fair value of revalued land and buildings:

	2018 Rs.	2017 Rs.
As at 1 January	1,141,877,030	533,340,868
Level 3 Revaluation Recognised due to Revaluation Model	-	608,536,162
As at 31 December	1,141,877,030	1,141,877,030

If Freehold Land and Buildings were measured using the cost model, the carrying amounts would be as follows:

	2018			2017		
	Cost Rs.	Accumulated Depreciation Rs.	Net Carrying Amount Rs.	Cost Rs.	Accumulated Depreciation Rs.	Net Carrying Amount Rs.
Freehold Land	300,299,702	-	300,299,702	300,299,702	-	300,299,702
Building	67,390,603	(9,383,680)	58,006,923	67,390,603	(7,715,900)	59,674,703
Net Carrying Amount	367,690,305	(9,383,680)	358,306,625	367,690,305	(7,715,900)	359,974,405

Notes to the Financial Statements

26.6 The details of the Land and Building owned by the Bank are as follows;

	Extent		2018		2017	
			Valuation		Valuation	
	Land (Perches)	Building (Sq.ft)	Land Rs.	Building Rs.	Land Rs.	Building Rs.
486, Galle Road Colombo - 03	70.80	22,718	1,499,000,000	83,269,200	1,499,000,000	83,269,200

27. INTANGIBLE ASSETS

	Computer Software Rs.	Total Rs.
Cost:		
As at 1 January 2018	448,007,318	448,007,318
Additions	55,574,724	55,574,724
Disposal	-	-
As at 31 December 2018	503,582,042	503,582,042
Amortisation		
As at 1 January 2018	217,331,447	217,331,447
Amortisation Charge for the year	47,939,212	47,939,212
Disposal	-	-
As at 31 December 2018	265,270,659	265,270,659
Net Book Value:		
As At 31 December 2018	238,311,383	238,311,383
As at 31 December 2017	230,675,871	230,675,871

28. OTHER ASSETS - NON FINANCIAL

	2018 Rs.	2017 Rs.
Stationery Stock	3,551,303	5,187,187
Refundable Deposits	267,036,750	224,700,878
Tax Receivables	111,463,653	103,281,260
Total	382,051,706	333,169,325

29. DUE TO BANKS

	2018 Rs.	2017 Rs.
Balances Due to Banks	1,210,204,847	-
Total	1,210,204,847	-

30. DERIVATIVE FINANCIAL LIABILITIES

	2018 Rs.	2017 Rs.
Spot and Promissory Forward Foreign Exchange Transactions	1,441,005,622	29,924,292
Total	1,441,005,622	29,924,292

31. FINANCIAL LIABILITIES AT AMORTISED COST - DUE TO DEPOSITORS

	2018 Rs.	2017 Rs.
31.1 Total Amount Due to Other Customers	61,722,682,595	50,922,561,081
31.2 By Product		
Demand Deposits	3,285,704,847	3,504,119,592
Savings Deposits	21,754,687,565	20,341,454,239
Time Deposits	36,489,446,409	27,076,987,250
Other Deposits	192,843,774	-
Total	61,722,682,595	50,922,561,081
31.3 By Currency		
Sri Lanka Rupees	53,662,952,267	46,033,920,992
United States Dollars	7,480,960,924	4,297,310,142
Great Britain Pounds	436,323,203	435,252,771
Others	142,446,201	156,077,176
Total	61,722,682,595	50,922,561,081

32. OTHER LIABILITIES - FINANCIAL

	2018 Rs.	2017 Rs.
Accrued Expenses	174,531,861	143,298,045
Balances Held in Margin	87,040,839	61,711,086
Cheques Pending Realisation	114,559,388	346,616,728
Impairment Provision for Expected Credit Loss - Credit related Commitment and Contingencies (Note 46.2.1)	2,549,043	N/A
Other Liabilities	96,239,126	124,151,211
Sundry Creditors	5,708,624	4,693,576
Total	480,628,881	680,470,646

Notes to the Financial Statements

33. DEFERRED TAX

	2018			2017		
	Deferred Tax Liability / (Asset)	Statement of Profit or Loss	Statement of Comprehensive Income	Deferred Tax Liability / (Asset)	Statement of Profit or Loss	Statement of Comprehensive Income
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Deferred Tax Liability						
Capital Allowances for Tax Purposes	183,238,343	(13,427,160)	-	196,665,504	(136,618,293)	-
Capital Gain for Tax Purposes	314,184,209	-	-	314,184,209	-	314,184,209
Deferred Tax Assets						
Defined Benefit Plans	(35,704,964)	(6,606,196)	4,288,718	(33,387,487)	(5,060,430)	(5,197,292)
Defined Benefit Plans -OCI						
Provision for Impairment Losses	(224,754,377)	(224,754,377)	-	-	-	-
Impact of Adopting SLFRS 9	(15,426,276)	-	-	-	-	-
Unused Tax Losses	-	261,220,308	-	(261,220,308)	195,289,283	-
Total	221,536,935	16,432,575	4,288,718	216,241,918	53,610,560	308,986,917

Deferred tax assets have been recognised to the extent that it is probable that future taxable profit will be available against which the unused tax losses can be utilised.

34. RETIREMENT BENEFIT LIABILITY

	Note	2018 Rs.	2017 Rs.
At 1 January		119,241,024	82,606,302
Expenses Recognised in the Statement of Profit or Loss	34.1	33,542,300	26,427,071
Actuarial Gain / (Loss)	34.2	(15,316,850)	18,561,756
Benefits Paid		(9,948,748)	(8,354,105)
At 31 December		127,517,726	119,241,024

34.1 Expenses Recognised in the Statement of Profit or Loss

Current Service Cost	21,236,627	16,101,284
Finance Cost	12,305,673	10,325,787
Components Recognised in the Statement of Profit or Loss	33,542,300	26,427,071

34.2 Expenses Recognised in the Statement of Comprehensive Income

Recognition of Actuarial (Gain)/Loss	(15,316,850)	18,561,756
Components Recognised in Statement of Comprehensive Income	(15,316,850)	18,561,756
Total	18,225,450	44,988,827

As at 31 December 2018 the gratuity liability of the Bank was actuarially valued under Projected Unit Credit Method by Messrs. Piyal S Goonetilke & Associates a firm of professional actuaries.

	2018	2017
Discount Rate	12.00%	10.32%
Salary Increment Rate	9.0%	9.0%
Age of Retirement	55	55
Mortality	GA 1983 Mortality Table	GA 1983 Mortality Table

34.3 Sensitivity of Assumptions Employed in Actuarial Valuation

The following table demonstrates the sensitivity to a reasonably possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measurement.

The sensitivity of the Statement Profit or Loss and Statement of Financial Position is the effect of the assumed changes in discount rate and salary increment rate on the profit or loss and employment benefit obligation for the year.

Increase / (decrease) in discount rate	Increase / (Decrease) in Salary Increment	Sensitivity Effect on Comprehensive Income Increase/(Reduction) in results for the year (Rs. Mn.)		Sensitivity Effect on Employment Benefit obligation Increase/(Decrease) in the Liability (Rs. Mn.)	
		2018	2017	2018	2017
1%	-	8.63	8.90	(8.63)	(8.90)
(1%)	-	(9.94)	(10.35)	9.94	10.35
	1%	(12.21)	(11.14)	12.21	11.14
	(1%)	10.75	9.75	(10.75)	(9.75)

34.4 Distribution of Defined Benefit Obligation Over Future Lifetime

The following table demonstrates distribution of the future working lifetime of the Defined Benefit Obligation as at the reporting date.

	2018	2017
Less than 1 year	10,407,589	14,900,974
Between 1 and 2 years	34,186,151	28,466,367
Between 3 and 5 years	57,825,483	65,217,347
Beyond 5 years	124,659,590	101,674,647
Total Expected Payments	227,078,813	210,259,335

35. OTHER LIABILITIES - NON FINANCIAL

	2018 Rs.	2017 Rs.
Statutory Payable	97,921,864	70,765,834
Total	97,921,864	70,765,834

The above balances consists of statutory taxes payable.

36. STATED CAPITAL

	2018		2017	
	Number	Rs.	Number	Rs.
Fully Paid Ordinary Shares	2,501,390,534	10,619,450,156	2,501,390,534	10,619,450,156
Total	2,501,390,534	10,619,450,156	2,501,390,534	10,619,450,156

36.1 Fully Paid Ordinary Shares

	2018		2017	
	Number	Rs.	Number	Rs.
Balance as at 1 January	2,501,390,534	10,619,450,156	1,250,695,267	5,866,808,141
Issue of Shares for cash	-	-	1,250,695,267	4,752,642,015
Balance as at 31 December	2,501,390,534	10,619,450,156	2,501,390,534	10,619,450,156

Notes to the Financial Statements

37. TRANSITION DISCLOSURES

The following notes set out the impact of adopting SLFRS 9 on the Statement of Financial Position, and retained earnings including the effect of replacing incurred credit loss calculations under LKAS 39 with expected credit loss (ECL) calculations under SLFRS 9.

Bank Reconciliation of Equity as at 31 December 2017

LKAS 39	Note	LKAS 39 Measurement		Reclassification	Measurement	
		Category	Rs.		ECL	Other
				Rs.	Rs.	Rs.
Financial Assets						
Cash and Cash Equivalents		A&R	5,859,766,950	-	(425,757)	-
Balance with Central Bank of Sri Lanka		A&R	4,127,811,572	-	-	-
Derivative Financial Assets		HFT	127,616,662	-	-	-
Placements with Banks		A&R	5,285,796,238	-	(691,072)	-
Placements with Licensed Finance Companies		A&R	2,112,166,496	-	(69,942)	-
Financial Investments - Held for Trading	A	HFT	41,645,557	(41,645,557)	-	-
				145,843,618		
Financing and Receivables to Other Customers		A&R	42,914,143,571	-	(53,254,473)	-
				219,066,440		
Financial Assets - Available for Sale		AFS	323,264,501	(323,264,501)		
Other Financial Assets		A&R	388,890,295	-	-	-
			61,181,101,842	-	(54,441,244)	-
Non Financial Assets						
Property, Plant and Equipment		N/A	1,795,135,517	-	-	-
Intangible Assets		N/A	230,675,871	-	-	-
Other Non Financial Assets		N/A	333,169,325	-	-	-
			2,358,980,713	-	-	-
Total Assets			63,540,082,555	-	(54,441,244)	-
Financial Liabilities						
Derivative Financial Liabilities		HFT	29,924,292	-	-	-
Due to Other Customers		A&R	50,922,561,081	-	-	-
Other Financial Liabilities	B	A&R	680,470,646	-	652,599	-
			51,632,956,019	-	652,599	-

SLFRS 9			
Amount			
Rs.	Category	SLFRS 9	
Financial Assets			
5,859,341,193	AC	Cash and Cash Equivalents	
4,127,811,572	AC	Balance with Central Bank of Sri Lanka	
127,616,662	FVPL	Derivative Financial Assets	
5,285,105,166	AC	Placements with Banks	
2,112,096,554	AC	Placements with Licensed Finance Companies	
-			
145,843,618	FVPL	Financial Assets Measured at Fair Value through Profit or Loss	
42,860,889,098	AC	Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	
219,066,440	FVOCI	Financial Assets measured at Fair Value through Other Comprehensive Income	
-			
388,890,295	AC	Other Assets - Financial	
61,126,660,598			
Non Financial Assets			
1,795,135,517		Property, Plant and Equipment	
230,675,871		Intangible Assets	
333,169,325		Other Assets - Non Financial	
2,358,980,713			
63,485,641,311		Total Assets	
Financial Liabilities			
29,924,292	FVPL	Derivative Financial Liabilities	
50,922,561,081	AC	Financial Liabilities at Amortised Cost - Due to Depositors	
681,123,245	AC	Other Liabilities - Financial	
51,633,608,618			

Notes to the Financial Statements

LKAS 39	Note	LKAS 39 Measurement		Reclassification	Measurement	
		Category	Rs.		ECL	Other
				Rs.	Rs.	Rs.
Non Financial Liabilities						
Current tax liabilities		N/A	187,075,365	-	-	-
Other Non Financial Liabilities		N/A	70,765,834	-	-	-
Deferred Tax Liability	C	N/A	216,241,918	-	(15,426,276)	-
Retirement Benefit Liability		N/A	119,241,024	-	-	-
			593,324,141	-	(15,426,276)	-
Total Liabilities			52,226,280,160	-	(14,773,677)	-
Equity						
Stated Capital			10,619,450,156	-	-	-
Statutory Reserve Fund			42,404,597	-	-	-
Other Reserves			(28,031,817)	(13,204)	-	-
Revaluation Reserve			820,716,783	-	-	-
Retained Earnings	D		(140,737,324)	13,204	(39,667,567)	-
Total Equity			11,313,802,395	-	(39,667,567)	-
Total Liabilities and Shareholders' Funds			63,540,082,555	-	(54,441,244)	-

A&R - Advances & Receivables, HFT - Held for Trading, AFS - Available for Sale, FVPL - Fair value through P&L, FVOCI - Fair Value through Other Comprehensive Income, N/A - Not Applicable.

- A Majority of the equity securities previously held under Available for Sale category have been reclassified as Financial Assets Fair Value through Profit or Loss (FVPL) upon adoption of SLFRS 9. The equity securities currently remaining in the Fair Value through Other Comprehensive Income (FVOCI) category is held for strategic purposes.
- B The carrying value of Other Financial Liabilities changed under SLFRS 9 due to recognition of ECL provisions for Financial Guarantees, Letter of Credits, Acceptances and Commitments for unutilised facilities.
- C The impact of SLFRS 9 remeasurements on Deferred Tax is set out below under Note D.

SLFRS 9		
Amount	Category	SLFRS 9
Rs.		
Non Financial Liabilities		
187,075,365	Current tax liabilities	
70,765,834	Other Liabilities - Non Financial	
200,815,642	Deferred Tax Liability	
119,241,024	Retirement Benefit Liability	
577,897,865		
52,211,506,483	Total Liabilities	
Equity		
10,619,450,156	Stated Capital	
42,404,597	Statutory Reserve Fund	
(28,045,021)	Other Reserves	
820,716,783	Revaluation Reserve	
(180,391,687)	Retained Earnings	
11,274,134,828	Total Equity	
63,485,641,311	Total Liabilities and Shareholders' Funds	

D The impact on Retained Earnings by transition to SLFRS 9 is as follows,

	Rs.
Closing balance under LKAS 39 as at 31st December 2017	(140,737,324)
Reclassification adjustments in relation to adopting SLFRS 9	13,204
Recognition of SLFRS 9 ECLs for Financing and Receivables to Other Customers and Financial Investments	(55,093,843)
Deferred tax in relation to the above	15,426,276
Opening balance under SLFRS 9 as at 1st January 2018	(39,654,363)
Total change in equity due to adopting SLFRS 9	(180,391,687)

Notes to the Financial Statements

The following table reconciles the aggregate opening credit loss provision under LKAS 39 to the ECL allowances under SLFRS 9.

	Impairment Provision under LKAS 39 as at 31st December 2017	Measurement	ECLs under SLFRS 9 at 1st January 2018
Cash and Cash Equivalents	5,859,766,950	(425,757)	5,859,341,193
Placements with Banks	5,285,796,238	(691,072)	5,285,105,166
Placements with Licensed Finance Companies	2,112,166,496	(69,942)	2,112,096,554
Financing and Receivables to Other Customers	42,914,143,571	(53,254,473)	42,860,889,098
Commitments and Contingencies	13,304,454,627	(652,599)	13,303,802,028
	69,476,327,882	(55,093,843)	69,421,234,039

38. STATUTORY RESERVE FUND

The Statutory Reserve Fund is maintained as required by Section 20 (1) of the Banking Act No. 30 of 1988. A sum equivalent to 5% of the Profit for the year should be transferred to the Reserve until the reserve is equal to 50% of the paid up capital of the Bank and thereafter a sum equivalent to 2% of such profits until the amount of reserve is equal to the paid up capital of the Bank. This Reserve Fund will be used only for the purpose specified in Section 20 (2) of the Banking Act No. 30 of 1988.

38.1 Statutory Reserve Fund

	2018 Rs.	2017 Rs.
Balance as at 1 January	42,404,597	17,263,213
Transfers during the Year	27,822,285	25,141,384
Balance as at 31 December	70,226,882	42,404,597

39. OTHER RESERVES

	Revenue Reserve Rs.	Available for Sale Reserve Rs.	Total Rs.
As at 1 January 2017	(216,926,328)	(26,868,210)	(243,794,538)
Transferred during the Year	-	25,845,573	25,845,573
Share Issue Expenses	(9,536,684)	-	(9,536,684)
Net Gain/(Loss) on Financial Investments - Available for Sale	-	(27,009,180)	(27,009,180)
Transferred to Retained Earnings	226,463,012	-	226,463,012
As at 31 December 2017	-	(28,031,817)	(28,031,817)
SLFRS 9 impact	-	(13,204)	(13,204)
Reclassifying to Profit or Loss as Impairment	-	-	-
Share Issue Expenses	-	-	-
Net Gain/(Loss) on Financial Investments - Available for Sale	-	(32,411,016)	(32,411,016)
Transferred to Retained Earnings	-	-	-
As at 31 December 2018	-	(60,456,037)	(60,456,037)

39.1 Revenue Reserve

Revenue Reserve included expenses incurred on issuance of Ordinary Shares. During 2017, balances in the Bank's Revenue Reserve was transferred to Retained Earnings.

39.2 Fair Value Reserve

The Fair Value Reserve comprises of the cumulative changes in fair value of Financial Assets measured at Fair Value through Other Comprehensive Income.

40. REVALUATION RESERVE

	2018 Rs.	2017 Rs.
As at 1 January	820,716,783	526,908,060
Revaluation of Freehold Land and Building - Note 26.5	-	608,536,162
Deferred Tax effect on Revaluation Surplus	-	(314,184,209)
Transferred to Retained Earnings	(1,086,460)	(543,230)
As at 31 December	819,630,323	820,716,783

41. RETAINED EARNINGS

	2018 Rs.	2017 Rs.
As at 1 January	(140,737,324)	(379,139,357)
SLFRS 9 impact	(39,654,363)	-
Profit for the Year	556,445,708	502,827,663
Transfers to Statutory Reserve Fund	(27,822,285)	(25,141,384)
Transfer to Other Reserves	12,114,592	(239,284,246)
Interim Dividend	(175,097,337)	-
	185,248,991	(140,737,324)

42. NET ASSETS VALUE PER SHARE

	2018 Rs.	2017 Rs.
Amount used as the Numerator:		
Total Equity attributable to Equity holders of the Bank	11,634,100,315	11,313,802,395
Number of Ordinary Shares used as Denominator:		
Total Number of Shares	2,501,390,534	2,501,390,534
Net Assets Value Per Share	4.65	4.52

Notes to the Financial Statements

43. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES

Financial instruments comprise financial assets, financial liabilities, derivatives financial instruments and off-balance sheet instruments. 'Fair value' is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Bank has access at that date. The fair value of a liability reflects its non-performance risk. The information presented herein represents the determination of fair values as at the reporting date.

43.1 Financial Instruments carried at Fair Value

The following is a description of how fair values are determined for financial instruments that are recorded at fair value as at the reporting date. These incorporate the Bank's estimate of assumptions that a market participant would make when valuing the instruments.

Derivative Financial Assets and Liabilities:

Derivative products are promissory forward foreign exchange transactions, valued using a valuation technique with market-observable inputs. The most frequently applied valuation techniques include promissory forward foreign exchange spot and Net Present Value.

Financial Investments - Held for Trading, Financial Investments - Available for Sale:

The estimated fair values are based on quoted and observable market prices.

Fair Value Hierarchy

SLFRS 13 specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable inputs reflect market data obtained from independent sources and unobservable inputs reflect the Bank's market assumptions. The fair value hierarchy is as follows:

- ★ Level 1 - Quoted price (unadjusted) in active markets for the identical assets or liabilities. This level includes listed equity securities and debt instruments.
- ★ Level 2 - Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- ★ Level 3 - Inputs for asset or liability that are not based on observable market data (unobservable inputs). This level includes equity instruments and debt instruments with significant unobservable components.

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

31 December 2018	Level 1	Level 2	Level 3	Total
Financial Assets				
Derivative Financial Assets	-	445,732,740	-	445,732,740
Financial Assets Measured at Fair Value through Profit or Loss	113,249,108	-	-	113,249,108
Financial Assets Measured at Fair Value through Other Comprehensive Income	183,662,424	-	-	183,662,424
	296,911,532	445,732,740	-	742,644,272
Financial Liabilities				
Derivative Financial Liabilities	-	1,441,005,622	-	1,441,005,622
	-	1,441,005,622	-	1,441,005,622

31 December 2017	Level 1	Level 2	Level 3	Total
Financial Assets				
Derivative Financial Assets	-	127,616,662	-	127,616,662
Financial Investments - Held for Trading	41,645,557	-	-	41,645,557
Financial Investments - Available for Sale	323,264,501	-	-	323,264,501
	364,910,058	127,616,662	-	492,526,720
Financial Liabilities				
Derivative Financial Liabilities	-	29,924,292	-	29,924,292
	-	29,924,292	-	29,924,292

43.2 Financial Instruments not carried at Fair Value

Set out below is a comparison, by class, of the carrying amounts and fair values of the Bank's financial instruments that are not carried at fair value in the Financial Statements. This table does not include the fair values of Non-Financial Assets and Non-Financial Liabilities.

	2018		2017	
	Carrying Value Rs.	Fair Value Rs.	Carrying Value Rs.	Fair Value Rs.
Financial Assets				
Cash and Cash Equivalents	5,338,090,636	5,338,090,636	5,859,766,950	5,859,766,950
Balance with Central Bank of Sri Lanka	3,543,444,781	3,543,444,781	4,127,811,572	4,127,811,572
Placements with Banks	9,264,699,249	9,459,183,005	5,285,796,238	5,405,601,269
Placements with Licensed Finance Companies	2,427,970,097	2,441,769,974	2,112,166,496	2,473,257,270
Financial Assets at Amortised Cost				
- Financing and Receivables to Other Customers	52,853,663,356	52,864,701,310	42,914,143,571	41,687,070,066
Other Assets - Financial	585,704,833	585,704,833	388,890,295	388,890,295
	74,013,572,952	74,232,894,539	60,688,575,122	59,942,397,422
Financial Liabilities				
Due to Banks	1,210,204,847	1,210,204,847	-	-
Financial Liabilities at Amortised Cost - Due to Depositors	61,722,682,595	61,722,682,595	50,922,561,081	50,922,561,081
Other Liabilities - Financial	480,628,881	480,628,881	680,470,646	680,470,646
	63,413,516,323	63,413,516,323	51,603,031,727	51,603,031,727

Notes to the Financial Statements

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the Financial Statements:

Balances with Banks, Balances with Licensed Finance Companies, Other Financial Assets and Other Financial Liabilities

For the above, which includes only instruments with maturities of less than 12 months, the carrying value is a reasonable approximation of fair values.

Financing and Receivables to Other Customers

The fair value of the above are estimated by discounting the estimated future cash flows using the prevailing market rates of financing as of the reporting date with similar credit risks and maturities (Level 3).

Due to Other Customers

The fair values of the above are deemed to approximate their carrying amounts as rate of returns are determined at the end of their holding periods based on the profit generated from the relevant investments.

44. RISK MANAGEMENT

44.1 Introduction

Risk is inherent in the Bank's activities but is managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Bank's continuing profitability and each individual within the Bank is accountable for the risk exposures relating to his or her areas of responsibility. The Bank is mainly exposed to;

1. Credit Risk
2. Liquidity risk
3. Market risk

44.2 Risk Management Structure

The Board of Directors is responsible for the overall risk management approach and for approving the risk management strategies and principles. Risk Management Department (RMD) oversees the risks faced by the Bank in its internal operations and from external environment.

The Board Integrated Risk Management Committee (BIRMC)

The Board Integrated Risk Management Committee (BIRMC) is a subcommittee of the Board meets quarterly or more regularly as required to review and assess the Bank's overall risk and to focus on policy recommendations and strategies in an integrated manner. The BIRMC is commissioned and officiated by the Board of Directors. BIRMC functions as an overall supervisory body comprising of 3 Directors.

Assets and Liabilities Committee (ALCO)

The Bank's Assets and Liabilities Committee (ALCO) regularly reviews and monitors the maintenance of liquidity position of the Bank and the concentration of large deposits in order to avoid undue dependence on individual deposits. Bank monitors liquidity by way of various ratios as required by the Board approved Asset and Liability Management Policy.

Risk Measurement and Reporting Systems

The Bank's risks are measured using a method which reflects the expected loss likely to arise in normal circumstances. These are an estimate of the ultimate actual loss based on statistical models.

Monitoring and controlling risks is primarily performed based on limits established by the Bank. These limits reflect the business strategy and market environment of the Bank as well as the level of risk that the Bank is willing to accept, with additional emphasis on selected industries.

Information compiled from all the businesses is examined and processed in order to analyse, control and identify risks on a timely basis. This information is presented and explained to the Board of Directors, the BIRMC, and the head of each business unit.

The report includes aggregate credit exposure, Value at Risk (VaR), liquidity ratios and risk profile changes.

Risk Concentration

Concentrations arise when a number of counterparties are engaged in similar business activities, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Bank's performance to developments affecting a particular industry.

44.3 Credit Risk

Credit risk is the risk that the Bank will incur a loss because its customers or counterparties fail to discharge their contractual obligations. The Bank manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and industry concentrations, and by monitoring exposures in relation to such limits.

a) Impairment assessment

The approach used for the assessment of impairment is elaborated under Accounting Policies (Note No. 2.3.3)

b) Credit related commitment risk

The risk arising from transactions relating to contingent liabilities (Letters of Credit, Letters of Guarantees and undrawn amount under approved authorisations) is included under this caption. Notwithstanding the non-funded nature of these products, the Bank is prone to a resultant financial loss due to the nature of such products, i.e. claim on guarantees, negotiation of LCs and non-utilisation of facilities.

c) Collateral and other credit enhancement

An assessment of the credit risk of an individual at the time of issuing or enhancing a facility shall determine the amount and type of collateral that is required.

In the event of default, the Bank may, as a remedial measure, exercise its charge of the collateral obtained at the time of approval of credit facilities. Hence, the credit risk is eliminated to the extent of the net realisable value of such collateral, which has a weightage depending on nature of the collateral. Management monitors the market value of such collateral and requests additional collateral if required when reviewing the adequacy of the allowance for impairment losses.

d) Credit Quality by class of financial assets (Gross)

The credit quality of financial assets is managed by the Bank using internal credit ratings. The table below shows the credit quality by class of asset for all financial assets exposed to credit risk, based on the Bank's internal credit rating system. The amounts presented are gross of impairment allowances.

Notes to the Financial Statements

Financial Assets as at 31 December 2018

	Neither Past Due Nor Impaired				Past Due But Not Individually Impaired*	Individually Impaired	Total
	High Grade Rs.	Standard Grade Rs.	Sub-Standard Grade Rs.	Un-Rated Rs.	Rs.	Rs.	Rs.
Cash and Cash Equivalents	5,338,090,636	-	-	-	-	-	5,338,090,636
Balance with Central Bank of Sri Lanka	3,543,444,781	-	-	-	-	-	3,543,444,781
Placements with Banks	9,264,699,249	-	-	-	-	-	9,264,699,249
Placements with Licensed Finance Companies	2,427,970,097	-	-	-	-	-	2,427,970,097
Derivative Financial Assets	445,709,529	23,211	-	-	-	-	445,732,740
Financial Assets Measured at Fair Value through Profit or Loss	10,321,200	102,927,908	-	-	-	-	113,249,108
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	25,014,181,007	27,174,059,894	67,009,029	-	696,026,769	954,989,976	53,906,266,675
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	183,662,424	-	2,993,000	-	-	186,655,424
Other Assets - Financial	338,550	-	-	585,366,283	-	-	585,704,833
Total	46,044,755,049	27,460,673,437	67,009,029	588,359,283	696,026,769	954,989,976	75,811,813,544

Financial Assets as at 31 December 2017

	Neither Past Due Nor Impaired				Past Due But Not Individually Impaired*	Individually Impaired	Total
	High Grade Rs.	Standard Grade Rs.	Sub-Standard Grade Rs.	Un-Rated Rs.	Rs.	Rs.	Rs.
Cash and Cash Equivalents	5,859,766,950	-	-	-	-	-	5,859,766,950
Balance with Central Bank of Sri Lanka	4,127,811,572	-	-	-	-	-	4,127,811,572
Placements with Banks	5,285,796,238	-	-	-	-	-	5,285,796,238
Placements with Licensed Finance Companies	2,112,166,496	-	-	-	-	-	2,112,166,496
Derivative Financial Assets	126,799,006	817,656	-	-	-	-	127,616,662
Financial Investments - Held for Trading	-	41,645,557	-	-	-	-	41,645,557
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	17,584,882,213	24,956,694,692	78,415,155	-	337,537,798	482,911,180	43,440,441,038
Financial Investments - Available for Sale	16,497,000	303,774,501	-	2,993,000	-	-	323,264,501
Other Assets - Financial	284,068	-	-	388,606,227	-	-	388,890,295
Total	35,114,003,543	25,302,932,406	78,415,155	391,599,227	337,537,798	482,911,180	61,707,399,309

* Age Analysis of Past due but not individually impaired financing by class of Financial Assets

Past Due But Not Individually Impaired

	Past Due But Not Individually Impaired				Total Rs.
	Less than 30 days Rs.	30 to 59 days Rs.	60 to 89 days Rs.	More than 89 days Rs.	
Financing and Receivables to Other Customers					
- 31 December 2018	65,011,175	33,528,165	73,536,537	523,950,892	696,026,769
Financing and Receivables to Other Customers					
- 31 December 2017	14,170,768	8,367,610	31,819,092	283,180,328	337,537,798

e) Analysis of Risk Concentration

Maximum exposure to credit risk is reviewed/monitored without taking account of any collateral and other credit enhancements. The Concentration risk is monitored by industry. The following table shows the maximum exposure to credit risk for the components of the Statement of Financial Position, including sector.

Notes to the Financial Statements

Industry Analysis

The following table shows the risk concentration by industry for the components of the Statement of Financial Position.

Financial Assets as at 31 December 2018	Government	Banks, Financial and Business Services	Agriculture and Fishing	Manufacturing
	Rs.	Rs.	Rs.	Rs.
Cash and Cash Equivalents	-	5,338,090,636	-	-
Balance with Central Bank of Sri Lanka	3,543,444,781	-	-	-
Placements with Banks	-	9,264,699,249	-	-
Placements with Licensed Finance Companies	-	2,427,970,097	-	-
Derivative Financial Assets	-	445,709,528	-	23,212
Financial Assets Measured at Fair Value through Profit or Loss	-	1,023,080	-	61,425,268
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	690,778,673	8,667,254,030	6,917,364,736
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	186,655,424	-	-
Other Assets - Financial	341,087,396	21,251,987	-	-
Total	3,884,532,177	18,376,178,674	8,667,254,030	6,978,813,216

Financial Assets as at 31 December 2017	Government	Banks, Financial and Business Services	Agriculture and Fishing	Manufacturing
	Rs.	Rs.	Rs.	Rs.
Cash and Cash Equivalents	-	5,859,766,950	-	-
Balance with Central Bank of Sri Lanka	4,127,811,572	-	-	-
Placements with Banks	-	5,285,796,238	-	-
Placements with Licensed Finance Companies	-	2,112,166,496	-	-
Derivative Financial Assets	-	126,799,006	-	-
Financial Investments - Held for Trading	-	3,618,309	-	17,579,073
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	126,841,669	7,127,658,590	7,459,433,920
Financial Investments - Available for Sale	-	219,066,440	-	38,308,483
Other Assets - Financial	180,011,360	34,147,140	-	-
Total	4,307,822,932	13,768,202,248	7,127,658,590	7,515,321,476

Tourism	Transportation & Storage	Construction	Wholesale & Retail Trade	Information Technology And Communication Services	Infrastructure	Services	Consumers	Total
Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
-	-	-	-	-	-	-	-	5,338,090,636
-	-	-	-	-	-	-	-	3,543,444,781
-	-	-	-	-	-	-	-	9,264,699,249
-	-	-	-	-	-	-	-	2,427,970,097
-	-	-	-	-	-	-	-	445,732,740
-	-	10,321,200	40,479,560	-	-	-	-	113,249,108
674,881,931	2,017,543,808	8,169,038,748	15,521,433,465	207,724,073	603,693,240	689,935,720	9,746,618,251	53,906,266,675
-	-	-	-	-	-	-	-	186,655,424
-	-	-	-	-	-	37,833,223	185,532,227	585,704,833
674,881,931	2,017,543,808	8,179,359,948	15,561,913,025	207,724,073	603,693,240	727,768,943	9,932,150,478	75,811,813,543

Tourism	Transportation & Storage	Construction	Wholesale & Retail Trade	Information Technology And Communication Services	Infrastructure	Services	Consumers	Total
Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
-	-	-	-	-	-	-	-	5,859,766,950
-	-	-	-	-	-	-	-	4,127,811,572
-	-	-	-	-	-	-	-	5,285,796,238
-	-	-	-	-	-	-	-	2,112,166,496
-	-	-	817,656	-	-	-	-	127,616,662
-	-	-	12,358,175	-	8,090,000	-	-	41,645,557
693,991,766	672,508,862	6,498,301,669	9,595,514,369	272,551,395	268,259,334	1,682,616,447	9,042,763,017	43,440,441,038
-	-	16,497,000	29,194,268	-	20,198,310	-	-	323,264,501
-	-	-	-	-	-	24,704,304	150,027,491	388,890,295
693,991,766	672,508,862	6,514,798,669	9,637,884,468	272,551,395	296,547,644	1,707,320,751	9,192,790,508	61,707,399,309

Notes to the Financial Statements

f) Analysis of Maximum Exposure to Credit risk and Collateral and Other Credit Enhancements

The following table shows the maximum exposure to credit risk by class of financial asset and the value of financial assets covered by the collateral.

Financial Assets as at 31 December	2018		2017	
	Maximum Exposure to Credit Risk Rs.	Net Exposure Rs.	Maximum Exposure to Credit Risk Rs.	Net Exposure Rs.
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	53,906,266,675	13,852,880,492	43,440,441,038	10,529,087,707
Total	53,906,266,675	13,852,880,492	43,440,441,038	10,529,087,707

44.4 Liquidity Risk and Funding Management

Liquidity risk implies the potential for loss to the Bank due to inability to meet its obligation or to fund the increase in assets as they fall due without incurring high cost.

Internal control processes and contingency plans for managing liquidity risk have been developed by the Bank under the Assets and Liabilities Management policy of the Bank. This incorporates an assessment of expected cash flows and the availability of liquid funds which could be used if required.

As required by the Provisions of Section 93 of the Monetary Law Act, a cash balance is required to be maintained with Central Bank of Sri Lanka. As at 31 December 2018, the minimum cash reserve requirement was 6.0% (2017 - 7.5%) of the Rupee liabilities of the Domestic Banking Unit. There is no reserve requirement for foreign currency deposit liabilities of the Domestic Banking Unit.

The Bank monitors the mix of deposits closely and concentrates on mobilising zero or low cost deposits such as current accounts and savings accounts as a source of major funding.

Liquid assets are defined for the purposes of the liquidity ratio which are mainly cash and cash equivalents and placements with banks. Adequate liquid assets are maintained due the Bank's operational business model adopted and ensure the Statutory Liquid Asset Ratio is maintained as per regulatory requirements.

a) Liquidity Ratios

Financing and Receivables to Other Customers to Due to Other Customers ratio (Net)

	2018	2017
Year end	85.63%	84.27%

Statutory Liquid Assets ratio

	2018	2017
Year end	22.98%	22.23%

b) Analysis of Financial Assets and Liabilities by Remaining Contractual Maturities

The table below summarises the maturity profile of the undiscounted cash flows (Gross) of the Bank's Financial Assets and Financial Liabilities as at the end of the reporting period.

Statement of Financial Position as at 31 December 2018

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Financial Assets						
Cash and Cash Equivalents	5,338,090,636	-	-	-	-	5,338,090,636
Balance with Central Bank of Sri Lanka	3,543,444,781	-	-	-	-	3,543,444,781
Placements with Banks	6,593,054,455	2,671,644,794	-	-	-	9,264,699,249
Placements with Licensed Finance Companies	2,427,970,097	-	-	-	-	2,427,970,097
Derivative Financial Assets	406,123,506	39,609,234	-	-	-	445,732,740
Financial Assets Measured at Fair Value through Profit or Loss	113,249,108	-	-	-	-	113,249,108
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	15,164,774,338	18,210,651,963	20,740,117,935	3,941,891,127	2,622,488,144	60,679,923,507
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	186,655,424	186,655,424
Other Assets - Financial	264,732,482	286,798,209	34,174,142	-	-	585,704,833
Total Undiscounted Financial Assets	33,851,439,403	21,208,704,200	20,774,292,077	3,941,891,127	2,809,143,568	82,585,470,375
Financial Liabilities						
Due to Banks	1,210,204,847	-	-	-	-	1,210,204,847
Derivative Financial Liabilities	471,779,054	969,226,568	-	-	-	1,441,005,622
Financial Liabilities at Amortised Cost - Due to Depositors	37,572,864,714	21,539,930,419	700,289,874	576,986,485	1,332,611,103	61,722,682,595
Other Liabilities - Financial	467,598,759	4,994,467	6,000,000	2,035,655	-	480,628,881
Total Undiscounted Financial Liabilities	39,722,447,374	22,514,151,454	706,289,874	579,022,140	1,332,611,103	64,854,521,945
Total Net Financial Assets /(Liabilities)	(5,871,007,971)	(1,305,447,254)	20,068,002,203	3,362,868,987	1,476,532,465	17,730,948,430

Notes to the Financial Statements

Statement of Financial Position as at 31 December 2017

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Financial Assets						
Cash and Cash Equivalents	5,859,766,950	-	-	-	-	5,859,766,950
Balance with Central Bank of Sri Lanka	4,127,811,572	-	-	-	-	4,127,811,572
Placements with Banks	2,317,143,804	2,968,652,435	-	-	-	5,285,796,239
Placements with Licensed Finance Companies	4,787,729	2,107,378,767	-	-	-	2,112,166,496
Derivative Financial Assets	64,177,414	63,439,248	-	-	-	127,616,662
Financial Investments						
- Held for Trading	41,645,557	-	-	-	-	41,645,557
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	13,695,816,865	12,766,795,005	18,318,777,978	3,009,052,947	2,701,089,295	50,491,532,090
Financial Investments - Available for Sale	-	-	104,198,061	-	219,066,440	323,264,501
Other Assets - Financial	293,328,360	78,463,304	17,098,630	-	-	388,890,295
Total Undiscounted Financial Assets	26,404,478,251	17,984,728,758	18,440,074,669	3,009,052,947	2,920,155,735	68,758,490,360
Financial Liabilities						
Due to Banks	-	-	-	-	-	-
Derivative Financial Liabilities	8,191,363	21,732,929	-	-	-	29,924,292
Financial Liabilities at Amortised Cost - Due to Depositors	30,045,906,628	18,011,919,927	1,139,095,535	576,270,982	1,149,368,009	50,922,561,081
Other Liabilities - Financial	663,226,394	7,590,457	9,653,794	-	-	680,470,646
Total Undiscounted Financial Liabilities	30,717,324,385	18,041,243,313	1,148,749,329	576,270,982	1,149,368,009	51,632,956,018
Total Net Financial Assets/(Liabilities)	(4,312,846,134)	(56,514,555)	17,291,325,340	2,432,781,965	1,770,787,726	17,125,534,342

c) Contractual Maturities of Commitments & Contingencies

As at 31 December 2018	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Acceptances	801,225,525	477,510,340	-	-	-	1,278,735,865
Letters of Credit	364,276,279	919,178,964	-	-	-	1,283,455,243
Guarantees, Bonds	778,675,641	1,897,911,998	221,092,790	5,907,573	-	2,903,588,002
Outward Clearing Receivable	781,957,461	-	-	-	-	781,957,461
Promissory Forward Sales	8,325,939,738	12,139,234,637	-	-	-	20,465,174,375
Promissory Forward Purchases	12,583,451,113	2,013,000,000	-	-	-	14,596,451,113
Commitments for Unutilised Facilities	1,578,949,498	2,368,424,247	-	-	-	3,947,373,745
Bills for Collection & Other	1,231,243,953	-	-	-	-	1,231,243,953
Total	26,445,719,208	19,815,260,186	221,092,790	5,907,573	-	46,487,979,757

As at 31 December 2017	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Acceptances	1,519,627,607	203,329,837	-	-	-	1,722,957,444
Letters of Credit	1,887,733,459	188,918,815	-	-	-	2,076,652,274
Guarantees, Bonds	688,885,239	1,161,996,873	230,577,169	-	-	2,081,459,281
Outward Clearing Receivable	359,312,508	-	-	-	-	359,312,508
Promissory Forward Sales	4,678,724,326	5,843,888,679	-	-	-	10,522,613,005
Promissory Forward Purchases	2,911,273,144	1,074,850,000	-	-	-	3,986,123,144
Commitments for Unutilised Facilities	2,630,663,354	3,945,995,030	-	-	-	6,576,658,384
Bills for Collection & Other	487,362,797	51,939	-	-	-	487,414,736
Total	15,163,582,434	12,419,031,173	230,577,169	-	-	27,813,190,776

44.5 Market Risk

Market Risk denotes the risk of losses arising out of balance sheet positions due to changes in market prices. Market risk mainly arises from activities undertaken by the Bank's treasury and foreign exchange, equity, commodity and money market portfolios, which mainly contribute towards market risk of the Bank. A Board approved comprehensive limit structure has been adopted by the Bank to mitigate and monitor the market risk of the Bank.

a) Rate Risk

The rate risk arises due to changes in value of financial instruments arising due to changes in market rates. The Bank is exposed to this risk due to the mismatches in maturities of assets and liabilities that mature or are re-priced during a specified time period. In order to manage and mitigate rate risk, the Bank's ALCO reviews the re-pricing of assets and liabilities at the ALCO meetings held regularly. Bank's rate risk is limited due to the model adopted where all of Due to Other Customers (customer deposits) have been accepted on the Profit and Loss sharing basis.

Rate Sensitive Assets and Liabilities Maturity Gaps (Contractual Basis) as at 31.12.2018

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Non Rate Bearing Rs.	Total Rs.
Cash and Cash Equivalents	-	-	-	-	-	5,338,090,636	5,338,090,636
Balance with Central Bank of Sri Lanka	-	-	-	-	-	3,543,444,781	3,543,444,781
Placements with Banks	6,593,054,455	2,671,644,794	-	-	-	-	9,264,699,249
Placements with Licensed Finance Companies	2,427,970,097	-	-	-	-	-	2,427,970,097
Derivative Financial Assets	-	-	-	-	-	445,732,740	445,732,740
Financial Assets Measured at Fair Value through Profit or Loss	-	-	-	-	-	113,249,108	113,249,108
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	16,641,745,655	15,874,253,408	12,085,437,671	5,420,460,641	2,831,765,981	-	52,853,663,356
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	-	186,655,424	186,655,424
Other Assets - Financial	-	-	-	-	-	585,704,833	585,704,833
Total Assets	25,662,770,207	18,545,898,202	12,085,437,671	5,420,460,641	2,831,765,981	10,212,877,522	74,759,210,224

Notes to the Financial Statements

Rate Sensitive Assets and Liabilities Maturity Gaps (Contractual Basis) as at 31.12.2018 Contd.

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Non Rate Bearing Rs.	Total Rs.
Due to Banks	1,210,204,847	-	-	-	-	-	1,210,204,847
Derivative Financial Liabilities	-	-	-	-	-	1,441,005,622	1,441,005,622
Financial Liabilities at Amortised Cost -							
Due to Depositors	34,287,159,867	21,539,930,419	700,289,874	576,986,485	1,332,611,103	3,285,704,847	61,722,682,595
Other Liabilities - Financial	-	-	-	-	-	480,628,881	480,628,881
Total Liabilities	35,497,364,714	21,539,930,419	700,289,874	576,986,485	1,332,611,103	5,207,339,350	64,854,521,945
Rate Sensitivity Gap	(9,834,594,507)	(2,994,032,217)	11,385,147,797	4,843,474,156	1,499,154,878	5,005,538,172	

Rate Sensitive Assets and Liabilities Maturity Gaps (Contractual Basis) as at 31.12.2017

	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Non Rate Bearing Rs.	Total Rs.
Cash and Cash Equivalents	-	-	-	-	-	5,859,766,950	5,859,766,950
Balance with Central Bank of Sri Lanka	-	-	-	-	-	4,127,811,572	4,127,811,572
Placements with Banks	2,317,143,804	2,968,652,435	-	-	-	-	5,285,796,239
Placements with Licensed Finance Companies	4,787,729	2,107,378,767	-	-	-	-	2,112,166,496
Derivative Financial Assets	-	-	-	-	-	127,616,662	127,616,662
Financial Investments - Held for Trading	-	-	-	-	-	41,645,557	41,645,557
Financial Assets at Amortised Cost -							
Financing and Receivables to Other Customers	13,043,443,208	13,038,299,259	10,636,641,285	3,940,618,367	2,255,141,452	-	42,914,143,571
Financial Investments - Available for Sale	-	-	-	-	-	323,264,501	323,264,501
Other Assets - Financial	-	-	-	-	-	388,890,295	388,890,295
Total Assets	15,365,374,741	18,114,330,461	10,636,641,285	3,940,618,367	2,255,141,452	10,868,995,537	61,181,101,843
Derivative Financial Liabilities	-	-	-	-	-	29,924,292	29,924,292
Financial Liabilities at Amortised Cost -							
Due to Depositors	26,541,787,036	18,011,919,927	1,139,095,535	576,270,982	1,149,368,009	3,504,119,592	50,922,561,081
Other Liabilities - Financial	-	-	-	-	-	680,470,646	680,470,646
Total Liabilities	26,541,787,036	18,011,919,927	1,139,095,535	576,270,982	1,149,368,009	4,214,514,530	51,632,956,019
Rate Sensitivity Gap	(11,176,412,295)	102,410,534	9,497,545,750	3,364,347,385	1,105,773,443	6,654,481,007	

44.6 Foreign Exchange Risk

Foreign Exchange risk which arises due to the changes in foreign exchange rates is managed by the Bank by setting and monitoring dealer, currency, counterparty and settlement limits for On and Off Balance Sheet instruments.

Bank's activities in the Trade Finance business results in Off Balance Sheet financial instruments. In addition, the Bank engages in interbank promissory forward foreign exchange transactions to cover the positions created due to customer transactions. Such transactions are carried out on a matched basis to manage the cash flows of currencies.

The currency risk is managed and monitored against the regulatory limits approved for the Bank by the Central Bank of Sri Lanka. The foreign exchange exposures in individual currencies are managed according to the limits approved by the Board of Directors.

44.7 Currency Risk

Currency risk arises as a result of price fluctuations in assets due to change in exchange rates. The Board of Directors has set limits for currency wise exposures. The currency exposures are monitored on a daily basis as required by the risk management policy of the Bank.

The table below indicates the exposures in currencies the Bank carried as at 31.12.2018 and the effect of the gains/losses if the market rates appreciate/depreciate by 5%. The calculation indicates a reasonably practical movement of currency rates against Sri Lankan Rupees.

If market rates appreciate or depreciate by 5% the effect of the same to the exchange gain/(loss) would be:

Currency	2018		2017	
	5%	5%	5%	5%
	Appreciation Rs.	Depreciation Rs.	Appreciation Rs.	Depreciation Rs.
Australian Dollars	213,002	(213,002)	911,044	(911,044)
Great Britain Pounds	99,328	(99,328)	43,143	(43,143)
Japanese Yen	(229,104)	229,104	2,697	(2,697)
United States Dollars	10,937,969	(10,937,969)	(23,299,163)	23,299,163
Other Currencies	2,887,864	(2,887,864)	1,922,736	(1,922,736)
Total	13,909,059	(13,909,059)	(20,419,543)	20,419,543

44.8 Equity Price Risk

Equity price risk arises due to changes in individual equity prices.

The Board of Directors of the Bank has laid down sector, portfolio and loss limits to control and mitigate the risks of the equity portfolio. The Bank also adheres to the guidelines issued by Central Bank of Sri Lanka regarding the exposure to a single entity and the total exposure limit for the equity portfolio. The performance of the equity portfolio is monitored by the BIRMC, ALCO and the Equity Investment Committee (EIC). The Bank engages in transactions only in Sharia compliant equities which are listed in the published "White List" of stocks.

Daily Mark-to-Market of portfolios are carried out based on the weighted average closing prices of the Colombo Stock Exchange.

Notes to the Financial Statements

45. MATURITY ANALYSIS

	Up to 3 Months Rs.	3 - 12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total As at 31.12.2018 Rs.
Cash and Cash Equivalents	5,338,090,636	-	-	-	-	5,338,090,636
Balance with Central Bank of Sri Lanka	1,878,378,578	1,261,604,938	121,516,016	115,924,612	166,020,637	3,543,444,781
Placements with Banks	6,593,054,455	2,671,644,794	-	-	-	9,264,699,249
Placements with Licensed Finance Companies	2,427,970,097	-	-	-	-	2,427,970,097
Derivative Financial Assets	406,123,506	39,609,234	-	-	-	445,732,740
Financial Assets Measured at Fair Value through Profit or Loss	113,249,108	-	-	-	-	113,249,108
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	16,641,745,655	15,874,253,408	12,085,437,671	5,420,460,641	2,831,765,981	52,853,663,356
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	186,655,424	186,655,424
Other Assets - Financial	264,732,482	286,798,209	34,174,142	-	-	585,704,833
Property, Plant and Equipment	-	-	-	-	1,890,194,155	1,890,194,155
Intangible Assets	-	-	-	-	238,311,383	238,311,383
Other Assets - Non Financial	276,415,773	97,680,763	7,955,170	-	-	382,051,706
Total Assets	33,939,760,290	20,231,591,346	12,249,082,999	5,536,385,253	5,312,947,580	77,269,767,468
Liabilities						
Due to Banks	1,210,204,847	-	-	-	-	1,210,204,847
Derivative Financial Liabilities	471,779,054	969,226,568	-	-	-	1,441,005,622
Financial Liabilities at Amortised Cost - Due to Depositors	25,098,524,136	27,844,024,686	2,647,515,150	2,524,211,761	3,608,406,862	61,722,682,595
Other Liabilities - Financial	467,598,759	4,994,467	6,000,000	2,035,655	-	480,628,881
Current tax liabilities	-	330,606,614	-	-	-	330,606,614
Dividend Payable	3,562,069	-	-	-	-	3,562,069
Deferred Tax Liability	-	-	-	-	221,536,935	221,536,935
Retirement Benefit Liability	-	-	-	-	127,517,726	127,517,726
Other Liabilities - Non Financial	97,921,864	-	-	-	-	97,921,864
Total Liabilities	27,349,590,729	29,148,852,335	2,653,515,150	2,526,247,416	3,957,461,523	65,635,667,153
Maturity Gap	6,590,169,561	(8,917,260,989)	9,595,567,849	3,010,137,837	1,355,486,057	11,634,100,315

	Up to 3 Months Rs.	3 - 12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total As at 31.12.2017 Rs.
Cash and Cash Equivalents	5,859,766,950	-	-	-	-	5,859,766,950
Balances with Central Bank of Sri Lanka	2,217,234,256	1,396,004,523	174,871,822	142,381,133	197,319,838	4,127,811,572
Placements with Banks	2,317,143,804	2,968,652,434	-	-	-	5,285,796,238
Balances with Licensed Finance Companies	4,787,729	2,107,378,767	-	-	-	2,112,166,496
Derivative Financial Assets	64,177,414	63,439,248	-	-	-	127,616,662
Financial Investments - Held for Trading	41,645,557	-	-	-	-	41,645,557
Financing and Receivables to Other Customers	13,043,443,208	13,038,299,259	10,636,641,285	3,940,618,367	2,255,141,452	42,914,143,571
Financial Investments - Available for Sale	-	-	104,198,061	-	219,066,440	323,264,501
Other Assets - Financial	293,328,360	78,463,304	17,098,631	-	-	388,890,295
Property, Plant and Equipment	-	-	-	-	1,795,135,517	1,795,135,517
Intangible Assets	-	-	-	-	230,675,871	230,675,871
Other Assets - Non Financial	249,613,747	27,369,174	56,186,404	-	-	333,169,325
Total Assets	24,091,141,025	19,679,606,709	10,988,996,203	4,082,999,500	4,697,339,118	63,540,082,555
Liabilities						
Due to Banks	-	-	-	-	-	-
Derivative Financial Liabilities	8,191,363	21,732,929	-	-	-	29,924,292
Financial Liabilities at Amortised Cost - Due to Depositors	18,134,740,047	24,050,675,886	2,979,761,756	2,416,937,203	3,340,446,189	50,922,561,081
Other Liabilities - Financial	663,226,394	7,590,457	9,653,795	-	-	680,470,646
Current tax liabilities	-	187,075,365	-	-	-	187,075,365
Deferred Tax Liability	-	-	-	-	216,241,918	216,241,918
Retirement Benefit Liability	-	-	-	-	119,241,024	119,241,024
Other Liabilities - Non Financial	70,765,834	-	-	-	-	70,765,834
Total Liabilities	18,876,923,638	24,267,074,637	2,989,415,551	2,416,937,203	3,675,929,131	52,226,280,160
Maturity Gap	5,214,217,387	(4,587,467,928)	7,999,580,652	1,666,062,297	1,021,409,987	11,313,802,395

Notes to the Financial Statements

46. COMMITMENTS AND CONTINGENCIES

46.1 Capital Expenditure Commitments

The Bank does not have significant capital commitments as at the reporting date.

46.2 Contingencies

In the normal course of business the Bank makes various irrevocable commitments and incurs certain contingent liabilities with legal recourse to its customers. Even though these obligations are not recognised on the statement of financial position, they do contain credit risk and therefore form part of the overall risk profile of the Bank.

	Stage 1	Stage 2	Stage 3	Total
Commitments on Direct Advances and Indirect Advances:				
Commitments for unutilised facilities	3,688,172,548	209,319,757	49,881,440	3,947,373,745
	3,688,172,548	209,319,757	49,881,440	3,947,373,745
Contingent Liabilities:				
Letters of Credit	1,197,095,029	86,360,214	-	1,283,455,243
Guarantees, Bonds	2,711,693,473	189,194,529	2,700,000	2,903,588,002
Outward Clearing Cheques	46.2.2 781,957,461	-	-	781,957,461
Acceptances	1,146,762,006	131,973,859	-	1,278,735,865
Bills for Collection & Other	1,200,739,787	30,504,166	-	1,231,243,953
	7,038,247,756	438,032,768	2,700,000	7,478,980,524
Gross credit related Commitments and Contingencies	10,726,420,304	647,352,525	52,581,440	11,426,354,269
Less: Impairment for Expected Credit Losses	46.2.1 (2,443,301)	(105,331)	(411)	(2,549,043)
Net credit related Commitments and Contingencies	10,723,977,003	647,247,194	52,581,029	11,423,805,226
Promissory Forward Foreign Exchange Transactions				
Promissory Forward sales				20,465,174,375
Promissory Forward purchases				14,596,451,113
				35,061,625,488
Total Commitment and Contingencies				46,485,430,714

46.2.1 Impairment Allowance for Commitment and Contingencies

	2018 Rs.	2017 Rs.
ECL allowance as at 1 January 2018 under SLFRS9	652,599	N/A
Charge/(Write Back) for the year	1,896,444	N/A
Amounts written off	-	N/A
As at 31 December	2,549,043	N/A

The table below consists of total Commitment and Contingencies recorded in the Statement of Profit or Loss under LKAS 39 during 2017.

	2017
	Rs.
Commitments on Direct Advances and Indirect Advances:	
Commitments for unutilised facilities	6,576,658,384
	6,576,658,384
Contingent Liabilities:	
Letters of Credit	2,076,652,274
Guarantees, Bonds	2,081,459,281
Outward Clearing Cheques	359,312,508
Acceptances	1,722,957,444
Bills for Collection & Other	487,414,736
	6,727,796,243
Promissory Forward Foreign Exchange Transactions	
Promissory Forward sales	10,522,613,005
Promissory Forward purchases	3,986,123,144
	14,508,736,149
Total Commitment and Contingencies	27,813,190,776

46.2.2 Outward Clearing Cheques represent the cheques deposited in current accounts but pending realisation from clearing house as at the reporting date.

46.3 Future Monthly Commitments on Operating Leases

The Bank has entered into commercial leases for branch premises. These lease agreements have an average life of six years. There are no restrictions placed upon the lessee by entering into these leases.

Future minimum lease payments under operating leases as at reporting date are as follows:

	2018	2017
	Rs.	Rs.
0 - 1 Year	132,354,144	87,402,286
1 - 5 Years	397,877,383	211,557,957
More than 5 Years	220,555,272	120,757,986
	750,786,799	419,718,229

Notes to the Financial Statements

46.4 Lease Receivables

As at 31 December 2018

	Total Future Minimum Payments Rs.	Unearned Income Finance Rs.	Present Value of Minimum Lease Payment Rs.
0 - 1 Year	3,331,360,905	685,140,138	2,646,220,767
1 - 5 Years	4,471,102,918	693,327,983	3,777,774,935
More than 5 Years	6,792,266	786,359	6,005,907
	7,809,256,089	1,379,254,480	6,430,001,609

As at 31 December 2017

	Total Future Minimum Payments Rs.	Unearned Income Finance Rs.	Present Value of Minimum Lease Payment Rs.
0 - 1 Year	3,006,674,998	598,295,562	2,408,379,436
1 - 5 Years	3,794,090,642	518,823,082	3,275,267,560
More than 5 Years	1,574,453	185,494	1,388,959
	6,802,340,093	1,117,304,138	5,685,035,955

47. RELATED PARTY DISCLOSURES

The Bank carries out transactions in the ordinary course of business on an arm's length basis at commercial rates with its related parties as defined under LKAS 24 "Related Party Disclosures".

The pricing applicable to such transactions is based on the risk profile and the pricing model of the Bank which is in line with what is applied to transactions between the Bank and its non-related customers.

47.1 Parent and Ultimate Controlling Party

The Bank does not have an identifiable parent of its own.

47.2 Transactions with Key Management Personnel (KMPs)

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any Director of that entity.

Accordingly the Bank's KMPs include the Board of Directors and selected key employees who meet the criteria above.

Key Management Personnel Compensation

	2018 Rs.	2017 Rs.
Short-term Employee Benefits including Director's Emoluments	58,143,768	59,614,132
Total	58,143,768	59,614,132

47.3 Transactions, Arrangements and Agreements Involving KMPs & their Close Family Members (CFMs)

Close members of the family of an individual are those family members who may be expected to influence, or be influenced by, that individual in their dealings with the entity. They may include: the individual's domestic partner and children; children of the individual's domestic partner; and dependents of the individual or the individual's domestic partner.

	2018 Rs.	2017 Rs.
Statement of Financial Position		
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	67,009,920	65,556,535
Financial Liabilities at Amortised Cost - Due to Other Customers	84,717,386	93,300,589
Statement of Profit or Loss		
Financing Income	5,158,019	4,778,407
Financing Expenses	5,927,160	6,323,128
Net Fees And Commission Income	43,329	148
Cash Dividend Paid	3,445,910	-

Terms and Conditions of Transactions with Related Parties

The above-mentioned outstanding balances arose from the ordinary course of business. The rates charged from/paid to related parties are at normal commercial rates.

47.4 Transaction, Arrangements & Agreements Involving Entities which are Controlled and Jointly Controlled by the KMPs or their CFMs.

In addition to transactions with Key Management Personnel and their Close Family Members, the Bank enters into transactions, arrangements and agreements with entities which are controlled and jointly controlled by the KMPs or their CFMs over the Bank. The transactions below were made in the ordinary course of business on substantially the same terms, including financing/commission rates and security, as for comparable transactions with unrelated counterparties. The Bank has not made any provision for impairment losses on amounts owed by related parties.

	2018 Rs.	2017 Rs.
Statement of Financial Position		
Due to Other Customers	10,591,113	8,300
Statement of Profit or Loss		
Financing Expenses	178,496	342,081

48. EVENTS AFTER REPORTING DATE

There were no events after the reporting date which requires adjustments or disclosures in the Financial Statements.

Notes to the Financial Statements

49. CAPITAL

The Bank maintains an actively managed capital base to cover risks inherent in the business and meet the capital requirements of the local prudential regulator, Central Bank of Sri Lanka. The adequacy of the Bank's Capital is monitored using, among other measures, the rules and ratios established by the Basel Committee on Banking Supervision and adopted by the Central Bank of Sri Lanka.

Capital Management

Capital Management The Bank's capital management objectives can be summarised as follows:

- 1 Maintain sufficient capital to meet minimum regulatory capital requirements.
- 2 Hold sufficient capital to support the Bank's risk appetite.
- 3 Allocate capital to businesses to support the Bank's strategic objectives.
- 4 Ensure that the Bank maintains capital in order to achieve debt rating objectives and to withstand the impact of potential stress events.

Regulatory Capital

The Bank manages its capital considering regulatory capital requirements. The Central Bank of Sri Lanka (CBSL) sets and monitors Capital Requirements for Licensed Banks in Sri Lanka based on the Basel Framework. Thus the Bank's operations are directly supervised by the CBSL and the Bank is required to comply with the provisions of the Basel III framework in respect of Regulatory Capital and capital to cover any additional risk. Commercial banks in Sri Lanka with total assets of less than Rs. 500 billion need to maintain a minimum Total Tier 1 Capital Ratio of 6.375% and minimum Total Capital Ratio of 11.875% for the year 2018. The Bank has maintained its Capital Ratios well above the regulatory minimum.

Regulatory Disclosures

Following table denotes absorption of the SLFRS 9 First Day Impact on Capital Adequacy Ratio (CAR);

	Cumulative Absorption of First Day Impact			
	31.12.2018 25%	31.12.2019 50%	31.12.2020 75%	31.12.2021 100%
First Day Impact	9,916,892	19,833,783	29,750,675	39,667,567
Adjusted CAR on Absorption of First Day Impact	19.00%	18.98%	18.97%	18.95%

50. MATERIAL LITIGATION AGAINST THE BANK

In the normal course of business, the Bank has recourse to litigation for purposes of recovery of facilities when there are customers who have not honoured the terms and conditions stipulated in their respective facility documentation and where parate procedure is not available. On the other hand, there are actions instituted against the Bank as well. In all these cases Bank obtains processional advise and adjustments are made to the Financial Statements, if required.

The Bank is of the opinion that all such litigation which is currently pending will not have a material impact on the Financial Statements reported herein or the assumption of going concern of the Bank.

FINANCIAL SUMMARY

For the Year ended 31 December	2018 LKR	2017 LKR	2016 LKR	2015 LKR	2014 LKR	2013 LKR	2012 LKR	2011 LKR
Operating Results								
Financing Income	6,883,221,870	5,544,237,256	4,039,624,179	2,885,931,540	2,407,652,724	1,768,061,705	1,300,618,090	352,037,757
Financing Expenses	3,522,889,356	2,790,618,052	2,115,335,249	1,405,258,772	1,198,032,200	1,050,007,868	732,071,273	205,127,217
Net Financing Income	3,360,332,514	2,753,619,204	1,924,288,930	1,480,672,768	1,209,620,524	718,053,837	568,546,817	146,910,540
Net Fees and Commission Income	297,048,806	236,134,326	246,568,285	168,555,950	138,484,328	100,223,308	68,923,319	14,951,675
Net Trading Gain/(Loss)	461,155,830	388,699,264	257,454,611	390,234,591	287,377,278	219,719,256	621,773,009	(91,633,252)
Net Gains / (Losses) from Financial Investments at Fair Value Through Profit or Loss	(22,436,152)	-	-	-	-	-	-	-
Net Gains from Derecognition of Financial Assets	1,892,185	-	-	-	-	-	-	-
Net Other Operating Income/(Loss)	6,662,241	9,467,520	4,961,144	27,659,037	33,213,115	21,579,603	(5,353,087)	3,133,721
Total Operating Income	4,104,655,424	3,387,920,314	2,433,272,970	2,067,122,346	1,668,695,245	1,059,576,004	1,253,890,058	73,362,684
Impairment on Financial Assets	476,765,687	289,782,674	217,177,926	2,817,355	94,680,026	100,820,541	16,093,890	27,062,702
Net Operating Income	3,627,889,737	3,098,137,640	2,216,095,044	2,064,304,991	1,574,015,219	958,755,463	1,237,796,168	46,299,982
Personnel Expenses	1,246,223,287	1,095,792,424	1,025,032,323	896,614,338	858,179,900	720,351,418	438,453,212	140,504,480
Depreciation of Property, Plant and Equipment	126,685,717	148,879,193	162,620,642	150,818,192	150,665,594	121,287,043	125,557,539	20,621,964
Amortisation of Intangible Assets	47,939,212	48,967,708	78,634,792	40,881,465	39,373,883	36,995,102	25,472,863	4,704,727
Other Operating Expenses	884,804,269	745,933,727	678,729,131	605,026,871	526,776,102	504,942,745	396,567,577	250,085,709
Total Operating Expenses	2,305,652,485	2,039,573,052	1,945,016,888	1,693,340,866	1,574,995,479	1,383,576,308	986,051,191	415,916,880
Operating Profit/ (Loss) Before Value Added Tax on Financial Services, Nation Building Tax & Debt Repayment Levy	1,322,237,252	1,058,564,588	271,078,156	370,964,125	(980,260)	(424,820,845)	251,744,977	(369,616,898)
Value Added Tax on Financial Services, Nation Building Tax & Debt Repayment Levy	420,038,265	319,245,989	168,266,306	152,248,222	79,288,996	13,184,143	45,941,033	-
Profit/ (Loss) Before Tax	902,198,987	739,318,599	102,811,850	218,715,903	(80,269,256)	(438,004,988)	205,803,944	(369,616,898)
Tax Expenses/(Reversal)	345,753,279	236,490,936	62,171,499	60,086,657	-	(120,971,087)	59,809,292	(87,583,329)
Profit/(Loss) for the Year	556,445,708	502,827,663	40,640,351	158,629,246	(80,269,256)	(317,033,901)	145,994,652	(282,033,569)

Financial Summary

As at 31 December	2018 LKR	2017 LKR	2016 LKR	2015 LKR	2014 LKR	2013 LKR	2012 LKR	2011 LKR
Assets								
Cash and Cash Equivalents	5,338,090,636	5,859,766,950	5,686,924,056	5,016,458,817	1,627,383,695	2,444,552,371	3,866,793,015	1,053,061,115
Balance with Central Bank of Sri Lanka	3,543,444,781	4,127,811,572	2,816,770,223	2,292,887,937	1,036,425,974	685,320,420	865,294,214	717,763,029
Placements with Banks	9,264,699,249	5,285,796,238	4,662,466,350	3,624,928,993	3,306,210,009	1,737,895,772	825,235,383	1,518,571,708
Placements with Licensed Finance Companies	2,427,970,097	2,112,166,496	20,517	954,528,071	1,172,213,115	661,958,238	1,661,226,754	3,113,721,106
Derivative Financial Assets	445,732,740	127,616,662	59,483,044	61,037,310	23,269,364	21,470,669	104,181,576	1,394,227
Financial Assets Measured at Fair Value through Profit or Loss	113,249,108	-	-	-	-	-	-	-
Financial Assets								
- Held for Trading	-	41,645,557	45,181,589	59,474,357	48,998,818	175,334,631	59,768,906	404,170,143
Investment in Gold Bullion	-	-	-	-	-	-	-	799,582,509
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	52,853,663,356	42,914,143,571	38,451,662,449	33,073,596,195	25,426,941,810	15,015,318,081	7,165,461,019	4,974,971,905
Financial Assets Measured at Fair Value through Other Comprehensive Income	186,655,424	-	-	-	-	-	-	-
Financial Assets								
- Available for Sale	-	323,264,501	394,775,149	432,056,080	427,582,574	600,337,971	486,122,612	545,349,490
Other Assets - Financial	585,704,833	388,890,295	307,321,725	315,749,183	295,502,221	519,546,392	553,493,038	390,688,206
Property, Plant and Equipment	1,890,194,155	1,795,135,517	1,247,590,879	1,271,732,452	794,829,469	852,960,574	636,709,910	481,382,002
Intangible Assets	238,311,383	230,675,871	269,376,298	236,502,947	270,615,476	283,027,619	224,382,174	135,470,343
Deferred Tax Assets	-	-	146,355,559	145,702,993	161,426,033	159,355,340	36,496,739	87,583,329
Other Assets - Non Financial	382,051,706	333,169,325	227,058,761	257,216,898	306,189,958	240,777,613	232,258,744	272,468,185
Total Assets	77,269,767,468	63,540,082,555	54,314,986,599	47,741,872,233	34,897,588,516	23,397,855,691	16,717,424,084	14,496,177,297
Liabilities								
Due to Banks	1,210,204,847	-	751,963,513	2,955,277,882	-	-	-	-
Derivative Financial Liabilities	1,441,005,622	29,924,292	98,341,433	67,405,185	7,844,969	3,130,759	4,978,614	-
Financial Liabilities at Amortised Cost - Due to Depositors	61,722,682,595	50,922,561,081	46,915,289,690	38,467,460,755	29,224,330,525	17,983,111,581	13,302,501,452	11,362,868,664
Other Liabilities - Financial	480,628,881	680,470,646	566,565,119	341,597,683	557,363,638	290,819,822	304,236,288	111,725,486
Current Tax Liabilities	330,606,614	187,075,365	80,814,263	58,684,717	-	-	-	-
Dividend Payable	3,562,069	-	-	-	-	-	-	-
Deferred Tax Liability	221,536,935	216,241,918	-	-	-	-	-	-
Retirement Benefit Liability	127,517,726	119,241,024	82,606,302	74,070,679	58,202,580	45,071,342	20,648,680	13,051,361
Other Liabilities - Non Financial	97,921,864	70,765,834	31,360,761	54,378,732	23,607,873	13,688,807	13,843,550	7,080,883
Total Liabilities	65,635,667,153	52,226,280,160	48,526,941,081	42,018,875,633	29,871,349,585	18,335,822,311	13,646,208,584	11,494,726,394
Shareholders' Funds								
Stated Capital	10,619,450,156	10,619,450,156	5,866,808,141	5,866,808,141	5,866,808,141	5,866,808,141	3,431,611,720	3,431,611,720
Reserves	1,014,650,159	694,352,239	(78,762,623)	(143,811,541)	(840,569,210)	(804,774,761)	(360,396,220)	(430,160,817)
Total Equity	11,634,100,315	11,313,802,395	5,788,045,518	5,722,996,600	5,026,238,931	5,062,033,380	3,071,215,500	3,001,450,903
Total Liabilities and Shareholders' Funds	77,269,767,468	63,540,082,555	54,314,986,599	47,741,872,233	34,897,588,516	23,397,855,691	16,717,424,084	14,496,177,297
Commitments and Contingencies	46,485,430,714	27,813,190,776	26,191,124,490	18,272,602,735	14,978,855,627	7,641,018,045	11,121,347,724	4,167,021,073
Share Information								
Earnings/(Loss) per Share								
- Basic/Diluted	0.22	0.29	0.03	0.13	(0.06)	(0.33)	0.16	(0.35)
Net Assets Value per Share	4.65	4.52	4.63	4.58	4.02	4.99	3.40	3.32

COMPLIANCE WITH DISCLOSURE REQUIREMENTS OF CENTRAL BANK OF SRI LANKA

The following explains the Disclosure Requirements under the Prescribed format issued by the Central Bank of Sri Lanka for the Preparation of Annual Financial Statements of Licensed Commercial Banks.

1. INFORMATION ABOUT THE SIGNIFICANCE OF FINANCIAL INSTRUMENTS FOR FINANCIAL POSITION AND PERFORMANCE

1.1 Statement of Financial Position

1.1.1	Disclosures on categories of financial assets and financial liabilities.	Note 16 to the Financial Statements - Analysis of Financial Instruments by Measurement Basis.
1.1.2	Other Disclosures	
	(i) Special disclosures about financial assets and financial liabilities designated to be measured at Fair value through profit or loss, including disclosures about credit risk and market risk, changes in fair values attributable to these risks and the methods of measurement.	Note 43 to the Financial Statements - Fair Value of Financial Assets and Liabilities.
	(ii) Reclassifications of financial instruments from one category to another.	Note 37 to the Financial Statements - Transition Disclosures.
	(iii) Information about financial assets pledged as collateral and about financial or non-financial assets held as collateral.	Not Applicable.
	(iv) Reconciliation of the allowance account for credit losses by class of financial assets.	Note 23.4 to the Financial Statements - Impairment Allowance for Financing and Receivables to Other Customers.
	(v) Information about compound financial instruments with multiple embedded derivatives.	Not Applicable.
	(vi) Breaches of terms of financing agreements.	None.

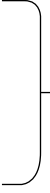
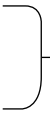
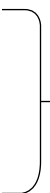
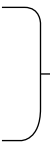
1.2 Statement of Comprehensive Income

1.2.1	Disclosures on items of income, expense, gains and losses.	Notes 4 - 14 to the Financial Statements.
1.2.2	Other Disclosures	
	(i) Total financing income and total financing expense for those financial instruments that are not measured at fair value through profit and loss.	Notes 4 and 5 to the Financial Statements - Financing Income and Financing Expenses respectively.
	(ii) Fee income and expense.	Note 6 to the Financial Statements - Net Fees and Commission Income.
	(iii) Amount of impairment losses by class of financial assets.	Note 11 to the Financial Statements - Impairment on Financial Assets.
	(iv) Financing income on impaired financial assets.	Note 4 to the Financial Statements - Financing Income.

Compliance with Disclosure Requirements of Central Bank of Sri Lanka

1.3 Other Disclosures

1.3.1	Accounting policies for financial instruments.	Note 2.3 to the Financial Statements - Summary of Significant Accounting Policies.
1.3.2	Financial liabilities designated as at FVTPL	
	(i) If a bank is presenting the effects of changes in that financial liability's credit risk in other comprehensive income (OCI):	
	- any transfers of the cumulative gain/loss within equity during the period, including the reasons for the transfers; - if the liability is derecognised during the period, then the amount (if any) presented in OCI that was realised at derecognition; - detailed description of the methodologies used to determine whether presenting the effects of changes in a liability's credit risk in OCI would create or enlarge an accounting mismatch in profit or loss; and	 Not Applicable.
	(ii) Detailed description, if the effects of changes in a liability's credit risk are presented in profit or loss.	
1.3.3	Investments in equity instruments designated as at FVOCI	
	(i) Details of equity instruments that have been designated as at FVOCI and the reasons for the designation;	Notes 2.3.3 d (iii), 24 and 37 to the Financial Statements - Financial Assets Measured at Fair Value Through Other Comprehensive Income, Financial Assets Measured at Fair Value Through Other Comprehensive Income and Transition Disclosures, respectively.
	(ii) Fair value of each investment at the reporting date;	Note 24 to the Financial Statements - Financial Assets Measured at Fair Value Through Other Comprehensive Income.
	(iii) Dividends recognised during the period, separately for investments derecognised during the reporting period and those held at the reporting date;	Not Applicable.
	(iv) Any transfers of the cumulative gain or loss within equity during the period and the reasons for those transfers;	Not Applicable.
	(v) If investments in equity instruments measured at FVOCI are derecognised during the reporting period,	
	- reasons for disposing of the investments; - fair value of the investments at the date of derecognition; and - the cumulative gain or loss on disposal.	 Not Applicable.

1.3.4	Reclassifications of financial assets	
	(i) For all reclassifications of financial assets in the current or previous reporting period:	
	- date of reclassification; - detailed explanation of the change in the business model and a qualitative description of its effect on the financial statements; and - the amount reclassified into and out of each category.	 Notes 37 and 2.1.2 to the Financial Statements – Transition Disclosures and Changes in Accounting Policies and Disclosures, respectively.
	(ii) For reclassifications from FVTPL to amortised cost or FVOCI:	
	- the effective profit rate (EPR) determined on the date of reclassification; and - the financing income recognised.	 Not Applicable.
	(iii) For reclassifications from FVOCI to amortised cost, or from FVTPL to amortised cost or FVOCI:	
	- the fair value of the financial assets at the reporting date; and - the fair value gain or loss that would have been recognised in profit or loss or OCI during the reporting period if the financial assets had not been reclassified.	 Not Applicable
1.3.5	Information on hedge accounting	Not Applicable.
1.3.6	Information about the fair values of each class of financial asset and financial liability, along with:	
	(i) Comparable carrying amounts.	 Notes 2.3.6 and 43 to the Financial Statements – Determination of Fair Value and Fair Value of Financial Assets and Liabilities.
	(ii) Description of how fair value was determined.	
	(iii) The level of inputs used in determining fair value.	
	(iv) (a) Reconciliations of movements between levels of fair value measurement hierarchy.	Not Applicable
	(b) Additional disclosures for financial instruments that fair value is determined using level 3 inputs.	Notes 2.3.6 and 43 to the Financial Statements – Determination of Fair Value and Fair Value of Financial Assets and Liabilities.
	(v) Information if fair value cannot be reliably measured.	Note 24.2 to the Financial Statements – Investment in Equity – Unquoted and Note 43.2 to the Financial Statements – Financial Instruments Not Carried at Fair Value.

Compliance with Disclosure Requirements of Central Bank of Sri Lanka

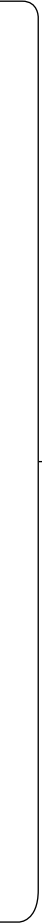
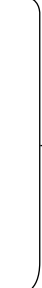
2. INFORMATION ABOUT THE NATURE AND EXTENT OF RISKS ARISING FROM FINANCIAL INSTRUMENTS

2.1 Qualitative Disclosures

2.1.1	Risk exposures for each type of financial instrument.	Note 44 to the Financial Statements - Risk Management.
2.1.2	Management's objectives, policies, and processes for managing those risks.	Note 44 to the Financial Statements - Risk Management, and please refer section relating to 'Risk Management' in the Annual Report for additional information.
2.1.3	Changes from the prior period.	Not Applicable.

2.2 Quantitative Disclosures

2.2.1	Summary of quantitative data about exposure to each risk at the reporting date.	Note 44 to the Financial Statements - Risk Management.
2.2.2	Disclosures about credit risk, liquidity risk, market risk, operational risk, rate risk and how these risks are managed.	Note 44 to the Financial Statements - Risk Management and please refer section relating to 'Risk Management' in the Annual Report for additional Information.
	(i) Credit Risk	
	(a) Maximum amount of exposure (before deducting the value of collateral), description of collateral, information about credit quality of financial assets that are neither past due nor impaired and information about credit quality of financial assets.	Note 44.3 to the Financial Statements - Credit Risk.
	(b) For financial assets that are past due or impaired, disclosures on age, factors considered in determining as impaired and the description of collateral on each class of financial asset	Note 44.3 to the Financial Statements - Credit Risk.
	(c) Information about collateral or other credit enhancements obtained or called.	Note 44 to the Financial Statements - Risk Management.
	(d) Credit risk management practices:	
	- Information about credit risk management practices and how they relate to the recognition and measurement of expected credit losses (ECL), including the methods, assumptions and information used to measure ECL.	Note 2.3.3 d. (v) to the Financial Statements - Impairment of Financial Assets.
	- Quantitative and qualitative information to evaluate the amounts in the financial statements arising from ECL, including changes and the reasons for those changes.	Note 2.3.3 d. (v) to the Financial Statements - Impairment of Financial Assets and Note 11 to the Financial Statements - Impairment of Financial Assets

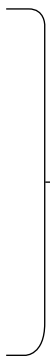
	- How the Bank determines whether the credit risk of financial instruments has increased significantly since initial recognition, including whether and how financial instruments are considered to have low credit risk, including the classes of financial instruments to which the low credit risk exception has been applied; and the presumption that financial assets with contractual payments more than 30 days past due have a significant increase in credit risk has been rebutted; - The Bank's definitions of default for different financial instruments, Including the reasons for selecting those definitions; - How instruments are grouped if ECL are measured on a collective basis; - How the Bank determines that financial assets are credit-impaired; - The Bank's write-off policy, including the indicators that there is no reasonable expectation of recovery; and - How the modification requirements have been applied, including how the Bank determines whether the credit risk of a financial asset that has been modified while subject to a lifetime ECL allowance has improved to the extent that the loss allowance reverts to being measured at an amount equal to 12-month ECL and monitors the extent to which the loss allowance on those assets subsequently reverts to being measured at an amount equal to lifetime ECL.	 Note 2.3.3 d. (v) to the Financial Statements – Impairment of Financial Assets.
(e) ECL calculations		
	- Basis of the inputs, assumptions and the estimation techniques used when,	
	• estimating 12-month and lifetime ECL; • determining whether the credit risk of financial instruments has increased significantly since initial recognition; and • determining whether financial assets are credit-impaired.	 Note 2.3.3 d. (v) to the Financial Statements – Impairment of Financial Assets.
	- How forward-looking information has been incorporated into the determination of ECL, including the use of macro-economic information; and	
	- changes in estimation techniques or significant assumptions made during the reporting period and the reasons for those changes.	Not Applicable.

Compliance with Disclosure Requirements of Central Bank of Sri Lanka

	(f) Amounts arising from ECL	
	- Provide reconciliation for each class of financial instrument [Financial assets measured at AC, Financial assets mandatorily measured at FVOCI, financing commitments when there is an obligation to extend credit (except those measured at Fair Value through Profit or Loss), Financial guarantee contracts (except those measured at Fair Value through Profit or Loss), Lease receivables within the scope of LKAS 17: Leases, Contract assets within the scope of SLFRS 15: Revenue from contracts with customers etc...] of the opening balance to the closing balance of the impairment loss allowance.	Note 17.1 to the Financial Statements – Impairment Allowance for Balances with Banks, Note 19.1 to the Financial Statements – Impairment Allowance for Placements with Banks, Note 20.1 to the Financial Statements – Impairment Allowance for Licensed Finance Companies, Note 23.4 to the Financial Statements - Impairment Allowance for Financing and Receivables to Other Customers, Note 37 to the Financial Statements - Transition Disclosures, and Note 46.2.1 to the Financial Statements - Impairment Allowance for Commitment & Contingencies.
	- Explain the reasons for changes in the loss allowances in the reconciliation.	Due to the specific credit risks in each of the asset class. Please also refer Note 11 to the Financial Statements - Impairment on Financial Assets, for additional information.
	(g) Collaterals	
	- Amount that best represents the Bank's maximum exposure to credit risk at the reporting date, without taking account of any collateral held or other credit enhancements;	Note 44.3 to the Financial Statements – Credit Risk.
	- Narrative description of collateral held as security and other credit enhancements (except for lease receivables), including:	
	• discussion on the nature and quality of the collaterals held;	 Note 2.3.3 i. (iii) to the Financial Statements – Collateral Valuation.
	• explanation of any significant changes in quality as a result of a deterioration or changes in the Bank's collateral policies during the reporting period;	
	- information about financial instruments for which the Bank has not recognised a loss allowance because of the collateral;	None.
	- quantitative information about the collateral held as security and other credit enhancements;	Note 44 to the Financial Statements - Risk Management
	- information about the fair value of the collateral and other credit enhancements, or to quantify the exact value of the collateral that was included in the calculation of ECL.	Note 2.3.3 i (iii) to the Financial Statements – Collateral Valuation.

	(h) Written-off assets	
	- Contractual amount outstanding of financial assets written off during the reporting period that are still subject to enforcement activity.	None
	(i) Refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Pillar III Market Disclosures on pages 226 to 235 and section relating to 'Risk Management' in the Annual Report for additional information.
	(ii) Liquidity Risk	
	(a) A maturity analysis of financial assets and liabilities.	Note 44.4 to the Financial Statements - Liquidity Risk and Funding Management.
	(b) Description of approach to risk management.	Note 44.4 to the Financial Statements - Liquidity Risk and Funding Management and please refer section relating to 'Risk Management' in the Annual Report for additional information.
	(c) Refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Pillar III Market Disclosures on pages 226 to 235 and section relating to 'Risk Management' in the Annual Report for additional information.
	(iii) Market Risk	
	(a) A sensitivity analysis of each type of market risk to which the Bank is exposed.	Note 44.5 to the Financial Statements - Market Risk.
	(b) Additional information, if the sensitivity analysis is not representative of the Bank's risk exposure.	Not Applicable.
	(c) Refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Pillar III Market Disclosures on pages 226 to 235 and section relating to 'Risk Management' in the Annual Report for additional information.
	(iv) Operational Risk	
	For other disclosures, refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Pillar III Market Disclosures on pages 226 to 235 and section relating to 'Risk Management' in the Annual Report for additional information.
	(v) Equity Risk in the Banking Book	
	(a) Qualitative Disclosures	
	- Differentiation between holdings on which capital gains are expected and those taken under other objectives including for relationship and strategic reasons.	Note 44.8 to the Financial Statements - Equity Price Risk and please refer section relating to 'Risk Management' in the Annual Report
	- Discussion of important policies covering the valuation and accounting of equity holdings in the banking book.	Note 2.3 to the Financial Statements - Summary of Significant Accounting Policies and Note 24.2 to the Financial Statements - Investment in Equity – Unquoted.

Compliance with Disclosure Requirements of Central Bank of Sri Lanka

	(b) Quantitative Disclosures	
	Value disclosed in the statement of financial position of investments, as well as the fair value of those investments; for quoted securities, a comparison to publicly quoted share values where the share price is materially different from fair value, the types and the nature of investments and the cumulative realised gains/(losses) arising from sales and liquidations in the reporting period.	Notes 22 and 24 to the Financial Statements - Financial Assets measured at Fair Value Through Profit or Loss and Financial Assets measured at Fair Value Through Other Comprehensive Income, respectively. Also please refer Notes 8 and 9 to the Financial Statements - Net Gains / (Losses) from Financial Investments at Fair Value Through Profit or Loss and Net Gains / (Losses) from Derecognition of Financial Assets, respectively.
	(vi) Rate Risk in the Banking Book	
	(a) Qualitative Disclosures	 Notes 44.5, 44.6, 44.7 and 44.8 to the Financial Statements - Market Risk, Foreign Exchange Risk, Currency Risk and Equity Price Risk respectively.
	Nature of Rate Risk in the Banking Book and key assumptions.	
	(b) Quantitative Disclosures	
	The increase/(decline) in earnings or economic value (or relevant measure used by management) for upward and downward rate shocks according to management's method for measuring rate risk in the banking book broken down by currency (as relevant)	
2.2.3	Information on concentrations of risk	Notes 44.2 and 44.3 to the Financial Statements - Risk Management Structure and Credit Risk respectively. Also please refer section relating to 'Risk Management' in the Annual Report for additional information

3. PILLAR III - MARKET DISCLOSURES

3.1 Regulatory Requirements on Capital and Liquidity

	(i) Key Regulatory Ratios - Capital and Liquidity	Please refer page 226
	(ii) Basel III Computation of Capital Ratios	Please refer pages 226 to 227
	(iii) Computation of Leverage Ratio	Please refer page 228
	(iv) Basel III Computation of Liquidity Coverage Ratio	Please refer page 228
	(v) Main Features of Regulatory Capital Instruments	Please refer page 229

3.2 Risk Weighted Assets (RWA)

(i)	Summary Discussion on Adequacy/Meeting Current and Future Capital Requirements	Please refer page 229 including Note 49 to the Financial Statements - Capital and section relating to 'Risk Management' in the Annual Report for additional information
(ii)	Credit Risk under Standardised Approach: Credit Risk Exposures and Credit Risk Mitigation (CRM) Effects	Please refer page 230
(iii)	Credit Risk under Standardised Approach: Exposures by Asset Classes and Risk Weights	Please refer page 230
(iv)	Market Risk under Standardised Measurement Method	Please refer page 231
(v)	Operational Risk under Basic Indicator Approach/The Standardised Approach/The Alternative Standardised Approach	Please refer page 231

3.3 Linkages Between Financial Statements & Regulatory Exposures

(i)	Differences between Accounting and Regulatory Scopes and Mapping of Financial Statement Categories with Regulatory Risk Categories – Bank Only	Please refer pages 232 to 233
(ii)	Explanations of Differences between Accounting & Regulatory Exposure Amounts	Please refer pages 234 to 235 and also section relating to 'Risk Management' in the Annual Report for additional information

3.4 Risk Management

(i)	Bank Risk Management Approach	Please refer section relating to 'Risk Management' of the Annual Report and Note 44 to the Financial Statements - Risk Management
(ii)	Risk Management related to Key Risk Exposures	Please refer section relating to 'Risk Management' of the Annual Report and Note 44 to the Financial Statements - Risk Management

PILLAR III MARKET DISCLOSURES

KEY REGULATORY RATIOS - CAPITAL AND LIQUIDITY

Item	As at 31 Dec 2018	As at 31 Dec 2017
Regulatory Capital (LKR '000)		
Common Equity Tier 1	10,844,221	10,493,086
Tier 1 Capital	10,527,283	10,145,342
Total Capital	11,347,154	10,923,196
Regulatory Capital Ratios (%)		
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 6.375%/5.75%)	17.6%	20.0%
Tier 1 Capital Ratio (Minimum Requirement - 7.875% / 7.25%)	17.6%	20.0%
Total Capital Ratio (Minimum Requirement - 11.875% / 11.25%)	19.0%	21.5%
Leverage Ratio (Minimum Requirement)	N/A	N/A
Regulatory Liquidity		
Statutory Liquid Assets (LKR '000) - Domestic Banking Unit	14,348,253	11,519,443
Statutory Liquid Assets (USD '000) - Off-Shore Banking Unit	2,885	1,971
Statutory Liquid Assets Ratio (Minimum Requirement - 20%)		
Domestic Banking Unit (%)	23.0%	22.2%
Off-Shore Banking Unit (%)	35.1%	41.5%
Liquidity Coverage Ratio (%) – Rupee (Min Requirement - 90% / 80%)	141.8%	200.7%
Liquidity Coverage Ratio (%) – All Currency (Min Requirement -90% / 80%)	117.5%	174.7%

BASEL III COMPUTATION OF CAPITAL RATIOS

Item	Amount As at 31 Dec 2018 (LKR '000)
Common Equity Tier 1 (CET1) Capital after Adjustments	10,527,283
Common Equity Tier 1 (CET1) Capital	10,844,221
Equity Capital (Stated Capital)/Assigned Capital	10,619,450
Reserve Fund	70,227
Published Retained Earnings/(Accumulated Retained Losses)	215,000
Published Accumulated Other Comprehensive Income (OCI)	(60,456)
General and other Disclosed Reserves	-
Unpublished Current Year's Profit/Loss and Gains reflected in OCI	-
Ordinary Shares issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-
Total Adjustments to CET1 Capital	316,938

BASEL III COMPUTATION OF CAPITAL RATIOS

Item	Amount As at 31 Dec 2018 (LKR '000)
Goodwill (net)	-
Intangible Assets (net)	238,311
Others (Net Deferred Tax Asset & Significant investments in the capital of financial institutions where the bank owns more than 10 per cent of the issued ordinary share capital of the entity)	78,627
Additional Tier 1 (AT1) Capital after Adjustments	-
Additional Tier 1 (AT1) Capital	-
Qualifying Additional Tier 1 Capital Instruments	-
Instruments issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-
Total Adjustments to AT1 Capital	-
Investment in Own Shares	-
Others (specify)	-
Tier 2 Capital after Adjustments	819,871
Tier 2 Capital	819,871
Qualifying Tier 2 Capital Instruments	-
Revaluation Gains	570,270
Provisions on Financing and Advances	249,601
Instruments issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-
Total Adjustments to Tier 2	-
Investment in Own Shares	-
Others (specify)	-
CET1 Capital	10,844,221
Total Tier 1 Capital	10,527,283
Total Capital	11,347,154
Total Risk Weighted Assets (RWA)	59,726,125
RWAs for Credit Risk	54,974,487
RWAs for Market Risk	563,327
RWAs for Operational Risk	4,188,312
CET1 Capital Ratio (including Capital Conservation Buffer, Countercyclical Capital Buffer & Surcharge on D-SIBs) (%)	17.6%
of which: Capital Conservation Buffer (%)	1.875%
of which: Countercyclical Buffer (%)	-
of which: Capital Surcharge on D-SIBs (%)	-
Total Tier 1 Capital Ratio (%)	17.6%
Total Capital Ratio (including Capital Conservation Buffer, Countercyclical Capital Buffer & Surcharge on D-SIBs) (%)	19.0%
of which: Capital Conservation Buffer (%)	1.875%
of which: Countercyclical Buffer (%)	-
of which: Capital Surcharge on D-SIBs (%)	-

Pillar III Market Disclosures

COMPUTATION OF LEVERAGE RATIO

Item	Amount As at 31 Dec 2018 (LKR '000)
Tier 1 Capital	
Total Exposures	
On-Balance Sheet Items (excluding Derivatives and Securities Financing Transactions, but including Collateral)	
Derivative Exposures	
Securities Financing Transaction Exposures	
Other Off-Balance Sheet Exposures	
Basel III Leverage Ratio (%) (Tier 1/Total Exposure)	N/A

Note:

Leverage Ratio will be effective from 1 January 2019

BASEL III COMPUTATION OF LIQUIDITY COVERAGE RATIO

Item	Amount (LKR '000)			
	As at 31 Dec 2018		As at 31 Dec 2017	
	Total Un-weighted Value	Total Weighted Value	Total Un-weighted Value	Total Weighted Value
Total Stock of High-Quality Liquid Assets (HQLA)	2,689,901	2,633,788	2,738,629	2,667,517
Total Adjusted Level 1A Assets				
Level 1 Assets	2,577,675	2,577,675	2,596,404	2,596,404
Total Adjusted Level 2A Assets	-	-	-	-
Level 2A Assets	-	-	-	-
Total Adjusted Level 2B Assets	-	-	-	-
Level 2B Assets	112,226	56,113	142,225	71,113
Total Cash Outflows	71,136,700	8,963,188	63,668,673	6,107,732
Deposits	56,580,609	5,658,061	48,599,674	4,859,967
Unsecured Wholesale Funding	4,907,383	2,959,147	2,385,057	937,183
Secured Funding Transactions	-	-	-	-
Undrawn Portion of Committed (Irrevocable)	-	-	-	-
Facilities and Other Contingent Funding Obligations	9,584,589	281,861	12,678,450	305,090
Additional Requirements	64,119	64,119	5,492	5,492
Total Cash Inflows	21,558,895	17,404,346	12,590,131	7,752,764
Maturing Secured Lending Transactions Backed by Collateral	6,554,170	6,554,170	4,965,901	4,965,901
Committed Facilities	-	-	-	-
Other Inflows by Counterparty which are Maturing within 30 Days	11,814,869	10,850,176	3,264,515	2,786,863
Operational Deposits	3,189,856	-	4,359,715	-
Other Cash Inflows	-	-	-	-
Liquidity Coverage Ratio (%) (Stock of High Quality Liquid Assets/ Total Net Cash Outflows over the Next 30 Calendar Days) * 100	-	117.54	-	174.70

MAIN FEATURES OF REGULATORY CAPITAL INSTRUMENTS

Description of the Capital Instrument	Ordinary Shares
Issuer	Amāna Bank PLC
CSE Security Code	ABL.N0000
Original Date of Issuance	Multiple
Par Value of Instrument	N/A
Perpetual or Dated	Perpetual
Original Maturity Date, if Applicable	N/A
Amount Recognised in Regulatory Capital (in LKR '000 as at 31 Dec 2018)	10,619,451
Accounting Classification (Equity/Liability)	Shareholders' Equity
Issuer Call subject to Prior Supervisory Approval	
Optional Call Date, Contingent Call Dates and Redemption Amount (LKR '000)	N/A
Subsequent Call Dates, if Applicable	N/A
Coupons/Dividends	
Fixed or Floating Dividend/Coupon	Discretionary, subject to fulfilling applicable Regulatory requirements
Coupon Rate and any Related Index	N/A
Non-Cumulative or Cumulative	Non Cumulative
Convertible or Non-Convertible	
If Convertible, Conversion Trigger (s)	Non Convertible
If Convertible, Fully or Partially	
If Convertible, Mandatory or Optional	
If Convertible, Conversion Rate	

Summary Discussion on Adequacy/Meeting Current and Future Capital Requirements

Please refer section on 'Risk Management' in the Annual Report in pages 59 to 82.

Pillar III Market Disclosures

CREDIT RISK UNDER STANDARDISED APPROACH – CREDIT RISK EXPOSURES AND CREDIT RISK MITIGATION (CRM) EFFECTS

Asset Class	Amount (LKR '000) as at 31 Dec 2018					
	Exposures before Credit Conversion Factor (CCF) and CRM		Exposures Post CCF and CRM		RWA and RWA Density (%)	
	On-Balance Sheet Amount	Off-Balance Sheet Amount	On-Balance Sheet Amount	Off-Balance Sheet Amount	RWA	RWA Density (ii)
Claims on Central Government and CBSL	3,827,936	-	3,827,936	-	-	0%
Claims on Foreign Sovereigns and their Central Banks	-	-	-	-	-	0%
Claims on Public Sector Entities	88,166	-	88,166	-	88,166	100%
Claims on Official Entities and Multilateral Development Banks	-	-	-	-	-	0%
Claims on Banks Exposures	12,597,614	35,013,827	12,597,614	876,041	3,911,693	29%
Claims on Financial Institutions	2,428,129	-	2,428,129	-	496,294	20%
Claims on Corporates	16,390,822	5,004,602	16,216,537	1,737,041	17,953,578	100%
Retail Claims	31,768,175	4,220,835	31,427,145	1,815,638	24,330,675	73%
Claims Secured by Residential Property	4,287,680	3,750	4,287,680	3,750	3,127,859	73%
Claims Secured by Commercial Real Estate	31,777	-	31,777	-	31,777	100%
Non-Performing Assets (NPAs) (i)	1,198,778	403,200	1,198,778	86,039	1,592,084	124%
Higher-risk Categories	106,059	-	106,059	-	265,148	250%
Cash Items and Other Assets	4,403,616	781,957	4,403,616	781,957	3,177,213	61%
Total	77,128,752	45,428,171	76,613,437	5,300,465	54,974,487	67%

Notes:

- (i) As per Banking Act Directions on classification of Financing and Receivables to Other Customers, income recognition and provisioning
(ii) RWA Density - Total RWA/Exposures post CCF and CRM.

CREDIT RISK UNDER STANDARDISED APPROACH: EXPOSURES BY ASSET CLASSES AND RISK WEIGHTS

Description	Amount (LKR '000) as at 31 Dec 2018 (Post CCF & CRM)								
	Risk Weight	0%	20%	50%	60%	75%	100%	150%	>150%
Asset Classes									Total Credit Exposures Amount
Claims on Central Government and Central Bank of Sri Lanka		3,827,936	-	-	-	-	-	-	3,827,936
Claims on Foreign Sovereigns and their Central Banks		-	-	-	-	-	-	-	-
Claims on Public Sector Entities		-	-	-	-	-	88,166	-	88,166
Claims on Official Entities and Multilateral Development Banks		-	-	-	-	-	-	-	-
Claims on Banks Exposures		-	9,528,382	3,878,511	-	-	66,761	-	13,473,654
Claims on Financial Institutions		-	2,392,568	35,562	-	-	-	-	2,428,129
Claims on Corporates		-	-	-	-	-	17,953,578	-	17,953,578
Retail Claims		1,942,525	445,220	-	9,523,110	11,216,654	10,115,274	-	33,242,783
Claims Secured by Residential Property		-	-	2,327,141	-	-	1,964,289	-	4,291,430
Claims Secured by Commercial Real Estate		-	-	-	-	-	31,777	-	31,777
Non-Performing Assets (NPAs)		-	-	97,262	-	-	475,759	711,796	1,284,817
Higher-risk Categories		-	-	-	-	-	-	106,059	106,059
Cash Items and Other Assets		2,008,360	-	-	-	-	3,177,213	-	5,185,573
Total		7,778,821	12,366,169	6,338,476	9,523,110	11,216,654	33,872,816	711,796	81,913,902

MARKET RISK UNDER STANDARDISED MEASUREMENT METHOD

Item	RWA Amount (LKR '000) as at 31 Dec 2018
(a) RWA for Rate Risk	66,895
General Rate Risk	-
(i) Net Long or Short Position	-
(ii) Horizontal Disallowance	-
(iii) Vertical Disallowance	-
(iv) Options	-
Specific Rate Risk	-
(b) RWA for Equity	25,570
(i) General Equity Risk	13,327
(ii) Specific Equity Risk	12,243
(c) RWA for Foreign Exchange & Gold	41,325
Capital Charge for Market Risk [(a) + (b) + (c)] * CAR	563,327

OPERATIONAL RISK UNDER BASIC INDICATOR APPROACH

Business Lines Factor	Capital Charge	Fixed Factor	Gross Income (LKR '000) as at 31 Dec 2018		
			1st Year	2nd Year	3rd Year
The Basic Indicator Approach	15%		2,435,764	3,386,874	4,124,602
The Standardised Approach					
Corporate Finance	18%		}	N/A	
Trading and Sales	18%				
Payment and Settlement	18%				
Agency Services	15%				
Asset Management	12%				
Retail Brokerage	12%				
Retail Banking	12%				
Commercial Banking	15%				
The Alternative Standardised Approach					
Corporate Finance	18%		}	N/A	
Trading and Sales	18%				
Payment and Settlement	18%				
Agency Services	15%				
Asset Management	12%				
Retail Brokerage	12%				
Retail Banking	12%	0.035			
Commercial Banking	15%	0.035			
Capital Charges for Operational Risk (LKR '000)					
The Basic Indicator Approach					497,362
The Standardised Approach			}	N/A	
The Alternative Standardised Approach					
Risk Weighted Amount for Operational Risk (LKR '000)					
The Basic Indicator Approach					4,188,312
The Standardised Approach			}	N/A	
The Alternative Standardised Approach					

Pillar III Market Disclosures

DIFFERENCES BETWEEN ACCOUNTING AND REGULATORY SCOPES AND MAPPING OF FINANCIAL STATEMENT CATEGORIES WITH REGULATORY RISK CATEGORIES – BANK ONLY

Item	Explanation Reference #	Amount (LKR '000) as at 31 Dec 2018				
		a Carrying Values as Reported in Published Financial Statements	b Carrying Values as under Scope of Regulatory Reporting	c Subject to Credit Risk Framework	d Subject to Market Risk Framework	e Not Subject to Capital Requirements or Subject to Deduction From Capital
Assets		77,269,767	77,308,315	76,613,437	112,226	582,652
Cash and Cash Equivalents	1	5,338,091	2,008,361	2,008,361	-	-
Balances with Central Banks		3,543,445	3,543,445	3,543,445	-	-
Placements with Banks	1	11,692,669	14,999,669	14,999,669	-	-
Derivative Financial Instruments	2	445,733	-	-	-	-
Other Financial Assets Held-For-Trading		-	296,912	106,059	112,226	78,627
Financial Assets Designated at Fair Value through Profit or Loss	3	113,249	-	-	-	-
Financing and Receivables to Banks		-	-	-	-	-
Financing and Receivables to Other Customers	4	52,853,663	53,515,797	53,250,083	-	265,714
Financial Investments - Available-For-Sale	3	186,656	-	-	-	-
Financial Investments - Held-To-Maturity	3	-	2,993	2,993	-	-
Investments in Subsidiaries		-	-	-	-	-
Investments in Associates and Joint Ventures		-	-	-	-	-
Property, Plant and Equipment		1,890,194	1,890,194	1,890,194	-	-
Investment Properties		-	-	-	-	-
Goodwill and Intangible Assets		238,311	238,311	-	-	238,311
Deferred Tax Assets		-	-	-	-	-
Other Assets		967,756	812,633	812,633	-	-
Liabilities		65,635,667	65,169,323	-	-	-
Due to Banks	5	1,210,205	1,207,800	-	-	-
Derivative Financial Instruments	2	1,441,006	-	-	-	-
Other Financial Liabilities Held-For-Trading		-	-	-	-	-
Financial Liabilities Designated at Fair Value Through Profit or Loss		-	-	-	-	-
Due to Other Customers	5	61,722,682	61,087,255	-	-	-
Other Borrowings		-	-	-	-	-
Debt Securities Issued		-	-	-	-	-
Current Tax Liabilities	5	330,607	413,694	-	-	-
Deferred Tax Liabilities		221,537	221,537	-	-	-
Other Provisions	5	127,518	-	-	-	-
Other Liabilities	5	582,112	2,239,037	-	-	-
Due to Subsidiaries		-	-	-	-	-
Subordinated Term Debts		-	-	-	-	-

Item	Amount (LKR '000) as at 31 Dec 2018					
	a	b	c	d	e	
Explanation Reference #	Carrying Values as Reported in Published Financial Statements	Carrying Values as under Scope of Regulatory Reporting	Subject to Credit Risk Framework	Subject to Market Risk Framework	Not Subject to Capital Requirements or Subject to Deduction From Capital	
Off-Balance Sheet Liabilities	46,487,979	46,487,979	34,409,663	-	12,078,316	
Guarantees	2,063,611	2,063,611	2,063,611	-	-	
Performance Bonds	839,977	839,977	839,977	-	-	
Letters of Credit	1,283,455	1,283,455	1,283,455	-	-	
Other Contingent Items	37,293,754	37,293,754	26,275,246	-	11,018,508	
Undrawn Loan Commitments	3,947,374	3,947,374	3,947,374	-	-	
Other Commitments	1,059,808	1,059,808	-	-	1,059,808	
Shareholders' Equity						
Equity Capital (Stated Capital)/Assigned Capital	10,619,450	10,619,451	-	-	-	
of which Amount Eligible for CET1	10,619,450	-	-	-	-	
of which Amount Eligible for AT1	-	-	-	-	-	
Retained Earnings	185,249	307,438	-	-	-	
Accumulated Other Comprehensive Income	(60,456)	-	-	-	-	
Other Reserves	889,857	1,212,103	-	-	571,607	
Total Shareholders' Equity	11,634,100	12,138,992	-	-	571,607	

Pillar III Market Disclosures

EXPLANATIONS OF DIFFERENCES BETWEEN ACCOUNTING AND REGULATORY EXPOSURE AMOUNTS

a. Significant Differences between Amounts in Carrying Values Reported in Published Financial Statements & Regulatory Reporting

Item	Carrying Values as Reported in Published Financial Statements (LKR '000)	Carrying Values as under Scope of Regulatory Reporting (LKR '000)	Difference (LKR '000)	Remarks
Explanation Reference # 1 : Cash and Cash Equivalents and Placements with Banks				
Cash and Cash Equivalents	5,338,091	2,008,361		
Placements with Banks and Financial Institutions	11,692,669	14,999,669		
	17,030,760	17,008,030	22,730	
Accrued Profits Receivable on Placements		A	25,735	Included under 'Other Assets – Accrued Profit Receivables, Placements and Securities' in Regulatory Reporting.
Expected Credit Losses - Provisions on Cash and Cash Equivalents and Placements with Banks and Financial Institutions		B	(3,005)	Included in Placements with Banks and Financial Institutions in Published Financial Statements.
		C=(A+B)	22,730	
Explanation Reference # 2 : Derivative Financial Instruments - Assets and Liabilities				
Derivative Financial Instruments - Assets	445,733			
Derivative Financial Instruments - Liabilities	(1,441,006)			
Other Liabilities		(995,273)		
	(995,273)	(995,273)		- Net result of forward purchases and sales of foreign exchange contracts has been reported under Other Liabilities in Regulatory Reporting .
Explanation Reference # 3 : Financial Assets Recognised through Profit or Loss - Measured at Fair Value and Financial Assets Measured at Fair Value through Other Comprehensive Income				
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	113,249			
Financial Assets Measured at Fair Value through Other Comprehensive Income	186,656			
Investments Trading Account		296,912		
Investments Held-to-Maturity		2,993		
	299,905	299,905		- Equity Investments of the Bank have been categorised differently as required by Sri Lanka Accounting Standards (SLAS) and CBSL regulations.

Item	Carrying Values as Reported in Published Financial Statements (LKR '000)	Carrying Values as under Scope of Regulatory Reporting (LKR '000)	Difference (LKR '000)	Remarks
Explanation Reference # 4 : Financing and Receivables to Other Customers				
Financing and Receivables to Other Customers	52,853,663	53,515,797	(662,134)	Difference between provision requirements of Sri Lanka Accounting Standards and CBSL.
Impairment Provisions as per Sri Lanka Accounting Standards		D	(1,233,465)	
Central Bank of Sri Lanka Regulatory Provisions		E	(571,331)	
		F = (D-E)	(662,134)	
Explanation Reference # 5 : Due to Other Customers, Tax Liabilities and Other Liabilities				
Due to Banks	1,210,205	1,207,800		
Due to Other Customers	61,722,682	61,087,255		
Current Tax Liabilities	330,607	413,694		
Net Derivative Financial Instruments				
Assets/Liabilities	995,273			
Other Liabilities	582,112	2,239,037		
Other Provisions	127,518			
	64,968,397	64,947,786	20,611	Net difference is due to the items listed below which have arisen due to requirements of SLAS and have been considered in the Published Financials Statements only.
Deferred Income on Letters of Credit and Letters of Guarantee		G	(22,347)	
Commitment Expected Credit Losses - Provision		H	(2,549)	
Recognition of Actuarial (Gain)/Loss		I	15,317	
Deferred Expense on Rent		J	(11,032)	
		K= (G+H+I+J)	(20,611)	

INVESTOR RELATIONS

COMPLIANCE REPORT ON THE CONTENTS OF ANNUAL REPORT IN TERMS OF CONTINUING LISTING REQUIREMENTS OF THE COLOMBO STOCK EXCHANGE

The table below summarises the Bank's degree of compliance with the Listing Rules issued by Colombo Stock Exchange.

Rule No.	Disclosure Requirement	Section Reference	Page Reference
7.6 (i)	Names of persons who during the financial year were Directors of the Entity.	Annual Report of the Board Directors on the Affairs of the Bank	118 - 121
7.6 (ii)	Principal activities of the Entity during the year and any changes therein.	Note 1.2 to the Financial Statements - Principal Activities	153
7.6 (iii)	The names and the number of shares held by the 20 largest holders of voting and non-voting shares and the percentage of such shares held.	Item 3 of Investor Relations	238
7.6 (iv)	The float adjusted market capitalisation and minimum public holding percentage including the number of public shareholders.	Item 4 of Investor Relations	238
7.6 (v)	A statement of each Director's holding and Chief Executive Officer's holding in shares of the Entity at the beginning and end of each financial year.	Item 5 of Investor Relations	239
7.6 (vi)	Information pertaining to material foreseeable risk factors of the Entity.	Note 44 to the Financial Statements - Risk Management and refer section on 'Risk Management' in the Annual Report	196 - 207 and 59 - 82
7.6 (vii)	Details of material issues pertaining to employees and industrial relations.	Item 6 of Investor Relations	239
7.6 (viii)	Extents, locations, valuations and the number of buildings of the Entity's land holdings and investment properties.	Note 26 to the Financial Statements - Property, Plant and Equipment	182 - 184
7.6 (ix)	Number of shares representing the Entity's Stated Capital.	Note 36 to the Financial Statements - Stated Capital	187
7.6 (x)	A distribution schedule of the number of holders in each class of equity securities, and the percentage of their total holdings.	Item 2 of Investor Relations	237
7.6 (xi)	Ratios and Market Price information. Equity Ratios Market Value Debenture Information Credit Rating	Item 1 of Investor Relations Item 1 of Investor Relations Not Applicable Corporate Information	237 237 Inner Back Cover
7.6 (xii)	Significant changes in the Entity's fixed assets and the market value of land, if the value differs substantially from the book value.	Note 26 to the Financial Statements - Property, Plant & Equipment	182 - 184
7.6 (xiii)	Details of funds raised through Public Issues, Rights Issues and Private Placements during the year.	Not Applicable	
7.6 (xiv)	Information in respect of Employee Share Option Scheme.	Not Applicable	
7.6 (xv)	Disclosures pertaining to Corporate Governance practices in terms of Rules 7.10.3, 7.10.5 c. and 7.10.6 c. of Section 7 of the Listing Rules.	Exempted under section 7.10 of Continuing Listing Requirements since the Bank complies with Directions laid down in the Banking Act Direction No. 11 of 2007 on Corporate Governance	
7.6 (xvi)	Related Party transactions exceeding 10% of the Equity or 5% of the total assets of the Entity as per Audited Financial Statements, whichever is lower.	Item 7 of Investor Relations	239
9.3.2 (b)	Disclosure of recurrent Related Party transactions exceeding 10% of the gross revenue/income of the Entity as per the latest Audited Financial Statements.	Item 8 of Investor Relations	239
9.3.2 (c)	Report of the Related Party Transactions Review Committee setting out the specified disclosures.	Please refer report on Related Party Transactions Review Committee	131
9.3.2 (d)	Declaration by the Board of Directors on Compliance with Rules pertaining to Related Party Transactions.	Please refer the section - Annual Report of the Board of Directors on the Affairs of the Bank	118 - 121

The Ordinary Shares of the Bank are listed on the Diri Savi Board of Colombo Stock Exchange with Security Code ABL.N0000.

1. RATIOS AND MARKET VALUE INFORMATION

1.1 Equity Ratios

	2018	2017
Dividend Per Share (LKR)	0.07	-
Dividend Pay Out Ratio (%)	31.47	-
Net Asset Value Per Share (LKR)	4.65	4.52

1.2 Market Value Per Share

	2018 LKR	2017 LKR
As at 31 December	3.10	3.70
Highest	3.70	4.10
Lowest	3.00	3.40

2. DISTRIBUTION OF SHAREHOLDERS

Range of Shareholding	As at 31 December 2018			As at 31 December 2017		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
1 To 1,000 Shares	1,938	1,084,469	0.04	1,856	1,068,509	0.04
1,001 To 10,000 Shares	3,021	14,212,357	0.57	3,041	14,369,809	0.58
10,001 To 100,000 Shares	1,553	55,984,608	2.24	1,586	56,928,072	2.28
100,001 To 1,000,000 Shares	278	89,475,304	3.58	272	87,603,675	3.50
Over 1,000,000 Shares	44	2,340,633,796	93.57	53	2,341,420,469	93.60
	6,834	2,501,390,534	100.00	6,808	2,501,390,534	100.00

2.1 Resident and Non-Resident Shareholding

Shareholder	As at 31 December 2018			As at 31 December 2017		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Resident	6,781	922,072,686	36.86	6,751	907,038,688	36.27
Non-Resident	53	1,579,317,848	63.14	57	1,594,351,846	63.73
	6,834	2,501,390,534	100.0	6,808	2,501,390,534	100.00

2.2 Individual and Institutional Shareholding

Shareholder	As at 31 December 2018			As at 31 December 2017		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Individual	6,734	1,030,059,824	41.18	6,708	994,305,309	39.75
Institutional	100	1,471,330,710	58.82	100	1,507,085,225	60.25
	6,834	2,501,390,534	100.00	6,808	2,501,390,534	100.00

Investor Relations

3. TWENTY LARGEST SHAREHOLDERS AS AT 31 DECEMBER

No	Name of Shareholder	2018		Name of Shareholder	2017	
		No. of Shares	%		No. of Shares	%
1	IB Growth Fund (Labuan) LLP (Part of Islamic Development Bank Group)	591,578,861	23.65	IB Growth Fund (Labuan) LLP (Part of Islamic Development Bank Group)	591,578,861	23.65
2	Mr. Hossain Ahmed Ismail	249,888,800	9.99	Mr. Hossain Ahmed Ismail	249,888,800	9.99
3	Mr. Mohamed Haji Omar	200,909,977	8.03	Bank Islam Malaysia Berhad	180,562,011	7.22
4	Bank Islam Malaysia Berhad	180,562,011	7.22	AB Bank Limited	180,562,010	7.22
5	AB Bank Limited	180,562,010	7.22	Mr. Mohamed Haji Omar	170,524,087	6.82
6	Islamic Development Bank	158,061,757	6.32	Islamic Development Bank	158,061,757	6.32
7	Akbar Brothers (Pvt) Ltd	157,744,249	6.31	Akbar Brothers (Pvt) Ltd	157,744,249	6.31
8	Mr. Farook Kassim	94,220,411	3.77	Mr. Farook Kassim	92,220,411	3.69
9	Millenium Capital Investment Pte. Limited	70,140,503	2.80	Millenium Capital Investment Pte. Limited	70,140,503	2.80
10	Mr. Osman Kassim jointly with Mrs K. Kassim	57,541,157	2.30	Mr. Osman Kassim jointly with Mrs K. Kassim	44,880,255	1.79
11	Mr. Shafik Kassim	52,554,117	2.10	Mr. Shafik Kassim	41,303,215	1.65
12	Mr. Sattar Kassim	50,511,902	2.02	Mr. Sattar Kassim	39,261,000	1.57
13	Mr. Nagi Saleh Mohammed Al Faqih	37,384,600	1.49	Mr. Nagi Saleh Mohammed Al Faqih	37,384,600	1.49
14	Mr. Sathiyamurthy Chandramohan	30,000,000	1.20	Trans Asia Trading Company	32,082,707	1.28
15	Almas Organisation (Pvt) Ltd	27,426,100	1.10	Mr. Abdul Majeed Mohamedu Risvi	31,036,109	1.24
16	Mr. Abdul Majeed Mohamedu Risvi	26,270,421	1.05	Amāna Holdings Limited	31,024,918	1.24
17	Mr Riyaz Mohamed Sangani	24,296,832	0.97	Mr. Sathiyamurthy Chandramohan	30,000,000	1.20
18	Trans Asia Trading Company	19,899,727	0.80	Mr Riyaz Mohamed Sangani	28,690,926	1.15
19	Al Bogari IGL DMCC	17,678,178	0.71	Almas Organisation (Pvt) Ltd	26,302,000	1.05
20	Mr. Ahamed Mihar Mohamed Fazal Jiffry	14,284,200	0.57	Al Bogari IGL DMCC	17,678,178	0.71
Sub Total		2,241,515,813	89.61	Sub Total	2,210,926,597	88.39
Other Shareholders (Number of Shareholders - 6,814)		259,874,721	10.39	Other Shareholders (Number of Shareholders - 6,788)	290,463,937	11.61
Total		2,501,390,534	100.00	Total	2,501,390,534	100.00

4. PUBLIC HOLDING AND MARKET CAPITALISATION AS AT 31 DECEMBER

	2018	2017
Market Capitalisation (LKR)	7,754,310,655.40	9,255,144,975.80
Percentage of Public Holding (%)	43.28	42.95
Float Adjusted Market Capitalisation (LKR)	3,356,177,948.80	3,975,084,767.11
Number of Public Shareholders	6,804	6,773

5. DIRECTORS' HOLDING IN SHARES AS AT 31 DECEMBER

Name of Director	2018 No. of Shares	2017 No. of Shares
Mr. Osman Kassim	57,541,157	44,880,225
Mr. Tyeab Akbarally	52	52
Mr. Mohamed Jazri Magdon Ismail	127,000	127,000
Mr. Harsha Amarasekera, PC	-	-
Mr. Rajiv Nandlal Dvivedi	-	-
Mr. Pradeep Dilshan Rajeeva Hettiaratchi	-	-
Mr. Aaron Russell-Davison	-	-
Mr. Adeeb Ahmad	-	-
Mr. Mohammed Ataur Rahman Chowdhury	-	-
Mr. Huzefa Inayetally Akbarally (Alternate Director to Mr. Tyeab Akbarally)	1	1
Mr. Mohamed Faizel Mohamed Haddad (Alternate Director to Mr. Osman Kassim)	40,000	40000

Mr. Mohamed Azmeer, Chief Executive Officer's holding in shares as at 31 December 2018 amounted to 500,000 (31 December 2017 - 500,000)

6. There were no material issues pertaining to employees and industrial relations that occurred during the year ended 31 December 2018.
7. The aggregate value of non-recurrent related party transactions carried out during 2018 has not exceeded 10% of Equity or 5% of Total Assets of the Bank.
8. The aggregate value of recurrent related party transactions carried out during 2018 has not exceeded 10% of Gross Income of the Bank.

CORRESPONDENT BANKS

	Country	Name of Bank	SWIFT Code
1	Bangladesh	AB Bank Limited - Dhaka, Bangladesh	ABBLBDDH
2	Bahrain	Mashreq Bank PSC - Manama, Bahrain	BOMLBHBM
3	Bahrain	Khaleeji Commercial Bank B.S.C. (C), Bahrain	KHCBBHBM
4	Brunei	Bank Islam Brunei Darussalam Berhad, Brunei	BIBDBNBB
5	China	Standard Chartered Bank - Shanghai, China	SCBLCNSXSHA
6	China	Axis Bank Limited Shanghai Branch, China	AXISCNSH
7	Egypt	Mashreq Bank - Cairo, Egypt	MSHQEGCA
8	Germany	Standard Chartered Bank Germany Branch	SCBLDEFX
9	Hong Kong	Axis Bank Limited, Hong Kong	AXISHKHH
10	India	AB Bank Limited - Mumbai, India	ABBLINBB
11	India	Standard Chartered Bank - Mumbai, India	SCBLINBB
12	India	Mashreq Bank - Mumbai, India	MSHQINBB
13	India	Axis Bank Limited - Mumbai, India	AXISINBB
14	Indonesia	Standard Chartered Bank - Jakarta, Indonesia	SCBLIDJX
15	Italy	Banca Ubae SPA - Roma, Italy	UBAIITRR
16	Japan	Standard Chartered Bank - Tokyo, Japan	SCBLJPJT
17	Kuwait	Mashreq Bank PSC, Kuwait	MSHQKWKW
18	Malaysia	Bank Islam Malaysia Berhad - Kuala Lumpur, Malaysia	BIMBMYKL
19	Malaysia	Malayan Banking Berhad (Maybank) - Kuala Lumpur, Malaysia	MBBEMYKL
20	Malaysia	Standard Chartered Bank Malaysia Berhad, Malaysia	SCBLMYKX
21	Malaysia	Alkhair International Islamic Bank Berhad, Malaysia	UIIBMYKL
22	Maldives	Bank of Ceylon - Male, Maldives	BCEYMVMV
23	New Zealand	Bank of New Zealand - Wellington, New Zealand	BKNZNZ22
24	Oman	Bank Nizwa, Oman	BNZWOMRX
25	Pakistan	Meezan Bank Limited - Karachi, Pakistan	MEZNPCKA
26	Pakistan	Standard Chartered Bank - Karachi, Pakistan	SCBLPKKX
27	Pakistan	Faysal Bank Limited - Karachi, Pakistan	FAYSPCKA
28	Qatar	Mashreq Bank - Doha, Qatar	MSHQQAQA
29	Qatar	Al Khalij Commercial Bank - Doha, Qatar	KLJIIQAQA
30	Qatar	Abu Dhabi Islamic Bank - Doha, Qatar	ABDIQAQA
31	Qatar	Doha Bank - Doha, Qatar	DOHBQAQA
32	Singapore	Standard Chartered Bank Singapore, Singapore	SCBLSGSG

	Country	Name of Bank	SWIFT Code
33	Singapore	Standard Chartered Bank Singapore, Singapore	SCBLSGSG
34	Singapore	Axis Bank Ltd., Singapore	AXISSGSG
35	Saudi Arabia	Bank Al-Jazira - Jeddah, Saudi Arabia	BJAZSAJE
36	Switzerland	Habib Bank AG Zurich - Zurich, Switzerland	HBZUCHZZ
37	Turkey	Turkiye Garanti Bankasi A.S. - Istanbul, Turkey	TGBATRIS
38	Turkey	Turkiye Finans Katilim Bankasi A.S. - Istanbul, Turkey	AFKBTRIS
39	Turkey	Aktif Yatirim Bankasi A.S. - Istanbul, Turkey	CAYTTRIS
40	UAE	Dubai Islamic Bank - Dubai, UAE	DUIBAEAD
41	UAE	Standard Chartered Bank - Dubai, UAE	SCBLAEAD
42	UAE	Mashreqbank PSC - Dubai, UAE	BOMLAEAD
43	UAE	Noor Islamic Bank- Dubai, UAE	NISLAEAD
44	UAE	Al Hilal Bank - Abu Dhabi , UAE	HLALAEAA
45	UAE	Abu Dhabi Islamic Bank - Abu Dhabi, UAE	ABDIAEAD
46	UAE	United Arab Bank, UAE	UARBAEAA
47	UAE	MCB Bank Limited, Dubai, UAE	MUCBAEAD
48	UAE	Axis Bank Limited, UAE	AXISAEAD
49	UK	Standard Chartered Bank - London, UK	SCBLGB2L
50	UK	QIB (UK) PLC, UK	EFHLGB2L
51	USA	Mashreq Bank PSC, New York Branch, USA	MSHQUS33
52	USA	Standard Chartered Bank - New York , USA	SCBLUS33

GLOSSARY OF BANKING AND FINANCIAL TERMS

A

Acceptances

Promise to pay created when the drawee of a time draft stamps or writes the words 'accepted' above his signature and a designated payment date.

Accounting Policies

The specific principles, bases, conventions, rules and practices adopted by an entity in preparing and presenting Financial Statements.

Accrual Basis

Recognising the effects of transactions and other events when they occur without waiting for receipt or payment of cash or its equivalent.

Actuarial Gains and Losses

Actuarial gains and losses comprise the effects of differences between the previous actuarial assumptions and what has actually occurred and the effects of changes in actuarial assumptions.

Actuarial Valuation

Fund value as determined by computing its normal cost, actuarial accrued liability, actuarial value of assets and other relevant costs and value.

Amortisation

The systematic allocation of the depreciable amount of an intangible asset over its useful life.

Amortised Cost

Amount at which the Financial Asset or Financial Liability is measured at initial recognition, minus principal payments, plus or minus the cumulative amortisation using the effective profit rate of any difference between that initial amount and the maturity amount and minus any reduction for impairment. or un-collectability.

Asset and Liability Committee (ALCO)

A risk management committee in a bank that generally comprises the corporate and senior management levels of the institution. The ALCO's primary goal is to evaluate, monitor and approve practices relating to risk due to imbalances in the capital structure. Among the factors considered are liquidity risk, market risk, foreign exchange risk and external

events that may affect the Bank's forecast and strategic balance sheet allocations.

Available for Sale

Available for Sale investments are non-derivative financial assets that are not designated as financing and receivables, held to maturity or fair value through profit or loss. It does not necessarily mean that the Bank is holding the investments for disposal in the short term.

B

Bills for Collection

A bill of exchange drawn by an exporter usually at a term, on an importer overseas and brought by the exporter to his bank with a request to collect the proceeds.

C

Capital Adequacy Ratio (CAR)

The ratio between capital and risk weighted assets as defined in the standards developed by the Bank for International Settlement (BIS) and as modified by the Central Bank of Sri Lanka to suit local requirements.

Capital Gain

The gain on the disposal of an asset calculated by deducting the cost of the asset from the proceeds received on its disposal.

Capital Reserve

A reserve identified for specific purposes which is not available for distribution.

Carrying Value

Value of an asset or a liability as per books of the organisation before adjusting for fair value.

Cash Equivalents

Short term highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Collectively Assessed Impairment

Impairment assessment on a collective basis for homogeneous groups of advances that are not considered individually significant and to cover losses which have been incurred but have not yet been identified on advances subject to individual assessment.

Commitments

Credit facilities approved but not yet utilised by customers as at the reporting date.

Contingencies

A condition or situation, the ultimate outcome of which, gain or loss, will be confirmed only by occurrence or non-occurrence of one or more future events.

Contractual Maturity

Contractual maturity refers to the final payment date of a facility or other financial instrument, at which point all the remaining outstanding capital will be repaid and financing charges is due to be paid.

Corporate Governance

The process by which corporate entities are governed. It is concerned with the way in which power is exercised over the management and the direction of the Bank, the supervision of executive actions and accountability to stakeholders.

Correspondent Bank

A bank in a foreign country that offers banking facilities to customers of a bank in another country.

Cost to Income Ratio

Operating expenses compared to total operating income.

Credit Ratings

An evaluation of a corporate's ability to repay its obligations or likelihood of not defaulting, carried out by an independent rating agency.

Credit Risk

Credit risk is the risk that the Bank will incur a loss because its customers or counterparties fail to discharge their contractual obligations.

Currency Risk

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

D

Dealing Securities

Securities acquired and held with the intention of reselling them in the short term.

Deferred Taxation

Sum set aside for income tax in the Financial Statements that may become payable/receivable in a financial year other than the current financial year. It arises because of timing differences between tax rules and accounting conventions.

Depreciation

The systematic allocation of the depreciable amount of an asset over its useful life.

Derecognition

Removal of a previously recognised financial asset or financial liability from an entity's Statement of Financial Position.

Derivatives

A derivative is a financial instrument or other contract, the value of which changes in response to some underlying variable that has an initial net investment smaller than would be required for other instruments that have a similar response to the variable, and that will be settled at a future date.

Dividend Cover

Profit after tax divided by gross dividends. This ratio measures the number of times dividends is covered by the current year's distributable profits.

Dividend Yield

Dividend earned per share as a percentage of its market value.

E**Earnings Per Share (EPS)**

Profit attributable to ordinary shareholders, divided by the weighted average number of ordinary shares in issue.

Effective Profit Rate (EPR)

The rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

Effective Tax Rate

Income tax expense for the year divided by the profit before tax.

Equity Instrument

An equity instrument is any contract that evidences a residual income in the assets of an entity after deducting all of its liabilities.

Equity Risk

The risk arising from positions, either long or short, in equities or equity based instruments, which create exposure to a change in the market price of the equities or equity instruments.

Events After the Reporting Date

Events after the reporting date are those events, both favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorised for issue.

Expected Credit Losses

The weighted average of credit losses with the respective risks of a default occurring as the weights.

Expected Loss (EL)

A regulatory calculation of the amount expected to be lost on an exposure using a 12 month time horizon and downturn loss estimates. EL is calculated by multiplying the probability of default by the exposure at default and loss given default.

F**Fair Value**

Fair value is the amount for which an asset could be exchanged between a knowledgeable, willing buyer and a knowledgeable, willing seller in an arm's length transaction.

Fair Value Adjustment

An adjustment to the fair value of a financial instrument which is determined using a valuation technique to include additional factors that would be considered by a market participant that are not incorporated within the valuation model.

Fair Value Through Profit or Loss

A financial asset/liability: Acquired/incurred principally for the purpose of selling or repurchasing it in the near term, part of a portfolio of identified financial instruments that are managed together and for which

there is evidence of a recent actual pattern of a short-term profit-taking, or a derivative (except for a derivative that is a financial guarantee contract).

Finance Lease

A lease in which the lessee acquires all the financial benefits and risks attaching to ownership of the asset under lease.

Financial Asset or Financial Liability at Fair Value Through Profit or Loss

Financial asset or financial liability that is held for trading or upon initial recognition designated by the entity as at 'Fair Value through Profit or Loss'.

Financial Assets

Any asset that is cash, an equity instrument of another entity or a contractual right to receive cash or another financial asset from another entity.

Financial Guarantee Contracts

A contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument.

Financial Instruments

Any contract that gives rise to a financial asset of one entity and financial liability or equity instrument of another entity.

Financial Liability

Financial liability is a contractual obligation to deliver cash to another entity or to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the entity.

Financing and Receivables

Non-derivative financial assets with fixed or determinable payments that are not quoted in an active market other than those intended to sell immediately or in the near term and designated as fair value through profit or loss or available for sale on initial recognition.

Foreign Exchange Income

The gain recorded when assets or liabilities denominated in foreign currencies are

Glossary of Banking and Financial Terms

translated into Sri Lankan Rupees on the reporting date at prevailing rates which differ from those rates in force at inception or on the previous reporting date. Foreign exchange income also arises from trading in foreign currencies.

Forward Exchange Contracts

An agreement between two parties to exchange one currency for another at a future date at a rate agreed upon today.

G

General Provisions

General provisions are established for loans and advances for anticipated losses on aggregate exposures where credit losses cannot yet be determined on an individual facility basis.

Guarantees

A promise made by a third party (Guarantor), who is not a party to a contract between two others, that the guarantor will be liable on behalf of whom the guarantee is issued if the individual fails to fulfil the contractual obligations.

H

Held for Trading

Investments that are purchased with the intent of selling them within a short period of time.

Held to Maturity Financial Assets

Held to maturity investments are non-derivative financial assets with fixed or determinable payments and a fixed maturity that an entity has the positive intention and ability to hold to maturity.

Historical Cost Convention

Recording transactions at the actual value received or paid.

I

Impairment

This occurs when the recoverable amount of an asset is less than its carrying amount.

Impairment Allowances

Management's best estimate of losses incurred on its assets as at the reporting date.

Impairment Charge/(Reversal)

The difference between the carrying value of an asset and the sum of discounted future cash flows generating from the same asset.

Individually Assessed Impairment

Exposure to loss is assessed individually for assets that are individually significant above a certain threshold.

Intangible Asset

An identifiable non-monetary asset without physical substance.

Investing Activities

The acquisition and disposal of long term assets and other investments not included in cash equivalents.

Investment Securities

Securities acquired and held for yield and/or capital growth.

K

Key Management Personnel

Key Management Personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any Director (whether executive or otherwise) of the Bank.

Key Performance Indicators (KPIs)

KPIs are quantifiable measurements, agreed at the commencement of the year that reflect the critical success factors of the Bank.

L

Letter of Credit

Written undertakings by a Bank on behalf of its customer (typically an importer), authorising a third party (e.g. an exporter) to draw drafts on the Bank up to a stipulated amount under specific terms and conditions. Such undertakings are established for the purpose of facilitating international trade.

Liquid Assets

Assets that are held in cash or in a form that can be converted to cash readily.

Liquidity Coverage Ratio (LCR)

Ratio of stock of high quality liquid assets available to total net cash outflows over next

30 calendar days. LCR is expected to improve the banking sector's ability to absorb shocks arising from financial and economic stress, thus, reducing the risk of spill over from the financial sector to the real economy.

Liquidity Risk

Liquidity risk implies the potential for loss to the Bank due to inability to meet its obligation or to fund the increase in assets as they fall due without incurring high cost.

Loss Given Default ('LGD')

The estimated ratio (percentage) of the loss on an exposure to the amount outstanding at default (EAD) upon default of counterparty.

M

Market Capitalisation

Number of ordinary shares in issue multiplied by the market value of each share at the year end.

Market Risk

Market risk denotes the risk of losses arising out of positions in the Statement of Financial Position due to changes in market prices.

Materiality

The relative significance of a transaction or an event, the omission or misstatement of which could influence the economic decisions of users of Financial Statements.

N

Net Assets Value Per Share

Shareholders' funds divided by the number of ordinary shares in issue.

Net Realisable Value

The estimated selling price in the ordinary course of the business, less the estimated cost of completion and the estimated necessary costs to make the sale.

Net Financing Margins

Net Financing income expressed as a percentage of average income earning assets.

Net Stable Funding Ratio

The ratio of available stable funding to required stable funding over a one year time horizon, assuming a stressed scenario. Available stable funding would include items such as equity

capital, preferred stock with a maturity of over one year and liabilities with an assessed maturity of over one year.

Non-Performing Advances Ratio

Non-Performing advances expressed as a percentage of the total outstanding advances.

Nostro Account

A foreign currency current account maintained with another Bank, usually but not necessarily a foreign correspondent Bank.

O

Off Balance Sheet Transactions

Transactions that are not recognised as assets or liabilities in the Statement of Financial Position, but which give rise to commitments and contingencies.

Operational Risk

Operational risk refers to the loss resulting from inadequate or failed internal processes, people and systems or from external events.

P

Past Due

A financial asset is past due when a counterparty has failed to make a payment when contractually due.

Probability of Default

Probability of default is an internal estimate for each customer grade of the likelihood that an obligor will default on an obligation.

Projected Unit Credit Method

An actuarial valuation method that sees each period of service as giving rise to an additional unit of benefit entitlement and measures each unit separately to build up the final obligation.

Provisions

A provision is an amount set aside for probable, but uncertain, economic obligations of the Bank.

R

Related Parties

Parties where one party has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions, directly or indirectly.

Return on Average Assets (ROA)

Profit for the year divided by Average Assets.

Return on Equity (ROE)

Profit for the year expressed as a percentage of average ordinary shareholders' equity.

Revaluation Reserve

Part of the shareholders' equity that arises from changes in the current value of property, plant and equipment.

Revenue Reserves

Reserves set aside for future distribution and investment.

Rights Issue

Issue of shares to the existing shareholders at an agreed price, generally lower than market price.

Risk Weighted Assets

On Balance Sheet assets and the credit equivalent of off Balance Sheet assets multiplied by the relevant risk weighting factors.

S

Segment Reporting

Segment reporting indicates the contribution to the revenue derived from business segments.

Shareholders' Funds

Shareholders' funds consist of stated capital plus capital and revenue reserves.

Statutory Reserve Fund

A capital reserve created in accordance with the provisions of the Banking Act No. 30 of 1988 as amended.

T

Tier I Capital

Core capital representing permanent shareholders' equity and reserves created or increased by appropriations of retained earnings or other surpluses.

Tier II Capital

Supplementary capital representing revaluation reserves, general provisions and other capital instruments, which combine certain characteristics of equity and debt such as hybrid capital instruments and subordinated term debts.

Total Capital

Capital base is summation of the core capital (Tier 1) and the supplementary capital (Tier II).

Transaction Costs

Transaction costs are incremental costs that are directly attributable to the acquisition, issue or disposal of a financial asset or financial liability.

U

Undrawn Credit Lines

Credit facilities approved but not yet utilised by the clients as at the end of the reporting period

V

Value Added

Value added is the wealth created by providing banking services less the cost of providing such services. The value added is allocated among the employees, the providers of capital, to Government by way of taxes and retained for expansion and growth.

Value Added Taxes on Financial Services

Value Added Taxes on Financial Services is computed based on profit before tax from financial services subject to adjustment for depreciation and emoluments payable to employees and Directors.

BRANCH NETWORK INFORMATION



Branch	Address	District	Province	Telephone No.	Fax No.	E-Mail
Akkaraipattu	102, Main Street, Akkaraipattu	Ampara	Eastern	067-7756015	672279319	akkaraipattu@amana.lk
Akurana	204/1, Matale Road, Akurana	Kandy	Central	081-7756010	812304761	akurana@amana.lk
Badulla	18/1, Lower Kings Street, Badulla	Badulla	Uva	055-7756021	552228280	badulla@amana.lk
Dehiwala	28, Galle Road, Dehiwala	Colombo	Western	011-7756016	112722505	dehiwala@amana.lk
Dematagoda	7, Kent Road, Dematagoda, Colombo 9	Colombo	Western	011-7756028	117756889	dematagoda@amana.lk
Eravur	108/5, Punnakuda Road, Eravur	Batticaloa	Eastern	065-7756019	652241410	eravur@amana.lk
Galle	24, Old Matara Road, Galle	Galle	Southern	091-7756008	912226610	galle@amana.lk
Gampola	119, Kandy Road, Gampola	Kandy	Central	081-7756011	812350786	gampola@amana.lk
Kaduruwela	379, Main Street, Kaduruwela	Polonnaruwa	North Central	027-7756022	272227009	kaduruwela@amana.lk
Kalmunai	32, Main Street, Kalmunai	Ampara	Eastern	067-7756006	672223599	kalmunai@amana.lk
Kalmunai Unity Square	KUS Shopping Complex, Main Street, Kalmunai	Ampara	Eastern	067-7756026	672059779	kalmunaimi@amana.lk
Kandy	105, Kotugodella Veediya, Kandy	Kandy	Central	081-7756003	812200238	kandy@amana.lk
Kattankudy	237, Main Street, Kattankudy	Batticaloa	Eastern	065-7756004	652247399	kattankudy@amana.lk
Katugastota	93, Kurunegala Road, Katugastota	Kandy	Central	081-7756030	817756289	katugastota@amana.lk
Kinniya	264, Main Street, Kinniya	Trincomalee	Eastern	026-7756025	262236656	kinniya@amana.lk
Kirulapone	124, Maya Avenue, Colombo 6	Colombo	Western	011-7756029	117756899	kirulapone@amana.lk
Kuliyapitiya	215 1/1, Main Street, Kuliyapitiya	Kurunegala	North Western	037-7756018	372282280	kuliyapitiya@amana.lk
Kurunegala	137, Puttalam Road, Kurunegala	Kurunegala	North Western	037-7756014	372221925	kurunegala@amana.lk
Ladies Branch - Colombo 3	365, Galle Road, Colombo 3	Colombo	Western	011-7756381	117756389	ladiesbranch@amana.lk
Main Branch - Colombo 3	365, Galle Road, Colombo 3	Colombo	Western	011-7756000	114718148	mainbranch@amana.lk
Mawanella	22B, New Kandy Road, Mawanella	Kegalle	Sabaragamuwa	035-7756013	352248181	mawanella@amana.lk
Negombo	97, Colombo Road, Negombo	Gampaha	Western	031-7756020	312231765	negombo@amana.lk
Nintavur	40/5, Main Street, Nintavur 24	Ampara	Eastern	067-7756017	672251591	nintavur@amana.lk
Oddamavadi	93, Main Street, Oddamavadi-01	Batticaloa	Eastern	065-7756225	652258099	oddamavadi@amana.lk
Old Moor Street	330, Old Moor Street, Colombo 12	Colombo	Western	011-7756027	117756879	oms@amana.lk
Pettah	129, Main Street, Colombo 11	Colombo	Western	011-7756002	112380688	pettah@amana.lk
Puttalam	23, Colombo Road, Puttalam	Puttalam	North Western	032-7756024	322267188	puttalam@amana.lk
Ratnapura	131-133, Main Street, Ratnapura	Ratnapura	Sabaragamuwa	045-7756023	452230245	ratnapura@amana.lk
Sammanthurai	3, Ampara Road, Sammanthurai	Ampara	Eastern	067-7756012	672261299	sammanthurai@amana.lk

NOTES

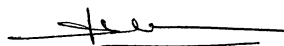
NOTICE OF ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN THAT the Tenth Annual General Meeting of Amāna Bank PLC will be held on Friday, 29 March 2019 at 3.00 p.m. at the Banquet Hall (Ground Floor), Bandaranaike Memorial International Conference Hall (BMICH), Bauddhaloka Mawatha, Colombo 7.

AGENDA

- 1) To receive and consider the Annual Report of the Board and the Financial Statements of the Bank for the financial year ended 31 December 2018 together with the Report of the Auditors thereon.
- 2) To re-elect the following Directors who retire by rotation in terms of Article 29(6) of the Articles of Association of the Company.
 - (a) To re-elect Mr. Mohamed Jazri Magdon Ismail (Non-Executive, Independent Senior Director) who retires at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Company.
 - (b) To re-elect Mr. Harsha Amarasekera, PC (Non-Executive, Non-Independent Director) who retires at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Company.
 - (c) To re-elect Mr. Mohammed Ataur Rahman Chowdhury (Non-Executive, Non-Independent Director) who retires at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Company.
 - (d) To re-elect Mr. Adeeb Ahmad (Non-Executive, Non-Independent Director) who retires at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Company.
- 3) To re-elect the following Directors who have been appointed since the last Annual General Meeting of the Company in terms of Article 29(13) of the Articles of Association of the Company.
 - (a) To re-elect Mr. Syed Muhammed Asim Raza (Non-Executive, Non-Independent Director) who has been appointed since the last Annual General Meeting of the Company in terms of Article 29 (13) of the Articles of Association of the Company.
 - (b) To re-elect Mr. Khairul Muzamel Perera Bin Abdullah (Non-Executive, Non-Independent Director) who has been appointed since the last Annual General Meeting of the Company in terms of Article 29 (13) of the Articles of Association of the Company.
- 4) To re-appoint Messrs Ernst & Young, Chartered Accountants as the Auditors for the ensuing year and authorise the Directors to determine their remuneration.
- 5) To re-appoint the Sharia Supervisory Council consisting of:
 - a) Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani
 - b) Ash-Sheikh Mohd. Nazri Bin Chik
 - c) Ash-Sheikh M. M. A. Mubarak
 - d) Ash-Sheikh Mufti M. I. M. Rizwe
 - e) Ash-Sheikh Mufti Muhammad Hassaan Kaleem
- 6) Any other business.

By Order of the Board,



Mrs. Samitha Dayani de Silva
Company Secretary

16 February 2019
Colombo.

NOTE:

Shareholders/proxy holders are requested to bring with them their National Identity Cards or any other form of clear/valid identification and present same at the time of registration.

FORM OF PROXY

I/We of
 being a Shareholder/s* of
 Amāna Bank PLC, hereby appoint of
 or

- | | |
|---|----------------|
| 1. Mr. Osman Kassim | or failing him |
| 2. Mr. Tyeab Akbarally | or failing him |
| 3. Mr. Mohamed Jazri Magdon Ismail | or failing him |
| 4. Mr. Harsha Amarasekera, PC | or failing him |
| 5. Mr. Pradeep Dilshan Rajeeva Hettiaratchi | or failing him |
| 6. Mr. Aaron Russell-Davison | or failing him |
| 7. Mr. Rajiv Nandlal Dvivedi | or failing him |
| 8. Mr. Adeeb Ahmad | or failing him |
| 9. Mr. Mohammed Ataur Rahman Chowdhury | or failing him |
| 10. Mr. Syed Muhammed Asim Raza | or failing him |
| 11. Mr. Khairul Muzamel Perera Bin Abdullah | |

as my/our* Proxy to represent me/us* and vote for me/us* on my/our* behalf at the Annual General Meeting of the Company to be held on Friday 29 March 2019 at 3.00 p.m. at the Banquet Hall (Ground Floor), Bandaranaike Memorial International Conference Hall (BMICH), Bauddhaloka Mawatha, Colombo 7, Sri Lanka and at any adjournment thereof.

Signed this day of 2019.

.....
 Signature

Please provide the following details:

Shareholders's NIC No./Company Registration No. :
 Number of Shares held :
 Proxy Holder's NIC No. :

*Please delete the inappropriate words.

NOTES:

1. A member entitled to attend and vote is entitled to appoint a proxy to attend and vote in his/her place.
2. A proxy need not be a member of the Company.

Form of Proxy

INSTRUCTIONS FOR THE COMPLETION OF FORM OF PROXY

1. The Form of Proxy must be duly completed and signed by the shareholder/s, giving in block capitals, the name and address of shareholder/s and the name, address and NIC of the Proxy holder clearly and legibly. Where necessary delete the inapplicable words indicated by asterisk.
2. The completed Form of Proxy should be deposited at the office of the Company Secretary, 7th Floor, No. 403, Galle Road, Colombo 3 not less than 24 hours before the time appointed for the holding of the meeting. (by 3.00 pm on Thursday 28 March 2019)
3. If the Proxy has been signed by an Attorney, the relevant Power of Attorney should accompany the completed Proxy for registration, if such Power of Attorney had not been registered with the Company.
4. In the case of a Company/Corporation, the Proxy must be under its Common Seal (where applicable) which should be affixed and attested in the manner prescribed by its Articles of Association/Act of Incorporation signed by two Directors or a Director and Secretary of the Company with the Company rubber stamp placed on it.
5. In case of joint shareholders the first named shareholder only can sign the Form of Proxy.

CORPORATE INFORMATION

Name of the Institution

Amāna Bank PLC

Legal Form

A Public Limited Liability Company incorporated in Sri Lanka on 5 February 2009 under the Companies Act No. 07 of 2007 and listed on the Diri Savi Board of the Colombo Stock Exchange on 29 January 2014 and re-registered under the Companies Act No. 07 of 2007 on 28 August 2014. Amāna Bank PLC is a Licensed Commercial Bank under the Banking Act No. 30 of 1988 and amendments thereto

Company Registration Number

PB 3618 PQ

Accounting Year End

31 December

Business

Commercial banking and related services

External Credit Rating

The Bank is rated by Fitch Ratings Lanka Limited as BB(lka) Positive Outlook

Industry Memberships

- ★ The Accounting and Auditing Organization for Islamic Financial Institutions(AAOIFI)
- ★ The Islamic Financial Services Board (IFSB)
- ★ The Association of Alternate Financial Institutions (AAFI)

Registered Office

486, Galle Road, Colombo 3, Sri Lanka
Tel : (94) - (11) - 7756000
Fax: (94) - (11) - 2574419

SWIFT

AMNALKLX

Web

www.amanabank.lk

Tax Payer Identification Number (TIN)

134036184

VAT Registration Number

134036184-7000

Board of Directors (As at 31 December 2018)

1. Mr. Osman Kassim (*Chairman, Non-Executive, Non-Independent Director*)
2. Mr. Tyeab Akbarally (*Deputy Chairman, Non-Executive, Non-Independent Director*)

3. Mr. Mohamed Jazri Magdon Ismail (*Non-Executive, Independent Senior Director*)
4. Mr. Harsha Amarasekera, PC (*Non-Executive, Non-Independent Director*)
5. Mr. Rajiv Nandlal Dvivedi (*Non-Executive, Independent Director*)
6. Mr. Pradeep Dilshan Rajeeva Hettiaratchi (*Non-Executive, Independent Director*)
7. Mr. Aaron Russell-Davison (*Non-Executive, Independent Director*) - appointed w.e.f. 4 January 2018
8. Mr. Mohammed Ataur Rahman Chowdhury (*Non-Executive, Non-Independent Director*) - appointed w.e.f. 16 January 2018
9. Mr. Adeeb Ahmad (*Non-Executive, Non-Independent Director*) - appointed w.e.f. 16 January 2018
10. Mr. Syed Muhammed Asim Raza (*Non-Executive, Non-Independent Director*) - appointed w.e.f. 20 October 2018
11. Mr. Khairul Muzamel Perera Bin Abdullah (*Non-Executive, Non-Independent Director*) - appointed w.e.f. 17 November 2018

Alternate Directors (As at 31 December 2018)

1. Mr. Huzefa Inayetally Akbarally - *Alternate Director to Mr. Tyeab Akbarally*
2. Mr. Mohamed Faizel Mohamed Haddad - *Alternate Director to Mr. Osman Kassim*

Sharia Supervisory Council

- a) Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani
- b) Ash-Sheikh Nazri Bin Chik
- c) Ash-Sheikh M. M. A. Mubarak
- d) Ash-Sheikh Mufti M. I. M. Rizwe
- e) Ash-Sheikh Mufti Muhammad Hassaan Kaleem

Board Committees (As at 31 December 2018)

★ Board Audit Committee

1. Mr. Mohamed Jazri Magdon Ismail - *Chairman*
2. Mr. Rajiv Nandlal Dvivedi - *Member*
3. Mr. Aaron Russell-Davison - *Member (appointed w.e.f. 17 February 2018)*
4. Mr. Mohammed Ataur Rahman Chowdhury - *Member (appointed w.e.f. 17 February 2018)*

★ Board Integrated Risk Management Committee

1. Mr. Rajiv Nandlal Dvivedi - *Chairman*
2. Mr. Mohamed Jazri Magdon Ismail - *Member*
3. Mr. Adeeb Ahmad - *Member (appointed w.e.f. 17 February 2018)*

4. Mr. Mohamed Azmeer (*CEO*) - *Member*
5. Mr. Ajmal Naleer (*CRO*) - *Member*

★ Board Nomination Committee

1. Mr. Dilshan Hettiaratchi - *Chairman (appointed as Chairman w.e.f. 17 February 2018)*
2. Mr. Mohamed Jazri Magdon Ismail - *Member*
3. Mr. Tyeab Akbarally - *Member*
4. Mr. Rajiv Nandlal Dvivedi - *Member*
5. Mr. Adeeb Ahmad - *Member (appointed w.e.f. 17 February 2018)*

★ Board Human Resources and Remuneration Committee

1. Mr. Tyeab Akbarally - *Chairman*
2. Mr. Mohamed Jazri Magdon Ismail - *Member*
3. Mr. Dilshan Hettiaratchi - *Member*
4. Mr. Aaron Russell-Davison - *Member (appointed w.e.f. 17 February 2018)*
5. Mr. Mohammed Ataur Rahman Chowdhury - *Member (appointed w.e.f. 17 February 2018)*

★ Related Party Transactions Review Committee

1. Mr. Mohamed Jazri Magdon Ismail - *Chairman*
2. Mr. Rajiv Nandlal Dvivedi - *Member*
3. Mr. Dilshan Hettiaratchi - *Member*
4. Mr. Aaron Russell-Davison - *Member (appointed w.e.f. 15 September 2018)*

Company Secretary

Mrs. Samitha Dayani de Silva, FCIS, FCCS

Auditors

Messrs Ernst & Young
Chartered Accountants
No. 201, De Saram Place,
Colombo 10, Sri Lanka

Lawyers

Messrs F J & G de Saram
Attorneys-at-Law & Notaries Public
No. 216, De Saram Place,
Colombo 10, Sri Lanka

For investor relations and clarifications on the report, please contact:

Company Secretarial Division

Amāna Bank PLC

486, Galle Road, Colombo 3, Sri Lanka

Tel : +94 11 7757511



Amāna Bank PLC

486, Galle Road, Colombo 3, Sri Lanka
www.amanabank.lk